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Alchip Technologies Ltd | Asia Pacific

Solid 2027 and 2028 outlook with potential catalysts; OW

Key Takeaways

- 2027 Trainium3 revenue could exceed 70% YoY growth, with margins remaining sustainable.
- 2028 Trainium4 revenue tracking bullish MSe US$8bn and could exceed it.
- Alchip is close to securing a new US customer before year-end.
- Keep Alchip PT of NT5,888. Catalysts: 1) new US customer win; 2) AWS re:invent on 11/30; 3) 2028 Trainium4 TAM and allocation confirmation.

What's new? Ahead of Alchip's 3Q26 earnings release on November 6, investors are looking for updates on the company's 2027 and 2028 revenue outlook, particularly regarding AWS Trainium programmes and potential new customer wins.

Major projects – AWS Trainium: It appears TSMC is allocating additional 3nm capacity to AI ASICs and CPUs in 2027. We do not rule out AWS-related revenue growing more than 70% YoY in 2027, versus our current forecast of 56% YoY growth. As a result, we remain confident in our 2027 revenue forecast of US$4.4bn. We believe gross margin can remain sustainable despite the additional revenue contribution, which would be better than our previous assumption of fixed gross profit from 3nm Trainium3. For 2028, we forecast a Street-high US$8bn revenue contribution from 2nm Trainium4. Our supply-chain checks suggest US$8bn–12bn of revenue is possible if AWS allocates additional volume.

Potential new projects - Google KGD and others: In Asia-Pacific Technology: AI Supply Chain: Google ASIC, who gets what for design services? (24 Aug 2026), we highlighted key trends for Google TPU v10, including: "KGD (known good die) for the compute die, which means Google owns the compute-die design and photomask tools, while retaining flexibility to outsource backend design services for the compute die." We believe Alchip is a leading candidate for this KGD backend-design opportunity. In addition, Alchip is pursuing another US HPC customer opportunity. Our checks suggest a switch-networking product is a possibility, potentially involving collaboration with Astera Labs and NVLink Fusion.

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Alchip Technologies Ltd (3661.TW, 3661 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$5,888.00
Up/downside to price target (%)	36
Shr price, close (Oct 8, 2026)	NT$4,345.00
52-Week Range	NT$5,640.00-2,480.00
Mkt cap, curr (mn)	NT$352,568
Avg daily trading value (mn)	NT$8,261

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	67.68	176.72	225.82	363.29
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	65.78	141.48	187.91	262.18
Revenue, net (NT$ mn)	30,926	94,550	135,780	303,800
P/E	51.9	24.6	19.2	12.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Exhibit 1: Alchip 2027 and 2028 revenue forecast by key customer

Revenue (US$ mn)	2025e	2026e	2027e	2028e	2025 Y/Y	2026 Y/Y	2027 Y/Y	2028 Y/Y
NRE								
Total NRE	**321**	**400**	**450**	**500**	**-15%**	**25%**	**13%**	**11%**
Turnkey								
AWS	100	1,800	2,800	8,000	-86%	1700%	56%	186%
Intel Habana	300	0	0	0	50%	-100%	NA	NA
Amazon Lab126	40	50	50	50	-33%	25%	0%	0%
Sony	20	0	0	0	-60%	-100%	NA	NA
Chinese CPU	10	200	300	300	-75%	1900%	50%	0%
Li Auto	20	350	500	700	NA	NA	NA	NA
Japan Consumer	30	100	100	100	NA	NA	NA	NA
Others	143	150	180	150	-25%	5%	20%	-17%
Total turnkey	**663**	**2,650**	**3,930**	**9,300**	**-47%**	**300%**	**48%**	**137%**
Total revenue	**984**	**3,050**	**4,380**	**9,800**	**-39%**	**210%**	**44%**	**124%**

Source: Company data, Morgan Stanley research estimates

Valuation Methodology and Risks

Alchip Technologies Ltd (3661.TW)

Base case value, derived from a residual income model. We assume the cost of equity is constant at 10.4% (2% risk-free rate, 6% risk premium, 1.4 beta). Our intermediate growth rate and terminal growth rates are 12.5% and 4%, respectively.

Risks to Upside

- Demand for Chinese GPUs and AI chipsets takes off earlier than expected.
- NRE demand accelerates.
- Alchip wins more US hyperscaler HPC projects.

Risks to Downside

- China's HPC localization progress slows down.
- AI chipset progress is much slower to develop.
- NRE demand decelerates.
- Pricing competition intensifies.

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Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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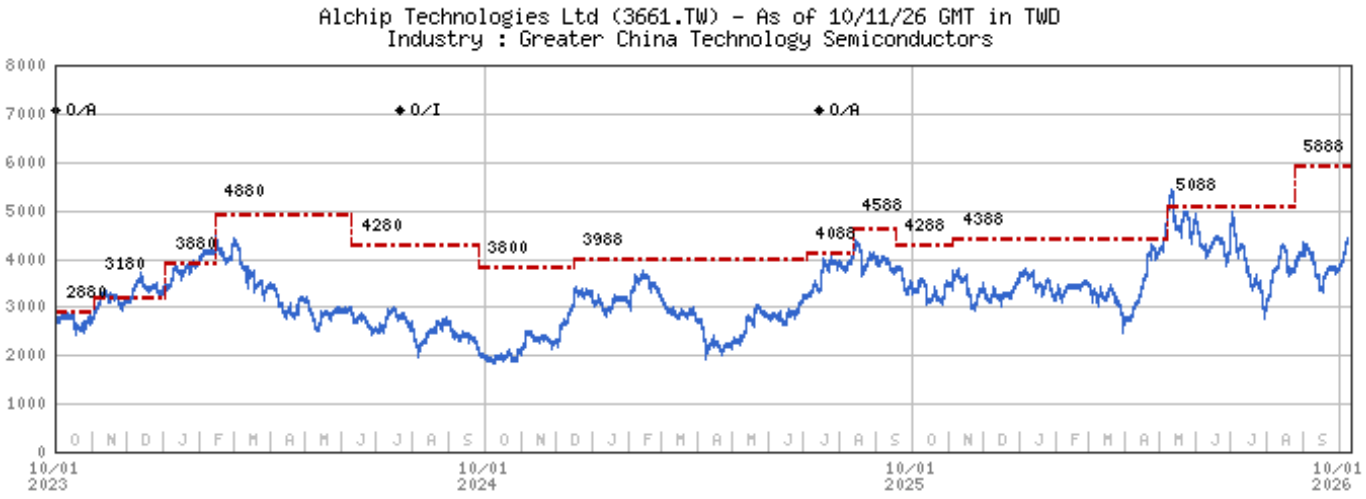
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/09/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$154.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$4,345.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$744.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb985.99
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb51.00
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$8,360.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$1,130.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$571.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$94.55
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$88.30
MediaTek (2454.TW)	O (11/28/2025)	NT$4,690.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb464.08
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$532.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb79.15
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$2,060.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb95.97
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$462.50
SMIC (0981.HK)	O (10/21/2025)	HK$57.65
TSMC (2330.TW)	O (02/07/2022)	NT$2,550.00
UMC (2303.TW)	O (05/19/2026)	NT$147.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT$186.50
WIN Semiconductors Corp (3105.TWO)	E (10/09/2026)	NT$581.00

Daisy Dai, CFA

ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$161.30
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb51.90
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb92.25
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb29.09
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb219.59
Innoscience (2577.HK)	E (10/13/2025)	HK$36.74
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb62.74
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$24.00
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb97.54
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb111.55
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb76.25
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb56.59
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb22.63
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb83.48
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$980.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,490.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$17,485.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$100.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT$132.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,915.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb116.90
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb326.46
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$116.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$268.20
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb197.60
Novatek (3034.TW)	U (02/04/2026)	NT$531.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$155.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT$558.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$72.20
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$749.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb51.95
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$177.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$117.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$215.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb104.38
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb284.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$71.37
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb311.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb62.42
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb594.04
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,525.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$667.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$5,925.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$304.50
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$5,575.00
Tiffany Yeh		
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$13.30
Silicon Motion (SIMO.O)	O (05/06/2024)	US$263.90
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT$5,615.00

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* Historical prices are not split adjusted.

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October 11, 2026 06:18 PM GMT

Lite-On Technology | Asia Pacific

September Sales -4% MoM/ +22% YoY

In this report, we focus on Lite-on's monthly sales, which we believe could be a catalyst for its share price.

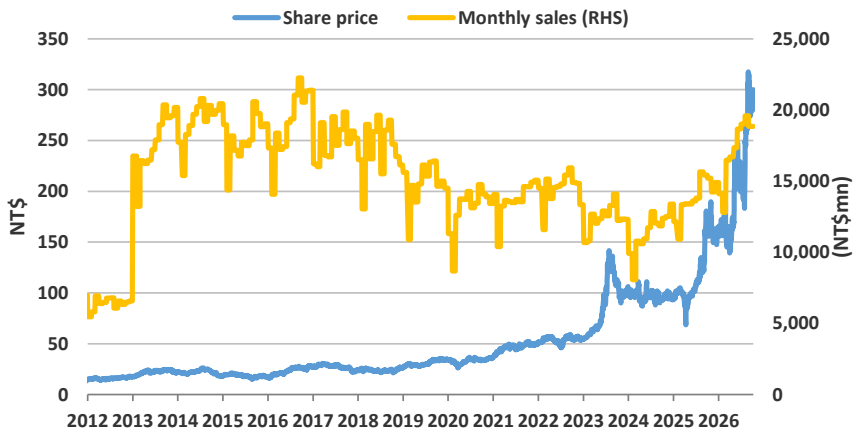
Details:

- September sales were NT$18,848mn (-4% MoM/+22% YoY).
- 3Q26 sales came in at NT$57,446mn (+9% QoQ/+28% YoY), lower than our estimate of NT$59,526mn (+13% QoQ/+33% YoY) and the consensus at NT $60,259mn (+14% QoQ/+34% YoY).
- By segment, Cloud&AIoT/Opto-electronics/IT&Consumer Electronics accounted for 59%/14%/27% of total sales, respectively. This implies growth of -5%/-4%/flat MoM and +53%/+7%/-11% YoY for each segment, respectively, in the month.

Our view:

- We believe softer revenue growth in September primarily reflected component shortages at customers in the cloud segment and, to a lesser extent, the consumer electronics segment.
- Looking ahead, we expect 4Q26 revenue to grow by double digits QoQ, driven mainly by the cloud segment. We expect gross margin to normalise to around 25% in 2H26, versus 27.2% in 2Q26, as inventory write-back benefits fade and shipments of high-margin products delayed from 2Q26 flow through.
- Stay EW.

Exhibit 1: Lite-on's monthly sales vs. its share price



Source: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

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Lite-On Technology (2301.TW, 2301 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$315.00
Up/downside to price target (%)	6
Shr price, close (Oct 8, 2026)	NT$297.50
52-Week Range	NT$328.00-139.50
Sh out, dil, curr (mn)	2,275
Mkt cap, curr (mn)	NT$676,960
EV, curr (mn)	NT$613,369
Avg daily trading value (mn)	NT$5,513

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	6.64	11.07	15.97	21.07
Revenue, net (NT$ bn)	166.1	224.8	298.0	357.7
EBITDA (NT$ bn)	19.7	33.5	48.7	63.9
ModelWare net inc (NT $ bn)	15.1	25.2	36.3	47.9
P/E	24.6	26.9	18.6	14.1
P/BV	4.1	7.1	6.6	6.0
RNOA (%)	70.7	85.3	112.7	140.4
ROE (%)	16.6	28.0	38.1	46.6
EV/EBITDA	15.7	18.2	12.5	9.5
Div yld (%)	2.8	2.9	4.2	5.6
FCF yld ratio (%)**	1.9	3.1	5.0	5.7
Leverage (EOP) (%)	(74.1)	(71.8)	(71.8)	(66.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Lite-On Technology 2301.TW			
September 2026 Sales	08 Oct 2026	Unchanged	↓ Modest downside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Lite-On Technology (2301.TW)

Base case: P/E multiple of 17x based on average 2027-28 EPS. We believe our target multiple is justified by the 47% earnings CAGR we estimate for 2025-28, implying a PEG of 0.4, versus the stock's 16x P/E and 2% earnings CAGR during 2022-25, which implied a PEG of 7.2.

Risks to Upside

- Stronger optical business growth
- Stronger data center/server demand
- PC/NB demand growth
- Downtrend in raw material prices

Risks to Downside

- Macro demand weakness
- Weaker data center/server demand
- PC/NB demand slowdown
- Uptrend in raw material prices

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Global Stock Ratings Distribution

(as of September 30, 2026)
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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

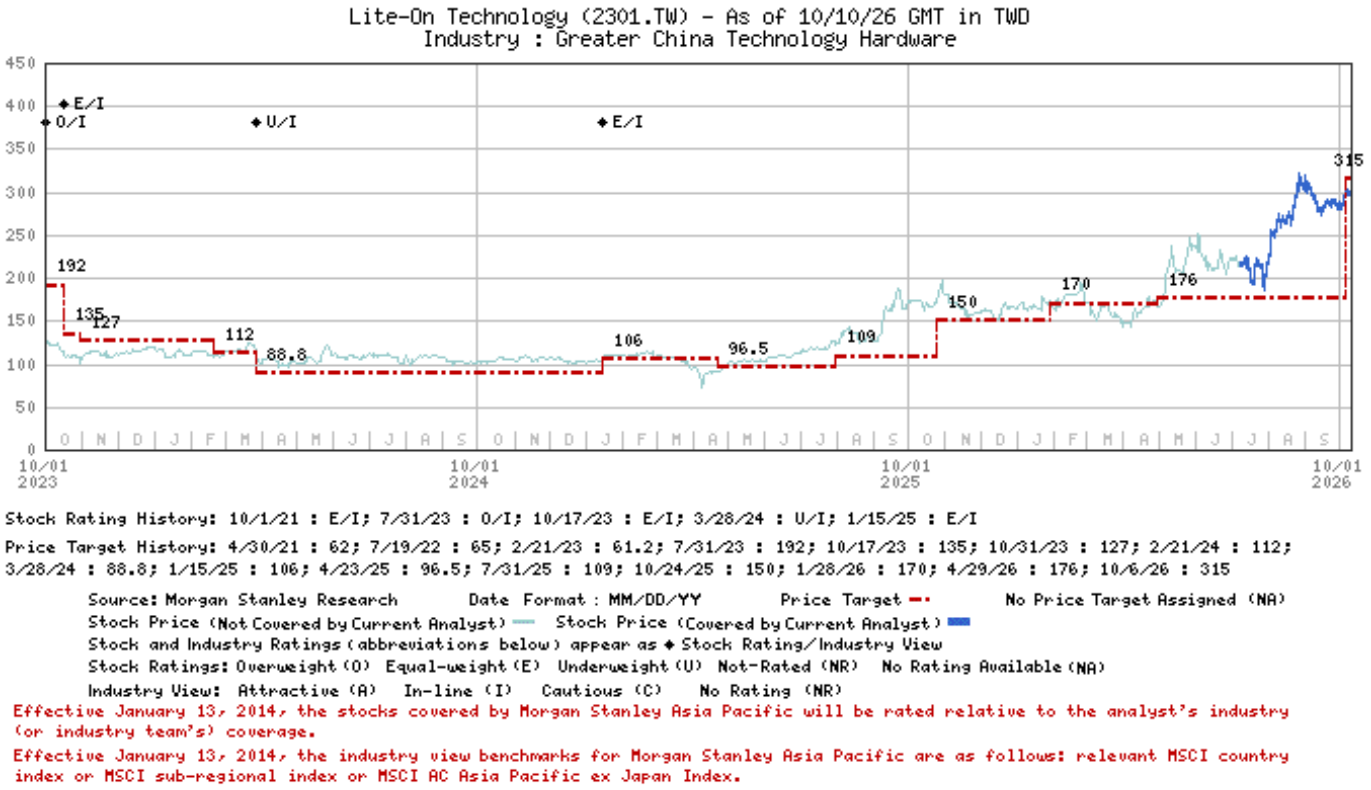
Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/09/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.36
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb148.71
BYD Electronics (0285.HK)	O (04/28/2023)	HK$23.16
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.40
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.46
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb370.20
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT$1,060.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.51
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.20
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.97
Largan Precision (3008.TW)	E (09/10/2026)	NT$6,660.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.90
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.15
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.05
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$50.55
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb47.59
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.46
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.90
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb72.20
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.60
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb48.95
Sunny Optical (2382.HK)	E (03/23/2026)	HK$60.50
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb235.04
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb15.64
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$25.96

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb387.87
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$168.30
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb98.38
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb22.37
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb775.29
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$974.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.76
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb29.03
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,070.00
Advantech (2395.TW)	O (01/20/2021)	NT$727.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,205.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,440.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$36.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,520.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,360.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.50
Chenbro (8210.TW)	O (07/23/2025)	NT$874.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,330.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,965.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$144.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,370.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$332.50
Innolux (3481.TW)	E (04/07/2025)	NT$51.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$10,615.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb28.41
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$297.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.64
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.23
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb168.22
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$996.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$195.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$35.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$6,000.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$4.63
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb56.07
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$363.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,285.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$249.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb64.69
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$49.00
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,960.00
Lenovo (0992.HK)	O (07/10/2026)	HK$32.84
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,915.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,475.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$89.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb124.14
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb347.25
Unimicron (3037.TW)	O (02/23/2026)	NT$1,270.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$558.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$188.50

Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$2,240.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$635.00
Zhen Ding (4958.TW)	++	NT$592.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$535.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,740.00

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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Largan Precision

Core weakness outweighs progress in AI optics

Equities

Taiwan

Electric Components & Equipment

12-month rating	**Sell**
12m price target	**NT$5,000.00**
Price (08 Oct 2026)	**NT$6,660**

RIC: 3008.TW **BBG:** 3008 TT

Trading data and key metrics

52-wk range	NT$7,810.00-2,025.00
Market cap.	NT$875b/US$27.4b
Shares o/s	131m (ORD)
Free float	70%
Avg. daily volume ('000)	2,379
Avg. daily value (m)	NT$13,134.2
Common s/h equity (12/26E)	NT$199b
P/BV (12/26E)	4.4x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	188.21	160.04	-15	184.91
12/27E	214.00	180.00	-16	204.02
12/28E	250.66	220.00	-12	238.78

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CPO progress is more tangible but substantial success is already priced in

We maintain Sell and our NT$5,000 target price as erosion in the core smartphone business outweighs CPO progress. The Q326 call confirmed that Largan's fiber array has passed customer qualification although its customer qualified another vendor's prism micro-lens assembly (PMLA) that Largan would now buy in. If Largan qualifies the full FAU plus carrier assembly for 2H27, content rises but with more pass-through cost and less margin upside. We roll our valuation to 2028E, the first full year of CPO production, though 25% below the NT$6,660 close on October 8.

Full FAU assembly would lift content, but with more pass-through

We believe Largan's FA customer is one of two module suppliers on NVIDIA's 2H27 program, which we estimate could reach 40% share. The program is still subject to successful yield ramp and could move to metalens in 2028, which would reopen supplier qualification. Assembling the full FAU could lift Largan's ASP to US$125-150 leveraging its precision alignment and automation but the PMLA, V-groove and carrier parts would be pass through that cuts into margin leverage. We expand our FAU TAM analysis (Figure 9) with FAU market in 2028/30 expanding to 12.3mn/35.6mn units, with Largan base case set at 25% of the TAM.

Core smartphone business stays soft into 2027

Q326 sales of NT$15.7bn, +15% QoQ/-11% YoY missedUBSe/Street +36%/+33% on weaker flagship smartphone demand. GMs fell 7.2ppts QoQ to 42.2%, lowest in 13 years on renewable energy costs and low variable-aperture yields, dropping OpM to 17 year lows at 30.3% and EPS to NT$39.6, below UBS/street NT$51.50/NT$49.69. We cut Q4 to NT$16.7bn +7% QoQ, 11% below consensus as its customer trimmed orders after a pricier iPhone 18 launch and possible lag to Genius which is picking up periscope share and outgrew in Q3 (+1% YoY vs. -11% YoY). We cut 2027 from NT$77bn to NT $67bn, before a recovery to NT$79bn in 2028 with the next periscope upgrade. We see GM recovering to 47.5%/48.9% in 2027-28 as yields improve and energy costs pass through in 2028 pricing.

Maintain Sell and our NT$5,000 target

We cut 2026E/27E EPS by 14%/16% to NT$160/NT$180 and introduce 2028E EPS of NT$220 for the core smartphone business. We value the lens business at NT$3,300 (15x 2028E ex-CPO EPS of NT$220, the middle of Largan's 13–18x historical range) and CPO option at NT$1,700 or US$7bn (49x our base-case 2028E CPO EPS of NT$35, near the top of optical peers' 14–54x). Our base case gives Largan 25% of a 12.3mn-unit, US $1.85bn FAU market at US$150 per unit and a 50% gross margin. That credits it with yields and margins it still needs to prove in a quarter when yields and energy costs cut 7.2ppts from its lens margin. At ~NT$6,660, the shares imply ~NT$69 of 2028E CPO EPS, about twice our base case.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	48,842	59,458	61,148	61,550	67,438	79,464	78,546	81,569
EBIT (UBS)	17,807	24,033	23,558	21,139	24,150	30,110	29,487	30,648
Net earnings (UBS)	18,047	22,480	23,613	20,953	23,567	28,805	28,397	29,473
EPS (UBS, diluted) (NT$)	135.22	168.43	176.92	160.04	180.00	220.00	216.89	225.11
DPS (net) (NT$)	85.50	67.50	97.50	80.00	81.97	90.34	110.41	108.85
Net (debt) / cash	111,655	117,781	122,309	109,131	120,267	127,842	144,348	160,697

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	36.5	40.4	38.5	34.3	35.8	37.9	37.5	37.6
ROIC (EBIT) %	39.3	46.2	40.9	30.3	30.1	35.1	33.1	35.3
EV/EBITDA (UBS core) x	7.7	7.1	6.0	24.7	21.7	18.1	17.7	16.6
P/E (UBS, diluted) x	16.2	15.1	13.3	41.6	37.0	30.3	30.7	29.6
Equity FCF (UBS) yield %	2.0	4.3	3.0	2.1	2.5	2.2	3.6	3.5
Dividend yield (net) %	3.9	2.7	4.1	1.2	1.2	1.4	1.7	1.6

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 6,660.00 on 12-Oct-2026 06:29:19 CST

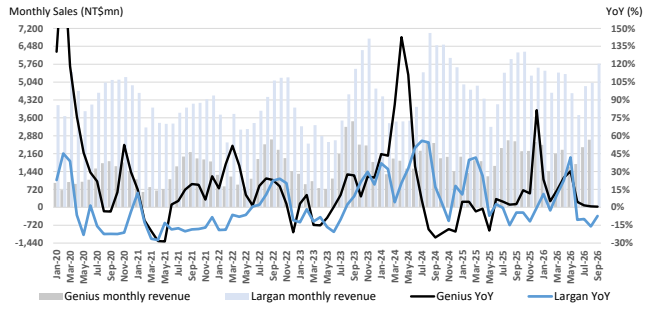
This report has been prepared by UBS Securities Pte. Ltd., Taipei Branch. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 13.**

Core smartphone lens seeing weakness with declining margins

Q326 sales was reported light at NT$15.7bn, +15% QoQ missing UBSe/Street +36%/ +33% amid weaker flagship smartphone demand. GMs fell 720bp to 42.2%, lowest in 13 years on renewable energy costs and low variable-aperture yields, dropping OpM to 17 year lows at 30.3% and EPS to NT$39.6, below UBS/street NT$51.50/NT$49.69. Renewable-energy costs are structural under Largan's long-term power commitments and rise with Apple's share of the mix; with 2027 pricing set, pass-through is more likely in 2028.

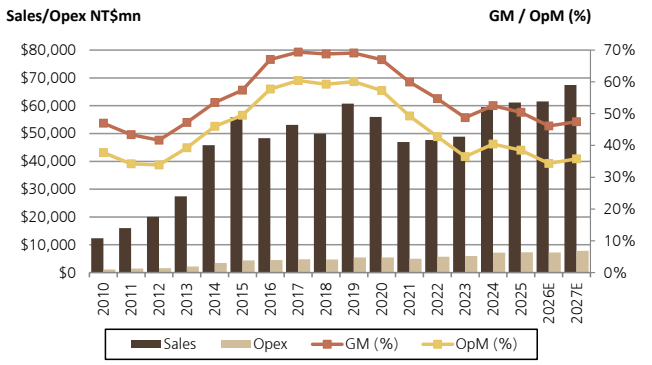
We cut Q4 to NT$16.7bn +7% QoQ, 11% below consensus as its customer trimmed orders after a pricier iPhone 18 launch and possible lag to Genius which is picking up periscope share and outgrew in Q3 (flat vs. -11% YoY). October revenue should be flat MoM and November lower as the key customer has shortened its forecast after cutting flagship orders in September. The spring-2027 model starts shipping in October but will not offset the flagship decline.

Figure 1: Genius outpacing Largan in recent months



Source: Company data

Figure 2: Largan margins dropping in recent years



Source: Company data, UBS estimates

We cut 2026E/27E revenue 9%/13% to NT$61.6bn/NT$67.4bn and EPS 14%/16% to NT$163/NT$180, and introduce 2028E revenue of NT$79.5bn, +18% YoY for the new smartphone lens upgrade, taking EPS to NT$220. Our estimates exclude CPO, which we value separately under base, bull and bear scenarios. Including our base case, 2008E EPS would be NT$255, 6% above the NT$240 consensus which likely includes some CPO. We see GM recovering to 47.5%/48.9% in 2027-28 as yields improve and energy costs pass-through in 2028 pricing. With a still a range of outcomes on 2028 CPO, we keep it in our valuation as a scenario for our upside/downside/base cases.

Figure 3: UBS vs. VA Consensus Q126A-Q426E and 2025A-28E

	Q126	Q226	Q326E			Q426E		
(NT$m)	Actual	Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
Revenue	15,544	13,665	15,651	18,566	18,147	16,690	20,094	16,173
- QoQ / YoY	-9.7%	-12.1%	14.5%	35.9%	32.8%	6.6%	28.4%	3.3%
Gross profit	7,680	6,753	6,607	9,242	8,968	7,346	10,044	6,980
- Gross margin	49.4%	49.4%	42.2%	49.8%	49.4%	44.0%	50.0%	43.2%
Operating profit	5,812	5,148	4,735	7,144	6,819	5,443	7,833	5,105
- OP margin	37.4%	37.7%	30.3%	38.5%	37.6%	32.6%	39.0%	31.6%
Non-op profit	1,476	951	1,357	1,027	1,071	1,064	1,064	1,477
Pre-tax profit	7,288	6,099	6,092	8,171	7,889	6,507	8,897	6,582
Tax	-1,112	-1,373	-853	-1,385	-1,250	-1,041	-1,499	-1,306
- Tax rate	15.3%	22.5%	14.0%	17.0%	15.8%	16.0%	16.9%	19.8%
Net profit	6,123	4,670	5,182	6,736	6,614	5,409	7,348	5,275
EPS (NT$)	46.63	35.70	39.62	51.50	49.69	41.36	56.18	40.04

2025	2026E			2027E			2028E		
Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
61,148	61,550	67,869	61,033	67,438	77,189	68,359	79,464	83,044	115,261
2.8%	0.7%	11.0%	-0.2%	9.6%	13.7%	12.0%	17.8%	7.6%	68.6%
30,837	28,386	33,718	28,019	32,008	38,405	30,319	38,823	42,004	53,520
50.4%	46.1%	49.7%	45.9%	47.5%	49.8%	44.4%	48.9%	50.6%	46.4%
23,558	21,139	25,937	20,800	24,150	29,796	21,482	30,110	34,945	39,917
38.5%	34.3%	38.2%	34.1%	35.8%	38.6%	31.4%	37.9%	42.1%	34.6%
2,342	4,847	4,518	5,261	4,467	4,467	4,734	4,595	4,595	4,937
25,900	25,986	30,455	26,061	28,618	34,263	26,543	34,705	39,540	44,854
-4,340	-4,379	-5,369	-4,763	-5,050	-6,244	-5,150	-5,900	-6,722	-8,572
16.8%	16.9%	17.6%	18.3%	17.6%	18.2%	19.4%	17%	17%	19%
21,275	21,385	24,877	21,298	23,567	28,019	21,414	28,805	32,818	36,282
159.41	163.33	190.00	161.25	180.00	214.00	161.64	220.00	250.66	275.28

Source: Company data, Visible Alpha, UBS estimates. Note: EPS based on reported and may differ with cover page diluted EPS.

CPO fiber array qualified, but rising pass-through as it upgrades to FAU production

Largan's fiber array (FA) has passed qualification with a volume customer, and management expects mass-production capacity by mid-2027 in a newly completed fab dedicated to FA/FAU, using in-house equipment. The company's next step is to produce the full detachable FAU mounted on a carrier, a board with three alignment beams that sits on the optical engine's receptor. Largan can build FAUs now and says the customer

would prefer it to supply the full assembly, but qualification is pending with the customer preferring FAU and carrier sampled separately.

Even as its potential to supply the full FAU improve, Largan will buy in most of the content. The customer has qualified another PMLA vendor and prefers semiconductor-made optics; V-grooves and carrier beams and boards are outsourced and the customer does not want Largan to make MT ferrules. Management described its role as closer to a contractor and said margins hinge on yields, as the FA carries a high ASP but also a large bill of materials. Supplying the complete FAU could raise billed content, but a larger purchased bill of materials also dilutes the relationship between revenue and value added. Our full-FAU ASP assumption requires Largan to capture that invoice scope.

Next year's product is grating-coupled and works for both CPO and NPO while edge-coupled designs are being explored with the customer. The current product does not go directly to end customers, but management expects to work directly with end customers on next-generation designs (likely 2028) as it progresses toward multi-row FAs.

To ramp production, Largan has bought several land parcels and will build new fabs from scratch, with construction finishing around 2030. It may outsource some capacity in the interim and said it cannot yet be sure capacity will meet demand.

Annual FAU TAM reaches US$1.85bn in 2028 and US$4.5bn in 2030 in our base case

We update our FAU (fiber array unit) TAM factoring CPO/NPO penetration into AI networking switches, NVIDIA multi-rack systems, scale-up on compute and switch boards, and non-NVIDIA accelerators. We assume one passive FAU assembly connecting a fiber array to a photonic engine with one unit per optical engine.

We assume one FAU per optical engine and 32 per switch ASIC in our base case, matching NVIDIA's 32x3.2T engines on its 102.4T Spectrum-X package. Broadcom's 102.4Tb/s Davisson uses 16 engines at 6.4Tb/s, so our bear case assumes and even mix of these two designs (24 per ASIC). We note that higher switch bandwidth does not automatically increase FAU count if engine bandwidth rises at the same rate. Our 2030 assumption maintains the 32 FAUs per switch based on bandwidth rising to 204.8Tb/s ASICs using 6.4Tb/s optical engines.

Figure 4: UBS scenario based on 32 FAUs per switch although switches to date carry a range of specifications

	TH5 Bailly	TH6 Davisson	Quantum-X Q3450	Spectrum-X SN6810	Spectrum-X SN6800
Year of Introduction	**2023**	**H225**	**H225**	**H226**	**H226**
Switch ASIC	Tomahawk 5	Tomahawk 6	Quantum-3	Spectrum 6	Spectrum 6
Bandwidth per Switch box	51.2T	102.4T	115.2T	102.4T	409.6T
Switch ASICs per box	1	1	4	1	4
OE bandwidth (Tb/s each way)	6.4T	6.4T	1.6T	3.2T	3.2T
Optical engines per ASIC	8	16	18	32	32
FAU per Engine	1	1	1	1	1
FAU per Switch	**8**	**16**	**72**	**32**	**128**

Source: Company Data, UBS

Our base case for the FAU market sums up 4 opportunities for CPO/NPO attach:

1. Scale-out and scale-across switches

We estimate annual switch ASIC shipments x CPO + NPO penetration x optical engines per ASIC x FAUs per engine. In 2028, 25% CPO/NPO penetration or 1.0m 102.4T switch ASICs at 32 FAUs each produces 8.0m FAUs. In 2030, 55% of 1.1mn 204.8T switch ASICs at 32 FAUs drives a market size of 19.4mn FAUs.

Figure 5: Scale-out/scale-across could drive 8.0/19.4mn FAUs in 2028/2030

	2028			2030			Assumption
Scale out/Scale across	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
Switch ASIC shipments (k units)	800	1,000	1,050	880	1,100	1,155	
NPO penetration	3%	5%	7%	8%	10%	12%	Optics on the board beside the ASIC
CPO penetration	10%	20%	25%	35%	45%	55%	Optics inside the switch package.
NPO/CPO switch ASICs (k units)	**104**	**250**	**336**	**378**	**605**	**774**	
Bandwidth per Switch (Tbps)	102.4	102.4	102.4	204.8	204.8	204.8	
Optical engine (Tb)	3.2	3.2	3.2	6.4	6.4	6.4	
FAUs per switch ASIC	24	32	32	24	32	32	NVIDIA: 32 OE per ASIC, Broadcom 16
Scale out/Scale across # of FAUs (mn)	**2.5**	**8.0**	**10.8**	**9.1**	**19.4**	**24.8**	

Source: UBS

2. NVIDIA's multi-rack connections for Rubin Ultra and Feynman

NVIDIA at its 2026 GTC San Jose proposed a multi-rack option to network together 8 Oberon NVL72 racks for the Rubin Ultra generation and 8 Kyber NVL144 racks. Feedback at the time showed possible transceiver or NPO connections for Rubin Ultra and CPO connections for Feynman. Our 2028 base case uses 110,000 racks, 15% multi-rack adoption and 75% CPO/NPO penetration, giving approximately 12,400 connected racks.

For 2030, our rack count falls to 35,000 racks as we assume Kyber would have 4x the number of GPUs, equivalent to 140k Oberon equivalents. We assume the 35,000 racks at 55% multi-rack adoption x 80% CPO/NPO attach gives 15,400 connected racks. We assume about 216 and 576 inter-rack FAUs per rack, respectively, driving a market opportunity of 2.7mn FAUs in 2028 and 8.9mn in 2030.

Figure 6: NVIDIA rack connected pods could drive 2.7mn/8.9mn FAUs in 2028/2030

	2028			2030			Assumption
NVIDIA Pod Connected GPUs	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
NV platform	Oberon / Rubin Ultra			Kyber / Feynman			
NV racks shipments (k)	95	110	125	30	35.0	40	UBS rack assumptions
8-rack pods penetration (%)	10%	15%	20%	40%	55%	70%	
NPO/CPO penetration within pods (%)	50%	75%	80%	65%	80%	95%	Pluggable FAUs excluded from this model
NPO/CPO connected racks (k)	**4.8**	**12.4**	**20.0**	**7.8**	**15.4**	**26.6**	
GPUs per rack	72	72	72	144	144	144	
Switches per rack	72	72	72	144	144	144	72 ASICs in Oberon, 144 per Kyber
Optical engine (Tb) bandwidth	3.2	3.2	3.2	6.4	6.4	6.4	
FAUs attached per switch	2.5	3.0	4.0	2.5	4.0	4.5	3.2T OE in 2028; 6.4T in 2030 (each way)
NVLink bandwidth per NVIDIA GPU	14.4	14.4	14.4	28.8	28.8	28.8	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
FAUs per connected racks	**180**	**216**	**288**	**360**	**576**	**648**	
NV scale up # of FAUs (mn)	**0.9**	**2.7**	**5.8**	**2.8**	**8.9**	**17.2**	

Source: UBS. Switch count increases to connect to other racks

3. Initial CPO/NPO optical connections on compute and switch boards by 2030

We include by 2030 CPO native optical connections on compute and switch boards in 5% of racks each adding 1,152 FAUs across the GPUs and switches or 2.0mn FAUs by 2030.

Figure 7: NVIDIA compute board optics could drive 2.0mn FAUs in 2030

	2028			2030			Assumption
NVIDIA Compute Board Optics	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
NV racks shipments (k)	95	110	125	30	35.0	40	UBS rack assumptions
Optical GPU penetration	0%	0%	0%	3%	5%	15%	CPU-native GPUs
Compute tray FAUs #	0	0	0	144	144	144	36 trays x 16
GPUs per rack	72	72	72	144	144	144	
Optical engine (Tb)	3.2	3.2	3.2	6.4	6.4	6.4	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
NVLink bandwidth per NVIDIA GPU	14.4	14.4	14.4	28.8	28.8	28.8	
FAUs per connected racks	0	0	0	720	1,152	1,296	
NV optical GPU # of FAUs (mn)	**0.0**	**0.0**	**0.0**	**0.6**	**2.0**	**7.8**	

Source: UBS.

4. Non NVIDIA scale-up opportunity

Non-NVIDIA scale-up uses accelerator rack shipments x optical attach rate x FAUs per rack, producing about 0.5m units in 2028 and 3.7m in 2030.

Figure 8: ASIC market could drive additional compute board optics could drive 3.7mn FAUs in 2030

	2028			2030			Assumption
Non-NV scale up	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
ASIC rack shipments (k)	43.6	48.5	50.9	76.6	85.1	89.3	*Trainium 4/5/6, MI500, MI600, Jalapeno
Addressable NPO/CPO attach rate (%)	0%	5%	10%	5%	15%	25%	
NPO/CPO connected racks (k)	**0.0**	**2.4**	**5.1**	**3.8**	**12.8**	**22.3**	
Accelerators per rack	72	72	72	72	72	72	Average accelerators per rack
FAUs per accelerator	2.5	3.0	4.0	2.5	4.0	4.5	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
Scale-up per non-NVIDIA accelerator (Tb)	14.4	14.4	14.4	28.8	28.8	28.8	
FAUs per connected racks	180	216	288	180	288	324	
Non-NV # of FAUs (mn)	**0.0**	**0.5**	**1.5**	**0.7**	**3.7**	**7.2**	

Source: UBS

Overall market opportunity: 12.3mn/35.6mn generates a US$1.85bn/US $4.5bn TAM in 2028/2030

We sum four pools: scale-out/scale-across switches, NVIDIA multi-rack pods, CPO native NVIDIA GPUs and non-NVIDIA scale-up. We add 10%/5% for FAUs lost at downstream attach and test and for field spares, driving a market size of in our base case of 12.3mn FAUs in 2028 and 35.6mn in 2030. At US$150/US$125 per FAU, that is a US$1.85bn market in 2028 and US$4.5bn in 2030 (bear/bull US$0.5bn/US$3.5bn in 2028; US $1.4bn/US$9.0bn in 2030). The expansion to 2030 comes from wider optical adoption and greater content in scale-up systems, despite an assumed FAU ASP decline from US $150 to US$125.

Figure 9: Summary of FAU drivers: 12.3mn/35.6mn base case in 2028-2030

	2028			2030		
Summary of FAU drivers	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**
Scale out/Scale across # of FAUs (mn)	2.5	8.0	10.8	9.1	19.4	24.8
NV scale up # of FAUs (mn)	0.9	2.7	5.8	2.8	8.9	17.2
NV optical GPU # of FAUs (mn)	0.0	0.0	0.0	0.6	2.0	7.8
Non-NV # of FAUs (mn)	0.0	0.5	1.5	0.7	3.7	7.2
Downstream yield loss and spares	10%	10%	10%	5%	5%	5%
FAUs (mn units)	**3.7**	**12.3**	**19.8**	**13.9**	**35.6**	**59.9**
FAU ASP	$125	$150	$175	$100	$125	$150
Total FAU TAM (US$bn)	**$0.5**	**$1.8**	**$3.5**	**$1.4**	**$4.5**	**$9.0**

Source: UBS

Scenario analysis on Largan's CPO opportunity

Our base case gives Largan the benefit of the doubt for successfully ramping up a full FAU production and capturing 25% of the overall FAU TAM, yielding NT$35 of 2028E EPS, about 16% of our 2028E lens EPS. A 25% share means 3.1mn FAUs in its first full year of production: about 29% of NVIDIA-linked units and roughly three-quarters of the allocation our checks suggest its module partner holds. We book these at the full US $150 FAU price and 50% gross margin, allowing for an early-supply premium even though the optics, V-grooves and carrier parts are bought in. That gives 2028E CPO sales of US$462mn, rising to US$1.1bn and NT$84 of EPS in 2030 on a larger market.

Our bear case (15% share, 45% GM) gives NT$5 of CPO EPS in 2028E and NT$14 in 2030E; our bull case (35% share, 55% GM) gives NT$103 and NT$267. Each 5ppt of share moves 2028E CPO EPS by ~NT$6.9 (~NT$340/share at 49x), and each 5ppt of gross margin by ~NT$4.6 (~NT$225/share). If gross margin were 35% rather than 50%, holding operating expenses at 12% of sales, EPS would fall to approximately NT$21. A next-generation shift in lens or coupling design could also change content and alignment requirements including a potential metalens design which could invite in different suppliers.

Our 2030 base case implies ~8.9mn Largan FAUs a year (21mn in the upside case), though with risks around competition in a crowded field, yields and technology. A shift to semiconductor-made optics or metalens would loosen alignment tolerances and erode the precision premium behind Largan's pitch. The upside lies in direct work with cloud providers on multi-row FAs from 2028, where Largan's multi-layer alignment is most differentiated.

Figure 10: Largan downside/base/upside cases for 2028 and 2030

Largan CPO	2028			2030		
Scenario analysis	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**
FAUs (mn units)	3.7	12.3	19.8	13.9	35.6	59.9
FAU ASP	125	150	175	100	125	150
Total FAU TAM (US$mn)	**$461**	**$1,847**	**$3,461**	**$1,389**	**$4,452**	**$8,980**
Largan Sales (US$mn)	**$69.1**	**$461.9**	**$1,211.3**	**$208.3**	**$1,113.1**	**$3,142.8**
Largan share of the TAM (%)	15%	25%	35%	15%	25%	35%
GM %	45%	50%	55%	45%	50%	55%
Pretax %	33%	38%	43%	33%	38%	43%
Pretax income (US$mn)	**$22.8**	**$175.5**	**$520.8**	**$68.7**	**$423.0**	**$1,351.4**
Tax	18%	18%	18%	18%	18%	18%
Net income (US$mn)	**$18.7**	**$143.9**	**$427.1**	**$56.4**	**$346.8**	**$1,108.2**
Net income (NT$mn)	**$589**	**$4,533**	**$13,453**	**$1,776**	**$10,925**	**$34,907**
EPS (NT$)	**$5**	**$35**	**$103**	**$14**	**$84**	**$267**
Shares	130.8	130.8	130.8	130.8	130.8	130.8

Source: UBS

Valuation and investment implications

We roll our valuation forward to 2028E and value Largan on a sum of the parts. We value the lens business at NT$3,300 (15x 2028E EPS, the middle of Largan's 13–18x historical range) and CPO at NT$1,700 (49x our base-case 2028E CPO EPS of NT$35, near the top of optical peers' 14–54x). Our base case gives Largan 25% of a 12.3mn-unit, US$1.85bn FAU market at US$150 per unit and a 50% gross margin. The 49x multiple also assigns a substantial value to a business whose complete assembly still requires qualification and whose margins still need to demonstrate can reach similar levels to its mature smartphone business. At ~NT$6,660 recent share price level, the shares imply ~NT$69 of 2028E CPO EPS, about twice our base case.

Upside risks include faster full-FAU qualification, firm volume commitments from additional customers, stronger lens demand and better yields. Near-term catalysts are the customer's capacity forecast and its visit to the new fab in the coming month. A large forecast or faster FAU plus carrier qualification would be upside risks to our sell.

Figure 11: UBS SOTP valuation for Largan

(NT$)		UBSe			Prior UBS		Upside Case			Downside Case		
	2025	2026	2027	2028	2026	2027	2026	2027	2028	2026	2027	2028
Lens Business ex-CPO												
Sales	$61,148	$61,550	$67,438	$79,464	$67,869	$77,189	$62,166	$70,135	$82,642	$59,704	$64,066	$75,491
YoY Growth	2.8%	0.7%	9.6%	17.8%	11.0%	13.7%	1.7%	12.8%	17.8%	-2.4%	7.3%	17.8%
Gross Profit	**$30,837**	**$28,386**	**$32,008**	**$38,823**	**$33,718**	**$38,405**	**$28,981**	**$34,410**	**$41,699**	**$26,997**	**$29,446**	**$35,750**
GM%	**50.4%**	**46.1%**	**47.5%**	**48.9%**	**49.7%**	**49.8%**	**46.6%**	**49.1%**	**50.5%**	**45.2%**	**46.0%**	**47.4%**
Opex	$7,279	$7,247	$7,857	$8,714	$7,781	$8,609	$7,283	$8,015	$8,888	$7,138	$7,661	$8,496
Op Profit	**$23,558**	**$21,139**	**$24,150**	**$30,110**	**25,937**	**29,796**	**21,697**	**$26,396**	**$32,811**	**19,858**	**$21,785**	**$27,254**
OpM%	**38.5%**	**34.3%**	**35.8%**	**37.9%**	**38.2%**	**38.6%**	**34.9%**	**37.6%**	**39.7%**	**33.3%**	**34.0%**	**36.1%**
Non-Op	$2,342	$4,847	$4,467	$4,595	$4,518	$4,467	$4,847	$4,467	$4,595	$4,847	$4,467	$4,595
Pretax	$25,900	$25,986	$28,618	$34,705	$30,455	$34,263	$26,545	$30,863	$37,405	$24,706	$26,253	$31,849
Tax	($4,340)	($4,379)	($5,050)	($5,900)	($5,369)	($6,244)	($4,473)	($5,447)	($6,601)	($4,163)	($4,633)	($5,621)
Net income	**$21,275**	**$21,385**	**$23,567**	**$28,805**	**$24,877**	**$28,019**	**$21,849**	**$25,416**	**$30,804**	**$20,321**	**$21,620**	**$26,228**
EPS	**$159.41**	**$163.33**	**$180.00**	**$220.00**	**$190.00**	**$214.00**	**$166.88**	**$194.12**	**$235.28**	**$155.20**	**$165.13**	**$200.32**
Shares	133	131	131	131	131	131	131	131	131	131	131	131
EPS vs. base case							**-94.1%**	**7.8%**	**6.9%**	**-5.0%**	**-8.3%**	**-8.9%**
Current Price		**$6,660**										
P/E				15		15			16			14
Implied Valuation				**$3,300**		**$3,270**			**$3,670**			**$2,810**
CPO Scenario												
EPS				**$35**		**$35**			**$103**			**$5**
P/E				49		50			52			47
Implied Valuation				**$1,700**		**$1,730**			**$5,300**			**$210**
Total Largan												
Implied Share Price				**$5,000**		**$5,000**			**$8,970**			**$3,020**
Upside/Downside				**-25%**					**35%**			**-55%**

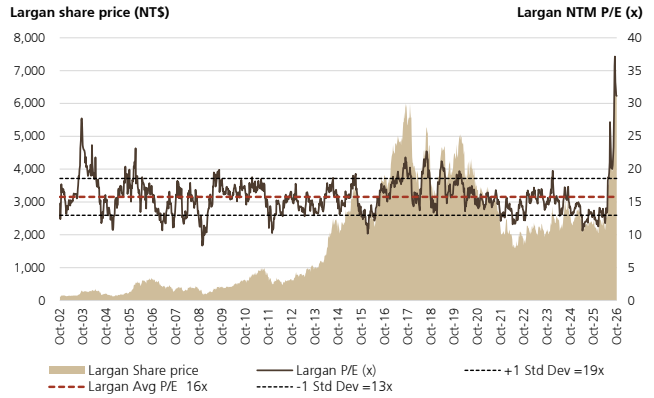
Source: Company data, UBS estimates

Figure 12: Optical component peers average 27x 2028 with a broad range of 12-75x 2028 P/E

Optical Company	Ticker	Market cap (US$m)	Price 11-Oct (LC$)	Price target (LC$)	P/E target (x)	Rating	EPS (LC$) 2025	EPS (LC$) 2026E	EPS (LC$) 2027E	EPS (LC$) 2028E	Earnings growth (%) 2026E	Earnings growth (%) 2027E	Earnings growth (%) 2028E	PE (x) 2026E	PE (x) 2027E	PE (x) 2028E	ROE (%) 2026E	ROE (%) 2027E	ROE (%) 2028E	Historical P/E (x) -1 Std Dev	Historical P/E (x) Avg.	Historical P/E (x) +1 Std Dev
Lens																						
Largan	3008.TW	27,378	6,660.0	5,000	23.4	Sell	176.92	188.21	214.00	250.66	4.4	13.7	17.1	35.4	31.1	26.6	12.7	13.7	14.8	13.1	15.9	18.8
Genius	3406.TW	3,741	1,060.0	1,250	16.9	Buy	36.28	38.72	41.47	47.75	6.7	7.1	15.1	27.4	25.6	22.2	15.8	15.6	16.4	1.1	2.3	3.5
Average											**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**
CPO Supply Chain																						
Lumentum	LITE.O	93,344	1,103.4	960	40.4	Neutral	2.12	10.52	23.78	35.81	434.4	160.4	51.7	52.0	56.0	37.9	27.1	36.1	37.9	8.5	19.4	30.3
Corning	GLW.N	137,095	156.7	201	42.1	Buy	2.57	3.34	4.78	7.12	30.6	43.5	47.3	47.7	33.4	22.4	22.9	31.8	41.1	-168.2	32.9	234.0
Coherent	COHR.N	123,129	312.6	-	-	-	4.49	7.42	11.74	16.82	86.0	64.0	42.0	42.1	26.6	18.6	13.5	19.7	23.8	14.1	19.6	25.1
Senko	9069.T	416,040	2,368.0	-	-	-	119.98	140.89	159.70	171.34	19.5	12.8	7.4	16.8	14.8	13.8	10.4	11.3	11.6	9.2	11.6	14.0
TFC	300394.SZ	256,388	235.0	-	-	-	2.02	3.32	5.36	6.88	65.5	60.7	28.5	70.8	43.9	34.2	47.0	47.4	42.1	21.2	33.9	46.5
FOCI	3363.TWO	75,798	667.0	-	-	-	0.85	0.22	13.89	43.01	(66.3)	6684.0	210.2	3,102.3	48.0	15.5	-1.6	39.2	74.6	51.6	115.2	178.8
EZconn	6442.TW	146,044	1,785.0	-	-	-	20.95	62.01	130.00	NULL	206.9	109.6	n.a.	28.8	13.7	n.a.	56.1	63.9	NULL	12.9	23.7	34.5
Himax	HIMX.N	2,320	13.3	-	-	-	0.32	0.52	1.01	1.96	62.3	88.2	93.5	25.5	13.2	6.8	10.5	14.5	26.1	0.6	21.5	42.3
Browave	3163.TWO	65,204	689.0	-	-	-	4.36	9.33	21.17	NULL	n.a.	n.a.	n.a.	73.8	32.5	n.a.	22.2	38.6	NULL	10.1	32.2	54.2
VisEra	6789.TW	153,102	481.0	-	-	-	3.60	6.13	7.45	8.95	70.9	21.5	20.2	78.4	64.6	53.7	10.7	13.3	12.2	31.3	50.4	69.6
Average											**101.1**	**805.0**	**62.6**	**353.8**	**34.7**	**25.4**	**21.9**	**31.6**	**33.7**	**-0.9**	**36.0**	**72.9**
Optical Average											**76.4**	**606.4**	**50.7**	**325.1**	**35.5**	**27.2**	**19.9**	**27.5**	**28.6**	**1.2**	**30.5**	**59.8**

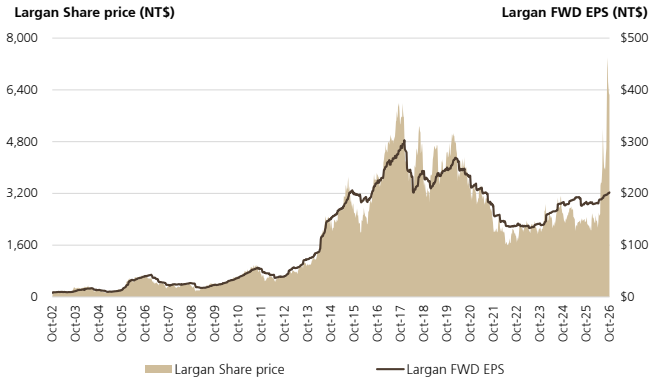
Source: UBSe, Eikon

Figure 13: Share price rally has re-rated Largan well above its historical range



Source: LSEG Workspace

Figure 14: Largan's share price has run well ahead of forward EPS as investors price in CPO



Source: LSEG Workspace

Figure 15: UBS P&L for Largan - mild growth at lower margins in recent years

Ticker		3008.TW	Current Price (NT$)			$6,660
Shares outstanding (mn)		130.8	Mkt cap (NT$ mn)			$871,115
Year	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**
Revenues (NT$ mn)	**$47,675**	**$48,842**	**$59,458**	**$61,148**	**$61,550**	**$67,438**
YoY Growth (%)		**2.4%**	**21.7%**	**2.8%**	**0.7%**	**9.6%**
Gross profit (NT$mn)	$26,083	$23,794	$31,209	$30,837	$28,386	$32,008
GM (%)	**54.7%**	**48.7%**	**52.5%**	**50.4%**	**46.1%**	**47.5%**
Operating profit (NT$mn)	$20,384	$17,807	$24,033	$23,558	$21,139	$24,150
OPM (%)	**42.8%**	**36.5%**	**40.4%**	**38.5%**	**34.3%**	**35.8%**
Net profit (NT$ mn)	$22,625	$17,902	$25,915	$21,275	$21,385	$23,567
EPS (NT$)	**$169.52**	**$134.13**	**$194.17**	**$159.41**	**$163.33**	**$180.00**
EPS growth (%)		-21%	45%	-18%	2%	10%
P/E (x)	**39.3**	**49.7**	**34.3**	**41.8**	**40.8**	**37.0**
Dividend yield (%)	2%	1.1%	1.2%	1.3%	2.0%	1.2%
P/B (x)	**5.7**	**5.4**	**4.8**	**4.7**	**4.4**	**4.1**
ROE (%)	15%	11%	14%	11%	11%	12%

Quarters	**Q325**	**Q425**	**Q126**	**Q226**	**Q326E**	**Q426E**
Revenues (NT$ mn)	**$17,677**	**$17,219**	**$15,544**	**$13,665**	**$15,651**	**$16,690**
QoQ Growth (%)		**-2.6%**	**-9.7%**	**-12.1%**	**14.5%**	**6.6%**
Gross profit (NT$mn)	$8,352	$8,260	$7,680	$6,753	$6,607	$7,346
GM (%)	**47.2%**	**48.0%**	**49.4%**	**49.4%**	**42.2%**	**44.0%**
Operating profit (NT$mn)	$6,265	$6,329	$5,812	$5,148	$4,735	$5,443
OPM (%)	**35.4%**	**36.8%**	**37.4%**	**37.7%**	**30.3%**	**32.6%**
Net profit (NT$ mn)	$7,080	$6,720	$6,123	$4,670	$5,182	$5,409
EPS (NT$)	**$53.05**	**$50.35**	**$45.88**	**$34.99**	**$39.58**	**$41.32**

Source: Company data, UBS estimates. Note: 2026E EPS based on reported.

Figure 16: UBS Cash Flow Summary - staying positive to invest in CPO

Annual (NT$mn)	2021	2022	2023	2024	2025	2026E	2027E	21-25 Avg
Revenue	$46,962	$47,675	$48,842	$59,458	$61,148	$61,550	$67,438	$52,817
Capital spending	$5,850	$8,256	$8,080	$11,126	$12,338	$11,721	$11,135	$9,130
Capex/revenue (%)	**12%**	**17%**	**17%**	**19%**	**20%**	**19%**	**17%**	**17%**
Dep and amort	$4,650	$5,031	$5,299	$6,038	$7,511	$9,221	$10,460	$5,706
Depr/revenue (%)	**10%**	**11%**	**11%**	**10%**	**12%**	**15%**	**16%**	**11%**
Operating cash flow	$20,878	$44,207	$18,199	$31,579	$26,080	$20,614	$33,003	$28,188
Free cash flow	**$15,028**	**$35,951**	**$10,118**	**$20,453**	**$13,743**	**$8,893**	**$21,868**	**$19,058**

FCF and Dividends	2021	2022	2023	2024	2025	2026E	2027E	21-25 Avg
FCF / share (NT$)	$112	$269	$76	$153	$103	$68	$167	$143
FCF / EV Yield (%)	**2%**	**5%**	**1%**	**3%**	**2%**	**1%**	**3%**	**3%**
FCF Yield (%)	**2%**	**4%**	**1%**	**2%**	**2%**	**1%**	**3%**	**2%**
Dividend/share (NT$)	$91.51	$109.66	$72.50	$81.00	$85.50	$131.95	$81.89	$88.03
Payout rate (%)	**50%**	**79%**	**43%**	**60%**	**44%**	**83%**	**50%**	**55%**
Dividend amount (NT$)	$12,274	$14,636	$9,676	$10,811	$11,412	$17,276	$10,722	$11,762
Pre-Dividend close (NT$)	$3,040.00	$1,990.00	$2,310.00	$3,120.00	$2,260.00	$6,660.00	$6,660.00	
Dividend Yield (%)	**3.0%**	**5.5%**	**3.1%**	**2.6%**	**3.8%**	**2.0%**	**1.2%**	**3.6%**

Source: Company data, UBS estimates

Largan Precision (3008.TW)

Income Statement (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**48,842**	**59,458**	**61,148**	**61,550**	*0.7*	**67,438**	*9.6*	**79,464**	**78,546**	**81,569**
Gross profit	23,794	31,209	30,837	28,386	*-7.9*	32,008	*12.8*	38,823	38,398	39,903
EBITDA (UBS)	**23,106**	**30,070**	**31,069**	**30,360**	*-2.3*	**34,610**	*14.0*	**41,028**	**41,108**	**42,938**
Depreciation & amortisation	(5,299)	(6,038)	(7,511)	(9,221)	*-22.8*	(10,460)	*-13.4*	(10,918)	(11,621)	(12,290)
EBIT (UBS)	**17,807**	**24,033**	**23,558**	**21,139**	*-10.3*	**24,150**	*14.2*	**30,110**	**29,487**	**30,648**
Associates & investment income	212	0	3	12	*352.1*	11	*-7.1*	11	11	11
Other non-operating income	294	303	419	458	*9.5*	200	*-56.4*	200	200	200
Net interest	3,934	4,404	4,259	3,946	*-7.3*	4,256	*7.9*	4,384	4,516	4,651
Exceptionals (incl goodwill)	(145)	3,435	(2,338)	432	*-*	0	*-*	0	0	0
Pre-tax profit	**22,102**	**32,174**	**25,900**	**25,986**	*0.3*	**28,618**	*10.1*	**34,705**	**34,213**	**35,510**
Tax	(4,200)	(5,963)	(4,340)	(4,379)	*-0.9*	(5,050)	*-15.3*	(5,900)	(5,816)	(6,037)
Profit after tax	**17,902**	**26,211**	**21,560**	**21,607**	*0.2*	**23,567**	*9.1*	**28,805**	**28,397**	**29,473**
Preference dividends	0	0	0	0	*-*	0	*-*	0	0	0
Minorities	0	(296)	(285)	(222)	*22.1*	0	*-*	0	0	0
Extraordinary items	0	0	0	0	*-*	0	*-*	0	0	0
Net earnings (local GAAP)	**17,902**	**25,915**	**21,275**	**21,385**	*0.5*	**23,567**	*10.2*	**28,805**	**28,397**	**29,473**
Net earnings (UBS)	**18,047**	**22,480**	**23,613**	**20,953**	*-11.3*	**23,567**	*12.5*	**28,805**	**28,397**	**29,473**
Tax rate (%)	19.0	18.5	16.8	16.9	*0.6*	17.6	*4.7*	17.0	17.0	17.0

Per Share (NT$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	135.22	168.43	176.92	160.04	*-9.5*	180.00	*12.5*	220.00	216.89	225.11
EPS (local GAAP, diluted)	134.13	194.17	159.41	163.33	*2.5*	180.00	*10.2*	220.00	216.89	225.11
EPS (UBS, basic)	135.22	168.43	176.92	160.04	*-9.5*	180.00	*12.5*	220.00	216.89	225.11
DPS (net) (NT$)	85.50	67.50	97.50	80.00	*-17.9*	81.97	*2.5*	90.34	110.41	108.85
Cash EPS (UBS, diluted) [1]	174.92	213.67	233.20	230.47	*-1.2*	259.89	*12.8*	303.39	305.65	318.97
Book value per share	1,234.64	1,382.91	1,430.07	1,518.08	*6.2*	1,616.11	*6.5*	1,745.87	1,849.64	1,963.23
Average shares (diluted)	133	133	133	131	*-1.9*	131	*0.0*	131	131	131

Balance Sheet (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	111,655	117,985	122,309	109,131	*-10.8*	120,267	*10.2*	127,842	144,348	160,697
Other current assets	22,666	27,779	31,977	42,218	*32.0*	45,034	*6.7*	56,368	55,712	57,851
Total current assets	**134,321**	**145,764**	**154,285**	**151,350**	*-1.9*	**165,301**	*9.2*	**184,210**	**200,060**	**218,547**
Net tangible fixed assets	41,135	46,936	51,472	54,428	*5.7*	55,103	*1.2*	54,763	53,191	50,448
Net intangible fixed assets	0	0	0	0	*-*	0	*-*	0	0	0
Investments / other assets	19,682	23,827	15,029	23,254	*54.7*	24,367	*4.8*	24,215	24,225	24,236
Total assets	**195,138**	**216,527**	**220,787**	**229,032**	*3.7*	**244,770**	*6.9*	**263,188**	**277,476**	**293,232**
Trade payables & other ST liabilities	29,517	30,375	29,749	30,078	*1.1*	32,982	*9.7*	34,573	35,276	36,158
Short term debt	0	203	0	0	*-*	0	*-*	0	0	0
Total current liabilities	**29,517**	**30,578**	**29,749**	**30,078**	*1.1*	**32,982**	*9.7*	**34,573**	**35,276**	**36,158**
Long term debt	0	0	0	0	*-*	0	*-*	0	0	0
Other long term liabilities	110	561	171	194	*13.7*	194	*0.0*	31	31	31
Preferred shares	0	0	0	0	*-*	0	*-*	0	0	0
Total liabilities (incl pref shares)	**29,627**	**31,139**	**29,919**	**30,272**	*1.2*	**33,176**	*9.6*	**34,604**	**35,307**	**36,189**
Common s/h equity	**165,510**	**185,388**	**190,868**	**198,760**	*4.1*	**211,594**	*6.5*	**228,584**	**242,170**	**257,042**
Minority interests	0	0	0	0	*-*	0	*-*	0	0	0
Total liabilities & equity	**195,138**	**216,527**	**220,787**	**229,032**	*3.7*	**244,770**	*6.9*	**263,188**	**277,476**	**293,232**

Cash Flow (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	17,902	25,915	21,275	21,385	*0.5*	23,567	*10.2*	28,805	28,397	29,473
Depreciation & amortisation	5,299	6,038	7,511	9,221	*22.8*	10,460	*13.4*	10,918	11,621	12,290
Net change in working capital	(8,990)	(6,633)	(7,328)	(1,082)	*85.2*	(6,064)	*NM*	(9,743)	1,359	(1,256)
Other operating	(212)	295	282	210	*-25.5*	5,040	*NM*	(11)	(11)	(11)
Operating cash flow	**13,999**	**25,615**	**21,740**	**29,735**	*36.8*	**33,003**	*11.0*	**29,968**	**41,366**	**40,496**
Tangible capital expenditure	(8,080)	(11,126)	(12,338)	(11,721)	*5.0*	(11,135)	*5.0*	(10,578)	(10,049)	(9,547)
Intangible capital expenditure	0	0	0	0	*-*	0	*-*	0	0	0
Net (acquisitions) & disposals	(2,111)	(13)	(1,200)	962	*-*	0	*-*	0	0	0
Other investing	(959)	(4,927)	4,302	(965)	*-*	0	*-*	0	0	0
Investing cash flow	**(11,151)**	**(16,066)**	**(9,236)**	**(11,724)**	*-26.9*	**(11,135)**	*5.0*	**(10,578)**	**(10,049)**	**(9,547)**
Equity dividends paid	(9,676)	(10,811)	(11,412)	(17,276)	*-51.4*	(10,732)	*37.9*	(11,816)	(14,811)	(14,601)
Share issues / (buybacks)	0	0	0	0	*-*	0	*-*	0	0	0
Other financing	(34)	1,255	(2,937)	(4,133)	*-40.7*	0	*-*	0	0	0
Change in debt & pref shares	(19)	212	(212)	0	*-*	0	*-*	0	0	0
Financing cash flow	**(9,729)**	**(9,344)**	**(14,561)**	**(21,408)**	*-47.0*	**(10,732)**	*49.9*	**(11,816)**	**(14,811)**	**(14,601)**
Cash flow inc/(dec) in cash	**(6,881)**	**205**	**(2,057)**	**(3,398)**	*-65.2*	**11,136**	*-*	**7,575**	**16,506**	**16,349**
FX / non cash items	6,823	6,125	6,380	(9,780)	*-*	0	*-*	0	0	0
Balance sheet inc/(dec) in cash	**(59)**	**6,330**	**4,324**	**(13,177)**	*-*	**11,136**	*-*	**7,575**	**16,506**	**16,349**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Largan Precision (3008.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	16.4	13.1	14.8	40.8	37.0	30.3	30.7	29.6
P/E (UBS, diluted)	16.2	15.1	13.3	41.6	37.0	30.3	30.7	29.6
P/CEPS	12.6	11.9	10.1	28.9	25.6	22.0	21.8	20.9
Equity FCF (UBS) yield %	2.0	4.3	3.0	2.1	2.5	2.2	3.6	3.5
Dividend yield (net) %	3.9	2.7	4.1	1.2	1.2	1.4	1.7	1.6
P/BV	1.8	1.8	1.6	4.4	4.1	3.8	3.6	3.4
EV/revenues (core)	3.6	3.6	3.1	NM	NM	9.3	9.3	8.7
EV/EBITDA (UBS core)	7.7	7.1	6.0	24.7	21.7	18.1	17.7	16.6
EV/EBIT (core)	10.0	8.9	8.0	35.4	31.1	24.6	24.7	23.2
EV/OpFCF (core)	8.1	7.4	6.3	25.1	22.0	18.0	17.7	16.5
EV/op. invested capital	3.9	4.1	3.3	10.7	9.3	8.6	8.2	8.2

Enterprise value (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	294,465	340,820	315,906	874,578	874,578	874,578	874,578	874,578
Net debt (cash)	(111,675)	(114,718)	(120,045)	(115,720)	(114,699)	(124,054)	(136,095)	(152,522)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**182,790**	**226,102**	**195,861**	**758,858**	**759,879**	**750,524**	**738,483**	**722,055**
Non core assets	(4,916)	(12,460)	(8,517)	(9,934)	(9,945)	(9,955)	(9,966)	(9,976)
Core enterprise value	**177,874**	**213,642**	**187,344**	**748,924**	**749,934**	**740,568**	**728,517**	**712,079**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	2.4	21.7	2.8	0.7	9.6	17.8	(1.2)	3.8
EBITDA (UBS)	(9.1)	30.1	3.3	(2.3)	14.0	18.5	0.2	4.5
EBIT (UBS)	(12.6)	35.0	(2.0)	(10.3)	14.2	24.7	(2.1)	3.9
EPS (UBS, diluted)	3.8	24.6	5.0	(9.5)	12.5	22.2	(1.4)	3.8
Net DPS	21.9	(21.1)	44.4	(17.9)	2.5	10.2	22.2	(1.4)

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	48.7	52.5	50.4	46.1	47.5	48.9	48.9	48.9
EBITDA margin	47.3	50.6	50.8	49.3	51.3	51.6	52.3	52.6
EBIT (UBS) margin	36.5	40.4	38.5	34.3	35.8	37.9	37.5	37.6
Net earnings (UBS) margin	37.0	37.8	38.6	34.0	34.9	36.2	36.2	36.1
ROIC (EBIT)	39.3	46.2	40.9	30.3	30.1	35.1	33.1	35.3
ROIC post tax	31.8	36.6	34.6	25.1	24.8	29.1	27.5	29.3
ROE (UBS)	11.3	12.8	12.6	10.8	11.5	13.1	12.1	11.8

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(4.8)	(3.9)	(3.9)	(3.6)	(3.5)	(3.1)	(3.5)	(3.7)
Net debt / total equity %	(67.5)	(63.5)	(64.1)	(54.9)	(56.8)	(55.9)	(59.6)	(62.5)
Net debt / (net debt + total equity) %	NM	NM	NM	NM	NM	NM	NM	NM
Net debt/EV %	(61.1)	(50.7)	(61.3)	(15.2)	(15.1)	(16.5)	(18.4)	(21.1)
Capex / depreciation %	152.5	184.3	164.3	127.1	106.5	96.9	86.5	77.7
Capex / revenue %	16.5	18.7	20.2	19.0	16.5	13.3	12.8	11.7
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	1.6	2.5	1.8	2.0	2.2	2.4	2.0	2.1
Div. payout ratio (UBS) %	63.2	40.1	55.1	50.0	45.5	41.1	50.9	48.4

Revenues by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	48,842	59,458	61,148	61,550	67,438	79,464	78,546	81,569
Total	**48,842**	**59,458**	**61,148**	**61,550**	**67,438**	**79,464**	**78,546**	**81,569**

EBIT (UBS) by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	17,807	24,033	23,558	21,139	24,150	30,110	29,487	30,648
Total	**17,807**	**24,033**	**23,558**	**21,139**	**24,150**	**30,110**	**29,487**	**30,648**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	-24.9%
Forecast dividend yield	1.2%
Forecast stock return	-23.7%
Market return assumption	6.3%
Forecast excess return	-30.0%

Company Description

Founded in 1987, Largan Precision (Largan) is one of the world's leading manufacturers of lenses used in cameras and IT products. It specialises in plastic/hybrid lenses and, to a lesser extent, glass lenses and modules. In 2022, 20MP+ camera lenses were 10-20% of Largan's shipment mix, 10MP lenses were 50-60%, 8MP lenses were 0-10% and other lenses were 30-40%.

Valuation Method and Risk Statement

Our price target is based on SOTP valuation on the CPO opportunity and traditional lens business.
We think Largan's downside risks include: 1) ongoing pricing pressure from smartphone OEM clients and increasingly intense competition among lens suppliers; and 2) a slower-than-expected smartphone demand recovery in China, and 3) CPO commercial success below the market's elevated expectations.
We believe the key upside risk is a faster-than-expected CPO qualification process at Largan. In addition, if the company demonstrates exceptionally efficient and highly accurate automation capabilities, it could support greater market share gains within the industry than we currently anticipate.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Largan Precision

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	2
5. What's driving the difference?	We expect downside to consensus in 2026 due to slower smartphone sales through August. We indicate things getting better for the stock in the past 3-6 months on the smartphone traction.
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	2
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Negative Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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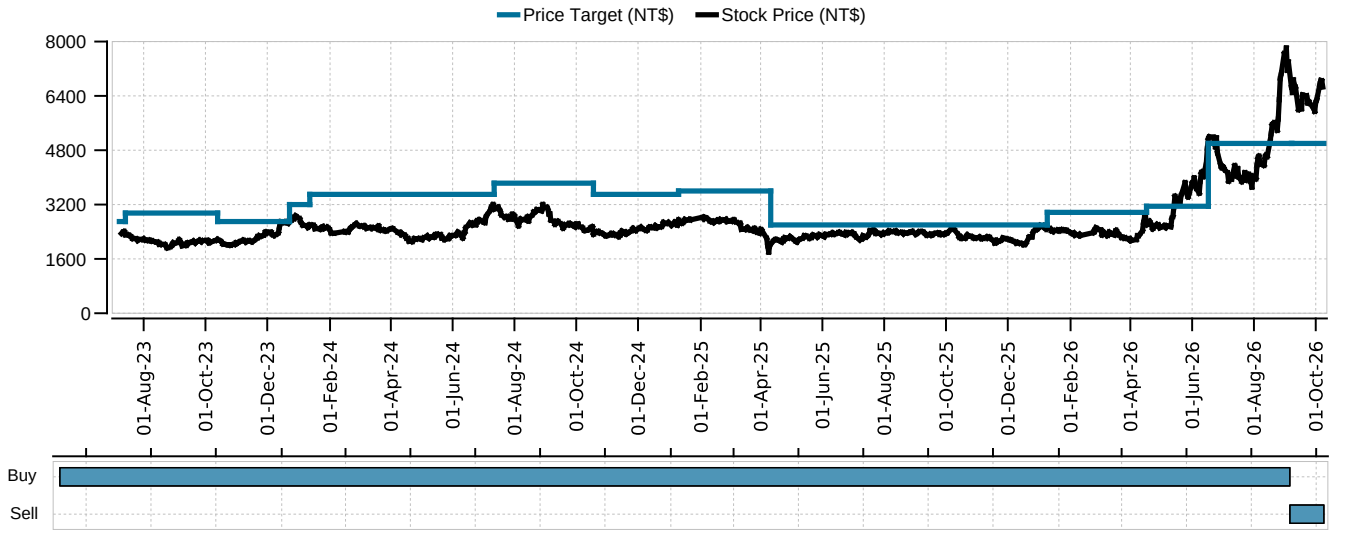
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Largan Precision[28]	3008.TW	Sell	NT$6,660	08 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
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Largan Precision (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-07	2340.00	2700.00	Buy
2023-07-13	2405.00	2950.00	Buy
2023-10-12	2150.00	2700.00	Buy
2023-12-22	2650.00	3200.00	Buy
2024-01-11	2550.00	3500.00	Buy
2024-07-11	3200.00	3830.00	Buy
2024-10-17	2545.00	3500.00	Buy
2025-01-09	2595.00	3600.00	Buy
2025-04-10	1980.00	2600.00	Buy
2026-01-08	2475.00	2970.00	Buy
2026-04-16	2820.00	3150.00	Buy
2026-06-16	4860.00	5000.00	Buy
2026-09-06	7400.00	5000.00	Sell

Source: UBS Global Research; LSEG Eikon as of 08-Oct-2026. All prices as of local market close. Ratings as of date shown.

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緯穎

(6669.TW/6669 TT)

FTSE4Good TIP Taiwan ESG Index stock

增加持股 · 維持

收盤價 October 8 (NT$)	2,240
12 個月目標價 (NT$)	3,000
前次目標價 (NT$)	7,750
調升 (%)	12.8
上漲空間 (%)	33.9

焦點內容

1. 9 月及 3Q26 營收優於我們預期，受惠於通用型伺服器營收較強，以及 9 月 AI 伺服器需求強勁回升。
2. 我們估計 4Q26-2027 年 AI 伺服器需求成長，將帶動 AI 伺服器營收占比提升至 50% 以上，進而推升 EPS 成長。
3. AWS (美) Trainium3 Max 液冷式機櫃、供應 Meta (美) 的 AMD (美) Helios 機櫃、供應 Oracle (美) 的 VR 機櫃，以及新 ASIC 專案，將推升緯穎 2027 年獲利。

交易資料表

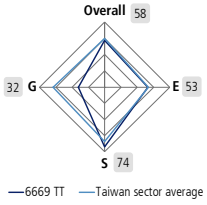
市值：(NT$bn/US$mn)	1,308 /41,074
流通在外股數 (百萬股)：	584
外資持有股數 (百萬股)：	145
3M 平均成交量 (百萬股)：	1.811.97
52 週股價 (低 \ 高) (NT$):	1,075 –2,615

股價表現	3M	6M	12M
絕對表現 (%)	32.3	92.6	100.1
相對表現 (%)	24.5	50.7	17.9

每股盈餘

NT$	1Q	2Q	3Q	4Q
2025	52.70A	65.23A	82.92A	74.21A
2026	25.46A	26.96A	42.76F	44.56F
2027	44.91F	51.89F	61.38F	65.20F

ESG 分數評等



資料來源：Refinitiv；凱基

凱基投顧
向子慧
886.2.2181.8726
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重要免責聲明，詳見最終頁

客製化 AI ASIC 持續驅動 2027 年獲利強勁成長

重要訊息

緯穎 9 月與 3Q26 營收優於我們預期。我們預期 4Q26 營收將持續季增及年增，並預期在 ASIC AI 伺服器與通用型伺服器營收增加，加上新客戶與新專案帶動下，2027 年獲利展望穩健。

評論及分析

3Q26 營收優於預期；產品組合改善有利利潤率。緯穎 9 月營收達 1,726 億元 (月增 20%、年增 100%)，優於預期，帶動 3Q26 營收達 4,346.2 億元 (季增 56%)，較我們預估高 16%。此強勁表現應歸因於通用伺服器營收較佳，及 9 月 ASIC AI 伺服器營收成長。9 月 ASIC AI 營收占比已超過營收的 50%，而通用伺服器則維持穩定，3Q26 通用伺服器營收占比仍高於 50%，季增預估超過 20%。AWS (美) Trainium3 (T3)占 3Q26 AI 伺服器(估 5k 櫃以上)營收幾乎全部，而 9 月營收顯著增加 (估 3k 櫃以上)。營收成長及產品組合改善將有利 3Q26 利潤率。我們因而上修 3Q26 EPS 預估至 42.76 元 (季增 59%)。

AI 專案與通用型伺服器需求帶動 2027 年獲利展望穩健。我們預期緯穎將於 2027 年受惠於通用型伺服器與 AI 伺服器的需求及營收成長，主因多項 AI 專案啓動所帶動。T3 Max (液冷) AI 伺服器自 4Q26 起開始出貨，1Q27 將量產。預估液冷機櫃 ASP 可能為氣冷 PDS 機種的 2-3 倍，且緯穎應為 T3 Max 的唯一 ODM。此外，緯穎供應 Meta (美) 的 AMD (美) Helios 機櫃，及供應 Oracle (美) 的 VR200 機櫃，這些 GPU AI 相關伺服器預計自 4Q26 末開始貢獻營收，並於 2027 年貢獻更為顯著。但 GPU 專案的變數在於銷售交易條件採買賣制 (buy-and-sell) 或寄售制 (consignment)。再加上對新 Neocloud 客戶的潛在出貨，緯穎明年 AI 伺服器營收擴張應相當顯著。而受惠於 代理式 AI 與推論需求，及潛在新增 CSP 客戶，我們預期 2027 年通用伺服器營收亦將成長，並為利潤率提供支撐。我們預估 4Q26 營收將季增約 10%，毛利率約為 8.5%。受惠於營收表現更強，我們上修 2026 年 EPS 預估至 139.76 元。考量 2027 年營收展望更為樂觀，我們亦將 2027 年 EPS 預估上修至 223.38 元 (年增 60%)。整體而言，我們認為客製化 AI 伺服器的強勁需求，將為緯穎帶來更多商機，如來自 OpenAI (美) 與 Meta 等業者的訂單。

投資建議

我們維持緯穎「增加持股」評等，並將目標價重設為 3,000 元 (除權後)，基於 2027 年完全稀釋每股盈餘 200.01 元的 15 倍 (以 6.2 億股股本計算)。

投資風險

零組件供應緊缺；AI 伺服器因寄售導致價格變化；AI 伺服器專案遞延。

主要財務數據及估值

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入 (NT$百萬)	241,901	360,541	950,663	1,467,357	2,596,962
營業毛利 (NT$百萬)	22,657	37,400	78,454	125,527	196,275
營業利益 (NT$百萬)	15,871	28,099	63,918	101,043	160,357
稅後淨利 (NT$百萬)	12,044	22,776	51,118	77,560	124,008
每股盈餘 (NT$)	68.88	126.57	275.06	139.76	223.38
每股現金股利 (NT$)	14.00	24.67	145.00	76.51	122.34
每股盈餘成長率 (%)	(15.0)	83.7	117.3	(49.2)	59.8
本益比 (x)	32.5	17.7	8.1	16.0	10.0
股價淨值比 (x)	27.8	14.2	10.0	7.8	5.8
EV/EBITDA (x)	22.6	13.1	6.2	11.7	7.8
淨負債比率 (%)	Net cash	Net cash	8.2	Net cash	19.5
殖利率 (%)	0.6	1.1	6.5	3.4	5.5
股東權益報酬率 (%)	29.7	34.9	48.0	54.6	66.2

資料來源：公司資料，凱基

圖 1：3Q-4Q26 財測修正 vs. 市場共識

	3Q26F							4Q26F						
百萬元	修正後	修正前	差異 (%)	QoQ (%)	YoY (%)	市場共識	差異 (%)	修正後	修正前	調幅 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)
營收	434,617	375,506	15.7	56.3	62.9	360,520	20.6	478,079	431,832	10.7	10.0	63.5	424,085	12.7
毛利	38,246	30,791	24.2	48.5	62.5	29,876	28.0	40,637	31,956	27.2	6.3	92.3	33,842	20.1
營業利益	30,858	25,534	20.8	52.6	57.7	24,430	26.3	32,509	26,342	23.4	5.4	97.4	27,228	19.4
稅前淨利	29,671	24,485	21.2	56.4	45.8	23,828	24.5	31,598	25,242	25.2	6.5	81.0	26,903	17.4
稅後淨利	23,737	19,588	21.2	58.6	54.0	18,514	28.2	24,739	19,946	24.0	4.2	79.4	20,960	18.0
每股盈餘 (元)	42.76	35.28	21.2	58.6	(48.4)	33.35	28.2	44.56	35.90	24.0	4.2	(40.0)	37.72	18.0
毛利率 (%)	8.8	8.2	0.6 ppts	(0.5)ppts	(0.0)ppts	8.3	0.5 ppts	8.5	7.4	1.1 ppts	(0.3)ppts	1.3 ppts	8.0	0.5 ppts
營業利益率 (%)	7.1	6.8	0.3 ppts	(0.2)ppts	(0.2)ppts	6.8	0.3 ppts	6.8	6.1	0.7 ppts	(0.3)ppts	1.2 ppts	6.4	0.4 ppts
淨利率 (%)	5.5	5.2	0.2 ppts	0.1 ppts	(0.3)ppts	5.1	0.3 ppts	5.2	4.6	0.6 ppts	(0.3)ppts	0.5 ppts	4.9	0.2 ppts

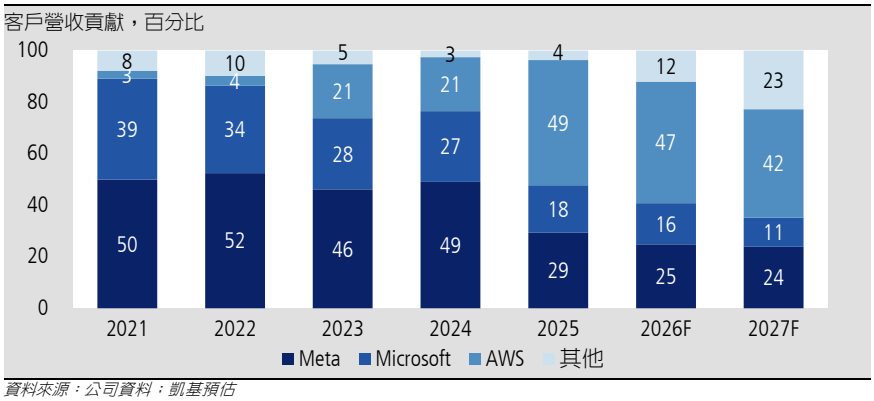
資料來源：Bloomberg；凱基預估

圖 2：2026-27 年財測修正 vs. 共識預估

	2026F						2027F					
百萬元	修正後	修正前	調幅 (%)	YoY(%)	市場共識	差異 (%)	修正後	修正前	調幅 (%)	YoY(%)	市場共識	差異 (%)
營收	1,467,357	1,361,998	7.7	54.4	1,331,770	10.2	2,596,962	2,368,079	9.7	77.0	2,368,776	9.6
毛利	125,527	108,106	16.1	60.0	109,738	14.4	196,275	164,970	19.0	56.4	162,190	21.0
營業利益	101,043	89,918	12.4	58.1	88,890	13.7	160,357	136,563	17.4	58.7	133,034	20.5
稅前獲利	98,177	87,201	12.6	48.6	87,477	12.2	156,973	133,245	17.8	59.9	130,807	20.0
稅後淨利	77,560	68,889	12.6	51.7	68,562	13.1	124,008	105,263	17.8	59.9	103,013	20.4
每股盈餘 (元)	139.76	123.57	13.1	(49.2)	123.55	13.1	223.38	189.61	17.8	59.8	185.56	20.4
毛利率 (%)	8.6	7.9	0.7 ppts	0.3 ppts	8.2	0.3 ppts	7.6	7.0	0.6 ppts	(1.0)ppts	6.8	0.7 ppts
營利率 (%)	6.9	6.6	0.3 ppts	0.2 ppts	6.7	0.2 ppts	6.2	5.8	0.4 ppts	(0.7)ppts	5.6	0.6 ppts
淨利率 (%)	5.3	5.1	0.2 ppts	(0.1)ppts	5.1	0.1 ppts	4.8	4.4	0.3 ppts	(0.5)ppts	4.3	0.4 ppts

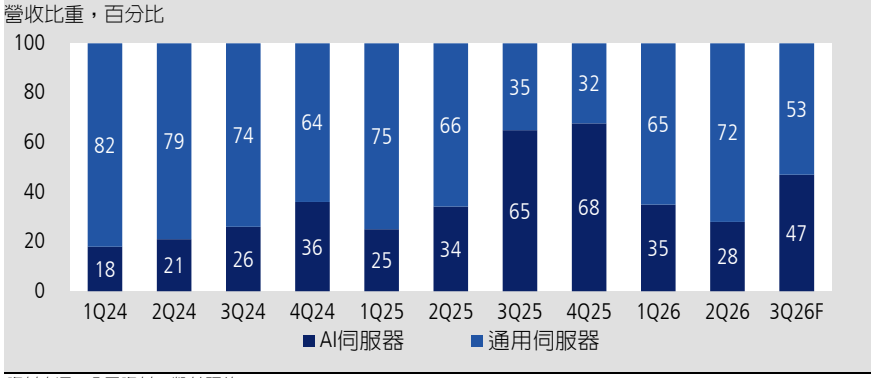
資料來源：Bloomberg；凱基預估

圖 3：2026-27 年客戶組合將更加多元與分散



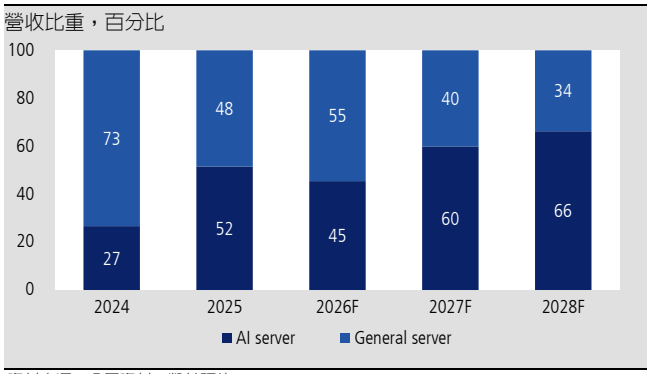
資料來源：公司資料；凱基預估

圖 4：3Q26 緯穎 AI 伺服器營收佔比略微提升



資料來源：公司資料；凱基預估

圖 5: AI 伺服器收入將在 2027-28 年回升



資料來源：公司資料；凱基預估

圖 6: ASIC AI 成為 AI 伺服器收入提升的動能 (%)

	2024	2025	2026F	2027F	2028F
伺服器收入占比(%)					
AI 伺服器	27	52	45	60	66
通用伺服器	73	48	55	40	34
收入 (NT$十億)					
AI 伺服器	96	490	666	1,555	2,410
通用伺服器	265	461	802	1,042	1,230
總計	361	951	1,467	2,597	3,640
年增率 (%)					
AI 伺服器	99	411	36	134	55
通用伺服器	37	74	74	30	18
總計	49	164	54	77	40
AI伺服器收入占比(%)					
ASIC AI	100	88	91	89	90
GPU AI	-	12	9	11	10

資料來源：公司資料；凱基預估

圖 7：市場將 2026-27 年 CSP 資本支出成長上修至年增 96%、33%

Capex, US$mn	2021	2022	2023	2024	2025	2026F	2027F
Meta	18,567	31,431	27,266	37,256	69,691	139,339	198,279
Amazon	55,396	58,321	48,133	82,999	131,819	221,567	281,335
Microsoft	23,216	24,768	35,202	55,552	83,094	158,380	207,796
Google	24,640	31,485	32,251	52,535	91,447	201,797	309,448
Oracle	3,118	6,678	6,935	12,194	39,877	84,801	96,359
Baidu	1,689	1,586	1,580	1,130	1,680	3,521	3,518
Alibaba	8,311	5,014	4,477	10,540	16,869	26,103	25,754
Tencent	4,808	4,611	3,017	8,740	12,177	25,006	25,906
Hyperscale subtotal	**139,745**	**163,894**	**158,861**	**260,946**	**446,654**	**860,514**	**1,148,397**
Apple	10,388	11,692	9,564	10,074	12,133	11,325	13,510
IBM	2,062	1,346	1,245	1,128	1,617	1,587	1,646
Coreweave	N.A.	72	2,943	8,702	10,309	35,659	47,787
Nebius	606	750	1,073	808	4,066	23,857	30,854
Dell	2,796	3,003	2,756	2,665	2,646	4,415	4,850
Salesforce	717	798	736	656	648	683	739
Netflix	525	408	349	440	688	771	788
Enterprise subtotal	**17,094**	**18,069**	**18,666**	**24,472**	**32,107**	**78,297**	**100,174**
Total	**156,838**	**181,962**	**177,527**	**285,419**	**478,761**	**938,811**	**1,248,571**

YoY growth, percent	2021	2022	2023	2024	2025	2026F	2027F
Meta	22.8	69.3	(13.3)	36.6	87.1	99.9	42.3
Amazon	58.1	5.3	(17.5)	72.4	58.8	68.1	27.0
Microsoft	32.0	6.7	42.1	57.8	49.6	90.6	31.2
Google	10.6	27.8	2.4	62.9	74.1	120.7	53.3
Oracle	70.1	114.2	3.8	75.8	227.0	112.7	13.6
Baidu	129.1	(6.1)	(0.4)	(28.5)	48.7	109.5	(0.1)
Alibaba	30.3	(39.7)	(10.7)	135.4	60.0	54.7	(1.3)
Tencent	(15.9)	(4.1)	(34.6)	189.7	39.3	105.4	3.6
Hyperscale subtotal	**33.5**	**17.3**	**(3.1)**	**64.3**	**71.2**	**92.7**	**33.5**
Apple	19.4	12.6	(18.2)	5.3	20.4	(6.7)	19.3
IBM	(21.2)	(34.7)	(7.5)	(9.4)	43.4	(1.8)	3.7
Coreweave	N.M.	N.M.	3,964.9	195.7	18.5	245.9	34.0
Nebius	77.7	23.7	43.2	(24.8)	403.5	486.8	29.3
Dell	34.3	7.4	(8.2)	(3.3)	(0.7)	66.9	9.8
Salesforce	1.0	11.3	(7.8)	(10.9)	(1.2)	5.4	8.3
Netflix	5.4	(22.3)	(14.5)	26.1	56.6	12.1	2.2
Enterprise subtotal	**14.3**	**5.7**	**3.3**	**31.1**	**31.2**	**143.9**	**27.9**
Total	**31.1**	**16.0**	**(2.4)**	**60.8**	**67.7**	**96.1**	**33.0**

資料來源：公司資料；Bloomberg；凱基

圖 8：近期市場將美系五大 CSP 之 2026 年資本支出上修至年增 79%，2027 年上修至年增 34%

							實際數			市場共識預估	
資本支出(百萬美元)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	2023	2024	2025	2026F	2027F
Meta (Facebook)	13,692	17,012	19,374	22,137	19,840	31,100	27,266	37,256	72,215	139,339	198,279
Amazon	25,019	32,183	35,095	39,522	44,203	49,800	48,133	82,999	131,819	220,000	267,080
Microsoft	21,400	24,200	34,900	37,500	31,900	41,000	35,202	55,552	118,000	158,380	207,796
Google	17,197	22,446	23,953	27,851	35,674	44,924	32,251	52,535	91,447	201,797	309,448
Oracle	5,862	9,080	8,502	12,033	18,635	16,493	6,935	10,745	35,477	84,801	96,359
美系CSP業者合計	**83,170**	**104,921**	**121,824**	**139,043**	**150,252**	**183,317**	**149,787**	**239,087**	**448,958**	**804,317**	**1,078,963**
年增率 (%)	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**2023**	**2024**	**2025**	**2026F**	**2027F**
Meta (Facebook)	113.9	108.1	134.6	53.5	44.9	82.8	(13.3)	36.6	93.8	93.0	42.3
Amazon	67.6	82.7	55.2	42.0	76.7	54.7	(17.5)	72.4	58.8	66.9	21.4
Microsoft	95.4	74.4	133.9	137.3	49.1	69.4	42.1	57.8	112.4	34.2	31.2
Google	43.2	70.2	83.4	95.1	107.4	100.1	2.4	62.9	74.1	120.7	53.3
Oracle	250.2	224.5	269.2	203.1	217.9	81.6	3.8	54.9	230.2	139.0	13.6
美系CSP業者合計	**80.9**	**88.5**	**99.2**	**82.2**	**80.7**	**74.7**	**2.6**	**59.6**	**87.8**	**79.2**	**34.1**
季增率 (%)	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**2023**	**2024**	**2025**	**2026F**	**2027F**
Meta (Facebook)	(5.1)	24.2	13.9	14.3	(10.4)	56.8					
Amazon	(10.1)	28.6	9.0	12.6	11.8	12.7					
Microsoft	35.4	13.1	44.2	7.4	(14.9)	28.5					
Google	20.5	30.5	6.7	16.3	28.1	25.9					
Oracle	47.7	54.9	(6.4)	41.5	54.9	(11.5)					
美系CSP業者合計	**9.0**	**26.2**	**16.1**	**14.1**	**8.1**	**22.0**					

資料來源：公司資料；Bloomberg；凱基

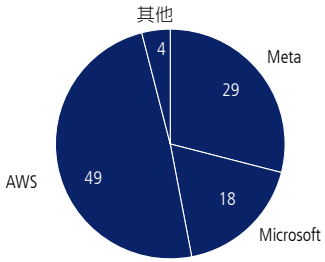
圖 9：公司概況

緯穎是緯創(3231 TT，NT$188.5，增加持股)持股 37.68%子公司，專為超大規模雲端資料中心供應硬體與解決方案，受惠來自網路內容供應商(Content Service Provider(CSP))客戶之資料中心擴建需求趨勢，預期隨著人工智慧、自動駕駛及擴增/虛擬實境對運算能力要求提高，網路流量將不斷成長，有助於公司來年營收與獲利持續成長。其客戶主要為 Meta（美）、Microsoft（美)與 AWS (美)，涉及伺服器、儲存以及 AI 伺服器。

資料來源：凱基

圖 10：Microsoft、Meta 與 AWS 為緯穎主要營收貢獻來源

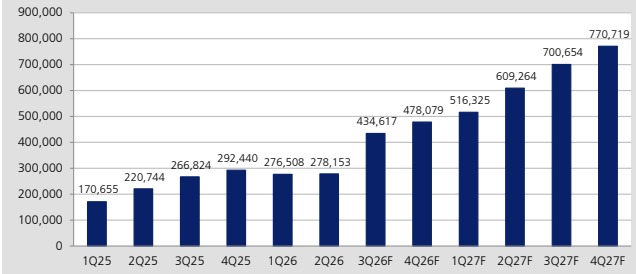
2025 年客戶營收比重，百分比



資料來源：公司資料；凱基

圖 11: 季營業收入

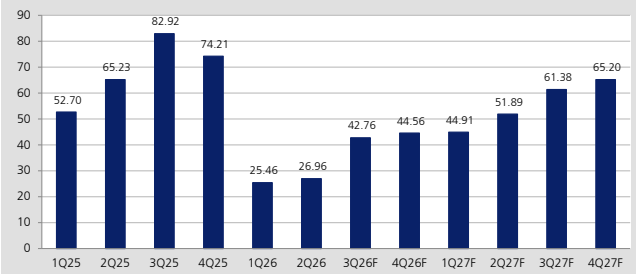
季營業收入，百萬元



資料來源：凱基

圖 12: 每股盈利

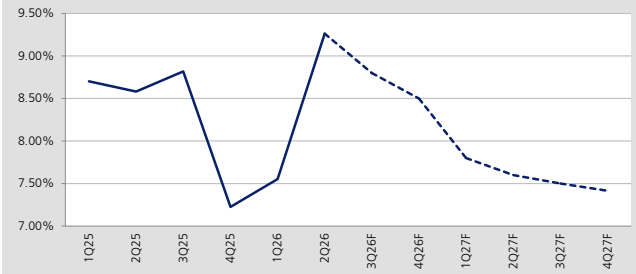
每股盈利，元



資料來源：凱基

圖 13: 毛利率

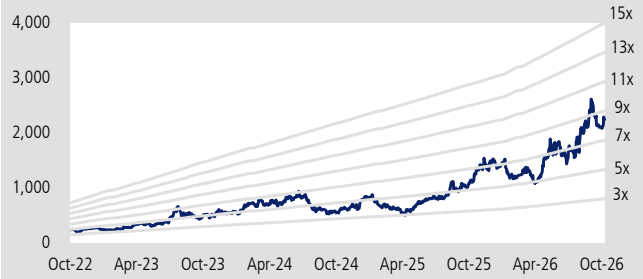
毛利率，百分比



資料來源：凱基

圖 14: 未來一年預估本益比區間

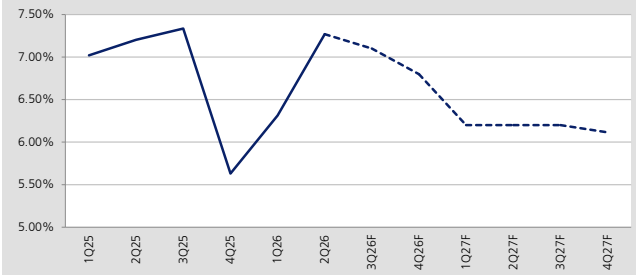
股價，元（左軸）；本益比，倍（右軸）



資料來源：TEJ；凱基預估

圖 15: 營業利潤率

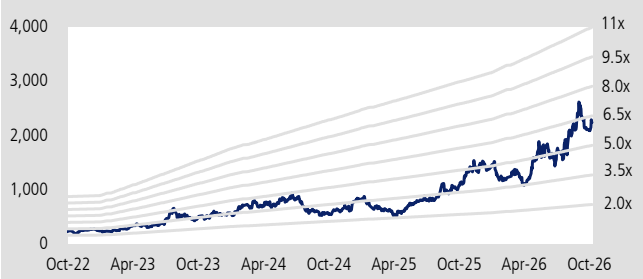
營業利潤率，百分比



資料來源：凱基

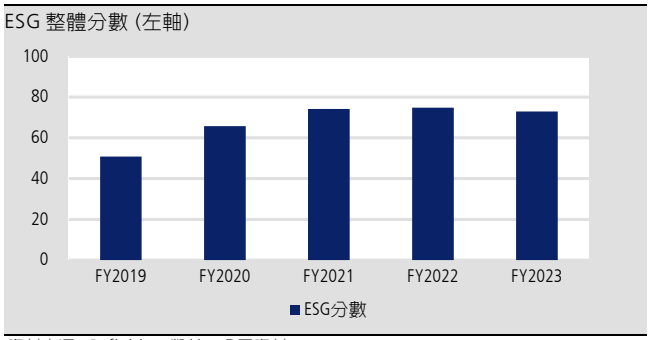
圖 16: 未來一年預估股價淨值比區間

股價，元（左軸）；股價淨值比，倍（右軸）



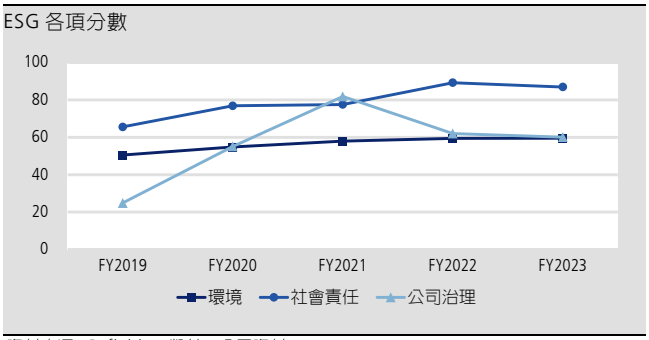
資料來源：TEJ；凱基預估

圖 17：ESG 整體分數



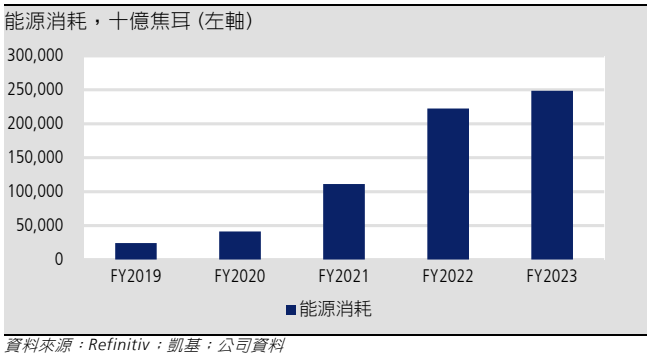
資料來源：Refinitiv；凱基；公司資料

圖 18：ESG 各項分數



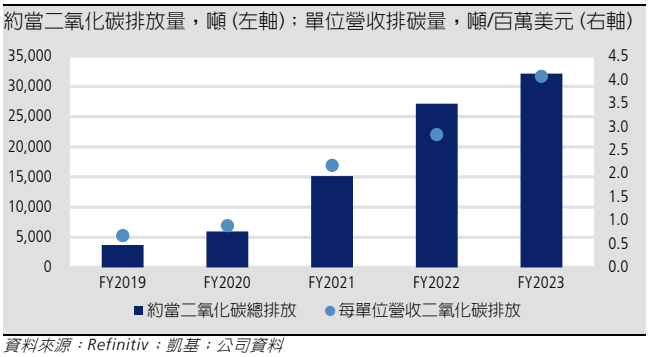
資料來源：Refinitiv；凱基；公司資料

圖 19：能源消耗



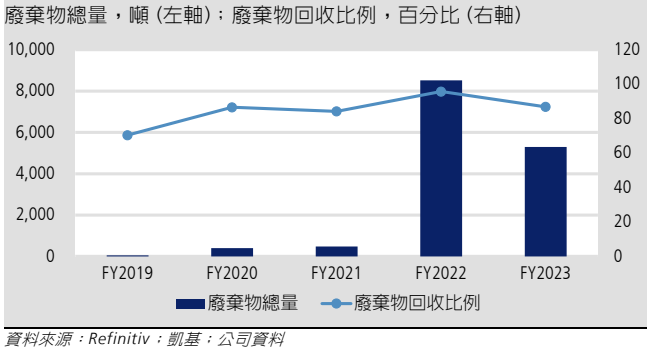
資料來源：Refinitiv；凱基；公司資料

圖 20：碳排量



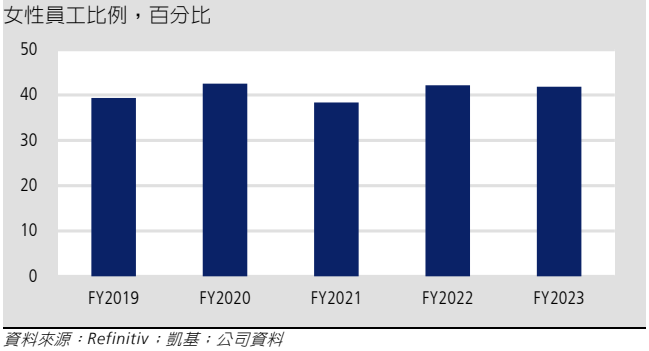
資料來源：Refinitiv；凱基；公司資料

圖 21：廢棄物總量



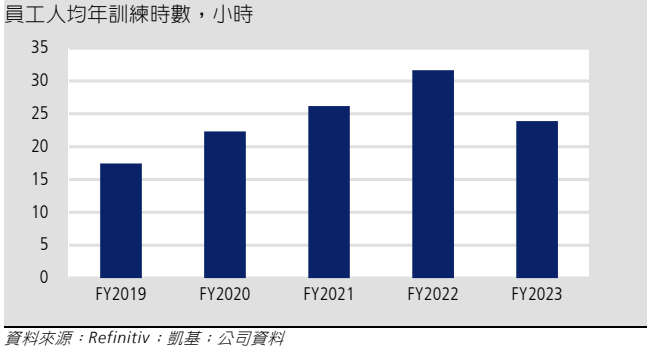
資料來源：Refinitiv；凱基；公司資料

圖 22：性別多樣性



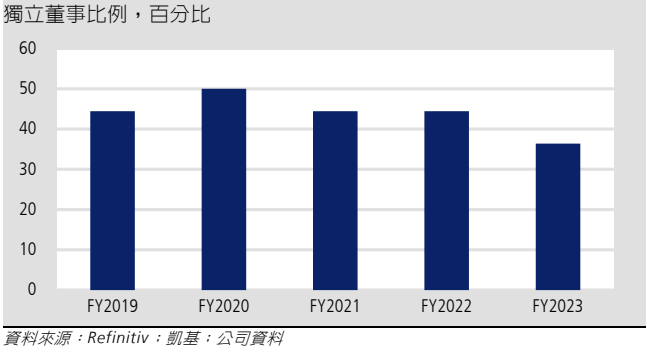
資料來源：Refinitiv；凱基；公司資料

圖 23：員工訓練



資料來源：Refinitiv；凱基；公司資料

圖 24：獨立董事



資料來源：Refinitiv；凱基；公司資料

ESG 圖表定義

項目	定義	說明
能源使用	直接與間接能源消耗總量(十億焦耳) - 公司運營範圍內消耗之能源總量 - 能源使用總量 = 直接能源消耗總量 + 間接能源消耗量 - 總能源使用量包括購買的能源、生產的能源 - 就公用事業而言，輸電/電網損耗為其業務活動之一部分，被視為總能源消耗，數據不包括為滿足能源使用而生產的電力（公用事業為出售而生產） - 就公用事業而言，用於能源生產的煤、天然氣或核能等原料不屬於「總能源使用」項下	
購買之再生能源	Primary 再生能源購買總量(十億焦耳) - 公司各種來源之能源消耗量與購買的能源中屬於自然界可再生者（太陽能、風能、水能、生物質能、地熱能）之量 - 如無證據顯示再生能源由公司生產，則所報告的能源數據視為購買的再生能源	
再生能源使用率	再生能源占總能源消耗量之比例	
CO2 約當排放量	直接 CO2 與 CO2 約當排放量(公噸) - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3)	
CO2 約當排放量營收比	直接 CO2 與 CO2 約當排放量（公噸）銷售（百萬元）比 - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3)	
廢棄物總量	廢棄物總量(公噸) - 總廢棄物 = 無害廢棄物 + 有害廢棄物 - 僅考慮固體廢棄物，但如液體廢棄物以公噸為單位呈報，則會將其加入求得包含液體廢棄物之總量 - 對於採礦、石油與天然氣等行業，tailings、廢石、煤、飛灰等廢棄物亦考慮在內	
廢棄物回收率	公司呈報的廢棄物回收率 - 廢棄物回收率 = 廢棄物回收量/總廢棄物*100 - 廢棄物轉化為能源或經由廢棄物焚燒產生能源視為廢棄物回收 - 經由堆肥回收的廢棄物視為回收之廢棄物	
總取水量	總取水量(立方公尺) - 由呈報組織直接或經水公司等中介機構從任何水源抽取的總水量 - 水井、城鎮/公用事業/市政用水、河水、地表水等不同之水源均予以考慮	
環保支出	環保支出總金額 - 所有用於環境保護，或防止、減少、控制環境因素、影響、危害的投資與支出，亦包括處置、處理、衛生、清理支出	
員工流動率	員工流動率 - 包括任何原因（自願或非自願）離開公司的員工，如辭職、退休、自然離職/死亡、醫療失能、冗員、裁員、重組、解僱、裁減或定期合約到期 - 員工流動率 =（離開之員工/平均員工人數）*100 - 平均員工人數 =（本年末員工人數 + 去年末員工人數）/2 - 本財年末員工數 =上個財年末員工數 + 新員工數 - 離開之員工數	
女性經理	女性經理百分比 - 女性經理占公司經理的百分比 - 如有不同階層之百分比，如最高階、高階、中階、初階，則會考慮中階女性經理之百分比 - 女性經理百分比 = 女性經理人數/經理總數*100	
女性員工	女性員工百分比 - 女性員工占公司員工總數的百分比 - 女性員工百分比 = 女性人數/員工總數*100	
教育訓練總時數	所有員工教育訓練總時數 - 僅考慮員工教育訓練時數 - 包括一般員工所有類型的教育訓練（如健康與安全、環境、急難事件救援、技能與職業發展） - 如果數據以天為單位，則乘以 8，係假設 1 天 = 8 小時工作	
每位員工教育訓練時數	平均每年每位員工總教育訓練時數	

資料來源：Refinitiv；凱基

損益表

	季度								年度		
	Mar-26A	Jun-26A	Sep-26F	Dec-26F	Mar-27F	Jun-27F	Sep-27F	Dec-27F	Dec-25A	Dec-26F	Dec-27F
損益表 （NT$百萬）											
營業收入	**276,508**	**278,153**	**434,617**	**478,079**	**516,325**	**609,264**	**700,654**	**770,719**	**950,663**	**1,467,357**	**2,596,962**
營業成本	(255,627)	(252,390)	(396,371)	(437,442)	(476,052)	(562,960)	(648,105)	(713,570)	(872,209)	(1,341,830)	(2,400,687)
營業毛利	**20,881**	**25,763**	**38,246**	**40,637**	**40,273**	**46,304**	**52,549**	**57,149**	**78,454**	**125,527**	**196,275**
營業費用	(3,423)	(5,545)	(7,388)	(8,127)	(8,261)	(8,530)	(9,108)	(10,019)	(14,537)	(24,484)	(35,919)
營業利益	**17,458**	**20,218**	**30,858**	**32,509**	**32,012**	**37,774**	**43,441**	**47,129**	**63,918**	**101,043**	**160,357**
折舊	(827)	(919)	(886)	(911)	(1,035)	(1,035)	(1,035)	(1,035)	(2,442)	(3,542)	(4,139)
攤提	(74)	(79)	(56)	(13)	(56)	(56)	(56)	(56)	(248)	(222)	(222)
EBITDA	**18,360**	**21,216**	**31,799**	**33,434**	**33,102**	**38,865**	**44,531**	**48,220**	**66,608**	**104,808**	**164,718**
利息收入	291	521	372	304	250	250	250	250	1,112	1,488	1,000
投資利益淨額	-	-	-	-	-	-	-	-	-	-	-
其他營業外收入	1,670	291	50	188	250	250	250	250	-	2,200	1,000
總營業外收入	**1,962**	**812**	**422**	**492**	**500**	**500**	**500**	**500**	**1,112**	**3,688**	**2,000**
利息費用	(1,349)	(2,057)	(1,561)	(1,278)	(1,301)	(1,301)	(1,301)	(1,301)	(3,225)	(6,244)	(5,203)
投資損失	(137)	0	(15)	(29)	(13)	(13)	(13)	(13)	(52)	(180)	(50)
其他營業外費用	(0)	(0)	(33)	(98)	(33)	(33)	(33)	(33)	4,300	(130)	(130)
總營業外費用	**(1,486)**	**(2,056)**	**(1,609)**	**(1,404)**	**(1,346)**	**(1,346)**	**(1,346)**	**(1,346)**	**1,022**	**(6,554)**	**(5,383)**
稅前純益	**17,934**	**18,974**	**29,671**	**31,598**	**31,166**	**36,928**	**42,595**	**46,283**	**66,052**	**98,177**	**156,973**
所得稅費用[利益]	(3,820)	(4,005)	(5,934)	(6,858)	(6,233)	(8,124)	(8,519)	(10,088)	(14,934)	(20,617)	(32,964)
少數股東損益	-	-	-	-	-	-	-	-	-	-	-
非常項目前稅後純益	**14,114**	**14,969**	**23,737**	**24,739**	**24,933**	**28,804**	**34,076**	**36,196**	**51,118**	**77,560**	**124,008**
非常項目	(0)	0	-	(0)	-	-	-	-	-	-	-
稅後淨利	**14,114**	**14,969**	**23,737**	**24,739**	**24,933**	**28,804**	**34,076**	**36,196**	**51,118**	**77,560**	**124,008**
每股盈餘 (NT$)	25.46	26.96	42.76	44.56	44.91	51.89	61.38	65.20	275.06	139.76	223.38
獲利率 （%）											
營業毛利率	7.6	9.3	8.8	8.5	7.8	7.6	7.5	7.4	8.3	8.6	7.6
營業利益率	6.3	7.3	7.1	6.8	6.2	6.2	6.2	6.1	6.7	6.9	6.2
EBITDA Margin	6.6	7.6	7.3	7.0	6.4	6.4	6.4	6.3	7.0	7.1	6.3
稅前純益率	6.5	6.8	6.8	6.6	6.0	6.1	6.1	6.0	6.9	6.7	6.0
稅後純益率	5.1	5.4	5.5	5.2	4.8	4.7	4.9	4.7	5.4	5.3	4.8
季成長率 （%）											
營業收入	(5.4)	0.6	56.3	10.0	8.0	18.0	15.0	10.0			
營業毛利	(1.2)	23.4	48.5	6.3	(0.9)	15.0	13.5	8.8			
營業收益增長	6.0	15.8	52.6	5.4	(1.5)	18.0	15.0	8.5			
EBITDA	6.3	15.6	49.9	5.1	(1.0)	17.4	14.6	8.3			
稅前純益	2.7	5.8	56.4	6.5	(1.4)	18.5	15.3	8.7			
稅後純益	2.3	6.1	58.6	4.2	0.8	15.5	18.3	6.2			
年成長率 （%）											
營業收入	62.0	26.0	62.9	63.5	86.7	119.0	61.2	61.2	163.7	54.4	77.0
營業毛利	40.6	36.0	62.5	92.3	92.9	79.7	37.4	40.6	109.8	60.0	56.4
營業收益	45.7	27.2	57.7	97.4	83.4	86.8	40.8	45.0	127.5	58.1	58.7
EBITDA	46.4	28.4	56.8	93.6	80.3	83.2	40.0	44.2	121.3	57.4	57.2
稅前純益	43.2	20.7	45.8	81.0	73.8	94.6	43.6	46.5	129.1	48.6	59.9
稅後純益	44.1	23.5	54.0	79.4	76.6	92.4	43.6	46.3	124.4	51.7	59.9

資料來源：公司資料，凱基

資產負債表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
資產總額	**88,845**	**190,679**	**338,189**	**456,486**	**653,876**
流動資產	**79,195**	**173,683**	**306,977**	**410,996**	**594,575**
現金及短期投資	37,495	48,329	89,934	108,421	58,171
存貨	30,179	86,211	136,257	202,194	361,747
應收帳款及票據	10,363	37,649	76,888	96,484	170,759
其他流動資產	1,158	1,494	3,897	3,897	3,897
非流動資產	**9,650**	**16,996**	**31,212**	**45,490**	**59,301**
長期投資	159	709	1,377	1,197	1,147
固定資產	5,626	9,163	20,848	35,306	49,167
什項資產	3,865	7,124	8,987	8,987	8,987
負債總額	**46,611**	**102,476**	**213,537**	**296,932**	**438,518**
流動負債	**36,494**	**76,364**	**179,654**	**268,653**	**408,371**
應付帳款及票據	20,169	53,585	79,366	147,050	263,089
短期借款	2,884	6,125	72,197	77,801	75,933
什項負債	13,441	16,654	28,091	43,802	69,348
長期負債	**10,117**	**26,112**	**33,883**	**28,279**	**30,147**
長期借款	8,443	22,004	27,985	22,381	24,249
其他負債及準備	486	852	2,845	2,845	2,845
股東權益總額	**42,234**	**88,203**	**124,653**	**159,555**	**215,358**
普通股本	1,748	1,858	1,858	5,575	5,575
保留盈餘	25,823	40,029	75,099	110,001	165,805
少數股東權益	-	-	-	-	-
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
年成長率					
營業收入	(17.4%)	49.0%	163.7%	54.4%	77.0%
營業收益增長	(11.0%)	77.1%	127.5%	58.1%	58.7%
EBITDA	(9.3%)	78.4%	121.3%	57.4%	57.2%
稅後純益	(15.0%)	89.1%	124.4%	51.7%	59.9%
每股盈餘成長率	(15.0%)	83.7%	117.3%	(49.2%)	59.8%
獲利能力分析					
營業毛利率	9.4%	10.4%	8.3%	8.6%	7.6%
營業利益率	6.6%	7.8%	6.7%	6.9%	6.2%
EBITDA Margin	7.0%	8.3%	7.0%	7.1%	6.3%
稅後純益率	5.0%	6.3%	5.4%	5.3%	4.8%
平均資產報酬率	13.6%	16.3%	19.3%	19.5%	22.3%
股東權益報酬率	29.7%	34.9%	48.0%	54.6%	66.2%
穩定 \ 償債能力分析					
毛負債比率 (%)	26.8%	31.9%	80.4%	62.8%	46.5%
淨負債比率	Net cash	Net cash	8.2%	Net cash	19.5%
利息保障倍數 (x)	17.2	24.2	21.5	16.7	31.2
利息及短期債保障倍數 (x)	0.8	0.8	0.5	0.5	0.7
Cash Flow Int. Coverage (x)	24.2	(16.1)	(0.2)	10.2	2.0
Cash Flow/Int. & ST Debt (x)	6.0	(2.7)	(0.0)	0.8	0.1
流動比率 (x)	2.2	2.3	1.7	1.5	1.5
速動比率 (x)	1.3	1.1	1.0	0.8	0.6
淨負債 (NT$百萬)	(26,168)	(20,200)	10,248	(8,240)	42,011
每股資料分析					
每股盈餘 (NT$)	68.88	126.57	275.06	139.76	223.38
每股現金盈餘 (NT$)	131.89	(111.11)	(3.36)	114.71	19.15
每股淨值 (NT$)	80.52	158.21	223.58	286.19	386.28
調整後每股淨值 (NT$)	241.56	490.15	670.75	287.52	387.93
每股營收 (NT$)	1,383.55	2,003.57	5,115.47	2,644.17	4,677.98
EBITDA/Share (NT$)	96.50	167.29	358.41	188.86	296.71
每股現金股利 (NT$)	14.00	24.67	145.00	76.51	122.34
資產運用狀況					
資產周轉率 (x)	2.72	2.58	3.60	3.69	4.68
應收帳款周轉天數	15.6	38.2	29.5	24.0	24.0
存貨周轉天數	50.2	97.6	57.0	55.0	55.0
應付帳款周轉天數	33.6	60.7	33.2	40.0	40.0
現金轉換周轉天數	32.3	75.2	53.3	39.0	39.0

資料來源：公司資料，凱基

損益表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入	**241,901**	**360,541**	**950,663**	**1,467,357**	**2,596,962**
營業成本	(219,244)	(323,141)	(872,209)	(1,341,830)	(2,400,687)
營業毛利	**22,657**	**37,400**	**78,454**	**125,527**	**196,275**
營業費用	(6,787)	(9,301)	(14,537)	(24,484)	(35,919)
營業利益	**15,871**	**28,099**	**63,918**	**101,043**	**160,357**
總營業外收入	**909**	**2,120**	**1,112**	**3,688**	**2,000**
利息收入	456	1,219	1,112	1,488	1,000
投資利益淨額	-	-	-	-	-
其他營業外收入	454	901	-	2,200	1,000
總營業外費用	**(1,336)**	**(1,389)**	**1,022**	**(6,554)**	**(5,383)**
利息費用	(953)	(1,242)	(3,225)	(6,244)	(5,203)
投資損失	(64)	(68)	(52)	(180)	(50)
其他營業外費用	(319)	(79)	4,300	(130)	(130)
稅前純益	**15,444**	**28,830**	**66,052**	**98,177**	**156,973**
所得稅費用[利益]	(3,400)	(6,054)	(14,934)	(20,617)	(32,964)
少數股東損益	-	-	-	-	-
非常項目	-	(0)	(0)	-	-
稅後淨利	**12,044**	**22,776**	**51,118**	**77,560**	**124,008**
EBITDA	**16,873**	**30,103**	**66,608**	**104,808**	**164,718**
每股盈餘 (NT$)	68.88	126.57	275.06	139.76	223.38

現金流量

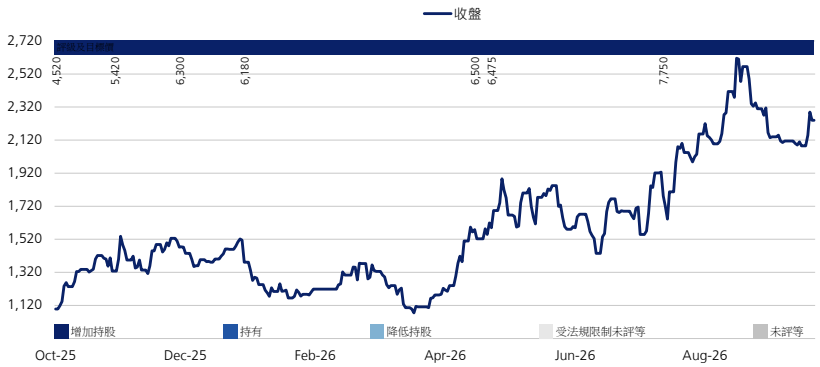
NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營運活動之現金流量	**23,060**	**(19,993)**	**(624)**	**63,657**	**10,629**
本期純益	12,044	22,776	51,118	77,560	124,008
折舊及攤提	1,002	2,005	2,690	3,764	4,361
本期運用資金變動	8,928	(47,806)	(64,430)	(17,848)	(117,790)
其他營業資產及負債變動	1,087	3,032	9,997	180	50
投資活動之現金流量	**(4,696)**	**(5,655)**	**(13,766)**	**(18,222)**	**(18,222)**
投資用短期投資出售[新購]	-	(581)	(38)	-	-
本期長期投資變動	-	-	-	-	-
資本支出淨額	(4,886)	(4,891)	(13,674)	(18,000)	(18,000)
其他資產變動	190	(183)	(54)	(222)	(222)
自由現金流	**17,300**	**(28,670)**	**(26,196)**	**47,519**	**(4,970)**
融資活動之現金流量	**(7,115)**	**36,316**	**56,188**	**(26,947)**	**(42,658)**
短期借款變動	393	940	66,473	-	-
長期借款變動	1,500	16,945	4,706	-	-
現金增資	-	27,068	-		
已支付普通股股息	(8,742)	(7,343)	(13,752)	(26,947)	(42,658)
其他融資現金流	(265)	(1,294)	(1,240)	-	-
匯率影響數	**13**	**166**	**(192)**		
本期產生現金流量	**11,263**	**10,834**	**41,605**	**18,488**	**(50,251)**

投資回報率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
1 - 營業成本/營業收入					
- 銷管費用/營業收入	2.8%	2.6%	1.5%	1.7%	1.4%
= 營業利益率	**6.6%**	**7.8%**	**6.7%**	**6.9%**	**6.2%**
1 / (營業運用資金/營業收入	0.0	0.2	0.1	0.1	0.1
+ 淨固定資產/營業收入	0.0	0.0	0.0	0.0	0.0
+ 什項資產/營業收入)	0.0	0.0	0.0	0.0	0.0
= 資本周轉率	**16.2**	**5.5**	**7.2**	**9.8**	**10.2**
營業利益率	6.6%	7.8%	6.7%	6.9%	6.2%
x 資本周轉率	16.2	5.5	7.2	9.8	10.2
x (1 - 有效現金稅率)	78.0%	79.0%	77.4%	79.0%	79.0%
= 稅後 ROIC	**82.7%**	**33.8%**	**37.3%**	**53.5%**	**49.6%**

資料來源：公司資料，凱基

緯穎 – 以往評級及目標價



日期	評級	目標價	收盤價
2026-07-28	增加持股	7,750	1,782
2026-05-07	增加持股	6,475	1,590
2026-04-29	增加持股	6,500	1,579
2026-02-27	增加持股	6,180	1,303
2026-01-09	增加持股	6,180	1,381
2025-12-09	增加持股	6,300	1,473
2025-11-08	增加持股	5,420	1,328
2025-09-09	增加持股	4,520	981
2025-08-09	增加持股	3,550	942
2025-07-10	增加持股	3,250	845

資料來源：TEJ，凱基

凱基證券集團據點

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台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888，傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888，傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888，傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188，傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

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Angela Hsiang

HTC Corp. (2498.TW): XR headset and AI glasses to support growth ahead; Near-term cost pressures remain; Sell

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In September, HTC accelerated its global wearable expansion with the commercial launch of the new round-frame edition of its VIVE Eagle AI smart glasses alongside substantial software enhancements across North America, Europe, and Australia (news). Features include hands-free image capture, first-person POV live streaming, real-time AI translation, AI Notes, dashcam utility, and assistive vision for the visually impaired. Meanwhile, the company continues to anchor its VR headset strategy around commercial enterprise solutions, underscored by its flagship deployment with Axon which shifts hazardous tactical training into virtual environments to reduce operational costs, complemented by use cases in complex surgical simulation, interior space visualization, and virtual meeting rooms.

While we maintain our constructive view on HTC's long-term growth trajectory backed by sustained product innovation, we are **Sell** rated given near-term earnings headwinds - specifically core monetization drivers across XR/ VR/ AI glasses and software will require extended lead time to ramp adoption, compounded by consumer electronics demand softness and margin compression from elevated memory component costs. We would turn more positive if we see stronger-than-expected XR headset/ AI glasses growth driven by market demand, application development or customer expansion.

Earnings revisions: We factor in 3Q26 revenues and revise down 2026-28E net income. We revise down 2026-28E revenues by 4%/ 0%/ 27% due to demand pressures of consumer electronics (impacted by soaring memory cost) and soft demand of XR products in the near-term. GM estimates are largely unchanged in 2026-2027E, and we revise down our OPM estimates by 2.1/ 0.3ppts on a smaller business scale. GM are revised up by 5.7ppts in 2028E to reflect mix upgrade to VR hardware and software with high margin.

Exhibit 1: Earnings revisions

	2026E			2027E			2028E		
NT$m	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %
Revenues	6,972	6,693	-4%	14,741	14,780	0%	20,908	15,352	-27%
GP	2,756	2,624	-5%	5,807	5,732	-1%	8,220	6,917	-16%
OP	(736)	(846)	na	996	952	-4%	1,654	1,447	-13%
Net income	(371)	(346)	na	1,007	992	-1%	1,795	1,708	-5%
Margins									
GM	39.5%	39.2%	-0.3ppts	39.4%	38.8%	-0.6ppts	39.3%	45.1%	+5.7ppts
OPM	-10.6%	-12.6%	-2.1ppts	6.8%	6.4%	-0.3ppts	7.9%	9.4%	+1.5ppts
NM	-5.3%	-5.2%	+0.2ppts	6.8%	6.7%	-0.1ppts	8.6%	11.1%	+2.5ppts

Source: Goldman Sachs Global Investment Research

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Valuation: With earnings revisions and an unchanged valuation methodology, our 12M target price is revised down to NT$32.8 (vs. previously at NT$34.4). We continue to derive our target price via 85% based on a fundamental valuation and 15% from a theoretical M&A valuation. (1) Our fundamental valuation is based on 2028E P/E of 19.3x (unchanged), discounted back to 2026E at an 11.5% COE. (2) Our M&A valuation is based on 23.6x 2028E P/E (unchanged) then discounted back to 2026E at an 11.5% COE.

Our target 2028E discounted P/E multiple of 19.3x is in line with XR peers' historical avg. P/E at 19.3x in 2022 (method unchanged, Exhibit 5). HTC's 2029 NI growth will be 15% YoY per our estimate, which is lower than XR peers' (Meta/ Goertek/ Microsoft/ Apple/ Sony) 2023-24 avg. NI growth at 23% YoY. Our M&A target multiple is 23.6x 2028E P/E, which is derived from the peers' historical avg. +1std P/E in 2022 (methodology unchanged). We use avg. +1std P/E of peers to reflect the M&A premium.

Our 12M target price of NT$32.8 implies 4.1x 2026E P/S vs. 126% revenue YoY growth on average in 2026E-27E. The implied 2026E P/S of 4.1x is lower than the company's current price implied 2026E P/S at 4.9x, showing that valuation is stretched. Maintain **Sell**.

Exhibit 2: HTC discounted P/E and M&A valuation TP at NT$32.80

NT$ m	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Milestone		**Smartphone to VR**			**VR headset to software**				**VR SW increases**			
VR headset				96%	77%	62%	52%	15%	56%	69%	60%	69%
VR software				1%	13%	32%	34%	79%	41%	29%	37%	31%
Revenue	23,741	10,015	5,806	5,253	4,409	4,418	3,081	2,901	6,693	14,780	15,352	17,655
Revenue YoY	*-62%*	*-58%*	*-42%*	*-10%*	*-16%*	*0%*	*-30%*	*-6%*	*131%*	*121%*	*4%*	*15%*
GM	*2.2%*	*20.3%*	*27.0%*	*31.1%*	*39.2%*	*41.3%*	*40.7%*	*35.9%*	*39.2%*	*38.8%*	*45.1%*	*39.8%*
GP	515	2,028	1,565	1,636	1,730	1,824	1,254	1,041	2,624	5,732	6,917	7,018
OP	(13,964)	(9,850)	(6,391)	(4,116)	(4,404)	(4,295)	(4,639)	(3,452)	(846)	952	1,447	1,721
OPM	*-58.8%*	*-98.4%*	*-110.1%*	*-78.4%*	*-99.9%*	*-97.2%*	*-150.6%*	*-119.0%*	*-12.6%*	*6.4%*	*9.4%*	*9.8%*
Net profit	12,068	(9,358)	(5,950)	(3,073)	(3,412)	(3,396)	(3,418)	6,025	(346)	992	1,438	1,661
NP YoY		*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*-106%*	*n.a.*	*45%*	*15%*
EPS	14.50	(11.43)	(7.27)	(3.75)	(4.13)	(4.09)	(4.11)	7.15	(0.41)	1.19	2.04	1.99
EPS YoY		*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*-106%*	*n.a.*	*45%*	*15%*

Target PE (sector PE)	19.3
Target PE x 2028 EPS	39
Value per share (NT, 2026E)	**32**

COE	11.5%
Beta	1.6
Risk-free rate	1.8%
Market risk premium	6.3%

TP (NT$)	**32.8**
M&A P/E (avg.+1stv P/E, x)	23.6
2028 EPS x P/E (NT$)	48
M&A valuation (15%) (NT$)	39
Fundamental valuation (85%) (NT$)	32
TP implied 2026E PS (x)	**4.1**
Rev YoY avg. 2026-27E	**126%**

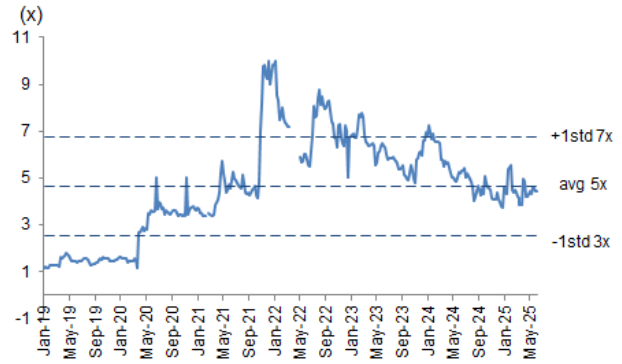
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: HTC P&L summary

NT$ mn	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Income statement														
Revenue	4,418	3,081	2,901	6,693	14,780	15,352	708	695	716	781	653	614	764	4,663
Gross profit	1,824	1,254	1,041	2,624	5,732	6,917	266	253	252	269	272	262	367	1,722
OP income	(4,295)	(4,639)	(3,452)	(846)	952	1,447	(1,144)	(836)	(854)	(618)	(563)	(573)	(516)	805
Net income	(3,396)	(3,418)	6,025	(346)	992	1,708	4,055	(716)	3,243	(557)	(242)	(279)	(579)	754
EPS (NT$, diluted)	(4.09)	(4.11)	7.15	(0.41)	1.19	2.04	4.82	(0.85)	3.85	(0.67)	(0.29)	(0.33)	(0.69)	0.90
Margins														
Gross margin	41.3%	40.7%	35.9%	39.2%	38.8%	45.1%	37.6%	36.5%	35.2%	34.4%	41.7%	42.6%	48.1%	36.9%
Operating margin	-97.2%	-150.6%	-119.0%	-12.6%	6.4%	9.4%	-161.5%	-120.3%	-119.2%	-79.2%	-86.2%	-93.2%	-67.6%	17.3%
Pretax margin	-76.9%	-110.9%	291.0%	-4.7%	6.7%	11.2%	871.0%	-102.9%	484.6%	-61.9%	-35.0%	-42.3%	-76.0%	16.2%
Net margin	-76.9%	-110.9%	207.7%	-5.2%	6.7%	11.1%	572.4%	-103.0%	452.7%	-71.3%	-37.0%	-45.5%	-75.8%	16.2%
Ratios														
Opex ratio	-138%	-191%	-155%	-52%	-32%	-36%	-199%	-157%	-154%	-114%	-128%	-136%	-116%	-20%
Tax rate	0%	0%	29%	-11%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
YoY														
Revenue	0%	-30%	-6%	131%	121%	4%	19%	-9%	-7%	-17%	-8%	-12%	7%	497%
Gross profit	5%	-31%	-17%	152%	118%	21%	8%	-19%	-20%	-29%	2%	3%	46%	540%
OP income	na	na	na	na	na	52%	na	na	na	na	na	na	na	na
Pretax income	na	na	na	na	na	72%	na	na	na	na	na	na	na	na
Net income	na	na	na	na	na	72%	na	na	na	na	na	na	na	na
QoQ														
Revenue							-25%	-2%	3%	9%	-16%	-6%	24%	511%
Gross profit							-29%	-5%	0%	7%	1%	-4%	40%	369%
OP income							na	na	na	na	na	na	na	na
Pretax income							na	na	na	na	na	na	na	na
Net income							na	na	na	na	na	na	na	na

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: HTC 12M forward P/S



Source: Refinitiv Eikon

Exhibit 5: HTC's 2029 NI growth is at 15% YoY, lower than XR peers 2023-24 avg. NI growth

Company	Ticker	2022 PE	2023-24 NI growth
Meta	Meta.O	15.5	64%
Goertek	002241.SZ	18.5	15%
Apple	AAPL.O	20.8	9%
Microsoft	MSFT.O	25.9	12%
Sony	6758.T	15.7	16%
Average (excl. Meta)		**19.3**	**23%**
HTC target discounted P/E (2028E)			**19.3**
HTC NI growth (2029E)			15%

Source: Company data, Goldman Sachs Global Investment Research, Eikon Datastream

Price Target Risks and Methodology - HTC Corp.

Valuation methodology: We are Sell rated on HTC with a 12M target price of **NT$32.8**, which is derived 85% from a fundamental valuation and 15% from a theoretical M&A valuation. (1) Our fundamental valuation is based on 19.3x 2028E P/E, discounted back to 2026E at an 11.5% COE. The 19.3x target P/E multiple is derived from peers' avg. P/E in 2022; (2) Our M&A valuation is based on 23.6x 2028E P/E and discounted back to 2026E at an 11.5% COE.

Key risks: 1) Better-than-expected VR demand; 2) lower-than-expected competition in VR headsets; and 3) lower-than-expected price pressure from peers.

2498.TW	12m Price Target: **NT$32.80**	Price: **NT$42.00**	Downside: **21.9%**

Sell

Market cap: NT$35.1bn / $1.1bn
Enterprise value: NT$36.0bn / $1.1bn
3m ADTV: NT$216.8mn / $6.8mn
Taiwan
Greater China Technology
M&A Rank: 2
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**2,900.7**	**6,693.4**	**14,780.5**	**--**
Revenue (NT$ mn) Old	2,900.7	6,972.0	14,741.2	–
EBITDA (NT$ mn)	(3,227.2)	(625.6)	1,166.4	–
EPS (NT$) New	**7.21**	**(0.41)**	**1.19**	**2.04**
EPS (NT$) Old	7.21	(0.44)	1.20	2.15
P/E (X)	6.6	NM	35.4	20.6
P/B (X)	30.5	27.4	26.4	NM
Dividend yield (%)	0.0	0.0	0.0	NM
CROCI (%)	(14.5)	(0.3)	4.1	–

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	(0.33)	(0.69)	0.90	0.04

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Oct 2026 close.

Disclosure Appendix

Reg AC

We, Allen Chang and Verena Jeng, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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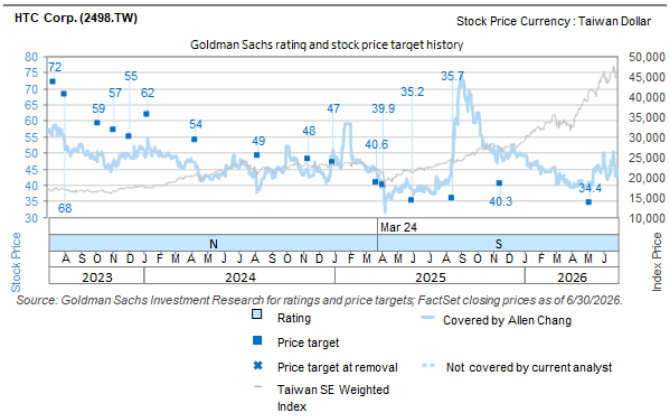
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Target price history table(s)

HTC Corp. (2498.TW)

Date of report	Target price (NT$)	Closing price (NT$)
07-May-26	34.40	40.45
16-Nov-25	40.30	50.80
16-Aug-25	35.70	46.95
02-Jun-25	35.20	37.20
06-Apr-25	39.90	41.35
24-Mar-25	40.60	44.55
30-Dec-24	47.00	51.20
13-Nov-24	48.00	43.90
09-Aug-24	49.00	38.75
09-Apr-24	54.00	46.65
08-Jan-24	62.00	52.90
06-Dec-23	55.00	48.90
06-Nov-23	57.00	48.10

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BofA SECURITIES

Kinsus

Solid revenue growth and margin improvement into 2027; Buy

Reiterate Rating: BUY | PO: 1,450 TWD | Price: 1,075 TWD

Raise PO along with hike in estimates

We raise 2026/27/28E EPS by 4%/11%/14% after incorporating (see reports) 1) stronger-than-expected August numbers; and 2) strengthening growth outlook of server CPU (central processing unit) which is also shared by NYPCB. Our PO goes to NT$1,450 (was NT$1,250) same based on 2H27-1H28E P/E. Reiterate Buy on Kinsus given its growing exposure to AI (artificial intelligence) server market via high-end ABF substrate, which in turn bolstering its margin profile in longer-term.

Gross margin improvement carries into 2027

We expect Kinsus' GM (gross margin) to reach 27.8% in 3Q26, then followed by further improvement toward 29.3% along with 10% revenue QoQ in 4Q26, which will be fueled by continuous price hike and mix improvement. For 2027, expect the company's GM to reach 32.5% driven by ongoing improvements in product mix and utilization.

Sustained growth from AI CPU and optical module

For AI and adjacent applications, we expect at least 15-20% revenue from substrate for Vera CPU in 2027, and AI-related application will account for 50% of the firm's revenue in ABF (Ajinomoto build-up film) business in 2028. As for BT (bismaleimide triazine) substrate, growth in near/mid-term will be underpinned by the demand from DSP (digital signal processor) and transceiver (light engine) for pluggable optical module.

Land acquisition for further capacity expansion

Kinsus announced that it spent NT$6bn for acquiring land in Pingzhen, which will be used for K7 site expansion with capacity coming on stream in 2030 at earliest, following the ongoing expansion in K6 for ABF (Ajinomoto build-up film) substrate (reaching 80mn unit capacity/month in 2029-30).

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	49	1,596	5,587	14,369	27,158
EPS	0.108	3.51	10.60	27.27	51.54
EPS Change (YoY)	2.5%	NM	202.5%	157.2%	89.0%
Consensus EPS (Visible Alpha)			11.88	28.81	51.88
Dividend / Share	1.00	1.50	4.77	12.27	23.19
Free Cash Flow / Share	(5.69)	4.58	(17.35)	11.32	26.92
Valuation (Dec)					
P/E	9,977x	306.68x	101.38x	39.42x	20.86x
Dividend Yield	0.093%	0.140%	0.444%	1.14%	2.16%
EV / EBITDA*	76.90x	56.54x	39.49x	22.03x	14.35x
Free Cash Flow Yield*	-0.456%	0.368%	-1.61%	1.05%	2.50%

* For full definitions of *iQmethod*℠ measures, see page 7.

10 October 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	1,250.00	1,450.00
2026E EPS	10.21	10.60
2027E EPS	25.94	27.27
2028E EPS	47.82	51.54
2026E EBITDA (m)	14,489.7	14,794.5
2027E EBITDA (m)	25,525.6	26,526.3
2028E EBITDA (m)	40,246.1	40,708.1

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Stock Data

Price	1,075 TWD
Price Objective	1,450 TWD
Date Established	10-Oct-2026
Investment Opinion	C-1-7
52-Week Range	118.43 TWD-1,150 TWD
Mrkt Val / Shares Out (mn)	17,739 USD / 526.9
Market Value (mn)	566,429 TWD
Average Daily Value (mn)	697.44 USD
Free Float	69.4%
BofA Ticker / Exchange	KNSUF / TAI
Bloomberg / Reuters	3189 TT / 3189.TW
ROE (2026E)	12.6%
Net Dbt to Eqty (Dec-2025A)	4.8%

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iQprofile℠ Kinsus

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	30,535	39,351	54,119	81,332	114,156
Gross Profit	8,668	8,314	14,326	26,458	42,367
Sell General & Admin Expense	(4,961)	(3,035)	(3,984)	(4,925)	(5,895)
Operating Profit	1,095	2,670	7,545	18,050	32,534
Net Interest & Other Income	508	417	546	434	434
Associates	NA	NA	NA	NA	NA
Pretax Income	1,603	3,087	8,091	18,483	32,967
Tax (expense) / Benefit	(272)	(370)	(1,148)	(2,796)	(4,390)
Net Income (Adjusted)	49	1,596	5,587	14,369	27,158
Average Fully Diluted Shares Outstanding	454	455	527	527	527
Key Cash Flow Statement Data					
Net Income	49	1,596	5,587	14,369	27,158
Depreciation & Amortization	6,133	7,244	6,653	7,992	7,690
Change in Working Capital	(956)	(1,966)	(2,815)	(2,440)	(4,448)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	2,480	1,219	(4,568)	2,044	1,786
Cash Flow from Operations	7,705	8,093	4,857	21,966	32,186
Capital Expenditure	(10,289)	(6,007)	(14,000)	(16,000)	(18,000)
(Acquisition) / Disposal of Investments	1,359	(1,594)	0	0	0
Other Cash Inflow / (Outflow)	(178)	(268)	0	0	0
Cash Flow from Investing	(9,107)	(7,869)	(14,000)	(16,000)	(18,000)
Shares Issue / (Repurchase)	137	13	7,200	0	0
Cost of Dividends Paid	(454)	(457)	(2,514)	(6,466)	(12,221)
Cash Flow from Financing	996	(3,270)	531	(6,466)	(12,221)
Free Cash Flow	(2,584)	2,086	(9,143)	5,966	14,186
Net Debt	865	1,969	10,582	11,082	9,117
Change in Net Debt	1,959	1,364	8,612	500	(1,965)
Key Balance Sheet Data					
Property, Plant & Equipment	36,409	41,937	49,283	57,291	67,601
Other Non-Current Assets	13,350	9,099	9,122	9,145	9,167
Trade Receivables	5,284	6,804	9,357	12,200	17,123
Cash & Equivalents	15,366	12,281	3,669	3,169	5,133
Other Current Assets	9,027	9,853	11,215	12,707	14,357
Total Assets	79,435	79,973	82,646	94,511	113,382
Long-Term Debt	13,779	11,197	11,197	11,197	11,197
Other Non-Current Liabilities	8,788	7,297	7,297	7,297	7,297
Short-Term Debt	2,452	3,053	3,053	3,053	3,053
Other Current Liabilities	14,539	17,053	13,608	17,569	21,504
Total Liabilities	39,557	38,600	35,155	39,116	43,051
Total Equity	39,878	41,373	47,492	55,395	70,331
Total Equity & Liabilities	79,435	79,973	82,646	94,511	113,382
iQ*method℠ - Bus Performance					
Return On Capital Employed	2.0%	4.3%	10.6%	21.6%	33.9%
Return On Equity	0.1%	3.9%	12.6%	27.9%	43.2%
Operating Margin	3.6%	6.8%	13.9%	22.2%	28.5%
EBITDA Margin	24.9%	26.3%	27.3%	32.6%	35.7%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	NM	5.1x	0.9x	1.5x	1.2x
Asset Replacement Ratio	1.7x	0.8x	2.1x	2.0x	2.3x
Tax Rate (Reported)	17.0%	12.0%	14.2%	15.1%	13.3%
Net Debt-to-Equity Ratio	2.2%	4.8%	22.3%	20.0%	13.0%
Interest Cover	NA	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Semiconductors

Company Description

Kinsus, founded in 2000, is headquartered in Taiwan and has production facilities in Taiwan (Taoyuan) and in China (Suzhou). The main business is IC substrate manufacturing, with a wide range of product offerings including SiP, FPGA, FCCSP, CSP, RF modules and FCBGA. Its clients include Qualcomm, AMD, NVIDIA, Broadcom, Xilinx, Altera, TI, and MTK etc. The main competitors include Unimicron (3037 TT), NYPCB (8046 TT), Ibiden (4062 JP), Shinko (6967 JP), SEMCO (009150 KS) and AT&S (ATS AV), etc.

Investment Rationale

We have an Buy rating on Kinsus, in view of its growing traction to AI server market from 2026 mainly via offering the ABF substrate for server CPU. For other businesses, we also recognize the solid growth outlook in BT substrate thanks to the demand from memory chips, while the growth in contact lens business should remain stable.

Stock Data

Price to Book Value	11.9x

Exhibit 1: Earnings estimate change
We raise 2026-28E EPS by 4-8% after baking in the assumptions of stronger revenue growth and operating leverage

(NT$mn)	BofA 26 (E)			BofA 27 (E)			BofA 28 (E)		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	54,119	52,495	3.1	81,332	77,520	4.9	114,156	108,635	5.1
Gross profit	14,326	13,891	3.1	26,458	25,447	4.0	42,367	40,226	5.3
Gross margin	*26.5%*	*26.5%*	0.0 ppt	*32.5%*	*32.8%*	-0.3 ppt	*37.1%*	*37.0%*	0.1 ppt
Operating profit	7,545	7,240	4.2	18,050	17,149	5.3	32,534	30,672	6.1
Operating margin	*13.9%*	*13.8%*	0.1 ppt	*22.2%*	*22.1%*	0.1 ppt	*28.5%*	*28.2%*	0.3 ppt
Pretax income	8,091	7,786	3.9	18,483	17,483	5.7	32,967	31,005	6.3
Pretax margin	*14.9%*	*14.8%*	0.1 ppt	*22.7%*	*22.6%*	0.2 ppt	*28.9%*	*28.5%*	0.3 ppt
Net income	5,587	5,379	3.9	14,369	13,670	5.1	27,158	25,195	7.8
Net margin	*10.3%*	*10.2%*	0.1 ppt	*17.7%*	*17.6%*	0.0 ppt	*23.8%*	*23.2%*	0.6 ppt
EPS (NT$)	10.60	10.21	3.9	27.27	25.94	5.1	51.54	47.82	7.8

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: BofAe vs consensus
We are 11%/14% higher vs consensus for 2027/28E EPS, due mainly to the assumption of stronger operating leverage

(NT$mn)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	54,119	53,240	1.7	81,332	79,776	2.0	114,156	116,711	-2.2
Gross profit	14,326	14,069	1.8	26,458	25,715	2.9	42,367	43,208	-1.9
Gross margin	*26.5%*	*26.4%*	0.0 ppt	*32.5%*	*32.2%*	0.3 ppt	*37.1%*	*37.0%*	0.1 ppt
Operating profit	7,545	7,379	2.3	18,050	16,415	10.0	32,534	29,239	11.3
Operating margin	*13.9%*	*13.9%*	0.1 ppt	*22.2%*	*20.6%*	1.6 ppt	*28.5%*	*25.1%*	3.4 ppt
Pretax income	8,091	7,665	5.6	18,483	16,682	10.8	32,967	29,481	11.8
Pretax margin	*14.9%*	*14.4%*	0.6 ppt	*22.7%*	*20.9%*	1.8 ppt	*28.9%*	*25.3%*	3.6 ppt
Net income	5,587	5,384	3.8	14,369	12,957	10.9	27,158	23,777	14.2
Net margin	*10.3%*	*10.1%*	0.2 ppt	*17.7%*	*16.2%*	1.4 ppt	*23.8%*	*20.4%*	3.4 ppt
EPS (NT$)	10.60	10.22	3.8	27.27	24.59	10.9	51.54	45.13	14.2

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 3: Income statement
We expect the firm to record ~45% revenue CAGR during 2026-28

(NT$mn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	**11,105**	**12,496**	**14,540**	**15,979**	**16,656**	**18,943**	**21,756**	**23,976**	**39,351**	**54,119**	**81,332**	**114,156**
COGS	-8,755	-9,235	-10,504	-11,299	-11,608	-12,859	-14,580	-15,826	-31,037	-39,794	-54,874	-71,788
Gross Profit	**2,349**	**3,261**	**4,036**	**4,679**	**5,048**	**6,084**	**7,176**	**8,150**	**8,314**	**14,326**	**26,458**	**42,367**
Operating expenses	**-1,459**	**-1,581**	**-1,763**	**-1,977**	**-1,922**	**-2,034**	**-2,150**	**-2,303**	**-5,645**	**-6,780**	**-8,409**	**-9,834**
SG&A	-886	-933	-1,028	-1,137	-1,148	-1,190	-1,249	-1,338	-3,035	-3,984	-4,925	-5,895
R&D	-573	-649	-735	-839	-774	-843	-901	-965	-2,610	-2,797	-3,483	-3,938
Operating income	**891**	**1,679**	**2,273**	**2,702**	**3,126**	**4,051**	**5,026**	**5,847**	**2,670**	**7,545**	**18,050**	**32,534**
Non-operating income	**74**	**105**	**183**	**183**	**103**	**103**	**113**	**113**	**417**	**546**	**434**	**434**
Interest income	-13	-13	-13	-13	-13	-13	-13	-13	-4	-50	-50	-50
Investment income	6	6	6	6	6	6	6	6	18	23	23	23
Others	81	112	190	190	110	110	120	120	404	573	461	461
Pre-tax profit	**964**	**1,784**	**2,456**	**2,886**	**3,230**	**4,154**	**5,139**	**5,960**	**3,087**	**8,091**	**18,483**	**32,967**
Tax	-89	-204	-393	-462	-355	-665	-822	-954	-370	-1,148	-2,796	-4,390
Net income	**1,171**	**2,701**	**2,390**	**2,693**	**3,245**	**3,879**	**5,673**	**5,325**	**1,596**	**5,587**	**14,369**	**27,158**
EPS (NT$)	**1.17**	**2.49**	**3.21**	**3.86**	**4.85**	**6.10**	**7.51**	**8.81**	**3.51**	**10.60**	**27.27**	**51.54**
Margin												
Gross margin	21.2%	26.1%	27.8%	29.3%	30.3%	32.1%	33.0%	34.0%	21.1%	26.5%	32.5%	37.1%
Operating margin	8.0%	13.4%	15.6%	16.9%	18.8%	21.4%	23.1%	24.4%	6.8%	13.9%	22.2%	28.5%
Pre-tax margin	8.7%	14.3%	16.9%	18.1%	19.4%	21.9%	23.6%	24.9%	7.8%	14.9%	22.7%	28.9%
Net margin	10.5%	21.6%	16.4%	16.9%	19.5%	20.5%	26.1%	22.2%	4.1%	10.3%	17.7%	23.8%
QoQ growth												
Revenue	2.7%	12.5%	16.4%	9.9%	4.2%	13.7%	14.9%	10.2%				
Gross profit	-1.8%	38.8%	23.8%	15.9%	7.9%	20.5%	17.9%	13.6%				
Operating profit	-3.3%	88.5%	35.4%	18.9%	15.7%	29.6%	24.1%	16.3%				
Pre-tax profit	-8.6%	85.0%	37.7%	17.5%	11.9%	28.6%	23.7%	16.0%				
Net profit	-3.3%	130.6%	-11.5%	12.7%	20.5%	19.5%	46.2%	-6.1%				
YoY growth												
Revenue	28.8%	30.7%	40.4%	47.8%	50.0%	51.6%	49.6%	50.1%	28.9%	37.5%	50.3%	40.4%
Gross profit	21.0%	61.8%	105.5%	95.5%	114.8%	86.6%	77.8%	74.2%	-4.1%	72.3%	84.7%	60.1%
Operating profit	77.7%	170.8%	261.9%	193.5%	251.0%	141.3%	121.1%	116.3%	143.7%	182.6%	139.2%	80.2%
Pre-tax profit	37.8%	188.0%	244.6%	173.4%	234.9%	132.9%	109.2%	106.5%	92.6%	162.1%	128.5%	78.4%
Net profit	-38.2%	203.3%	188.2%	122.3%	177.1%	43.6%	137.4%	97.8%	3164.4%	250.1%	157.2%	89.0%

Source: BofA Global Research estimates, company data

Price objective basis & risk

Kinsus (KNSUF)
We set our PO at NT$1,450 based on 35x 2H27-1H28E P/E, which is at mid-to-high-end level in its historical trading range (8-40x) since 2013. In our view, the multiple is backed by ROE and operating margin recovery to 36% and 25% in 2027-28E (vs 8% and 10% in 2025-26E).

Upside risks to our PO are (1) tighter ABF supply, (2) increasing adoption of SiP and AiP, (3) lower competition pressure and (4) slow development of alternative technology.

Downside risks are (1) greater ABF expansion from peers, (2) muted SiP/AiP adoption, (3) more severe competition, and (4) unfavorable technology development.

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I, Mike Yang, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
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	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

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Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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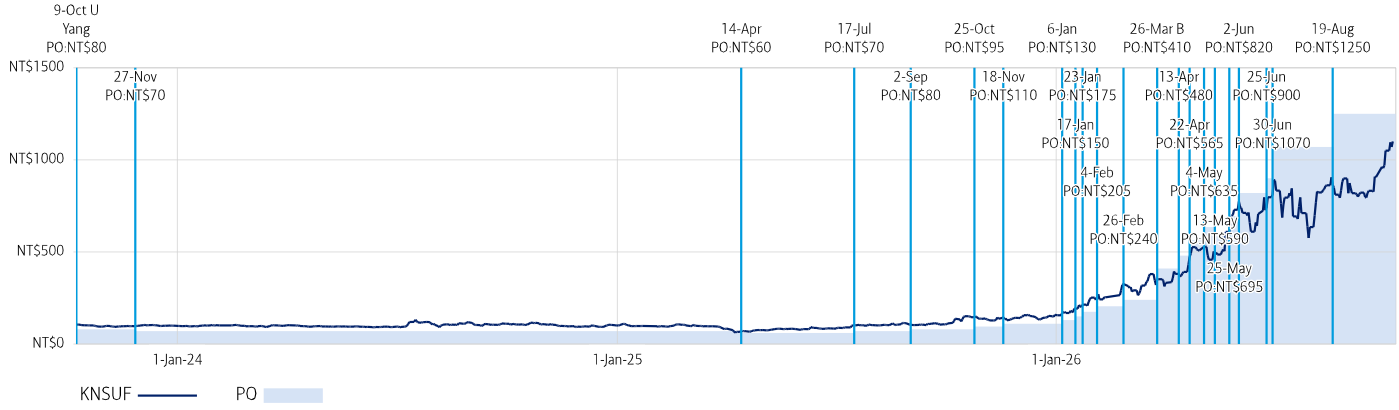
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Kinsus (KNSUF) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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BofA SECURITIES

Unimicron

Extending capacity plan for ABF substrate and better margins in PCB/HDI; Buy

Reiterate Rating: BUY | PO: 1,650 TWD | Price: 1,270 TWD

Raise PO along with the hike in estimates

We raise 2026/27/28E EPS by 5%/12%/10% after baking in a strengthened margin profile, partly thanks to further improved GM (gross margin) in PCB (printed circuit board) and HDI (high density interconnect) business. Our PO goes to NT$1,650 (was NT$1,400) same based on 35x 2H27-1H28E P/E. Reiterate Buy on Unimicron in view of its structurally growing exposure to AI-related (artificial intelligence) products, which in turn bolsters its GM profile in longer-term.

Land acquisition to back long-term capacity growth

Unimicron announced that it bought a land/building located in Hukuo (Hsinchu) from Bridgestone Taiwan, with the amount of NT$10.1bn. Our check with the company suggests that such property will be used for further capacity expansion beyond its YM (Yangmei) site, but the timing for output will only take place in 2030 at earliest. Of note, the company will expand 30+% of its ABF (Ajinomoto build-up film) capacity in 2027 via the KF2 (KuangFu 2) plant, and there will be YM3 capacity coming on stream in 2029 after the expansion YM2 in 2028 backed by 5-year LTA (long-term agreement). For 2027/28 capex, currently we expect to reach NT$40+bn each year.

Rosier margin outlook in PCB/HDI business

Unimicron is one of the major (if not biggest) PCB suppliers to high-end (see report) optical module, where demand growth is expected to remain robust coupled with spec upgrades in the upcoming years. Management cites such business carries 30+% GM currently, while the number by AI HDI in China production lines is moving closer to peers' level. Yet, the PCB/HDI lines in Taiwan still carry lower GM. Currently, we assume its GM in HDI business to reach 20+% from mid-2027, along with the continuous yield/output improvements.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	5,082	6,673	33,655	59,007	102,959
EPS	3.34	4.38	21.18	37.14	64.80
EPS Change (YoY)	-57.6%	31.1%	383.5%	75.3%	74.5%
Consensus EPS (Visible Alpha)			21.07	40.12	66.29
Dividend / Share	1.50	2.00	10.60	18.60	32.40
Free Cash Flow / Share	(10.15)	(6.13)	0.408	18.97	47.72
Valuation (Dec)					
P/E	380.16x	289.90x	59.96x	34.20x	19.60x
Dividend Yield	0.118%	0.157%	0.835%	1.46%	2.55%
EV / EBITDA*	92.49x	183.55x	37.60x	19.45x	12.12x
Free Cash Flow Yield*	-0.741%	-0.448%	0.031%	1.45%	3.64%

* For full definitions of *IQmethod*℠ measures, see page 7.

10 October 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	1,400.00	1,650.00
2026E EPS	19.82	21.18
2027E EPS	32.47	37.14
2028E EPS	58.31	64.80
2026E EBITDA (m)	51,917.0	54,970.7
2027E EBITDA (m)	95,335.5	106,251.2
2028E EBITDA (m)	154,524.1	170,496.9

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Stock Data

Price	1,270 TWD
Price Objective	1,650 TWD
Date Established	10-Oct-2026
Investment Opinion	C-1-7
52-Week Range	144.87 TWD-1,420 TWD
Mrkt Val / Shares Out (mn)	65,281 USD / 1,641.3
Market Value (mn)	2,084,440 TWD
Average Daily Value (mn)	828.37 USD
Free Float	83.6%
BofA Ticker / Exchange	UMCRF / TAI
Bloomberg / Reuters	3037 TT / 3037.TW
ROE (2026E)	27.5%
Net Dbt to Eqty (Dec-2025A)	-18.7%

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iQprofile℠ Unimicron

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	115,373	131,241	192,526	277,718	395,444
Gross Profit	16,315	18,292	51,010	99,431	164,126
Sell General & Admin Expense	(6,156)	(6,619)	(9,078)	(9,895)	(11,292)
Operating Profit	5,117	6,674	34,920	81,615	143,133
Net Interest & Other Income	2,204	2,153	8,794	1,453	1,553
Associates	NA	NA	NA	NA	NA
Pretax Income	7,321	8,827	43,714	83,067	144,685
Tax (expense) / Benefit	(1,765)	(1,277)	(7,520)	(16,861)	(29,199)
Net Income (Adjusted)	5,082	6,673	33,655	59,007	102,959
Average Fully Diluted Shares Outstanding	1,521	1,523	1,589	1,589	1,589
Key Cash Flow Statement Data					
Net Income	5,082	6,673	33,655	59,007	102,959
Depreciation & Amortization	17,231	4,587	20,051	24,636	27,364
Change in Working Capital	(5,229)	(4,449)	(12,952)	(17,996)	(24,875)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(6,791)	8,156	13,595	7,003	12,883
Cash Flow from Operations	10,294	14,967	54,349	72,650	118,331
Capital Expenditure	(25,735)	(24,307)	(53,700)	(42,500)	(42,500)
(Acquisition) / Disposal of Investments	(3,050)	1,730	0	0	0
Other Cash Inflow / (Outflow)	(445)	(440)	0	0	0
Cash Flow from Investing	(29,230)	(23,018)	(53,700)	(42,500)	(42,500)
Shares Issue / (Repurchase)	0	2,150	0	0	0
Cost of Dividends Paid	(4,575)	(2,295)	(3,178)	(16,843)	(29,555)
Cash Flow from Financing	8,336	19,073	(3,178)	(16,843)	(29,555)
Free Cash Flow	(15,441)	(9,340)	649	30,150	75,831
Net Debt	(14,657)	(20,008)	(17,479)	(30,786)	(77,063)
Change in Net Debt	22,021	3,162	2,529	(13,307)	(46,277)
Key Balance Sheet Data					
Property, Plant & Equipment	120,536	125,866	159,515	177,379	192,515
Other Non-Current Assets	23,442	24,628	29,169	29,169	29,169
Trade Receivables	23,617	27,570	40,444	58,340	83,071
Cash & Equivalents	43,753	54,872	52,343	65,650	111,926
Other Current Assets	19,499	22,856	27,358	33,154	41,512
Total Assets	230,847	255,792	308,829	363,691	458,193
Long-Term Debt	21,909	24,019	24,019	24,019	24,019
Other Non-Current Liabilities	NA	NA	NA	NA	NA
Short-Term Debt	7,188	10,845	10,845	10,845	10,845
Other Current Liabilities	102,163	113,921	136,481	149,179	170,277
Total Liabilities	131,260	148,785	171,345	184,043	205,140
Total Equity	99,587	107,007	137,484	179,648	253,052
Total Equity & Liabilities	230,847	255,792	308,829	363,691	458,193
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	3.2%	4.2%	18.4%	33.6%	45.5%
Return On Equity	5.2%	6.5%	27.5%	37.2%	47.6%
Operating Margin	4.4%	5.1%	18.1%	29.4%	36.2%
EBITDA Margin	19.4%	8.6%	28.6%	38.3%	43.1%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	2.0x	2.2x	1.6x	1.2x	1.1x
Asset Replacement Ratio	1.5x	5.3x	2.7x	1.7x	1.6x
Tax Rate (Reported)	24.1%	14.5%	17.2%	20.3%	20.2%
Net Debt-to-Equity Ratio	-14.7%	-18.7%	-12.7%	-17.1%	-30.5%
Interest Cover	4.0x	5.2x	27.4x	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Electronics

Company Description

Unimicron (3037 TT) was founded in 1990 and listed on the Taiwan Stock Exchange in 1998. The firm manufactures a wide range of PCB and IC substrates for consumer electronics, industrial, and automotive. It is also the leading ABF supplier globally. The company merged with Phoenix Precision Technology (PPT, delisted) in 2009 and expanded its exposure in the IC substrate business. UMC is the biggest shareholder in Unimicron with a 13.3% stake.

Investment Rationale

We have a Buy rating on Unimicron in view of strong demand from AI accelerators (especially ASICs), which we expect to boost the utilization rate of the ABF substrate business from 2H26, in turn bolstering the company's margin profile and profitability going into 2027.

Stock Data

Price to Book Value	15.2x

Exhibit 1: Earnings estimate change
We raise 2026-28E EPS by 7-14% after baking in the assumptions of stronger revenue growth and operating leverage

(NT$mn)	BofA 26 (E)			BofA 27 (E)			BofA 28 (E)		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	192,526	188,122	2.3	277,718	266,337	4.3	395,444	376,002	5.2
Gross profit	51,010	47,910	6.5	99,431	88,961	11.8	164,126	149,767	9.6
Gross margin	*26.5%*	*25.5%*	1.0 ppt	*35.8%*	*33.4%*	2.4 ppt	*41.5%*	*39.8%*	1.7 ppt
Operating profit	34,920	31,866	9.6	81,615	71,116	14.8	143,133	128,688	11.2
Operating margin	*18.1%*	*16.9%*	1.2 ppt	*29.4%*	*26.7%*	2.7 ppt	*36.2%*	*34.2%*	2.0 ppt
Pretax income	43,714	40,660	7.5	83,067	72,569	14.5	144,685	130,241	11.1
Pretax margin	*22.7%*	*21.6%*	1.1 ppt	*29.9%*	*27.2%*	2.7 ppt	*36.6%*	*34.6%*	1.9 ppt
Net income	33,655	31,487	6.9	59,007	51,600	14.4	102,959	92,653	11.1
Net margin	*17.5%*	*16.7%*	0.7 ppt	*21.2%*	*19.4%*	1.9 ppt	*26.0%*	*24.6%*	1.4 ppt
EPS (NT$)	21.18	19.82	6.9	37.14	32.47	14.4	64.80	58.31	11.1

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: BofAe vs consensus
We are 8-10% lower vs consensus for 2027-28E EPS, given the assumption of higher tax rate

(NT$mn)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	192,526	184,975	4.1	277,718	277,398	0.1	395,444	383,627	3.1
Gross profit	51,010	47,946	6.4	99,431	100,207	-0.8	164,126	160,448	2.3
Gross margin	*26.5%*	*25.9%*	0.6 ppt	*35.8%*	*36.1%*	-0.3 ppt	*41.5%*	*41.8%*	-0.3 ppt
Operating profit	34,920	31,138	12.1	81,615	78,728	3.7	143,133	137,324	4.2
Operating margin	*18.1%*	*16.8%*	1.3 ppt	*29.4%*	*28.4%*	1.0 ppt	*36.2%*	*35.8%*	0.4 ppt
Pretax income	43,714	42,401	3.1	83,067	80,896	2.7	144,685	135,972	6.4
Pretax margin	*22.7%*	*22.9%*	-0.2 ppt	*29.9%*	*29.2%*	0.7 ppt	*36.6%*	*35.4%*	1.1 ppt
Net income	33,655	34,238	-1.7	59,007	65,190	-9.5	102,959	112,125	-8.2
Net margin	*17.5%*	*18.5%*	-1.0 ppt	*21.2%*	*23.5%*	-2.3 ppt	*26.0%*	*29.2%*	-3.2 ppt
EPS (NT$)	21.18	21.55	-1.7	37.14	41.03	-9.5	64.80	70.57	-8.2

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 3: Income statement
We expect the firm to record 40+% revenue CAGR during 2026-28

(NT$mn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	**37,446**	**42,890**	**52,652**	**59,538**	**61,359**	**65,132**	**72,195**	**79,032**	**131,241**	**192,526**	**277,718**	**395,444**
COGS	-30,720	-32,252	-37,761	-40,783	-42,083	-42,908	-45,565	-47,731	-112,949	-141,516	-178,286	-231,318
Gross Profit	**6,726**	**10,638**	**14,891**	**18,755**	**19,277**	**22,224**	**26,630**	**31,301**	**18,292**	**51,010**	**99,431**	**164,126**
Operating expenses	**-3,969**	**-3,987**	**-4,051**	**-4,083**	**-4,124**	**-4,368**	**-4,539**	**-4,786**	**-11,618**	**-16,090**	**-17,817**	**-20,993**
SG&A	-2,382	-2,130	-2,252	-2,314	-2,299	-2,418	-2,515	-2,663	-6,619	-9,078	-9,895	-11,292
R&D	-1,587	-1,857	-1,799	-1,769	-1,825	-1,950	-2,024	-2,123	-4,999	-7,012	-7,922	-9,702
Operating income	**2,757**	**6,651**	**10,840**	**14,672**	**15,153**	**17,856**	**22,091**	**26,515**	**6,674**	**34,920**	**81,615**	**143,133**
Non-operating income	**3,542**	**8,925**	**-4,137**	**463**	**1,413**	**1,413**	**-687**	**-687**	**2,153**	**8,794**	**1,453**	**1,553**
Interest income	-319	-319	-319	-319	-319	-319	-319	-319	-1,287	-1,274	-1,274	-1,274
Investment income	-10	9,150	-4,600	0	0	0	0	0	-50	4,540	0	0
Others	3,870	94	782	782	1,732	1,732	-368	-368	3,489	5,527	2,727	2,827
Pre-tax profit	**6,299**	**15,576**	**6,703**	**15,135**	**16,566**	**19,269**	**21,404**	**25,828**	**8,827**	**43,714**	**83,067**	**144,685**
Tax	-918	-2,234	-1,341	-3,027	-2,485	-3,468	-4,709	-6,199	-1,277	-7,520	-16,861	-29,199
Net income	**5,043**	**13,115**	**4,779**	**10,718**	**12,711**	**14,207**	**14,832**	**17,257**	**6,673**	**33,655**	**59,007**	**102,959**
EPS (NT$)	**3.28**	**8.53**	**3.01**	**6.75**	**8.00**	**8.94**	**9.33**	**10.86**	**4.38**	**21.18**	**37.14**	**64.80**
Margin												
Gross margin	18.0%	24.8%	28.3%	31.5%	31.4%	34.1%	36.9%	39.6%	13.9%	26.5%	35.8%	41.5%
Operating margin	7.4%	15.5%	20.6%	24.6%	24.7%	27.4%	30.6%	33.6%	5.1%	18.1%	29.4%	36.2%
Pre-tax margin	16.8%	36.3%	12.7%	25.4%	27.0%	29.6%	29.6%	32.7%	6.7%	22.7%	29.9%	36.6%
Net margin	13.5%	30.6%	9.1%	18.0%	20.7%	21.8%	20.5%	21.8%	5.1%	17.5%	21.2%	26.0%
QoQ growth												
Revenue	7.9%	14.5%	22.8%	13.1%	3.1%	6.1%	10.8%	9.5%				
Gross profit	22.9%	58.2%	40.0%	25.9%	2.8%	15.3%	19.8%	17.5%				
Operating profit	16.5%	141.3%	63.0%	35.3%	3.3%	17.8%	23.7%	20.0%				
Pre-tax profit	51.8%	147.3%	-57.0%	125.8%	9.5%	16.3%	11.1%	20.7%				
Net profit	42.7%	160.1%	-63.6%	124.2%	18.6%	11.8%	4.4%	16.3%				
YoY growth												
Revenue	24.5%	32.1%	54.9%	71.6%	63.9%	51.9%	37.1%	32.7%	13.8%	46.7%	44.2%	42.4%
Gross profit	67.1%	150.6%	227.4%	242.7%	186.6%	108.9%	78.8%	66.9%	12.1%	178.9%	94.9%	65.1%
Operating profit	117.6%	340.6%	607.3%	520.2%	449.7%	168.5%	103.8%	80.7%	30.4%	423.2%	133.7%	75.4%
Pre-tax profit	358.6%	4266.1%	127.5%	264.7%	163.0%	23.7%	219.3%	70.6%	20.6%	395.2%	90.0%	74.2%
Net profit	451.4%	44196.8%	117.8%	203.2%	152.1%	8.3%	210.3%	61.0%	31.3%	404.3%	75.3%	74.5%

Source: BofA Global Research estimates, company data

Price objective basis & risk

Unimicron (UMCRF)
Our PO of NT$1,650 is based on 35x 2H27-1H28E, which is roughly 1 standard deviation above the historical average of 20x since 2017. In our view, the multiple is appropriate, as we expect Unimicron's earnings to be supported by its high-end technology offerings, where end market demand seems more resilient.

Upside risks are (1) tighter ABF supply, (2) greater PC and regular server demand, and (3) lower competition pressure.

Downside risks are (1) greater ABF expansion from peers, (2) lower ASP content increase at AI server, and (3) bigger drop in the demand of consumer electronic products.

Analyst Certification

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
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	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
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	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

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Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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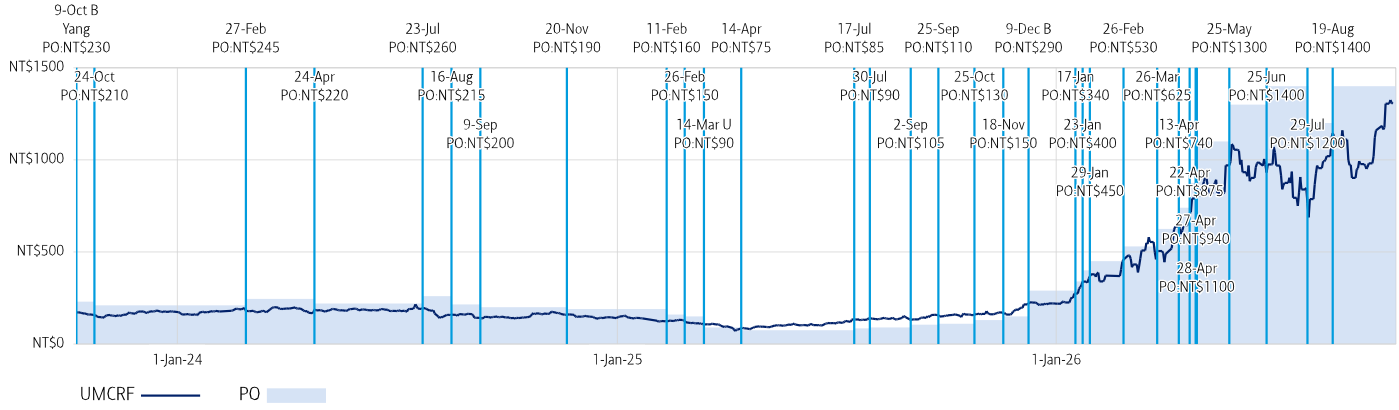
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Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	41	65.08%	Buy	20	48.78%
Hold	9	14.29%	Hold	1	11.11%
Sell	13	20.63%	Sell	7	53.85%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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Daiwa Capital Markets Hong Kong Limited

Asia Foundry

A paradigm shift in specialty nodes

- A ripple effect in demand from advanced to specialty foundries spurred by AI scaling from compute to power/connectivity
- Likely paradigm shift in the foundry industry driven by TSMC's fab optimisation augmenting demand for specialty nodes
- Reaffirming our Positive stance on the sector and initiating coverage of VIS, which we expect to benefit from this paradigm shift

Negative | Neutral | **Positive**

Positive (unchanged)

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What's new: TSMC at its series of *results calls* delivered not only escalated business guidance but its effort of fab optimisation to address supply constraints driven by accelerated AI HPC demand. This, together with a ripple effect from advanced to specialty foundry demand spurred by AI scaling from compute to power and connectivity, will likely shift the paradigm in the industry, unlocking demand for specialty nodes which we expect to structurally benefit peers from 2H26. Among TSMC's peers we cover offering specialty foundry works, we initiate coverage of Vanguard International Semiconductor (VIS) with an Outperform (2) rating and 12M TP of TWD210, as we believe VIS is benefiting from this paradigm shift.

What's the impact: **AI scaling spurring specialty foundry demand.** Flagged in our series of *AI thematic reports* since 2023, we envision the AI buildout a multi-year cycle scaling from generative to agentic to physical, and from cloud to edge to ubiquitous. The scaling is not only spurring demand for core chips benefiting advanced foundries but companion chips benefiting specialty foundries, in order to facilitate the entire ecosystem of compute, connectivity, and power. Since many AI companion chips do not require advanced nodes, second-tier foundries have followed TSMC as the second-wave beneficiary on the AI ramp, seeing improved capacity utilisation with improved pricing power, per our market research, thanks to a ripple effect in the specialty foundry demand which should help push utilisation higher into 2027 to reach full levels.

Augmented by TSMC's fab optimisation. We expect such a ripple effect to be further augmented by TSMC's fab optimisation, in order to address a supply shortfall in the advanced foundries caused by the strong AI HPC demand. This looks set to shift the paradigm in the foundry industry, structurally benefiting peers' operating specialty nodes. We expect the fab optimisation to unlock business worth of c.USD3bn pa, or c.40% of UMC's 2025 revenue, with spillover taking effect from this year and ramping into 2027-28E, considering different timings of TSMC's fab closures and associated lead times for customer qualifications of alternative fabs.

What we recommend: Among the specialty foundries under our coverage in Asia, we initiate on VIS with an Outperform (2) rating and expect it to benefit from this paradigm shift, in addition to UMC (Hold [3]). HHGrace (Buy [1]) and SMIC (Sell [5]) should also benefit, yet to a lesser extent for the latter due to geopolitical issues.

How we differ: We believe we are one of few brokers quantifying business potential from TSMC's fab optimisation to the second-tier foundries.

Key stock calls

	New	Prev.
Taiwan Semiconductor Manufacturing (2330 TT)		
Rating	**Buy**	Buy
Target	**3,000.00**	3,000.00
Upside ▲	**16.1%**	
United Microelectronics (2303 TT)		
Rating	**Hold**	Hold
Target	**145.00**	108.00
Downside ▼	**2.4%**	
Semiconductor Manufacturing Int'l Corp (981 HK)		
Rating	**Sell**	Sell
Target	**40.00**	40.00
Downside ▼	**34.3%**	
Hua Hong Grace Semiconductor (1347 HK)		
Rating	**Buy**	Buy
Target	**139.00**	139.00
Upside ▲	**32%**	
Vanguard International Semiconductor (5347 TT)		
Rating	**Outperform**	
Target	**210.00**	
Upside ▲	**10.5%**	

Source: Daiwa forecasts

Sector stocks: key indicators

								EPS (local curr.)					
		Share	Rating		Target price (local curr.)			FY1			FY2		
Company Name	Stock code	Price	New	Prev.	New	Prev.	% chg	New	Prev.	% chg	New	Prev.	% chg
Hua Hong Grace Semiconductor	1347 HK	105.30	Buy	Buy	139.00	139.00	0.0%	0.106	0.106	0.0%	0.154	0.154	0.0%
Semiconductor Manufacturing Int'l Corp	981 HK	60.90	Sell	Sell	40.00	40.00	0.0%	0.175	0.175	0.0%	0.204	0.204	0.0%
Taiwan Semiconductor Manufacturing	2330 TT	2,585.00	Buy	Buy	3,000.00	3,000.00	0.0%	109.608	109.612	(0.0%)	134.693	134.687	0.0%
United Microelectronics	2303 TT	148.50	Hold	Hold	145.00	108.00	34.3%	7.222	7.112	1.5%	7.099	5.826	21.9%
Vanguard International Semiconductor	5347 TT	190.00	Outperform		210.00			5.896			7.919		

Source: Bloomberg, Daiwa forecasts; note: share prices in local currency as of close on 7 October 2026

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A paradigm shift in specialty nodes

AI scaling augmented by fab optimisation for a paradigm shift in the foundry industry benefiting specialty nodes

TSMC at its series of quarterly results calls this year (*Too good to be true? (II)*, 16 April; *Yes, it's good and it's true*, 16 July) delivered not only escalated business guidance but its strategy of fab optimisation, in order to address supply constraints driven by rapidly growing demand for AI high-performance compute (HPC) chips that require advanced technology nodes. We view its fab optimisation as likely shifting the paradigm in the foundry industry, unlocking demand for specialty process nodes structurally benefiting peers from this year. TSMC's fab optimisation should help augment a ripple effect in demand being spurred by AI scaling from compute to power and connectivity, ever since this multi-year AI buildout cycle began from 2023 after OpenAI's ChatGPT dropped from the air.

Initiating coverage of VIS with an Outperform (2) call in this report

Among TSMC's peers we cover offering specialty foundry works, we see Vanguard International Semiconductor (VIS) as benefiting from this paradigm shift, thus initiating our coverage of the stock with an Outperform (2) rating and 12M TP of TWD210. Elsewhere, we believe UMC will benefit from this shift, thus raising our forecasts in this report, though we are comfortable with our Hold (3) rating on valuation grounds. While Huahong Grace Semiconductor (HHGrace; rated Buy [1]) stands to benefit from China's AI developments, we see SMIC (rated Sell [5]) also benefiting, but to a lesser extent, due to geopolitical issues such as the US's export controls prolonging its advanced technology developments.

AI scaling spurring specialty foundry demand

As flagged in our series of AI thematic reports since 2023 (*Let's talk about AI or … bubble?* 11 July 2023, *Let's talk about AI, not bubble*, 25 October 2024, and *Let's talk more about AI, ASIC AI this time*, 1 July 2025), we have envisioned the AI buildout a multi-year cycle scaling vertically by language from generative (data training) to agentic (data inference) to ultimately physical AI, and scaling horizontally by application from cloud to edge to ultimately ubiquitous AI (ie, AI everywhere).

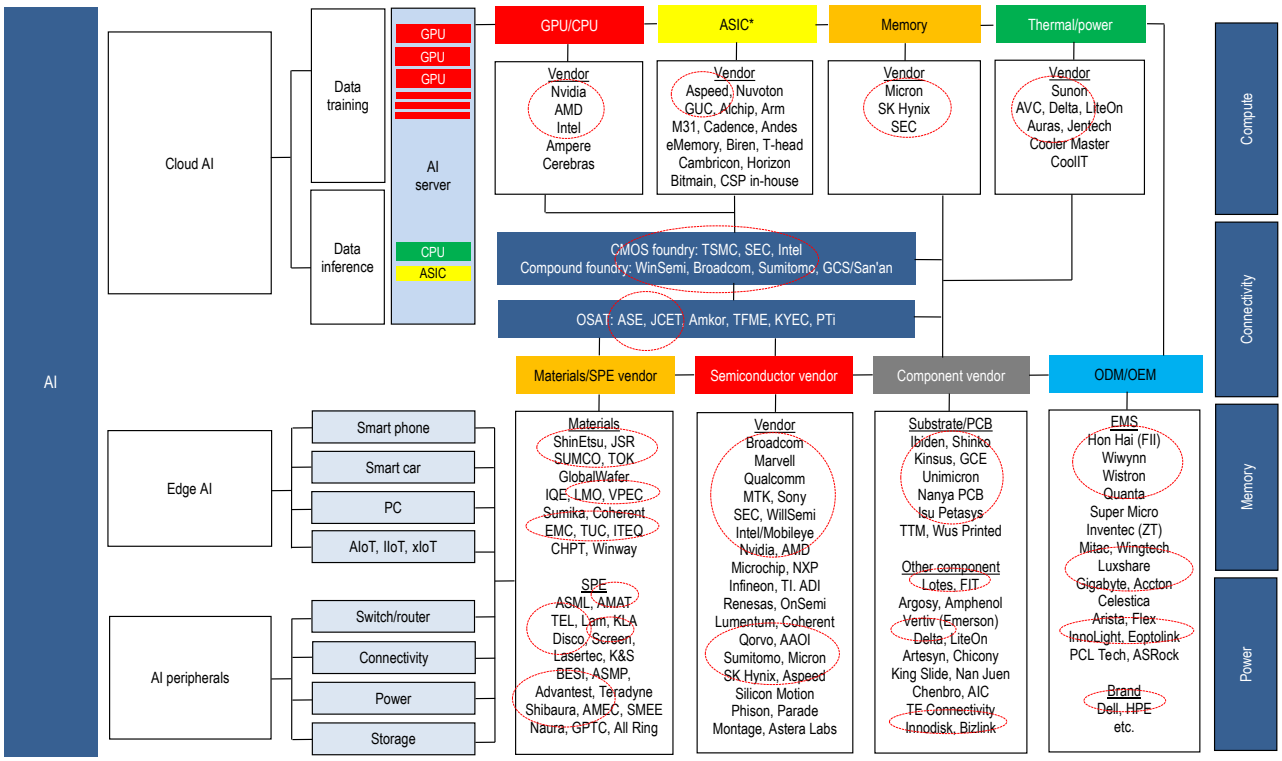
Ever since late-2022 when OpenAI's ChatGPT dropped from the air, followed by Nvidia kicking off the AI build from 2023, this multi-year AI scaling has not only spurred demand for core chips such as GPU and application specific IC (ASIC) as accelerators benefiting advanced foundries, but for companion chips such as optical engines, drivers, super transimpedance amplifier (TIA), digital signal processor (DSP), and power semiconductors benefiting specialty foundries, in order to facilitate the entire AI ecosystem of compute, connectivity, and power, as well as memory, illustrated in a chart next page.

CUR at second-tier foundries are improving as many AI companion chips don't require advanced nodes

Many AI companion chips do not require advanced process nodes but specialty technologies such as silicon-germanium (SiGe), silicon-on-insulator (SoI), and bipolar-CMOS-DMOS (BCD) with a variety of heavily doped wafer materials such as gallium-nitride (GaN), GaN-on-silicon and GaN-on-silicon-carbide (SiC) handling a variety of different voltage currents ranging from a few volts to over 1,000v. Therefore, we have seen improved capacity utilisation rates (CUR) across the second-tier foundries since the start of the year which offer these specialty technologies, following TSMC as the second-wave beneficiary on the AI ramps, thanks to a ripple effect in the specialty foundry demand which should help push the second-tier CUR higher through 2027 to reach full levels, according to our market research.

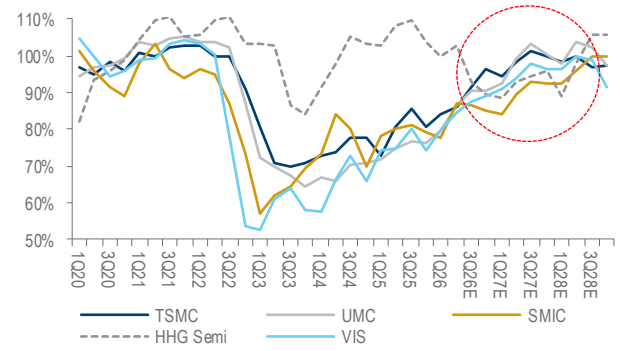
As illustrated in a chart next page, we expect the CUR among the second-tier foundries of UMC, HHGrace, and VIS, following the trough in 1Q23 on the post-COVID inventory correction, to follow TSMC's trajectory, accelerating in 2H26E to 90% or above and reaching the 100% level through most time of 2027-28E, resulting in improved pricing power for the like-to-like price hikes varied in different timings.

A broad-based AI ecosystem and key supply-chain players



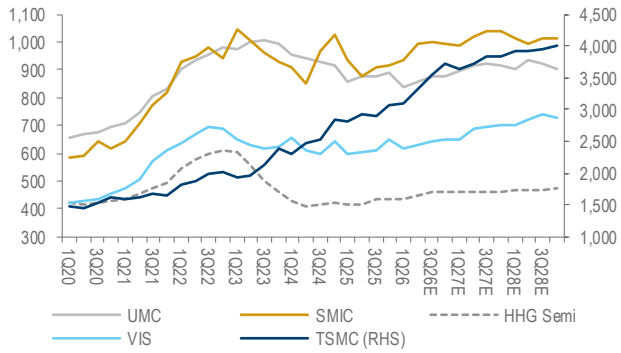
Source: Daiwa
*Note: * ASIC includes a variety of customized chips such as xPU, BMC and HSI controller (PCIe, SATA); CSP = cloud service provider*

Asia Foundry: capacity utilisation trends among foundry majors*



Source: Companies, Daiwa estimates and forecasts
*Note: * wafer shipment divided by installed capacity, not wafer output*

Asia Foundry: blended ASP trends among foundry majors*



Source: Companies, Daiwa estimates and forecasts
*Note: * in USD terms on 8" equivalent basis for the like-to-like comparison*

Augmented by TSMC's fab optimisation

TSMC's fab optimisation looks set to further augment the AI demand ripple effect

We expect such a ripple effect in the specialty foundry demand to be further augmented by TSMC's fab optimisation, in which the foundry leader aims to address a supply shortfall in the advanced foundry works caused by the strong AI HPC demand, including AI CPU, all types of xPU as accelerators and base dies for high bandwidth memory (HBM), by TSMC's definition. We expect its optimisation strategy to likely shift the paradigm in the foundry industry structurally to benefit peers operating specialty process nodes.

TSMC: expected schedule of mature fab closures

Wafer fab	Location	Wafer size	Process node	Capacity (wpm*)	Note
Fab 2	Hsinchu Science Park	6"	0.5-0.8u	85,000	
Fab 5	Hsinchu Science Park	8"	0.15-0.35u	50,000	
Subtotal (8" equivalent)				97,813	40%+ of VIS revenue
Fab 15/P3	Taichung Science Park	12"	28/22/20nm	50,000	c.30% of UMC revenue
Total (12" equivalent)				93,472	

Source: Company, Daiwa estimates
*Note: * wpm = wafers per month*

According to our market research, in order to accommodate more advanced packaging capacity such as chip-on-wafer-on-substrate (CoWoS), TSMC is shutting down one 6" fab (Fab 2) and one 8" fab (Fab 5) this year with a combined capacity of c.98k wafers per month (wpm) in 8" equivalent size (ie, 200mm in wafer diameter). Covering process nodes ranging from 0.8u to 0.15u, closures of the 2 mature fabs will likely unlock business ranging from USD700m to USD800m pa, depending on the average selling prices (ASP) for different nodes ranging from USD250 for 0.8u to more than USD700 for 0.15u, on our estimates, or more than 40% of VIS's 2025 revenue. We see VIS as the key beneficiary from this fab optimisation, given its strategic ties with TSMC.

TSMC's fab optimisation may unlock c.USD3bn in business pa

We further expect TSMC to close one 12" mega-fab in Taichung Science Park named Fab 15/P3 and convert it to accommodate more advanced capacity of N3, in order to meet the strong AI HPC demand. This mega-fab consists 2 phases thus operating a combined capacity of c.50k wpm in 300mm size, on our estimates, with process nodes mainly focused on 28/22/20nm for ASP ranging from USD3,800 to USD4,000. Therefore, the closure will likely unlock business of USD2.3bn pa on average, or c.30% of UMC's 2025 revenue. UMC and GlobalFoundries (GF) look well positioned to benefit here as both operate the 28/22nm process nodes. All together, we reckon the foundry leader's fab optimisation will likely unlock extra business worth of USD3bn pa, or nearly 40% of UMC's 2025 revenue, with likely an order spillover taking effect from this year and ramping into 2027-28, considering TSMC's different timings of fab closures and associated lead times for customers to qualify alternative fabs which should typically take 9-12 months.

Stock recommendations

Among the specialty foundries under our coverage, our preference goes to VIS and HHGrace

Among the specialty foundries under our coverage, we expect VIS to benefit from this likely paradigm shift thanks to its historical ties with TSMC which has strategically helped transform VIS's business from memory to mixed-signal processes and further advance it to value-add power semiconductors capitalising on the multi-year AI scaling. UMC stands to benefit from this scaling with its specialty foundry offerings and active 28/22nm ramps, though we view investors largely pricing in this potential. We expect HHGrace and SMIC to benefit from this AI scaling, but less than their Taiwan counterparts especially for SMIC, due to the geopolitical issues such as export controls and AI regulations from the US diluting the scaling benefit as the world appears to be divided into "China for China" and "non-China for non-China", in terms of the semiconductor supply chain.

Key downside risks to our Positive stance on the sector are "silicon inflation" in the supply chain and geopolitical overhangs (war, tariff, interest rate) leading to global inflation and AI capex cuts. Please refer to the company section for more company-specific details.

We initiate coverage of Vanguard International Semiconductor (VIS) with an Outperform (2) rating and 12M TP of TWD210 by applying our ROE-adjusted PBR target of 5.2x one-year forward BVPS forecast. Key downside risks: 1) current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

We reaffirm our Buy (1) rating for TSMC and 12M TP of TWD3,000, based on an unchanged ROE-adjusted PBR target of 7.7x on our one-year forward BVPS. Key downside risks are silicon inflation and geopolitical overhangs leading to global inflation and AI capex cuts.

We reaffirm our Buy (1) rating for HHGrace and SOTP-based 12M TP of HKD139. Key downside risk: changes in asset-injection plans.

We maintain our Hold (3) call for UMC but raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x). Upside/ downside risks: price hikes above our expectations/geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

We maintain our Sell (5) rating for SMIC and 12M TP of HKD40, based on our ROE-adjusted PBR target of 1.1x applied to our one-year forward BVPS forecast. Key upside risk to our call would be any positive breakthrough on geopolitics and export controls.

Asian foundry: valuation panel

		Price	Daiwa	PER (x)			PBR (x)			ROE (%)			Earnings growth (%)		
Stock	Ticker	(LC)*	rating	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E
TSMC	2330 TT	2,585.0	Buy (1)	39.0	23.6	19.2	12.4	8.5	6.3	35.4	42.8	37.6	46.4	65.5	22.9
HHGrace	1347 HK	105.3	Buy (1)	n.m.	126.5	87.2	3.5	3.4	3.3	0.9	2.7	3.9	-5.6	235.5	45.2
VIS	5347 TT	190.0	Outperform (2)	44.9	32.2	24.0	5.6	5.3	4.7	12.4	16.8	20.8	12.2	40.1	34.3
UMC	2303 TT	148.5	Hold (3)	44.8	20.6	20.9	4.9	4.8	4.4	11.0	23.6	21.8	-11.6	117.7	-1.7
SMIC	981 HK	60.90	Sell (5)	75.5	44.4	38.1	1.8	1.7	1.6	4.0	6.6	7.1	115.3	71.9	16.6
GlobalFoundries	GFS US	48.07	Not rated	21.9	24.6	18.6	1.6	2.2	2.0	7.8	8.3	10.9	10.3	13.5	32.8
Average				**45.2**	**45.3**	**34.7**	**5.0**	**4.3**	**3.8**	**11.9**	**16.8**	**16.9**	**26.2**	**89.7**	**20.4**

Source: Companies, Bloomberg, Daiwa forecasts
*Note: * Local currency based on closing prices as of 7 October 2026*

When a report covers six or more subject companies please access important disclosures for Daiwa Capital Markets Hong Kong Limited at http://www.hk.daiwacm.com/research_disclaimer.html or contact your investment representative or Daiwa Capital Markets Hong Kong Limited at Level 26, One Pacific Place, 88 Queensway, Hong Kong

Taiwan Semiconductor Manufacturing (2330 TT)

Daiwa Capital Markets Hong Kong Limited

Target price: **TWD3,000.00** (from TWD3,000.00)

Share price (7 Oct): **TWD2,585.00** | Up/downside: **+16.1%**

5 4 3 2 **1**

Buy (unchanged)

The man who cares about the supply chain

- AI scaling is benefiting peers on AI spillover demand
- Fab optimisation looks set to augment the benefit
- Maintain our Buy (1) call and 12M TP of TWD3,000

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What's new: We concur what the chairman said on the *2Q26 results call* that TSMC doesn't sell milk (ie, a commodity), which one can buy at another convenience store. Yet when AI demand is deriving from its leading advanced services vs. the 'milk' one can buy from other convenience stores, peers stand to benefit from a ripple effect in demand on the AI scaling (ie, AI spillover), from core compute to memory to connectivity to power, augmented by TSMC's fab optimisation addressed in the main section of this sector report. That said, as TSMC still under-ships demand in the advanced foundry and backend services, we see a good chance for it to exercise pricing power in 2027, striking a balance between profitability and supply-chain interests. We haven't embedded price hikes in our model, thus keep our forecasts and TP, reaffirming our Buy (1) call.

What's the impact: 3Q26 preview and 4Q26 outlook. We estimate TSMC to have earned 3Q26 EPS of c.TWD28.5, varying not much from the consensus estimate. Monthly revenue came in at TWD982bn (+49% YoY) QTD, reaching 67% of our 3Q26E revenue which we consider as tracking inline. We expect TSMC's 4Q26 revenue to advance 10% QoQ (+54% YoY) to USD50.4bn for an EPS of TWD31.8, also varying not much from the consensus. While we keep our 2027-28 forecasts unchanged, we see upside from a possibility that TSMC would raise wafer prices to mitigate cost pressure from its Arizona operation and materials cost hike across the supply chain. TSMC is scheduled to report on 15 October; we will offer our updates in due course.

Optimisation benefiting supply chain. As addressed in the main sector section of this report, TSMC is closing some of its legacy fabs over 2026-27 to address the supply constraint caused by the strong AI demand for advanced frontend wafer manufacturing and backend packaging & testing technologies. We expect its fab optimisation to unlock businesses worth c.USD3bn pa and benefit peers who offer specialty foundry services. We expect the optimisation to augment a ripple effect in the AI demand on scaling from compute to connectivity to power (AI spillover). We believe TSMC is happy to let go such spillover businesses given its limited bandwidth to handle the advanced foundry and backend demand.

What we recommend: We stick with our 12M TP of TWD3,000 for TSMC, based on an unchanged ROE-adjusted PBR target of 7.7x on our one-year forward BVPS. We maintain Buy (1) with downside risks of silicon inflation and geopolitical overhangs leading to global inflation and AI capex cuts.

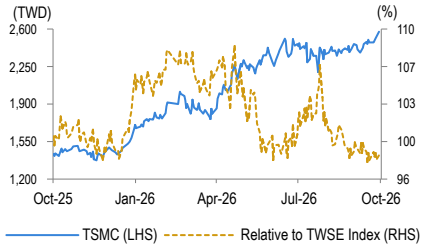
How we differ: Our 2028E EPS looks 15% below Bloomberg consensus likely due to our view calling for a soft-landing in the chip cycle.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	-
Net profit change	-	-	-
Core EPS (FD) change	-	-	-

Source: Daiwa forecasts

Share price performance



12-month range	1,375.00-2,585.00
Market cap (USDbn)	2,107.13
3m avg daily turnover (USDm)	1,977.91
Shares outstanding (m)	25,932
Major shareholder	National Development Fund (6.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	5,482,671	6,896,580	7,707,441
Operating profit (m)	3,235,950	4,030,657	4,425,491
Net profit (m)	2,842,354	3,492,859	3,883,975
Core EPS (fully-diluted)	109.608	134.693	149.775
EPS change (%)	65.5	22.9	11.2
Daiwa vs Cons. EPS (%)	2.9	(4.5)	(15.0)
PER (x)	23.6	19.2	17.3
Dividend yield (%)	1.0	1.1	1.2
DPS	26.0	28.0	30.0
PBR (x)	8.5	6.3	4.8
EV/EBITDA (x)	15.9	12.2	10.3
ROE (%)	42.8	37.6	31.7

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 43

Company

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilization (%)	102	98	73	76	80	90	99	98
Blended ASP (USD)	1,642	1,933	2,101	2,546	2,930	3,439	3,764	3,950
Wafer shipment (8" equ., '000)	31,902	34,320	27,005	29,051	33,802	40,868	47,076	50,155

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	1,463,157	1,979,286	1,770,430	2,378,253	3,079,347	4,473,682	5,670,880	6,337,629
Sub & Other Revenue	124,258	284,605	391,305	516,054	729,707	1,008,988	1,225,702	1,369,813
Other Revenue	0	0	0	0	0	1	(1)	(0)
Total Revenue	**1,587,415**	**2,263,891**	**2,161,736**	**2,894,308**	**3,809,054**	**5,482,671**	**6,896,580**	**7,707,441**
Other income	0	0	0	0	0	0	0	0
COGS	(767,878)	(915,536)	(986,625)	(1,269,954)	(1,527,760)	(1,799,646)	(2,297,170)	(2,649,940)
SG&A	(44,822)	(63,813)	(71,275)	(98,119)	(98,775)	(117,396)	(154,960)	(169,564)
Other op.expenses	(124,735)	(163,262)	(182,370)	(204,182)	(246,427)	(329,678)	(413,795)	(462,446)
Operating profit	**649,981**	**1,121,279**	**921,466**	**1,322,053**	**1,936,092**	**3,235,950**	**4,030,657**	**4,425,491**
Net-interest inc./(exp.)	488	10,672	48,295	76,718	93,369	121,900	162,500	237,920
Assoc/forex/extraord./others	12,657	12,239	9,411	7,068	12,202	73,622	10,043	10,446
Pre-tax profit	**663,126**	**1,144,190**	**979,171**	**1,405,839**	**2,041,663**	**3,431,472**	**4,203,200**	**4,673,856**
Tax	(66,053)	(127,290)	(141,404)	(233,407)	(326,266)	(590,459)	(714,544)	(794,556)
Min. int./pref. div./others	(533)	(370)	730	836	2,486	1,341	4,203	4,674
Net profit (reported)	**596,540**	**1,016,530**	**838,498**	**1,173,268**	**1,717,883**	**2,842,354**	**3,492,859**	**3,883,975**
Net profit (adjusted)	**596,540**	**1,016,530**	**838,498**	**1,173,268**	**1,717,883**	**2,842,354**	**3,492,859**	**3,883,975**
EPS (reported)(TWD)	**23.005**	**39.204**	**32.334**	**45.252**	**66.255**	**109.608**	**134.693**	**149.775**
EPS (adjusted)(TWD)	**23.005**	**39.204**	**32.334**	**45.252**	**66.255**	**109.608**	**134.693**	**149.775**
EPS (adjusted fully-diluted)(TWD)	**23.006**	**39.203**	**32.334**	**45.242**	**66.243**	**109.608**	**134.693**	**149.775**
DPS (TWD)	**10.250**	**11.001**	**11.249**	**14.003**	**18.003**	**26.000**	**28.000**	**30.000**
EBIT	**649,981**	**1,121,279**	**921,466**	**1,322,053**	**1,936,092**	**3,235,950**	**4,030,657**	**4,425,491**
EBITDA	**1,072,375**	**1,558,533**	**1,453,657**	**1,984,848**	**2,624,188**	**4,050,803**	**5,133,818**	**5,827,702**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	663,126	1,144,190	979,171	1,405,839	2,041,663	3,431,472	4,203,200	4,673,856
Depreciation and amortisation	422,395	437,254	532,191	662,795	688,096	814,853	1,103,162	1,402,211
Tax paid	(66,053)	(127,290)	(141,404)	(233,407)	(326,266)	(590,459)	(714,544)	(794,556)
Change in working capital	(100,384)	(53,286)	324	(90,088)	160	(270,000)	(35,000)	(175,000)
Other operational CF items	193,077	209,731	(128,316)	81,038	(128,677)	(5,171)	(2,634)	(2,505)
Cash flow from operations	**1,112,161**	**1,610,599**	**1,241,967**	**1,826,177**	**2,274,976**	**3,380,696**	**4,554,184**	**5,104,007**
Capex	(839,196)	(1,082,672)	(949,817)	(956,008)	(1,272,411)	(1,964,013)	(1,960,003)	(2,161,145)
Net (acquisitions)/disposals	4,676	(128,712)	(55,781)	(57,882)	(37,079)	738	0	0
Other investing CF items	(1,847)	20,456	99,477	149,047	165,097	0	0	0
Cash flow from investing	**(836,366)**	**(1,190,928)**	**(906,121)**	**(864,843)**	**(1,144,393)**	**(1,963,274)**	**(1,960,003)**	**(2,161,145)**
Change in debt	(1,090)	(1,730)	(17,407)	21,601	(46,362)	(136,926)	(128,434)	(109,169)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(265,786)	(285,234)	(291,722)	(363,055)	(466,779)	(674,232)	(726,096)	(777,960)
Other financing CF items	(3,622)	59,198	10,284	8,054	(64,022)	0	0	0
Cash flow from financing	**(270,499)**	**(227,766)**	**(298,844)**	**(333,399)**	**(577,163)**	**(811,158)**	**(854,530)**	**(887,129)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**5,296**	**191,905**	**37,002**	**627,935**	**553,420**	**606,264**	**1,739,651**	**2,055,732**
Free cash flow	272,965	527,927	292,151	870,169	1,002,565	1,416,683	2,594,181	2,942,861

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,188,442	1,561,483	1,687,644	2,422,009	3,068,595	3,674,120	5,413,771	7,469,504
Inventory	193,102	221,149	250,997	287,869	288,109	398,109	458,109	508,109
Accounts receivable	207,637	231,409	201,938	272,088	281,791	461,791	466,791	596,791
Other current assets	17,892	38,856	53,453	106,387	178,635	180,000	30,000	30,000
Total current assets	**1,607,073**	**2,052,897**	**2,194,033**	**3,088,352**	**3,817,131**	**4,714,021**	**6,368,672**	**8,604,404**
Fixed assets	1,975,119	2,693,837	3,064,475	3,234,980	3,691,841	5,187,203	6,400,151	7,379,748
Goodwill & intangibles	113,927	149,117	144,421	219,565	251,682	179,500	189,200	194,000
Other non-current assets	29,385	68,928	129,442	149,040	172,370	172,370	172,370	172,370
Total assets	**3,725,503**	**4,964,779**	**5,532,371**	**6,691,938**	**7,933,024**	**10,253,094**	**13,130,393**	**16,350,523**
Short-term debt	127,171	19,314	9,293	59,858	136,926	128,434	109,169	92,794
Accounts payable	48,911	56,522	57,293	74,227	84,330	104,330	134,330	139,330
Other current liabilities	563,421	868,391	846,997	1,130,441	1,236,763	1,220,430	1,363,338	1,522,250
Total current liabilities	**739,503**	**944,227**	**913,583**	**1,264,525**	**1,458,019**	**1,453,194**	**1,606,838**	**1,754,374**
Long-term debt	610,071	834,336	913,900	926,605	856,228	727,793	618,624	525,831
Other non-current liabilities	205,196	225,727	221,625	177,233	157,982	160,000	165,000	170,000
Total liabilities	**1,554,770**	**2,004,290**	**2,049,108**	**2,368,362**	**2,472,229**	**2,340,987**	**2,390,460**	**2,450,204**
Share capital	259,304	259,304	259,321	259,327	259,325	259,325	259,325	259,325
Reserves/R.E./others	1,908,983	2,686,349	3,199,593	4,029,218	5,160,271	7,610,241	10,433,862	13,589,576
Shareholders' equity	**2,168,287**	**2,945,653**	**3,458,914**	**4,288,545**	**5,419,596**	**7,869,567**	**10,693,187**	**13,848,902**
Minority interests	2,447	14,836	24,349	35,031	41,199	42,540	46,743	51,417
Total equity & liabilities	**3,725,503**	**4,964,779**	**5,532,371**	**6,691,938**	**7,933,024**	**10,253,094**	**13,130,393**	**16,350,523**
EV	66,585,466	66,341,223	66,294,118	65,633,704	64,999,978	64,258,867	62,394,985	60,234,758
Net debt/(cash)	**(451,200)**	**(707,833)**	**(764,451)**	**(1,435,546)**	**(2,075,442)**	**(2,817,893)**	**(4,685,978)**	**(6,850,879)**
BVPS (TWD)	**83.621**	**113.600**	**133.384**	**165.370**	**208.985**	**303.469**	**412.355**	**534.047**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	18.5	42.6	(4.5)	33.9	31.6	43.9	25.8	11.8
EBITDA (YoY)	19.4	45.3	(6.7)	36.5	32.2	54.4	26.7	13.5
Operating profit (YoY)	14.7	72.5	(17.8)	43.5	46.4	67.1	24.6	9.8
Net profit (YoY)	15.2	70.4	(17.5)	39.9	46.4	65.5	22.9	11.2
Core EPS (fully-diluted) (YoY)	15.2	70.4	(17.5)	39.9	46.4	65.5	22.9	11.2
Gross-profit margin	51.6	59.6	54.4	56.1	59.9	67.2	66.7	65.6
EBITDA margin	67.6	68.8	67.2	68.6	68.9	73.9	74.4	75.6
Operating-profit margin	40.9	49.5	42.6	45.7	50.8	59.0	58.4	57.4
Net profit margin	37.6	44.9	38.8	40.5	45.1	51.8	50.6	50.4
ROAE	29.7	39.8	26.2	30.3	35.4	42.8	37.6	31.7
ROAA	18.4	23.4	16.0	19.2	23.5	31.3	29.9	26.3
ROCE	25.5	33.4	22.4	27.2	32.9	42.5	39.8	34.1
ROIC	37.5	50.2	31.7	39.3	51.9	63.2	60.0	56.1
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	10.0	11.1	14.4	16.6	16.0	17.2	17.0	17.0
Accounts receivable (days)	41.7	35.4	36.6	29.9	26.5	24.8	24.6	25.2
Current ratio (x)	2.2	2.2	2.4	2.4	2.6	3.2	4.0	4.9
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	55.1	47.8	34.8	30.9	27.2	23.7	20.8	20.0
Free cash flow yield	0.4	0.8	0.4	1.3	1.5	2.1	3.9	4.4

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in Taiwan in 1987, Taiwan Semiconductor Manufacturing Co. (TSMC) is the world's largest complementary metal oxide semiconductor (CMOS) foundry in revenue terms. TSMC offers foundry services such as wafer masking, fabrication, probing, packaging and testing, to a high variety of customers including fabless chipmakers and IDMs. Its manufacturing fabs are located in Taiwan, China, the US and Singapore.

TSMC: key operating assumptions, quarterly P&L estimates and forecasts

TWDbn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (12" equ) ('000 units)	4,174	4,336	4,691	4,963	4,856	5,147	5,459	5,460	15,023	18,164	20,923	22,291
Capacity utilisation*	84%	86%	92%	97%	95%	98%	101%	100%	80%	90%	99%	98%
Blended ASP (USD)	6,937	7,500	8,014	8,358	8,211	8,399	8,608	8,630	6,592	7,738	8,470	8,887
Foundry revenue	915	1,028	1,203	1,328	1,277	1,383	1,503	1,508	3,079	4,474	5,671	6,338
Sub & other revenue	219	243	260	287	276	299	325	326	730	1,009	1,226	1,370
Total revenue	1,134	1,270	1,463	1,615	1,553	1,682	1,828	1,833	3,809	5,483	6,897	7,707
Total revenue (USDbn)	**35.9**	**40.2**	**45.7**	**50.4**	**48.5**	**52.6**	**57.1**	**57.3**	**122.5**	**172.2**	**215.5**	**240.9**
COGS	-383	-410	-477	-529	-528	-553	-605	-612	-1,528	-1,800	-2,297	-2,650
Gross profit	751	860	985	1,086	1,025	1,129	1,224	1,222	2,281	3,683	4,599	5,058
Opex	-92	-94	-130	-131	-129	-140	-150	-150	-345	-447	-569	-632
Operating profit	659	767	855	955	896	989	1,074	1,071	1,936	3,236	4,031	4,425
EBITDA	824	965	1,065	1,196	1,151	1,249	1,363	1,370	2,624	4,051	5,134	5,828
Pre-tax profit	688	862	888	993	936	1,034	1,117	1,117	2,042	3,431	4,203	4,674
Income taxes	-115	-156	-151	-169	-159	-176	-190	-190	-326	-590	-715	-795
Net profit	572	707	738	825	778	859	928	928	1,718	2,842	3,493	3,884
FD O/S (bn)	26	26	26	26	26	26	26	26	26	26	26	26
FD EPS (TWD)	**22.08**	**27.25**	**28.47**	**31.81**	**30.01**	**33.12**	**35.78**	**35.78**	**66.24**	**109.61**	**134.69**	**149.78**
Margins												
Gross	66%	68%	67%	67%	66%	67%	67%	67%	60%	67%	67%	66%
Operating	58%	60%	58%	59%	58%	59%	59%	58%	51%	59%	58%	57%
EBITDA	73%	76%	73%	74%	74%	74%	75%	75%	69%	74%	74%	76%
Net	50%	56%	50%	51%	50%	51%	51%	51%	45%	52%	51%	50%
Growth (QoQ)												
Total revenue	8%	12%	15%	10%	-4%	8%	9%	0%				
Gross profit	15%	15%	15%	10%	-6%	10%	8%	0%				
Operating profit	17%	16%	12%	12%	-6%	10%	9%	0%				
EBITDA	13%	17%	10%	12%	-4%	9%	9%	1%				
Net profit	13%	23%	4%	12%	-6%	10%	8%	0%				
FD EPS	13%	23%	4%	12%	-6%	10%	8%	0%				
Growth (YoY)												
Total revenue	35%	36%	48%	54%	37%	32%	25%	14%	32%	44%	26%	12%
Gross profit	52%	57%	67%	67%	36%	31%	24%	12%	40%	61%	25%	10%
Operating profit	62%	65%	71%	69%	36%	29%	26%	12%	46%	67%	25%	10%
EBITDA	42%	48%	61%	65%	40%	29%	28%	15%	32%	54%	27%	14%
Net profit	58%	77%	63%	63%	36%	22%	26%	12%	46%	65%	23%	11%
FD EPS	58%	77%	63%	63%	36%	22%	26%	12%	46%	65%	23%	11%

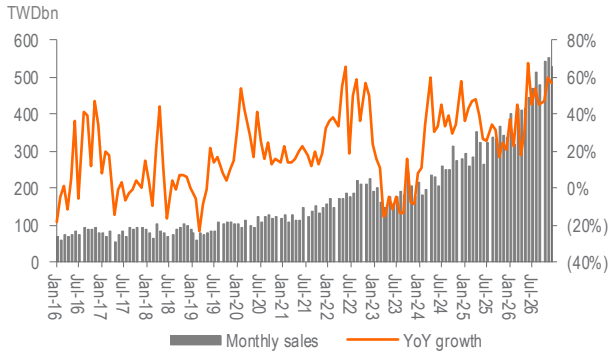
Source: Company, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity estimated by Daiwa*

TSMC: 3Q26 results preview and 4Q26 business outlook

	3Q26E			4Q26E		
TWDm	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	1,462,926	1,454,000	1%	1,615,260	1,594,000	1%
Gross profit	985,471			1,085,946		
Operating profit	855,271			955,110		
Pretax profit	888,480			992,762		
Net profit	738,327	726,000	2%	824,985	793,000	4%
Adjusted EPS (TWD)	28.47	28.00	2%	31.81	30.58	4%
Margins						
Gross	67.4%			67.2%		
Operating	58.5%			59.1%		
Net	50.5%			51.1%		
Operation						
Shipment (12" equ.wafers) ('000 units)	4,691			4,963		
Utilisation*	92%			97%		
<=3nm sales contribution	38%			42%		

Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity*

TSMC: monthly revenue run-rate*



Source: Company, Daiwa estimates and forecasts
*Note: * Figures over September-December 2026 are estimated by Daiwa*

TSMC: PBR trend



Source: Company, TEJ, Daiwa forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	TSMC's board of directors (BoD) has 10 members, including 6 independent directors representing 60% of total directors. The background of TSMC's BoD is diversified, with members from industries, academia, and law. Also, its board members include representatives from not only Taiwan but also Europe and the US, bringing their experience in operating international businesses to the board. We believe the high percentage of independent directors and a diverse mix of expertise from the board members strengthen the functionality of its BoD, as evidenced by TSMC's leading position in the foundry market.
	Capital management	1	TSMC pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend. As the leader in advanced technology nodes, TSMC has kept expanding its capacity for advanced nodes; as such, we expect its capital intensity to increase to the level near or above 40% over 2025-26 (vs. its long-term target of mid-30%). However, we believe TSMC will at least sustain its cash dividend payout in dollar terms over 2025-26E. We see its balance between investment and dividend as appropriate.
	Related party & transaction	1	TSMC's sales to related parties remained insignificant, accounting for less than 1% of total revenue in recent years. Purchases from related parties also represented less than 1% of total cost of goods sold. Given the limited contribution of related-party transactions to TSMC's revenue and procurement base, we continue to view related-party exposure and concentration risk as minimal
S	Supply chain management	1	TSMC continues to strengthen its supply chain management through sustainability risk management and supply chain resilience initiatives. In 2024, 100% of tier-1 suppliers completed sustainability self-assessments, while 100% of targeted critical suppliers completed third-party RBA audits. The Company also maintained its responsible mineral sourcing program and enhanced human rights oversight across its supply chain. We believe these efforts help reduce supply chain and ESG-related risks
E	Water & wastewater management	2	TSMC continues to invest in water reclamation and conservation technologies to enhance water security. The Company has integrated reclaimed water into its manufacturing process and is expanding alternative water sourcing through partnerships with local governments. Together with ongoing investments in water recycling and efficiency improvement, we believe TSMC is well positioned to mitigate water supply risks and strengthen the sustainability of its operations
E	Waste & hazardous materials management	1	TSMC has maintained a waste recycling rate above 95% and kept landfill disposal at below 1% for many years. The Company continues to reduce waste intensity through process improvements and resource recovery initiatives. In 2024, TSMC established the semiconductor industry's first Zero Waste Manufacturing Center to further enhance circular economy practices and maximize resource utilization. We view TSMC's waste management performance as best-in-class and see limited environmental risk from waste disposal.
E	GHG emissions	1	TSMC continues to advance its net-zero strategy through renewable energy procurement and carbon reduction initiatives. All overseas fabs and offices achieved net zero emissions in 2024, while the Company expanded its contracted renewable energy capacity to 4 GW. TSMC maintains its commitment to achieve net zero emissions by 2050, with intermediate targets of 60% renewable electricity usage by 2030 and 100% by 2040. We view TSMC's climate strategy as best-in-class among global semiconductor manufacturers

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

United Microelectronics (2303 TT)

Target price: **TWD145.00** (from TWD108.00)

Share price (7 Oct): **TWD148.50** | Up/downside: **-2.4%**

5 4 **3** 2 1

Hold
(unchanged)

A beneficiary of the AI ripple effect, but …

- UMC looks set to benefit from AI demand spillover
- Yet we believe the AI ripple effect is being priced in
- Maintain our Hold (3) call, with a higher 12M TP of TWD145

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What's new: Given its longstanding position in the global foundry industry, ever challenging TSMC's leadership during the late 1990s, we believe UMC stands well to benefit from a ripple effect in demand spurred by AI scaling, as detailed in the main section of this report. We expect UMC's wafer loadings to reach 100% from 1Q27, with price hikes to go through (see *Price hike to go through? Still likely*, 31 July). That said, we believe the equity market has priced in this AI strength on extra volume and pricing power for UMC. Hence, we stick with our Hold (3) rating on the counter.

What's the impact: **3Q26 preview and 4Q26 outlook.** We expect UMC to report 3Q26 net profit of TWD16.4bn (+9% YoY), varying not much from the Bloomberg consensus. Its monthly revenue finished at c.TWD49bn QTD, reaching 65% of our/consensus 3Q26 estimates, which we consider tracking inline. For 4Q26, we expect UMC to earn net profit of TWD16bn, 13% below consensus, as the street seems to be assuming higher non-operating gains. UMC is scheduled to report results on 28 October; we will be offering updates in due course.

<=28nm ramp on AI scaling and fab optimisation. UMC's 28/22nm-and-below revenue contribution has hovered around the high-30% range over the past 2 years, after meaningful ramp during the COVID period on broadened demand applications from display drivers and TV SoCs to power management. With AI scaling creating a ripple effect in companion chip demand for connectivity (ie, silicon photonics) and power (ie, server PMICs), we believe UMC is well positioned to benefit from any spillover demand, with the strength augmented by TSMC's fab optimisation, which could strengthen UMC's pricing power. Given that UMC's wafer loadings are likely to reach 100% from 1Q27, we expect its price hikes to go through and model increases of 2-5%, effective from 1Q27, across nodes related to AI applications. This should resume its <=28nm ramp to exceed a half of revenue in 2028. All in, we raise our 2027-28E EPS by 22%.

What we recommend: Despite our forecast revisions, we remain comfortable with our Hold (3) rating for UMC, as we believe its AI strength is already priced in. We raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x) applied to 1-year-forward BVPS on a higher ROE trajectory. Upside/ downside risks would be any price hikes above our expectations/ geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

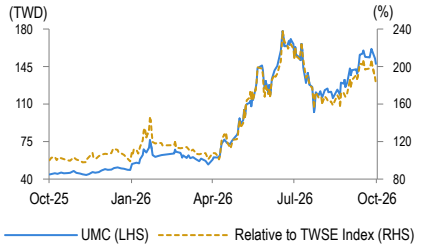
How we differ: Our 2026-28E EPS do not vary much from consensus, indicating that UMC's AI strength is already reflected in its valuation.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	0.9	7.5	7.9
Net profit change	1.5	21.9	21.6
Core EPS (FD) change	1.5	21.9	21.6

Source: Daiwa forecasts

Share price performance



12-month range	43.85-178.50
Market cap (USDbn)	58.71
3m avg daily turnover (USDm)	726.45
Shares outstanding (m)	12,577
Major shareholder	United Microelectronics Corp (5.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	281,729	358,798	393,029
Operating profit (m)	63,045	99,484	115,376
Net profit (m)	90,829	89,289	103,534
Core EPS (fully-diluted)	7.222	7.099	8.232
EPS change (%)	117.9	(1.7)	16.0
Daiwa vs Cons. EPS (%)	2.4	(1.6)	(3.5)
PER (x)	20.6	20.9	18.0
Dividend yield (%)	1.8	2.7	2.7
DPS	2.6	4.0	4.0
PBR (x)	4.8	4.4	3.9
EV/EBITDA (x)	13.8	10.1	9.1
ROE (%)	23.6	21.8	22.8

Source: FactSet, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilisation (%)	104	99	68	69	75	87	99	100
Blended ASP (USD)	774	941	994	933	876	862	914	916
Wafer shipment (8" equ., '000)	9,860	9,946	7,190	7,754	8,712	10,270	12,266	13,406

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	213,011	278,705	222,533	232,303	237,553	281,729	358,798	393,029
New Business Revenue	0	0	0	0	0	0	0	0
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**213,011**	**278,705**	**222,533**	**232,303**	**237,553**	**281,729**	**358,798**	**393,029**
Other income	0	0	0	0	0	0	0	0
COGS	(140,961)	(152,941)	(144,789)	(156,649)	(168,647)	(188,965)	(224,020)	(239,340)
SG&A	(7,429)	(8,518)	(6,569)	(8,425)	(7,233)	(10,215)	(13,024)	(14,368)
Other op.expenses	(12,935)	(12,954)	(13,284)	(15,616)	(17,725)	(19,504)	(22,271)	(23,945)
Operating profit	**51,686**	**104,293**	**57,891**	**51,613**	**43,949**	**63,045**	**99,484**	**115,376**
Net-interest inc./(exp.)	(1,387)	156	3,283	1,914	676	1,110	2,095	3,270
Assoc/forex/extraord./others	11,504	1,649	9,739	2,693	5,023	36,244	4,403	4,608
Pre-tax profit	**61,803**	**106,097**	**70,912**	**56,220**	**49,648**	**100,399**	**105,981**	**123,255**
Tax	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,660)	(16,692)	(19,721)
Min. int./pref. div./others	668	(820)	(450)	105	182	91	0	0
Net profit (reported)	**55,780**	**87,198**	**60,990**	**47,211**	**41,716**	**90,829**	**89,289**	**103,534**
Net profit (adjusted)	**55,780**	**87,198**	**60,990**	**47,211**	**41,716**	**90,829**	**89,289**	**103,534**
EPS (reported)(TWD)	**4.552**	**7.086**	**4.930**	**3.796**	**3.341**	**7.222**	**7.099**	**8.232**
EPS (adjusted)(TWD)	**4.552**	**7.086**	**4.930**	**3.796**	**3.341**	**7.222**	**7.099**	**8.232**
EPS (adjusted fully-diluted)(TWD)	**4.468**	**6.973**	**4.868**	**3.759**	**3.314**	**7.222**	**7.099**	**8.232**
DPS (TWD)	**1.622**	**3.043**	**3.639**	**3.022**	**2.866**	**2.602**	**4.004**	**4.004**
EBIT	**51,686**	**104,293**	**57,891**	**51,613**	**43,949**	**63,045**	**99,484**	**115,376**
EBITDA	**98,762**	**148,462**	**98,374**	**99,780**	**103,206**	**129,845**	**173,179**	**185,068**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	61,803	106,097	70,912	56,220	49,648	100,399	105,981	123,255
Depreciation and amortisation	47,075	44,169	40,484	48,168	59,257	66,800	73,695	69,692
Tax paid	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,660)	(16,692)	(19,721)
Change in working capital	(10,151)	(8,262)	916	(2,889)	1,617	(10,600)	(10,000)	(400)
Other operational CF items	(1,685)	21,935	(16,840)	1,488	(2,545)	(27,454)	(3,803)	(4,008)
Cash flow from operations	**90,352**	**145,861**	**86,000**	**93,872**	**99,864**	**119,484**	**149,182**	**168,817**
Capex	(48,035)	(80,128)	(91,474)	(88,545)	(47,744)	(63,647)	(51,200)	(52,801)
Net (acquisitions)/disposals	(14,290)	28,229	(4,678)	2,625	(7,670)	8,411	0	0
Other investing CF items	162	(2,528)	(1,635)	(21)	2,259	0	0	0
Cash flow from investing	**(62,163)**	**(54,427)**	**(97,787)**	**(85,941)**	**(53,154)**	**(55,237)**	**(51,200)**	**(52,801)**
Change in debt	18,818	(34,087)	27,377	(337)	(1,812)	(4,188)	(18,843)	(19,757)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(19,871)	(37,445)	(45,015)	(37,586)	(35,784)	(32,729)	(50,353)	(50,353)
Other financing CF items	11,439	21,296	(11,840)	2,438	(3,454)	0	0	0
Cash flow from financing	**10,386**	**(50,237)**	**(29,478)**	**(35,484)**	**(41,050)**	**(36,917)**	**(69,196)**	**(70,110)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**38,574**	**41,197**	**(41,265)**	**(27,553)**	**5,660**	**27,330**	**28,786**	**45,907**
Free cash flow	42,317	65,732	(5,474)	5,327	52,120	55,837	97,982	116,016

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	171,224	178,973	145,621	115,865	129,071	147,990	176,776	222,683
Inventory	23,011	31,070	35,713	35,782	37,228	38,228	41,728	41,228
Accounts receivable	35,190	36,975	29,586	33,343	31,274	40,774	50,774	50,674
Other current assets	3,848	5,353	5,878	4,688	7,211	5,000	5,500	5,500
Total current assets	**233,273**	**252,371**	**216,797**	**189,678**	**204,783**	**231,992**	**274,778**	**320,085**
Fixed assets	129,942	170,982	237,377	277,344	271,395	247,287	231,137	220,390
Goodwill & intangibles	28,665	44,852	30,758	30,691	27,445	24,500	27,400	27,300
Other non-current assets	72,547	64,847	74,255	72,487	75,373	102,917	106,720	110,728
Total assets	**464,427**	**533,052**	**559,187**	**570,201**	**578,996**	**606,697**	**640,036**	**678,503**
Short-term debt	39,256	7,587	29,537	19,510	27,597	19,751	20,666	15,726
Accounts payable	8,364	8,982	7,526	7,633	9,170	9,070	12,570	11,570
Other current liabilities	57,833	91,996	61,952	48,117	50,832	73,412	81,958	92,119
Total current liabilities	**105,454**	**108,565**	**99,015**	**75,260**	**87,598**	**102,234**	**115,194**	**119,415**
Long-term debt	39,830	39,877	45,236	55,533	45,372	49,029	29,272	14,454
Other non-current liabilities	37,941	49,159	55,358	61,222	66,170	66,000	66,000	66,000
Total liabilities	**183,224**	**197,601**	**199,608**	**192,016**	**199,141**	**217,263**	**210,466**	**199,869**
Share capital	124,832	125,047	125,298	125,607	125,882	125,882	125,882	125,882
Reserves/R.E./others	156,147	210,060	233,939	252,321	253,887	263,366	303,401	352,366
Shareholders' equity	**280,980**	**335,107**	**359,238**	**377,928**	**379,768**	**389,247**	**429,283**	**478,247**
Minority interests	223	344	341	257	87	187	287	387
Total equity & liabilities	**464,427**	**533,052**	**559,187**	**570,201**	**578,996**	**606,697**	**640,036**	**678,503**
EV	1,775,767	1,736,517	1,797,175	1,827,118	1,811,667	1,788,660	1,741,130	1,675,567
Net debt/(cash)	**(92,138)**	**(131,509)**	**(70,849)**	**(40,821)**	**(56,102)**	**(79,210)**	**(126,839)**	**(192,503)**
BVPS (TWD)	**22.508**	**26.798**	**28.671**	**30.090**	**30.169**	**30.949**	**34.132**	**38.026**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	20.5	30.8	(20.2)	4.4	2.3	18.6	27.4	9.5
EBITDA (YoY)	39.3	50.3	(33.7)	1.4	3.4	25.8	33.4	6.9
Operating profit (YoY)	134.9	101.8	(44.5)	(10.8)	(14.8)	43.5	57.8	16.0
Net profit (YoY)	91.1	56.3	(30.1)	(22.6)	(11.6)	117.7	(1.7)	16.0
Core EPS (fully-diluted) (YoY)	93.7	56.0	(30.2)	(22.8)	(11.8)	117.9	(1.7)	16.0
Gross-profit margin	33.8	45.1	34.9	32.6	29.0	32.9	37.6	39.1
EBITDA margin	46.4	53.3	44.2	43.0	43.4	46.1	48.3	47.1
Operating-profit margin	24.3	37.4	26.0	22.2	18.5	22.4	27.7	29.4
Net profit margin	26.2	31.3	27.4	20.3	17.6	32.2	24.9	26.3
ROAE	21.6	28.3	17.6	12.8	11.0	23.6	21.8	22.8
ROAA	13.3	17.5	11.2	8.4	7.3	15.3	14.3	15.7
ROCE	15.7	28.1	14.2	11.6	9.7	13.8	21.2	23.3
ROIC	23.5	44.0	20.4	13.8	11.1	18.0	27.3	32.9
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	10.8	17.0	13.4	16.2	16.3	9.6	15.7	16.0
Accounts receivable (days)	53.5	47.3	54.6	49.4	49.6	46.7	46.6	47.1
Current ratio (x)	2.2	2.3	2.2	2.5	2.3	2.3	2.4	2.7
Net interest cover (x)	37.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	68.1	67.1	51.6	61.6	75.8	78.5	55.4	56.3
Free cash flow yield	2.3	3.5	n.a.	0.3	2.8	3.0	5.2	6.2

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in Taiwan, United Microelectronics Corp (UMC) is one of the leading semiconductor foundries in the world and second largest in Taiwan. UMC offers a series of foundry services from photo-mask, wafer fabrication to wafer probe & test. Its wafer fabs are spread over Taiwan, China and Singapore, with technology offerings ranging from 0.25u and above, 0.18/0.15u, 0.13u, 90nm, 65nm, 45/40nm, 28/22nm to 14nm FF.

UMC: key operating assumptions, quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (12" equ) ('000 units)	1,021	1,129	1,201	1,213	1,213	1,359	1,454	1,425	3,872	4,564	5,451	5,958
Capacity utilisation	80%	86%	91%	91%	92%	100%	103%	100%	75%	87%	99%	100%
Blended ASP (USD)	1,890	1,926	1,967	1,966	2,017	2,056	2,081	2,067	1,970	1,940	2,057	2,061
Total revenue	61,038	68,733	75,612	76,347	78,296	89,428	96,841	94,232	237,553	281,729	358,798	393,029
Total revenue (USDm)	**1,930**	**2,174**	**2,363**	**2,386**	**2,447**	**2,795**	**3,026**	**2,945**	**7,629**	**8,853**	**11,212**	**12,282**
COGS	-43,219	-46,410	-49,163	-50,173	-51,247	-55,577	-59,216	-57,980	-168,647	-188,965	-224,020	-239,340
Gross profit	17,818	22,323	26,449	26,174	27,049	33,852	37,625	36,252	68,906	92,764	134,778	153,690
Opex	-6,542	-7,373	-7,864	-7,940	-8,143	-8,764	-9,200	-9,188	-24,958	-29,719	-35,294	-38,313
Operating profit	11,276	14,950	18,585	18,234	18,907	25,088	28,425	27,065	43,949	63,045	99,484	115,376
EBITDA	27,263	31,188	35,485	35,909	36,607	43,288	47,125	46,160	103,206	129,845	173,179	185,068
Non-op gain/loss	5,367	30,236	900	850	900	1,420	2,135	2,043	5,699	37,354	6,498	7,878
Pre-tax profit	16,644	45,186	19,485	19,084	19,807	26,508	30,560	29,107	49,648	100,399	105,981	123,255
Income taxes	-527	-2,962	-3,118	-3,053	-3,169	-3,976	-4,890	-4,657	-8,113	-9,660	-16,692	-19,721
Net profit	16,171	42,260	16,367	16,031	16,637	22,532	25,670	24,450	41,716	90,829	89,289	103,534
FD O/S (m)	12,579	12,577	12,577	12,577	12,577	12,577	12,577	12,577	12,588	12,577	12,577	12,577
FD EPS (TWD)	**1.29**	**3.36**	**1.30**	**1.27**	**1.32**	**1.79**	**2.04**	**1.94**	**3.31**	**7.22**	**7.10**	**8.23**
Margin												
Gross	29%	32%	35%	34%	35%	38%	39%	38%	29%	33%	38%	39%
Operating	18%	22%	25%	24%	24%	28%	29%	29%	19%	22%	28%	29%
EBITDA	45%	45%	47%	47%	47%	48%	49%	49%	43%	46%	48%	47%
Net	26%	61%	22%	21%	21%	25%	27%	26%	18%	32%	25%	26%
Growth (QoQ)												
Total revenue	-1%	13%	10%	1%	3%	14%	8%	-3%				
Gross profit	-6%	25%	18%	-1%	3%	25%	11%	-4%				
Operating profit	-8%	33%	24%	-2%	4%	33%	13%	-5%				
EBITDA	-2%	14%	14%	1%	2%	18%	9%	-2%				
Net profit	61%	161%	-61%	-2%	4%	35%	14%	-5%				
FD EPS	61%	161%	-61%	-2%	4%	35%	14%	-5%				
Growth (YoY)												
Total revenue	5%	17%	28%	24%	28%	30%	28%	23%	2%	19%	27%	10%
Gross profit	15%	32%	50%	38%	52%	52%	42%	39%	-9%	35%	45%	14%
Operating profit	15%	38%	67%	49%	68%	68%	53%	48%	-15%	43%	58%	16%
EBITDA	14%	23%	36%	29%	34%	39%	33%	29%	3%	26%	33%	7%
Net profit	108%	375%	9%	59%	3%	-47%	57%	53%	-12%	118%	-2%	16%
FD EPS	108%	374%	9%	60%	3%	-47%	57%	53%	-12%	118%	-2%	16%

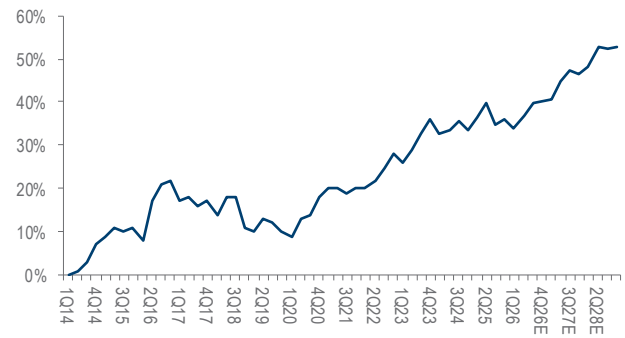
Source: Company, Daiwa estimates and forecasts

UMC: 3Q26 results preview and 4Q26 business outlook

	3Q26E			4Q26E		
TWDm	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	75,612	75,517	0%	76,347	78,272	-2%
Gross profit	26,449	26,392	0%	26,174	27,621	-5%
Operating profit	18,585			18,234		
Pretax profit	19,485			19,084		
Net profit	16,367	17,018	-4%	16,031	18,371	-13%
Adjusted EPS (TWD)	1.30	1.35	-4%	1.27	1.46	-13%
Margin						
Gross	35.0%	34.9%		34.3%	35.3%	
Operating	24.6%			23.9%		
Net	21.6%			21.0%		
Operation						
Shipments (12" equ. wafers) ('000 units)	1,201			1,213		
Utilization*	91%			91%		
<=28nm sales contribution	40%			40%		

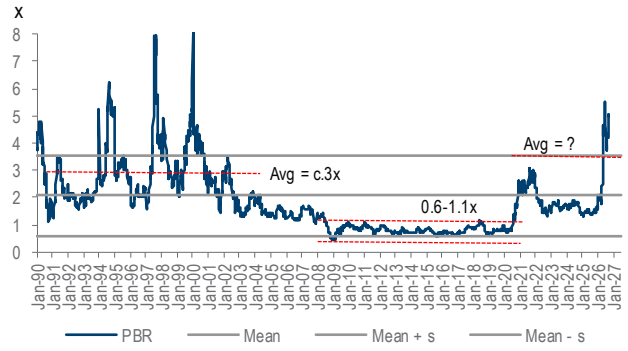
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided installed capacity*

UMC: 28/22nm-and-below revenue contribution*



Source: Company, Daiwa estimates and forecasts
*Note: * Including 14nm FF*

UMC: PBR trend



Source: Company, TEJ, Daiwa forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	UMC's Board of Directors consists of nine members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, six are independent directors, representing 67% of total directors in 2024. The percentage of independent directors is high relative to the regulatory requirement of at least 20% or at least 2 independent directors. Although some of UMC's executive management are also directors, UMC's Chairman and President are not the same person. Considering this and its relative-high percentage of independent directors, we believe the board can perform its functionalities well
	Capital management	2	It kept its dividend payout ratios above 50% in 2017-25, which is at a healthy, sustainable level. Overall, we see the balance between investment and dividend as appropriate.
	Related party & transaction	1	Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for UMC.
S	Supply chain management	2	UMC has constructed an evaluation framework for reviewing the sustainable development of its supply chains based on UMC's GG-026-004-C sustainable supply-chain management review guidelines to ensure its suppliers fulfil environmental protection, social responsibility, labour and human rights, safety & health and sustainable development guidelines. We believe these efforts could reduce its supply-chain risk.
E	Water & wastewater management	2	UMC developed its "Water Management Policy and Commitment" in 2015 to promote more effective utilisation of water resources. In line with this policy, UMC continues to enhance recycling through increased use of reclaimed and desalinated water, ongoing wastewater treatment R&D, and optimised discharge management. In 2024, the company achieved a 30.3% reduction in water withdrawal per unit product, surpassing its 14% goal and meeting its 2030 target ahead of schedule, which demonstrates UMC's strong commitment to water conservation.
E	Waste & hazardous materials management	2	To achieve the goal of zero pollution, UMC has established a comprehensive new material evaluation process to effectively screen and control new materials introduced into the development of new processes. Through this effort, it can avoid or reduce the use of raw materials and the associated environmental impact. UMC was the first semiconductor manufacturer company in the world to obtain QC-080000 IECQ Hazardous Substance Process Management (HSPM) certification for all its fabs by leading global semiconductor manufacturers in completing the third-party verification and audit of its HSPM system in 2006.
E	GHG emissions	2	UMC was the first semiconductor company in Taiwan to pass integrated environmental protection, safety and health management system certifications in 2001. UMC has established the UMC Low Carbon Commitment as a guide for future carbon reduction projects. Its GHG emission reduction goals include: 1) to reduce fluorinated greenhouse gas emissions intensity by 65% over 2013-25 vs. 2010, and 2) to reduce electricity consumption intensity by 15% in 10 years over 2016-25 vs. 2015.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

Daiwa Capital Markets Hong Kong Limited

Semiconductor Manufacturing Int'l Corp (981 HK)

Target price: **HKD40.00** (from HKD40.00)

Share price (7 Oct): **HKD60.90** | Up/downside: **-34.3%**

5 4 3 2 1

Sell
(unchanged)

Yes, AI, yet constrained by geopolitics

- A foundry leader in China set to benefit from AI innovations
- Yet likely seeing suboptimal operations due to "national mission"
- Reaffirming our Sell (5) rating and 12-month TP of HKD40

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What's new: As China's foundry leader, SMIC should benefit, among local peers, from China's AI innovations to cope with geopolitical pressures, such as multiple lithography patterning, time scaling in advanced packaging technology and logic folding. Yet, to serve what we view as China's "national mission" to catch up with the West in AI, SMIC has to suboptimise its operations for suboptimal profitability, as evidenced by its abnormal capex cycle and resulting depreciation burden. As such, we remain comfortable with our Sell (5) rating on the stock, though we view such a rating in capital markets may not be fair and truly reflecting its authentic fundamentals.

What's the impact: **3Q26 preview and 4Q26 outlook.** We expect SMIC to report 3Q26 net profit of USD399m, 7% below consensus, as the street appears to be assuming higher non-operating gains. For 4Q26, we forecast net profit of USD364m, down 9% QoQ but up 40% YoY, on flat top-line of USD3.1bn (+25% YoY), due to seasonality, as customers tend to manage inventory towards year-end.

Geopolitical concerns lingering despite AI. As China's foundry leader, SMIC should benefit, among local peers, from China's innovative AI developments, such as multiple lithography patterning, time scaling in advanced packaging technology and logic folding. Yet, to serve what we view as China's "national mission" to catch up with the West in AI, SMIC has to suboptimise its operations for suboptimal profitability, as evidenced by its abnormal capex cycle over 2020-26 and the resulting depreciation burden. This, combined with lingering geopolitical uncertainty, prevents us from turning positive on the stock. President Xi and President Trump met in the US last month; we hope that any constructive breakthroughs in the future will help reset SMIC's competitiveness for normalised profitability.

What we recommend: We rate SMIC Sell (5), with a 12M TP of HKD40 (unchanged), based on our ROE-adjusted PBR target of 1.1x applied to our one-year-forward BVPS forecast. Though our rating may not truly reflect SMIC's fundamentals due to geopolitical issues, we await any breakthrough between the 2 power nations on trade conflicts to normalise SMIC's operations. Key upside risk to our call would be any positive breakthrough on geopolitics and export controls.

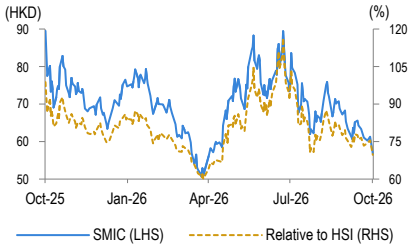
How we differ: Our 2028E EPS is 4% below Bloomberg consensus, likely due to our view calling for a soft-landing in the chip cycle.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	-
Net profit change	-	-	-
Core EPS (FD) change	-	-	-

Source: Daiwa forecasts

Share price performance



12-month range	50.70-89.40
Market cap (USDbn)	60.19
3m avg daily turnover (USDm)	706.70
Shares outstanding (m)	8,316
Major shareholder	Datang Investment Holdings (19.9%)

Financial summary (USD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	11,748	14,045	15,540
Operating profit (m)	1,927	2,416	2,633
Net profit (m)	1,453	1,694	1,951
Core EPS (fully-diluted)(USD cents)	17.477	20.375	23.464
EPS change (%)	71.9	16.6	15.2
Daiwa vs Cons. EPS (%)	1.8	(10.0)	(18.4)
PER (x)	44.4	38.1	33.1
Dividend yield (%)	0.0	0.0	0.0
DPS	0.000	0.000	0.000
PBR (x)	1.7	1.6	1.5
EV/EBITDA (x)	12.1	9.8	8.5
ROE (%)	6.6	7.1	7.6

Source: FactSet, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilisation (%)	98	88	63	77	80	84	90	97
Blended ASP (USD)	738	949	981	937	907	982	1,021	1,007
Wafer shipment ('000, 8" equ.)	6,747	7,099	5,867	8,021	9,696	11,316	13,115	14,692

Profit and loss (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Foundry Revenue	4,982	6,736	5,757	7,516	8,796	11,113	13,395	14,790
Other Revenue	461	538	565	514	531	635	650	750
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**5,443**	**7,273**	**6,322**	**8,030**	**9,327**	**11,748**	**14,045**	**15,540**
Other income	0	0	0	0	0	0	0	0
COGS	(3,767)	(4,512)	(5,104)	(6,582)	(7,370)	(8,806)	(10,324)	(11,336)
SG&A	(303)	(528)	(517)	(620)	(569)	(552)	(663)	(777)
Other op.expenses	20	(398)	(343)	(353)	(277)	(463)	(642)	(794)
Operating profit	**1,392**	**1,836**	**358**	**475**	**1,110**	**1,927**	**2,416**	**2,633**
Net-interest inc./(exp.)	113	224	527	249	25	(70)	(45)	115
Assoc/forex/extraord./others	383	101	187	36	99	344	0	0
Pre-tax profit	**1,888**	**2,160**	**1,072**	**760**	**1,234**	**2,201**	**2,371**	**2,748**
Tax	(65)	(16)	(63)	(130)	(84)	(180)	(203)	(247)
Min. int./pref. div./others	(73)	(380)	(222)	(237)	(304)	(568)	(474)	(550)
Net profit (reported)	**1,750**	**1,764**	**787**	**393**	**845**	**1,453**	**1,694**	**1,951**
Net profit (adjusted)	**1,750**	**1,764**	**787**	**393**	**845**	**1,453**	**1,694**	**1,951**
EPS (reported)(USD cents)	**22.139**	**22.287**	**9.835**	**4.789**	**10.167**	**17.477**	**20.375**	**23.464**
EPS (adjusted)(USD cents)	**22.139**	**22.287**	**9.835**	**4.789**	**10.167**	**17.477**	**20.375**	**23.464**
EPS (adjusted fully-diluted)(USD cents)	**21.042**	**21.212**	**9.462**	**4.722**	**10.167**	**17.477**	**20.375**	**23.464**
DPS (USD)	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**
EBIT	**1,392**	**1,836**	**358**	**475**	**1,110**	**1,927**	**2,416**	**2,633**
EBITDA	**3,262**	**4,107**	**3,025**	**3,698**	**4,920**	**6,729**	**8,065**	**8,769**

Cash flow (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,888	2,160	1,072	760	1,234	2,201	2,371	2,748
Depreciation and amortisation	1,869	2,271	2,667	3,223	3,810	4,802	5,649	6,136
Tax paid	(65)	(16)	(63)	(130)	(84)	(180)	(203)	(247)
Change in working capital	(537)	(1)	(579)	(62)	(1,518)	300	(470)	300
Other operational CF items	(135)	940	(42)	(665)	(247)	(568)	(474)	(550)
Cash flow from operations	**3,020**	**5,354**	**3,056**	**3,126**	**3,194**	**6,555**	**6,873**	**8,387**
Capex	(4,120)	(6,172)	(7,630)	(7,664)	(8,400)	(8,100)	(5,300)	(4,500)
Net (acquisitions)/disposals	(2,669)	(4,314)	1,240	3,033	1,853	0	0	0
Other investing CF items	134	94	183	112	52	0	0	0
Cash flow from investing	**(6,655)**	**(10,392)**	**(6,208)**	**(4,518)**	**(6,495)**	**(8,100)**	**(5,300)**	**(4,500)**
Change in debt	385	2,691	1,738	1,539	754	0	(999)	(999)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	0	0	0	0	0	0	0	0
Other financing CF items	1,973	924	728	70	1,922	1,000	1,000	1,000
Cash flow from financing	**2,357**	**3,614**	**2,466**	**1,608**	**2,676**	**1,000**	**1**	**1**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**(1,279)**	**(1,423)**	**(686)**	**216**	**(625)**	**(545)**	**1,574**	**3,888**
Free cash flow	(1,100)	(818)	(4,574)	(4,538)	(5,206)	(1,545)	1,573	3,887

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	12,529	12,578	9,422	10,909	10,491	9,946	11,520	15,408
Inventory	1,194	1,911	2,736	2,958	3,630	3,830	4,030	4,230
Accounts receivable	1,215	1,303	1,170	840	1,433	1,383	1,983	1,733
Other current assets	279	802	286	76	71	75	75	75
Total current assets	**15,218**	**16,594**	**13,613**	**14,784**	**15,625**	**15,234**	**17,607**	**21,445**
Fixed assets	14,815	19,385	24,419	28,524	32,933	36,471	36,348	36,348
Goodwill & intangibles	68	45	34	24	20	20	20	20
Other non-current assets	6,011	7,783	9,722	5,829	3,693	4,310	4,310	2,810
Total assets	**36,111**	**43,808**	**47,787**	**49,161**	**52,271**	**56,034**	**58,285**	**60,623**
Short-term debt	789	1,268	1,216	2,926	2,593	2,593	2,593	2,593
Accounts payable	2,066	3,217	3,728	3,280	2,966	3,416	3,746	3,996
Other current liabilities	1,598	2,540	2,657	2,553	1,258	2,549	3,199	3,400
Total current liabilities	**4,454**	**7,025**	**7,602**	**8,760**	**6,817**	**8,559**	**9,539**	**9,989**
Long-term debt	5,535	7,317	8,934	8,038	9,995	9,995	8,995	7,996
Other non-current liabilities	684	505	406	494	439	449	551	937
Total liabilities	**10,673**	**14,846**	**16,942**	**17,292**	**17,251**	**19,002**	**19,085**	**18,921**
Share capital	32	32	32	32	32	32	32	32
Reserves/R.E./others	17,118	19,118	20,084	20,582	21,408	22,851	24,546	26,497
Shareholders' equity	**17,150**	**19,150**	**20,116**	**20,614**	**21,440**	**22,883**	**24,578**	**26,529**
Minority interests	8,288	9,811	10,730	11,256	13,581	14,149	14,623	15,173
Total equity & liabilities	**36,111**	**43,808**	**47,787**	**49,161**	**52,271**	**56,034**	**58,285**	**60,623**
EV	66,613	70,348	75,988	75,840	80,207	81,320	79,221	74,884
Net debt/(cash)	**(6,205)**	**(3,993)**	**729**	**55**	**2,097**	**2,642**	**68**	**(4,819)**
BVPS (USD cents)	**321.854**	**365.907**	**385.570**	**388.654**	**421.122**	**445.311**	**471.389**	**501.462**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	39.3	33.6	(13.1)	27.0	16.2	26.0	19.5	10.6
EBITDA (YoY)	100.8	25.9	(26.3)	22.2	33.0	36.8	19.9	8.7
Operating profit (YoY)	346.4	31.8	(80.5)	32.7	133.7	73.6	25.4	9.0
Net profit (YoY)	130.2	0.8	(55.4)	(50.1)	115.3	71.9	16.6	15.2
Core EPS (fully-diluted) (YoY)	130.2	0.8	(55.4)	(50.1)	115.3	71.9	16.6	15.2
Gross-profit margin	30.8	38.0	19.3	18.0	21.0	25.0	26.5	27.1
EBITDA margin	59.9	56.5	47.9	46.1	52.8	57.3	57.4	56.4
Operating-profit margin	25.6	25.2	5.7	5.9	11.9	16.4	17.2	16.9
Net profit margin	32.1	24.3	12.4	4.9	9.1	12.4	12.1	12.6
ROAE	10.8	9.7	4.0	1.9	4.0	6.6	7.1	7.6
ROAA	5.2	4.4	1.7	0.8	1.7	2.7	3.0	3.3
ROCE	4.7	5.3	0.9	1.1	2.5	4.0	4.8	5.1
ROIC	7.8	8.2	1.2	1.2	3.0	4.6	5.6	6.3
Net debt to equity	n.a.	n.a.	3.6	0.3	9.8	11.5	0.3	n.a.
Effective tax rate	3.5	0.7	5.8	17.1	6.8	8.2	8.5	9.0
Accounts receivable (days)	73.5	63.2	71.4	45.7	44.5	43.7	43.7	43.6
Current ratio (x)	3.4	2.4	1.8	1.7	2.3	1.8	1.8	2.1
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	27.5	53.7	n.a.
Net dividend payout	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free cash flow yield	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	2.4	6.0

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in China in 2000, Semiconductor Manufacturing International Corp (SMIC) is the largest dedicated semiconductor foundry in China. It offers product services, such as wafer fabrication, masking, packaging and testing. Its fab operations spread over major cities of China, including Shanghai (8", 12"), Beijing (12"), Tianjin (8") and Shenzhen (8", 12"). It has also set up JV fabs with the governments and teamed up with Jiangsu Changjiang Electronics Technology (JCET, 江蘇長電).

SMIC: key operating assumptions, quarterly P&L estimates and forecasts

USDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipments (12" equ) ('000 units)	1,115	1,275	1,313	1,326	1,299	1,442	1,543	1,543	4,309	5,029	5,829	6,530
Capacity utilisation	78%	87%	87%	85%	84%	90%	93%	93%	80%	84%	90%	97%
Blended ASP (USD)	2,110	2,230	2,252	2,233	2,219	2,287	2,337	2,336	2,041	2,210	2,298	2,265
Total revenue	2,505	3,006	3,116	3,121	3,034	3,459	3,777	3,775	9,327	11,748	14,045	15,540
COGS	-2,002	-2,245	-2,258	-2,301	-2,304	-2,497	-2,731	-2,792	-7,370	-8,806	-10,324	-11,336
Gross profit	504	761	858	820	730	962	1,046	983	1,957	2,942	3,721	4,204
Opex	-256	-226	-258	-275	-286	-308	-344	-367	-847	-1,015	-1,305	-1,571
Operating profit	248	534	600	545	444	654	702	616	1,110	1,927	2,416	2,633
EBITDA	1,336	1,746	1,840	1,807	1,724	2,004	2,172	2,165	4,920	6,729	8,065	8,769
Non-op gain/loss	-11	309	-13	-10	-10	-6	0	-29	124	274	-45	115
Pretax profit	236	843	587	535	434	648	702	587	1,234	2,201	2,371	2,748
Income taxes & MI	-58	-331	-188	-171	-122	-181	-204	-170	-388.1	-747.8	-676.8	-797.0
Net profit	178	512	399	364	312	467	498	417	845	1,453	1,694	1,951
FD O/S (bn)	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32
FD EPS (US¢)	**2.15**	**6.16**	**4.80**	**4.38**	**3.76**	**5.61**	**5.99**	**5.01**	**10.17**	**17.48**	**20.38**	**23.46**
FD EPS/ADS (USD)	1.07	3.08	2.40	2.19	1.88	2.81	3.00	2.51	5.08	8.74	10.19	11.73
Margin												
Gross	20%	25%	28%	26%	24%	28%	28%	26%	21%	25%	26%	27%
Operating	10%	18%	19%	17%	15%	19%	19%	16%	12%	16%	17%	17%
EBITDA	53%	58%	59%	58%	57%	58%	58%	57%	53%	57%	57%	56%
Net	7%	17%	13%	12%	10%	13%	13%	11%	9%	12%	12%	13%
Growth (QoQ)												
Total revenue	1%	20%	4%	0%	-3%	14%	9%	0%				
Gross profit	5%	51%	13%	-4%	-11%	32%	9%	-6%				
Operating profit	-17%	116%	12%	-9%	-19%	47%	7%	-12%				
EBITDA	-2%	31%	5%	-2%	-5%	16%	8%	0%				
Net profit	-31%	187%	-22%	-9%	-14%	49%	7%	-16%				
FD EPS	-31%	187%	-22%	-9%	-14%	49%	7%	-16%				
Growth (YoY)												
Total revenue	11%	36%	31%	25%	21%	15%	21%	21%	16%	26%	20%	11%
Gross profit	0%	69%	64%	71%	45%	26%	22%	20%	35%	50%	26%	13%
Operating profit	-20%	255%	71%	83%	79%	22%	17%	13%	134%	74%	25%	9%
EBITDA	14%	70%	37%	32%	29%	15%	18%	20%	33%	37%	20%	9%
Net profit	-13%	148%	131%	40%	75%	-9%	25%	14%	116%	72%	17%	15%
FD EPS	-13%	148%	131%	40%	75%	-9%	25%	14%	116%	72%	17%	15%

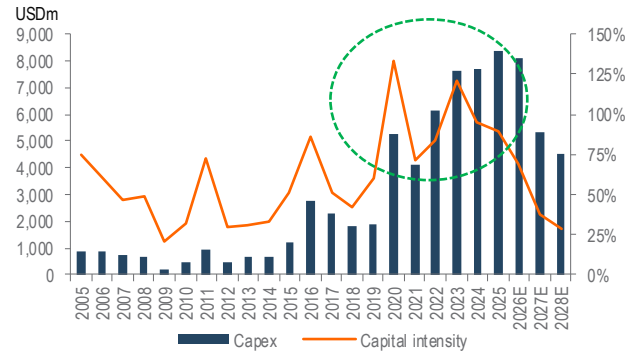
Source: Company, Daiwa estimates and forecasts

SMIC: 3Q26 results preview and 4Q26 business outlook

	3Q26E			4Q26E		
(in USDm)	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	3,116.41	3,109.00	0%	3,120.97	3,232.00	-3%
Gross profit	858.03	805.20	7%	819.90	811.75	1%
Operating profit	599.64	541.77	11%	545.38	495.92	10%
EBITDA	1,839.64			1,807.39		
Pretax profit	586.64			535.38		
Net profit	398.91	427.00	-7%	364.06	421.00	-14%
FD EPS (US¢)	4.80	5.13	-7%	4.38	5.06	-14%
Margins						
Gross	27.5%	25.9%		26.3%	25.1%	
Operating	19.2%	17.4%		17.5%	15.3%	
Net	12.8%	13.7%		11.7%	13.0%	
Operation						
Shipment (8" equ.wafers) ('000 units)	2,954			2,984		
Utilisation*	87%			85%		
<=28nm sales contribution	49%			49%		

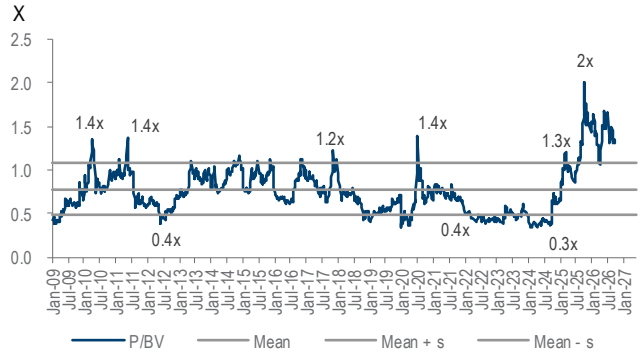
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity*

SMIC: capex and capital intensity*



Source: Company, Daiwa forecasts
*Note: * Capital intensity = capex / revenue*

SMIC: PBR trend*



Source: Company, Bloomberg, Daiwa forecasts
*Note: * PBR calculations do not include the A-share-listed market cap, thus deflating multiples*

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	SMIC's Board of Directors (BoD) has 9 members in 2025, including 1 executive director, 4 non-executive directors and 4 independent directors. Its BoD members have a diverse background, and SMIC's chairman and CEO are not the same person.
	Capital management	3	SMIC's capex in 2025 was approximately USD8.4bn. Management expects capex in 2026 to maintain roughly flat to slightly down compared to 2025, which exceeded 10% of the Company's latest audited net assets, with large capital needs.
	Related party & transaction	1	SMIC has established a comprehensive supplier management framework covering supplier onboarding, periodic evaluation, quality audits and ESG compliance, which helps mitigate potential related-party transaction and procurement risks. Suppliers are assessed through a cross-functional process covering quality, cost, delivery, service, environmental and compliance factors, while higher-risk suppliers are subject to enhanced monitoring and corrective actions. SMIC also emphasizes supplier diversification to reduce geographic and concentration risks, with raw material suppliers distributed across China (71.3%), Eurasia (22.9%) and the Americas (5.8%) in 2025. Overall, the Company's structured supplier evaluation and geographic diversification mechanisms provide a reasonable level of control over supply-chain and related-party transaction risks.
S	Supply chain management	2	SMIC continuously improves the specification of layered management for suppliers. The specification covers the whole life cycle of the supply chain and refines specific requirements for access, evaluation and management. Incorporating multiple aspects including strategic supply chain management, and raw materials and spare parts procurement, SMIC has established global supplychain management and planning, to ensure product quality and service capabilities of supply chain. The company supports the development of the local supply chain and aims to increase the proportion of its raw material suppliers based in mainland China annually. By increasing local supply, it can reduce its procurement cost and thus increase its operational efficiency and also partially mitigate the geopolitical risks, in our view.
E	Water & wastewater management	2	The company has implemented water-saving projects to improve water usage and reduce external water source consumption. These projects include reducing water consumption in the facility system, increasing wastewater reclamation, improving its water production rate and lowering water draining losses.
E	Waste & hazardous materials management	2	It has implemented cleaner production projects to optimise its raw materials usage, reduce resource consumption, and minimise waste generation at the source of production.
E	GHG emissions	1	SMIC is continuously implementing energy conservation and emission reduction projects. Every year, SMIC promotes energy-saving and emission reduction projects in an orderly manner so as to improve energy efficiency, reduce GHG emissions, and address climate change.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 7 Oct 2026

Source: Daiwa, Company

Daiwa Capital Markets Hong Kong Limited

Hua Hong Grace Semiconductor (1347 HK)

Target price: **HKD139.00** (from HKD139.00)

Share price (7 Oct): **HKD105.30** | Up/downside: **+32.0%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 preview: steady ASP growth outlook

- Positive earnings growth momentum in 3Q26E and 4Q26E
- Favourable supply-demand environment, thanks to AI investment
- Reaffirming our Buy (1) rating and 12-month TP of HKD139.0

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What's new: We expect HHGrace to continue to post positive earnings growth momentum in 3Q26E and 4Q26E, on the back of both volume and ASP strength. We believe HHGrace will continue to inject Huali's (HLMC) assets into the listed company, thereby expanding HHGrace's business portfolio and manufacturing footprint.

What's the impact: 3Q26 preview and 4Q26 outlook. We forecast HHgrace to report revenue of USD775m in 3Q26E, up 22% YoY and 8% QoQ, driven by 15% YoY volume growth and a 6% YoY hike in ASPs. On a QoQ basis, we estimate a 3% improvement in ASPs. As a result, we expect net profit of USD58m in 3Q26E, up 124% YoY and 49% QoQ. We forecast the growth momentum to sustain into 4Q26, with 22% YoY expansion in revenue to USD804m, and 282% YoY growth in net profit to USD67m.

Mainstream business to benefit from AI ripple effects and TSMC's fab optimisation. HHGrace focuses on the production of Nor Flash, MCUs, power discretes, analog and RF products, covering 55nm and above process-node technology platforms. HHGrace began raising ASPs in 4Q25, thanks to demand tailwinds from AI investment. Also, we expect TSMC's capacity optimisation to cause short-term supply disruptions, resulting in sustained strength in pricing power for legacy-node foundry players.

Steady manufacturing footprint expansion. Despite wafer supply tightness, HHgrace maintains its Fab 9 expansion timeline, with wafer loading at Fab 9A (83,000wpm capacity) in 3Q26, reaching full utilisation in 2H27. Furthermore, Fab 9B (55,000wpm) is set to kick-start small-volume production in 2027, per HHgrace. We believe the expansion focus will be on the 55/40/28nm process nodes. HHGrace plans to complete HLMC's Fab 5 asset acquisition in 2H26. We expect more asset injections in 2027.

What we recommend: We maintain our SOTP-based 12-month TP of HKD139. We believe HHGrace will inject HLMC's assets into the listed company by 2030. We factor in the future asset value of HLMC through to 2030 by applying 2.5-4.0x PBRs to the fabs in Kangqiao, Zhangjiang and Chengdu, as well as HHSemi's assets, and then discounting back by 3.5 years at a 10% rate. We then apply a 70% discount due to the potential dilution from share issuance related to the acquisition of HLMC's assets. We reaffirm our Buy (1) rating. Key downside risk: changes in asset-injection plans.

How we differ: Our 2026-28E EPS are 9-30% below the Bloomberg consensus, likely as we are more cautious about its ASP and gross margin outlook.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	-
Net profit change	-	-	-
Core EPS (FD) change	-	-	-

Source: Daiwa forecasts

Share price performance



12-month range	66.30-215.20
Market cap (USDbn)	17.84
3m avg daily turnover (USDm)	564.46
Shares outstanding (m)	1,330
Major shareholder	Hua Hong International (26.2%)

Financial summary (USD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	2,957	3,386	3,860
Operating profit (m)	48	120	145
Net profit (m)	184	267	290
Core EPS (fully-diluted)	0.106	0.154	0.167
EPS change (%)	235.5	45.2	8.3
Daiwa vs Cons. EPS (%)	(9.4)	(15.9)	(30.2)
PER (x)	126.5	87.2	80.5
Dividend yield (%)	0.0	0.0	0.0
DPS	0.000	0.000	0.000
PBR (x)	3.4	3.3	3.2
EV/EBITDA (x)	21.0	18.3	16.8
ROE (%)	2.7	3.9	4.0

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 43

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
55nm & 65nm shipment (k units)	255	593	527	904	1,268	1,800	2,130	2,750
90nm & 95nm shipment (k units)	747	1,100	960	1,181	1,610	1,840	2,180	2,400
≤0.13μm shipment (k units)	370	521	540	407	338	365	410	450
0.15μm & 0.18μm shipment (k units)	263	298	236	228	232	265	260	285
0.25μm shipment (k units)	43	26	50	39	28	40	37	38
≥0.35μm shipment (k units)	1,650	1,549	1,790	1,785	1,908	1,971	2,070	2,070

Profit and loss (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer revenue	1,562	2,377	2,182	1,901	2,302	2,849	3,275	3,746
Non-wafer revenue	69	99	105	103	100	109	111	114
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**1,631**	**2,475**	**2,286**	**2,004**	**2,402**	**2,957**	**3,386**	**3,860**
Other income	318	457	500	556	735	858	959	1,079
COGS	(1,196)	(1,632)	(1,799)	(1,799)	(2,119)	(2,464)	(2,788)	(3,143)
SG&A	(256)	(279)	(333)	(361)	(426)	(445)	(478)	(572)
Other op.expenses	(318)	(457)	(500)	(556)	(735)	(858)	(959)	(1,079)
Operating profit	**179**	**565**	**154**	**(156)**	**(142)**	**48**	**120**	**145**
Net-interest inc./(exp.)	0	(13)	(39)	5	(24)	(71)	(72)	(72)
Assoc/forex/extraord./others	118	(55)	59	17	77	77	103	103
Pre-tax profit	**296**	**496**	**174**	**(134)**	**(89)**	**54**	**151**	**176**
Tax	(65)	(89)	(47)	(7)	(22)	(12)	(24)	(27)
Min. int./pref. div./others	31	43	154	198	166	143	140	140
Net profit (reported)	**261**	**450**	**280**	**58**	**55**	**184**	**267**	**290**
Net profit (adjusted)	**261**	**450**	**280**	**58**	**55**	**184**	**267**	**290**
EPS (reported)(USD)	**0.201**	**0.345**	**0.189**	**0.034**	**0.032**	**0.106**	**0.154**	**0.167**
EPS (adjusted)(USD)	**0.201**	**0.345**	**0.189**	**0.034**	**0.032**	**0.106**	**0.154**	**0.167**
EPS (adjusted fully-diluted)(USD)	**0.198**	**0.342**	**0.188**	**0.034**	**0.032**	**0.106**	**0.154**	**0.167**
DPS (USD)	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**
EBIT	**179**	**565**	**154**	**(156)**	**(142)**	**48**	**120**	**145**
EBITDA	**497**	**1,021**	**654**	**400**	**593**	**906**	**1,079**	**1,224**

Cash flow (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	296	496	174	(134)	(89)	54	151	176
Depreciation and amortisation	318	457	500	556	735	858	959	1,079
Tax paid	(13)	(27)	(61)	0	0	0	0	0
Change in working capital	(73)	(174)	(109)	103	8	(169)	48	(210)
Other operational CF items	(10)	(1)	138	(66)	(4)	202	188	185
Cash flow from operations	**518**	**751**	**642**	**460**	**650**	**944**	**1,347**	**1,231**
Capex	(939)	(996)	(907)	(2,780)	(1,814)	(1,300)	(2,000)	(2,000)
Net (acquisitions)/disposals	0	0	0	0	0	0	0	0
Other investing CF items	76	66	73	108	95	0	0	0
Cash flow from investing	**(863)**	**(930)**	**(833)**	**(2,672)**	**(1,719)**	**(1,300)**	**(2,000)**	**(2,000)**
Change in debt	1,071	515	615	289	2,018	0	0	0
Net share issues/(repurchases)	(4)	(42)	2,833	(138)	34	0	0	0
Dividends paid	0	0	0	0	0	0	0	0
Other financing CF items	(52)	199	333	999	(553)	(71)	(72)	(72)
Cash flow from financing	**1,015**	**672**	**3,782**	**1,150**	**1,499**	**(71)**	**(72)**	**(72)**
Forex effect/others	17	(94)	(14)	(64)	71	0	0	0
Change in cash	**687**	**399**	**3,576**	**(1,126)**	**502**	**(427)**	**(725)**	**(841)**
Free cash flow	(420)	(245)	(265)	(2,320)	(1,164)	(356)	(653)	(769)

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,610	2,009	5,585	4,459	4,961	4,534	3,809	2,968
Inventory	433	578	450	467	544	698	677	873
Accounts receivable	181	292	279	270	282	447	388	564
Other current assets	167	197	256	636	819	819	819	819
Total current assets	**2,391**	**3,076**	**6,570**	**5,833**	**6,607**	**6,499**	**5,693**	**5,223**
Fixed assets	3,117	3,368	3,519	5,859	6,676	7,118	8,159	9,080
Goodwill & intangibles	35	33	50	31	36	36	36	36
Other non-current assets	659	579	805	692	1,135	1,135	1,135	1,135
Total assets	**6,202**	**7,055**	**10,943**	**12,415**	**14,454**	**14,787**	**15,023**	**15,474**
Short-term debt	195	427	193	281	404	404	404	404
Accounts payable	194	237	235	298	330	480	448	610
Other current liabilities	691	719	544	983	1,122	1,122	1,122	1,122
Total current liabilities	**1,080**	**1,382**	**972**	**1,562**	**1,856**	**2,006**	**1,974**	**2,135**
Long-term debt	1,395	1,482	1,907	1,917	2,787	2,787	2,787	2,787
Other non-current liabilities	42	56	50	29	646	646	646	646
Total liabilities	**2,518**	**2,920**	**2,929**	**3,508**	**5,290**	**5,439**	**5,407**	**5,569**
Share capital	1,986	1,994	4,934	4,938	4,987	4,987	4,987	4,987
Reserves/R.E./others	884	1,036	1,367	1,309	1,625	1,809	2,077	2,366
Shareholders' equity	**2,870**	**3,030**	**6,301**	**6,247**	**6,613**	**6,797**	**7,064**	**7,354**
Minority interests	814	1,105	1,714	2,660	2,552	2,552	2,552	2,552
Total equity & liabilities	**6,202**	**7,055**	**10,943**	**12,415**	**14,454**	**14,787**	**15,023**	**15,474**
EV	18,639	18,849	16,072	18,243	18,626	19,053	19,778	20,619
Net debt/(cash)	**(20)**	**(100)**	**(3,486)**	**(2,261)**	**(1,770)**	**(1,343)**	**(618)**	**223**
BVPS (USD)	**2.208**	**2.325**	**4.263**	**3.638**	**3.809**	**3.915**	**4.069**	**4.236**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	69.6	51.8	(7.7)	(12.3)	19.9	23.1	14.5	14.0
EBITDA (YoY)	189.1	105.6	(35.9)	(38.8)	48.1	52.9	19.1	13.4
Operating profit (YoY)	n.a.	215.8	(72.7)	n.a.	n.a.	n.a.	150.2	21.0
Net profit (YoY)	162.9	72.1	(37.8)	(79.2)	(5.6)	235.5	45.2	8.3
Core EPS (fully-diluted) (YoY)	161.0	72.9	(45.0)	(82.1)	(6.4)	235.5	45.2	8.3
Gross-profit margin	26.7	34.1	21.3	10.2	11.8	16.7	17.7	18.6
EBITDA margin	30.5	41.3	28.6	20.0	24.7	30.6	31.9	31.7
Operating-profit margin	11.0	22.8	6.7	n.a.	n.a.	1.6	3.5	3.8
Net profit margin	16.0	18.2	12.2	2.9	2.3	6.2	7.9	7.5
ROAE	9.7	15.2	6.0	0.9	0.9	2.7	3.9	4.0
ROAA	4.9	6.8	3.1	0.5	0.4	1.3	1.8	1.9
ROCE	3.9	10.0	1.9	n.a.	n.a.	0.4	0.9	1.1
ROIC	4.2	12.0	2.6	n.a.	n.a.	0.7	1.5	1.6
Net debt to equity	net cash	net cash	net cash	net cash	net cash	net cash	net cash	3.0
Effective tax rate	22.1	18.0	27.2	(5.2)	(5.2)	(5.2)	(5.2)	(5.2)
Accounts receivable (days)	33.8	34.9	45.5	50.0	42.0	45.0	45.0	45.0
Current ratio (x)	2.2	2.2	6.8	3.7	3.6	3.2	2.9	2.4
Net interest cover (x)	n.a.	42.2	3.9	n.a.	n.a.	0.7	1.7	2.0
Net dividend payout	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free cash flow yield	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Source: FactSet, Daiwa forecasts

Company profile

Hua Hong Grace Semiconductor Limited manufactures semiconductors wafer foundry services. The Company produces embedded non-volatile memory, power discrete, analog, power management, and logic RF products. Hua Hong Semiconductor provides products for consumer electronics, communications, computing, industrial, and automotive fields.

HHGrace: financial forecasts

(in USDm)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	661	718	775	804	789	830	870	898	2,402	2,957	3,386	3,860
COGS	(575)	(599)	(637)	(654)	(662)	(684)	(709)	(733)	(2,119)	(2,464)	(2,788)	(3,143)
Gross profit	86	118	138	150	128	145	160	165	283	493	598	717
Opex	(106)	(107)	(107)	(125)	(114)	(114)	(114)	(136)	(426)	(445)	(478)	(572)
Operating profit	(20)	11	31	25	14	31	46	29	(142)	48	120	145
Pretax profit	(22)	12	27	37	17	34	49	51	(89)	54	151	176
Income taxes	5	(8)	(4)	(6)	(4)	(5)	(7)	(8)	(22)	(12)	(24)	(27)
Net profit	21	39	58	67	48	64	77	78	55	184	267	290
Margin												
Gross	13.0%	16.5%	17.8%	18.7%	16%	18%	18%	18%	11.8%	16.7%	17.7%	18.6%
Opex	-16%	-15%	-14%	-16%	-14%	-14%	-13%	-15%	-17.7%	-15.0%	-14.1%	-14.8%
Operating	-3%	2%	4%	3%	2%	4%	5%	3%	-5.9%	1.6%	3.5%	3.8%
Net	3%	5%	7%	8%	6%	8%	9%	9%	2.3%	6.2%	7.9%	7.5%
Growth (QoQ)												
Revenue	0%	9%	8%	4%	-2%	5%	5%	3%				
Gross profit	0%	38%	17%	9%	-15%	14%	10%	3%				
Operating profit	nm	nm	181%	nm	-45%	128%	47%	-37%				
Net profit	20%	85%	49%	15%	-28%	33%	19%	2%				
Growth (YoY)												
Revenue	22%	27%	22%	22%	19%	16%	12%	12%	20%	23%	15%	14%
Gross profit	72%	92%	61%	75%	48%	23%	16%	10%	38%	74%	21%	20%
Operating profit	nm	nm	nm	nm	nm	184%	48%	15%	nm	nm	150%	21%
Net profit	**458%**	**386%**	**124%**	**282%**	**130%**	**66%**	**33%**	**18%**	**-6%**	**235%**	**45%**	**8%**

Source: Company, Daiwa forecasts

HHGrace: SOTP valuation

SOTP-based valuation (HHGrace)				
Fab	**Asset (USDm)**	**NAV (USDm)**	**PBR (x)**	**Equity (USDm)**
Fab 5	1,163	427	4.0x	1,710
Fab 6	4,000	2,600	2.5x	6,500
Fab X	5,600	3,640	3.0x	10,920
Fab Y	6,400	4,160	3.0x	12,480
Fab 10	3,200	2,080	2.5x	5,200
HLMC	**20,363**	**12,907**	**2.9**	**36,810**
HHSEMI	15,474	9,905	2.5	24,763
HH Group	**35,837**	**22,813**	**2.7**	**61,573**
	HKD/USD			7.80
	Discount factor (from end-2030E to mid-2027E @ 10%)			0.72
	Share issue dilutive effect (30% share dilution to purchase assets)			70%
	Shares outstanding (m)			1,736
	12M TP (HKD)			**139.0**

Source: Daiwa estimates and forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Hua Hong Grace Semiconductor (HH Grace) has established various regulations and systems related to corporate governance, in accordance with local laws and regulations. In 2025, the Board of the Company consists of 9 members, including 1 female director.
G	Capital management	1	The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.
G	Related party & transaction	1	In 2025, HHGrace's connected transaction was minimal.
G	Supply chain management	2	HH Grace strategically forms medium- and long-term agreements with suppliers. The company also regularly reviews its inventory to maintain it at a rational level.
G	Water & wastewater management	2	In 2025, the company was 100% compliant in terms of its wasterwater discharge.
G	Waste & hazardous materials management	2	Under the philosophy of lean manufacturing management, the company continuously reduces its generation of hazardous waste.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 19 Aug 2026

Source: Daiwa, Company

Vanguard International Semiconductor (5347 TT)

Daiwa Capital Markets Hong Kong Limited

Target price: **TWD210.00**

Share price (7 Oct): **TWD190.00** | Up/downside: **+10.5%**

5 4 3 **2** 1

★ **Outperform** (initiation)

Initiation: fast ramp to capture the AI ripple effect

- Fully loaded through 2027 on AI scaling and fab optimisation
- Fast expansion to capture a paradigm shift in the foundry sector
- Initiating with an Outperform (2) rating and 12M TP of TWD210

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Investment case: We initiate coverage of Vanguard International Semiconductor (VIS), a leading specialty foundry, with an Outperform (2) rating and 12-month TP of TWD210. We expect VIS to enjoy fully loaded operations (in terms of wafer-in) through 2027 with pricing power, thanks to a ripple effect as AI demand scales from compute to power, further augmented by TSMC's fab optimisation. Given VIS's historical ties with TSMC, which have strategically helped it advance its business transformation towards value-added specialty foundry offerings, it looks well positioned to benefit from this multi-year AI scaling, cemented by the fast expansion of its first 12" fab in Singapore to capitalise on what we observe as a paradigm shift in the foundry industry.

Fully loaded operations on AI ripple effect. We expect VIS's wafer loadings to approach full levels in terms of wafer-in through 2027, thanks to the AI scaling out and across creating a ripple effect for demand spillover and benefitting specialty foundries. Given its strategic partnership with TSMC, VIS stands to benefit from this multi-year AI build. Despite its pull-in of the 12" ramp, we do not expect such fast expansion to dwarf utilisations since all the planned capacity is sold out, thanks to long-term agreements (LTA) signed with customers amid the supply constraint, which should help VIS manage surging depreciation and minimise margin dilution.

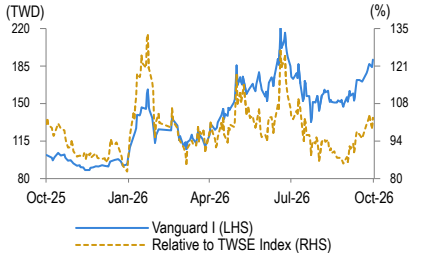
Fast expansion to capture the paradigm shift. To capitalise on the likely paradigm shift in the specialty foundry segment, as detailed in the sector section, driven by TSMC's fab optimisation, VIS is pulling its 12" fab construction in Singapore nearly half a year ahead of schedule. VIS aims to start mass production from 1Q27 after hosting an opening ceremony on 28 September. We expect this fab to reach its first-phase designed capacity of 44,000 wafers per month (wpm) by end-2028, with c.30% of it dedicated to TSMC's wafer interposers and the rest for customers' power semiconductor and embedded flash chips, mainly for AI applications. We forecast VIS to enjoy counter-seasonal quarters through 2027, delivering revenue CAGR of c.30% over 2026-28 for an EPS CAGR of 26%.

Catalysts: 1) Record-breaking monthly revenue run rates through 2027; 2) upbeat guidance for the coming quarters; and 3) margin resilience to ease investors' concerns about depreciation amid the 12" ramp.

Valuation: We derive our 12M TP of TWD210 for VIS by applying our ROE-adjusted PBR target of 5.2x to our one-year-forward BVPS forecast.

Risks: 1) Current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

Share price performance



12-month range	88.00-220.00
Market cap (USDbn)	11.22
3m avg daily turnover (USDm)	104.83
Shares outstanding (m)	1,878
Major shareholder	TSMC (18.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	57,494	76,662	95,017
Operating profit (m)	11,742	16,893	22,282
Net profit (m)	11,076	14,875	17,637
Core EPS (fully-diluted)	5.896	7.919	9.389
EPS change (%)	39.2	34.3	18.6
Daiwa vs Cons. EPS (%)	(1.9)	5.1	(2.4)
PER (x)	32.2	24.0	20.2
Dividend yield (%)	2.4	2.6	2.9
DPS	4.5	5.0	5.5
PBR (x)	5.3	4.7	4.4
EV/EBITDA (x)	19.0	13.1	9.7
ROE (%)	16.8	20.8	22.6

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 43

5 4 3 **2** 1

Outperform
(initiation)

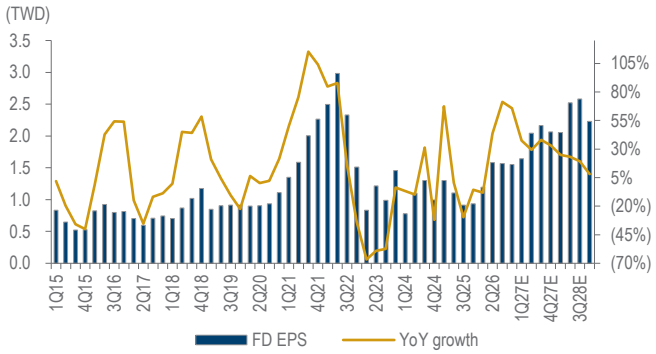
How do we justify our view?

Growth outlook	Valuation	Earnings revisions
✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔

Growth outlook

VIS's earnings have been volatile due to the cyclical nature of the semiconductor industry in which it operates. That said, barring its hefty growth during 2021-22 as an outlier due to the COVID-inflated chip demand, VIS will enjoy 30-70% YoY EPS growth over 2Q26E-4Q27E, according to our forecasts, with strength similar to that in 2016 and 2018. On an annual EPS basis, we forecast a 30% CAGR over 2025-28.

VIS: quarterly EPS growth trend

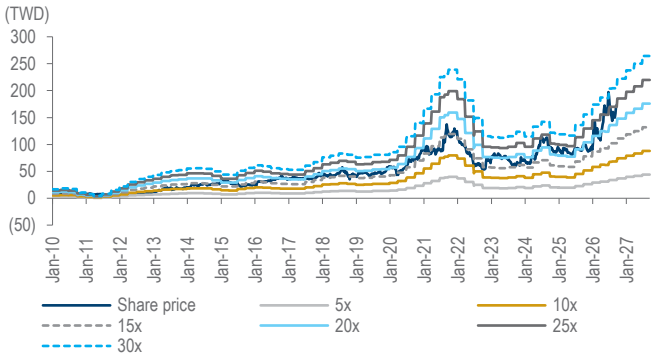


Source: Company, Daiwa estimates and forecasts

Valuation

Trading at 24x on our 4-quarter-forward EPS, the VIS stock is priced at the high end of its post-2009 GFC range of 5-30x, suggesting a not-so-compelling valuation vs. history. Yet, considering our forecast of a robust 30% EPS CAGR over 2025-28, 24x does not look demanding from a PEG point of view. Valued by our ROE-adjusted PBR target of 5.2x, our 12M TP of TWD210 for VIS translates into a 26x 4-quarter forward PER, which looks reasonable in combination of both PBR and PER methodologies.

VIS: 4-quarter-forward PER bands

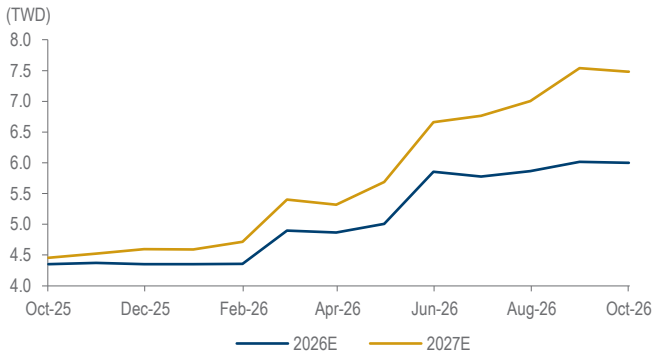


Source: Company, TEJ, Daiwa estimates and forecasts

Earnings revision

Bloomberg consensus 2026-27 EPS forecasts for VIS have been trending up since February 2026, indicating positive investor sentiment. Our 2027E EPS is 5% above consensus, implying room for further upward revisions from the market to act as an upside catalyst for the stock, in our opinion.

VIS: consensus EPS forecast revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilization (%)	101	83	59	66	76	85	95	97
Blended ASP (USD)	543	670	629	624	616	637	686	723
Wafer shipment (8" equ., '000)	2,901	2,605	1,952	2,194	2,533	2,838	3,492	4,109

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	43,952	51,694	38,273	44,056	48,591	57,495	76,662	95,017
Sub & Other Revenue	0	0	0	0	0	0	0	0
Other Revenue	(1)	1	(0)	(1)	0	(0)	0	0
Total Revenue	**43,951**	**51,694**	**38,273**	**44,055**	**48,591**	**57,494**	**76,662**	**95,017**
Other income	0	0	0	0	0	0	0	0
COGS	(24,799)	(27,771)	(27,827)	(32,122)	(34,937)	(38,893)	(51,107)	(62,341)
SG&A	(2,899)	(3,375)	(2,521)	(2,740)	(3,691)	(4,164)	(5,197)	(6,170)
Other op.expenses	(2,151)	(2,742)	(2,151)	(2,081)	(2,190)	(2,696)	(3,466)	(4,224)
Operating profit	**14,102**	**17,807**	**5,774**	**7,111**	**7,773**	**11,742**	**16,893**	**22,282**
Net-interest inc./(exp.)	159	588	1,536	1,754	1,554	900	295	445
Assoc/forex/extraord./others	28	457	1,524	(113)	(76)	206	28	31
Pre-tax profit	**14,290**	**18,851**	**8,834**	**8,752**	**9,251**	**12,848**	**17,216**	**22,758**
Tax	(2,470)	(3,571)	(1,464)	(1,705)	(1,480)	(2,112)	(2,909)	(3,669)
Min. int./pref. div./others	0	0	0	0	137	341	568	(1,452)
Net profit (reported)	**11,820**	**15,280**	**7,370**	**7,047**	**7,908**	**11,076**	**14,875**	**17,637**
Net profit (adjusted)	**11,820**	**15,280**	**7,370**	**7,047**	**7,908**	**11,076**	**14,875**	**17,637**
EPS (reported)(TWD)	**7.212**	**9.323**	**4.497**	**4.209**	**4.300**	**5.897**	**7.919**	**9.390**
EPS (adjusted)(TWD)	**7.212**	**9.323**	**4.497**	**4.209**	**4.300**	**5.897**	**7.919**	**9.390**
EPS (adjusted fully-diluted)(TWD)	**7.212**	**9.323**	**4.497**	**3.795**	**4.235**	**5.896**	**7.919**	**9.389**
DPS (TWD)	**3.500**	**4.500**	**4.500**	**4.405**	**4.568**	**4.500**	**5.000**	**5.510**
EBIT	**14,102**	**17,807**	**5,774**	**7,111**	**7,773**	**11,742**	**16,893**	**22,282**
EBITDA	**18,086**	**23,349**	**13,626**	**15,733**	**16,325**	**21,006**	**31,121**	**41,235**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	14,290	18,851	8,834	8,752	9,251	12,848	17,216	22,758
Depreciation and amortisation	3,984	5,542	7,852	8,622	8,552	9,264	14,228	18,953
Tax paid	(2,470)	(3,571)	(1,464)	(1,705)	(1,480)	(2,112)	(2,909)	(3,669)
Change in working capital	(4,449)	2,285	(1,385)	(1,958)	(2,465)	(2,250)	(5,500)	(1,300)
Other operational CF items	9,883	10,819	(5,205)	11,020	11,581	9,341	5,568	3,548
Cash flow from operations	**21,237**	**33,927**	**8,632**	**24,731**	**25,439**	**27,091**	**28,603**	**40,290**
Capex	(13,280)	(18,723)	(6,779)	(15,922)	(63,265)	(65,177)	(33,920)	(17,920)
Net (acquisitions)/disposals	(113)	(4,709)	(1,626)	4,357	1,183	82	0	0
Other investing CF items	(28)	(771)	46	(133)	2,372	0	0	0
Cash flow from investing	**(13,420)**	**(24,204)**	**(8,360)**	**(11,699)**	**(59,711)**	**(65,095)**	**(33,920)**	**(17,920)**
Change in debt	2,718	6,991	5,993	2,996	7,519	5,961	2,982	(5,155)
Net share issues/(repurchases)	0	0	0	17,593	0	0	0	0
Dividends paid	(5,736)	(7,375)	(7,375)	(7,375)	(8,400)	(8,453)	(9,393)	(10,351)
Other financing CF items	2,232	4,557	24	4,316	14,341	17,598	10,176	0
Cash flow from financing	**(786)**	**4,173**	**(1,359)**	**17,530**	**13,460**	**15,106**	**3,766**	**(15,506)**
Forex effect/others	(63)	575	72	291	(249)	0	0	0
Change in cash	**6,968**	**14,471**	**(1,015)**	**30,853**	**(21,060)**	**(22,899)**	**(1,551)**	**6,864**
Free cash flow	7,958	15,203	1,852	8,809	(37,826)	(38,086)	(5,317)	22,370

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	20,173	34,843	38,050	66,749	41,716	18,736	17,185	24,049
Inventory	4,030	5,880	5,672	6,221	6,937	6,937	10,437	9,937
Accounts receivable	9,452	4,962	5,523	6,235	6,748	8,948	11,948	13,948
Other current assets	533	570	834	7,007	11,496	10,000	10,000	11,000
Total current assets	**34,188**	**46,255**	**50,079**	**86,211**	**66,897**	**44,621**	**49,570**	**58,934**
Fixed assets	23,541	38,504	36,604	44,141	113,869	156,754	166,580	157,390
Goodwill & intangibles	3,361	6,382	6,771	10,905	10,282	7,000	7,500	8,000
Other non-current assets	4,458	9,798	8,997	7,448	9,420	9,420	9,420	9,420
Total assets	**65,548**	**100,940**	**102,450**	**148,706**	**200,469**	**217,795**	**233,070**	**233,744**
Short-term debt	0	0	0	0	10,520	9,039	17,176	16,042
Accounts payable	1,437	1,376	972	1,416	1,724	1,674	2,674	2,874
Other current liabilities	13,539	19,717	19,135	19,959	39,361	37,828	36,619	31,986
Total current liabilities	**14,976**	**21,093**	**20,107**	**21,375**	**51,604**	**48,541**	**56,469**	**50,902**
Long-term debt	4,993	11,987	17,983	20,984	15,990	23,432	18,277	14,256
Other non-current liabilities	10,413	22,509	18,646	37,679	49,285	49,285	49,285	49,285
Total liabilities	**30,382**	**55,589**	**56,737**	**80,039**	**116,879**	**121,258**	**124,031**	**114,443**
Share capital	16,390	16,390	16,390	18,666	18,671	18,783	18,783	18,783
Reserves/R.E./others	18,776	28,961	29,323	45,438	45,206	49,042	56,544	61,806
Shareholders' equity	**35,165**	**45,351**	**45,713**	**64,104**	**63,877**	**67,825**	**75,327**	**80,589**
Minority interests	0	0	0	4,563	19,713	28,713	33,713	38,713
Total equity & liabilities	**65,548**	**100,940**	**102,450**	**148,706**	**200,469**	**217,795**	**233,070**	**233,744**
EV	341,705	334,029	336,818	315,682	361,390	399,332	408,866	401,846
Net debt/(cash)	**(15,180)**	**(22,855)**	**(20,066)**	**(45,765)**	**(15,207)**	**13,735**	**18,268**	**6,249**
BVPS (TWD)	**21.456**	**27.670**	**27.891**	**34.342**	**34.212**	**36.109**	**40.103**	**42.904**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	32.7	17.6	(26.0)	15.1	10.3	18.3	33.3	23.9
EBITDA (YoY)	65.7	29.1	(41.6)	15.5	3.8	28.7	48.2	32.5
Operating profit (YoY)	90.1	26.3	(67.6)	23.2	9.3	51.1	43.9	31.9
Net profit (YoY)	87.4	29.3	(51.8)	(4.4)	12.2	40.1	34.3	18.6
Core EPS (fully-diluted) (YoY)	87.4	29.3	(51.8)	(15.6)	11.6	39.2	34.3	18.6
Gross-profit margin	43.6	46.3	27.3	27.1	28.1	32.4	33.3	34.4
EBITDA margin	41.2	45.2	35.6	35.7	33.6	36.5	40.6	43.4
Operating-profit margin	32.1	34.4	15.1	16.1	16.0	20.4	22.0	23.5
Net profit margin	26.9	29.6	19.3	16.0	16.3	19.3	19.4	18.6
ROAE	36.5	38.0	16.2	12.8	12.4	16.8	20.8	22.6
ROAA	21.6	18.4	7.2	5.6	4.5	5.3	6.6	7.6
ROCE	39.2	36.5	9.5	9.3	7.8	9.8	12.4	15.2
ROIC	60.1	68.0	20.0	23.6	14.3	11.0	11.8	14.8
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	20.3	24.3	7.8
Effective tax rate	17.3	18.9	16.6	19.5	16.0	16.4	16.9	16.1
Accounts receivable (days)	63.1	50.9	50.0	48.7	48.8	49.8	49.7	49.7
Current ratio (x)	2.3	2.2	2.5	4.0	1.3	0.9	0.9	1.2
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	91.0	62.4	48.3	100.1	119.2	106.9	84.8	69.6
Free cash flow yield	2.2	4.3	0.5	2.5	n.a.	n.a.	n.a.	6.3

Source: FactSet, Daiwa forecasts

Company profile

Founded in December 1994 and listed in March 1998, Vanguard International Semiconductor Corp. (VIS) successfully transformed its business model from memory to a complementary metal-oxide-semiconductor (CMOS) logic foundry focused on specialty technologies such as mixed-signal, power analog and embedded memory, becoming one of the world's leading specialty foundries. Leveraging its strategic relationship with major shareholder TSMC, VIS operates wafer fabs in Taiwan and Singapore, serving a wide variety of customers, including fabless chipmakers and IDMs globally.

Fast ramp to capture AI ripple effect

Initiating on VIS with an Outperform (2) rating and 12M TP of TWD210

We initiate coverage of VIS with an Outperform (2) rating and 12M TP of TWD210. Founded in December 1994, headquartered in Hsinchu Science Park and listed in March 1998 (see Appendix 1 for more details on the company), VIS looks set to enjoy fully loaded operations (in terms of wafer-in) through 2027, with sustained pricing power, thanks to the ripple effect of AI demand scaling from compute to connectivity and power, further augmented by TSMC's fab optimisation.

Given its longstanding ties with TSMC, which currently holds a c.19% stake in VIS and has strategically helped it advance its business transformation by moving up value verticals of specialty-foundry offerings to differentiate itself in the competitive specialty foundry market, VIS looks set to benefit from this multi-year AI scaling, among peers. The fast expansion of its first 12" fab in Singapore should help cement the AI business and capitalise on what we observe as a paradigm shift in the foundry industry, as mentioned in the main section of this report.

Fully loaded operations on AI ripple effect

Despite suffering from the post-COVID inventory correction …

Like many other semiconductor foundries, VIS enjoyed unusual pricing power during the COVID period as the virus, together with geopolitical tensions between China and the US, inflated chip demand across virtually all product applications to an unprecedented level. Consequently, the industry suffered from an unprecedented 2-year downturn on a prolonged inventory correction, if excluding the AI build that has helped rescue the advanced foundry segment, save the village (ie, the chip industry) and bring the global chip cycle back on its historical track of an average of a one-year downturn. This downturn caused choppy operations for many second-tier foundries which focused initially on the non-AI space over 2022-25, including VIS (see our series of Technology Outlook reports: 2023: *V-shape, U-shape or double dip?*, 2024: *The dragon is ready to soar,* 2025: *likely longer and stronger*).

… VIS has benefitted from AI scaling and is further …

Starting from 2H25, after the AI builds scaled out and across from compute into memory to connectivity and power, creating a ripple effect in demand that benefits not only advanced but also specialty foundries, we expect VIS's wafer loadings to approach full levels through 2027 (in terms of wafer-in), despite its fast 12" expansion. With its parent company TSMC's strategic partnership, VIS stands at a strong position to benefit from this multi-year AI scaling, in our view. To maximise the AI business potential, VIS is accelerating its first 12" fab in Singapore via a JV named VisionPower Semiconductor Manufacturing Corp (VSMC), with phase-one investment of USD6.8bn where, in terms of registered capital of USD4bn, VIS assumes USD2.4bn for a 60% stake, while NXP assumes USD1.6bn for a 40% stake.

In terms of the total investment on a cash basis, VIS will chip in only USD1.0bn, with USD2.8bn coming from NXP and USD1.1bn from TSMC with some equipment consignment, while the rest will come from other customer prepayments, loans and a subsidy from the Singapore government. Upon VSMC's completion, this will bring VIS a total of 6 fabs, with combined capacity reaching up to c.380,000 8"-equivalent wafers per month (wpm) by end-2028, based on our forecasts (see table on next page for details of our key business assumptions).

VIS: key business assumptions and cost analysis

('000 wpm*)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Capacity												
Fab 1 (8")	77	80	80	80	78	80	80	80	78	80	80	80
Fab 2 (8")	67	70	70	70	68	70	70	70	68	70	70	70
Fab 3 (8")	48	50	50	50	48	50	50	50	48	50	50	50
Fab VS1 (8")	38	40	40	40	39	40	40	40	39	40	40	40
Fab 5 (8")	38	40	40	40	39	40	40	40	39	40	40	40
Fab VSMC (12")	0	0	0	0	2	10	18	20	22	30	40	44
Total capacity (8" equ)	268	280	280	280	278	303	320	325	322	348	369	379
Shipment												
Quarterly shipment (8" equ)	642	713	734	749	757	855	940	940	931	1,043	1,095	1,040
Capacity utilisation**	80%	85%	87%	89%	91%	94%	98%	96%	96%	100%	99%	91%
Blended ASP (USD)	618	632	645	649	650	685	697	704	704	719	739	726
Revenue												
Revenue (USDm)	397	451	474	486	492	586	656	662	655	750	809	755
Revenue (TWDm)	12,532	14,245	15,160	15,558	15,737	18,753	20,983	21,189	20,975	24,003	25,876	24,164
Mix by node												
0.5u+	12%	12%	12%	12%	12%	11%	11%	11%	11%	11%	10%	10%
0.35u	13%	12%	12%	12%	12%	11%	11%	10%	11%	10%	9%	9%
0.25u	15%	16%	16%	16%	16%	14%	12%	12%	12%	11%	10%	10%
0.18/0.15u	15%	15%	15%	15%	15%	14%	13%	12%	12%	11%	10%	10%
0.13/0.11u	45%	46%	45%	44%	45%	41%	38%	37%	36%	33%	30%	30%
<=90nm	0%	0%	0%	0%	0%	9%	15%	18%	18%	25%	32%	32%
Cost structure												
Direct materials	1,724	1,916	1,998	2,037	2,058	2,325	2,558	2,558	2,532	2,836	2,978	2,829
Direct labour	1,136	1,240	1,293	1,318	1,332	1,505	1,655	1,655	1,639	1,835	1,927	1,831
Depreciation & amortisation	2,192	2,227	2,340	2,505	2,600	3,300	4,000	4,328	4,400	4,600	5,000	4,953
Other overheads	3,810	4,258	4,418	4,482	4,600	5,198	5,718	5,718	5,661	6,340	6,657	6,324
Total COGS (TWDm)	8,861	9,640	10,048	10,344	10,589	12,328	13,931	14,259	14,231	15,611	16,562	15,937
Mix by element												
Direct materials	19%	20%	20%	20%	19%	19%	18%	18%	18%	18%	18%	18%
Direct labour	13%	13%	13%	13%	13%	12%	12%	12%	12%	12%	12%	11%
Depreciation & amortisation	25%	23%	23%	24%	25%	27%	29%	30%	31%	29%	30%	31%
Other overheads	43%	44%	44%	43%	43%	42%	41%	40%	40%	41%	40%	40%
Gross profit (TWDm)	3,671	4,604	5,112	5,214	5,148	6,425	7,052	6,930	6,743	8,391	9,314	8,227
Gross margin	29%	32%	34%	34%	33%	34%	34%	33%	32%	35%	36%	34%

Source: Company, Daiwa estimates and forecasts
*Note: * wpm = wafers per month on average; ** based on shipment divided by installed capacity, not wafer-in*

Fast expansion to capture the paradigm shift

… speeding up its 12" expansion to maximise the AI potential

On top of the AI scaling creating a ripple effect for demand spillover, such strength looks to be further augmented by TSMC's fab optimisation, as assessed in the main section of this report. To capitalise on the likely paradigm shift in the specialty foundry segment by TSMC's fab optimisation, VIS is pulling in its first 12" fab construction around half a year ahead of schedule, aiming to start mass production from 1Q27 after it hosted an opening ceremony on 28 September.

Registered under VSMC, we expect this fab to reach its first-phase designed capacity of 44,000 wpm by end-2028, subject to market dynamics. c.30% of the fab's capacity will be dedicated to TSMC's wafer production of silicon interposers handling chip-on-wafer-on-substrate (CoWoS) advanced packaging, which has seen meaningful supply constraint due to strong AI high-performance compute (HPC) demand. The rest of the capacity is for other customers' power semiconductors (such as mixed-signal, analog and PMIC) and embedded flash, focusing on AI scaling and automotive and industrial (A&I) applications.

VIS could speed up phase-two 12" expansion under TSMC's continued effort of fab optimisation

Despite the 12" expansion pull-in, we do not expect the ramp to dwarf capacity utilisations since all the planned capacity is already sold out, thanks to the long-term agreements (LTA) signed with customers amid the supply constraints, which should help VIS manage surging depreciation and minimise margin dilution for financial resilience. Although this 12" fab has little to do with TSMC's 28/22/20nm fab optimisation addressed in the main section, since it covers only process nodes ranging from 0.13u to 40nm and thus enjoys only the 65/55nm wafer interposer spillover from TSMC, on our market research, we see possibilities for TSMC to shut down more legacy 12" fabs in the future. We believe this may incentivise VIS to speed up its second 12" fab construction in Singapore, namely the phase-two, or VSMC Fab 2, for 40,000-50,000 wpm capacity beyond 2028 and is scalable to 28nm-and-below and even the finFET (FF) process nodes.

Financial forecasts

In the near term, we expect VIS to enjoy counter-seasonal quarters through 2027, thanks to the ripple effect of AI scaling on wafer loadings and pricing power. We estimate that VIS earned 3Q26 EPS of TWD1.57, in line with the Bloomberg consensus estimate. For 4Q26, we are behind consensus since 1) we expect a diminished effect of price hikes after our estimated 2-3% QoQ EPS increases in 3Q26; and 2) we do not expect the 12" contribution to ramp that soon. In the long term, we forecast VIS to deliver a revenue CAGR of nearly 30% over 2026-28 for an EPS CAGR of 26%.

Revenue and customers

77% of revenue was from PMIC in 2Q26, with customers across Taiwan, China, Japan, Europe, and the US

As of 2Q26, power management IC (PMIC) accounted for the majority of revenue (77%; see chart on next page), on a rising trend from 40% a decade ago thanks to the co-efforts between VIS and TSMC strategically transforming the former's business up the value verticals from logic commodity display drivers (D/D) for consumer electronics devices to power discrete, analog, and PMIC for not only consumer but A&I applications. Riding on the escalating trend of demand for advanced high-V PMIC accommodating AI servers and power infrastructure under the AI cycle, we expect the PMIC revenue contribution to rise further over our forecast period, while the D/D contribution will drop to c.10%-plus for base-line customer demand support.

As of 2Q26, VIS found 16%, 16%, and 46% of revenue from major process nodes of 0.25u, 0.18u, and 0.13u-and-below, respectively, on our estimates. Since the VSMC fab will focus on 0.13u all the way to 40nm, and TSMC's wafer interposers will take c.30% of the capacity ramp on our estimates focusing on 65/55nm, we expect the 0.13u-and-below to increase to more than 60% of revenue over our forecast period. Both the PMIC and node advances should be blended ASP and margin accretive, helping mitigate the depreciation burden associated with the VSMC fab ramp. Illustrated in a chart on the next page, we expect VIS's blended ASP to trend upward from c.USD630 in 2Q26, rising by 1-5% QoQ through our forecast period to exceed USD700 by 2028.

High variety of customer base across D/D and PMIC

VIS services a high variety of customers around the world, including most fabless chipmakers in Taiwan and mainland China focusing on the D/D, power MOSFET and PMIC, and most integrated device manufacturers (IDM) across Japan, Europe and the US focusing on power semiconductor foundry works.

VIS: 3Q26 results preview and 4Q26 business outlook

			3Q26E			4Q26E
(in TWDm)	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	15,160	15,369	-1%	15,558	16,302	-5%
Gross profit	5,112			5,214		
Operating profit	3,369			3,386		
Pretax profit	3,569			3,529		
Net profit	2,944	2,983	-1%	2,911	3,255	-11%
Adjusted EPS (TWD)	1.57	1.59	-1%	1.55	1.73	-11%
Margins						
Gross	33.7%			33.5%		
Operating	22.2%			21.8%		
Net	19.4%			18.7%		
Operation						
Shipment (12" equ. wafers) ('000 units)	734			749		
Utilisation*	87%			89%		
<=0.13u sales contribution	45%			44%		

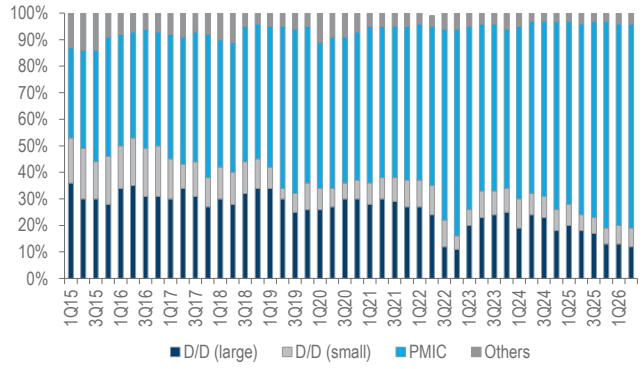
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity*

VIS: key operating assumptions, quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (8" equ) ('000 units)	642	713	734	749	757	855	940	940	2,533	2,838	3,492	4,109
Capacity utilisation	80%	85%	87%	89%	91%	94%	98%	96%	76%	85%	95%	97%
Blended ASP (USD)	618	632	645	649	650	685	697	704	616	637	686	723
Foundry revenue (USDm)	397	451	474	486	492	586	656	662	1,560	1,807	2,396	2,969
Total revenue	**12,532**	**14,245**	**15,160**	**15,558**	**15,737**	**18,753**	**20,983**	**21,189**	**48,591**	**57,494**	**76,662**	**95,017**
COGS	-8,861	-9,640	-10,048	-10,344	-10,589	-12,328	-13,931	-14,259	-34,937	-38,893	-51,107	-62,341
Gross profit	3,671	4,604	5,112	5,214	5,148	6,425	7,052	6,930	13,654	18,602	25,555	32,676
Opex	-1,584	-1,704	-1,743	-1,828	-1,857	-2,082	-2,329	-2,394	-5,880	-6,859	-8,662	-10,394
Operating profit	2,087	2,901	3,369	3,386	3,291	4,343	4,723	4,536	7,773	11,742	16,893	22,282
EBITDA	4,278	5,128	5,709	5,891	5,891	7,643	8,723	8,864	16,325	21,006	31,121	41,235
Non-op gain/loss	350	412	200	143	120	118	30	35	1,477	1,106	303	521
Pretax profit	2,437	3,313	3,569	3,529	3,411	4,461	4,753	4,571	9,251	12,848	17,196	22,803
Income taxes & MI	-190	-339	-625	-618	-324	-618	-686	-692	-1,343	-1,771	-2,320	-5,167
Net profit	2,246	2,975	2,944	2,911	3,087	3,843	4,067	3,879	7,908	11,076	14,876	17,636
FD O/S (m)	1,880	1,879	1,879	1,879	1,879	1,879	1,879	1,879	1,867	1,879	1,879	1,879
FD EPS (TWD)	**1.19**	**1.58**	**1.57**	**1.55**	**1.64**	**2.05**	**2.16**	**2.06**	**4.24**	**5.90**	**7.92**	**9.39**
Margins												
Gross	29%	32%	34%	34%	33%	34%	34%	33%	28%	32%	33%	34%
Operating	17%	20%	22%	22%	21%	23%	23%	21%	16%	20%	22%	23%
EBITDA	34%	36%	38%	38%	37%	41%	42%	42%	34%	37%	41%	43%
Net	18%	21%	19%	19%	20%	20%	19%	18%	16%	19%	19%	19%
Growth (QoQ)												
Total revenue	0%	14%	6%	3%	1%	19%	12%	1%				
Gross profit	6%	25%	11%	2%	-1%	25%	10%	-2%				
Operating profit	15%	39%	16%	1%	-3%	32%	9%	-4%				
EBITDA	6%	20%	11%	3%	0%	30%	14%	2%				
Net profit	29%	32%	-1%	-1%	6%	24%	6%	-5%				
FD EPS	28%	33%	-1%	-1%	6%	24%	6%	-5%				
Growth (YoY)												
Total revenue	5%	22%	23%	24%	26%	32%	38%	36%	10%	18%	33%	24%
Gross profit	2%	40%	54%	50%	40%	40%	38%	33%	14%	36%	37%	28%
Operating profit	-7%	53%	84%	87%	58%	50%	40%	34%	9%	51%	44%	32%
EBITDA	0%	29%	41%	46%	38%	49%	53%	50%	4%	29%	48%	32%
Net profit	-7%	46%	73%	67%	37%	29%	38%	33%	12%	40%	34%	19%
FD EPS	-8%	44%	71%	66%	38%	29%	38%	33%	12%	39%	34%	19%

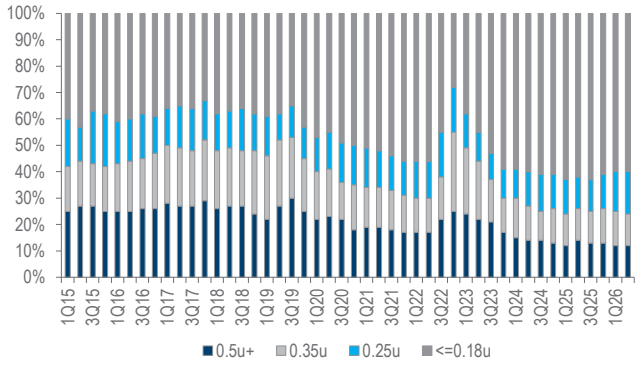
Source: Company, Daiwa estimates and forecasts

VIS: revenue mix by product*



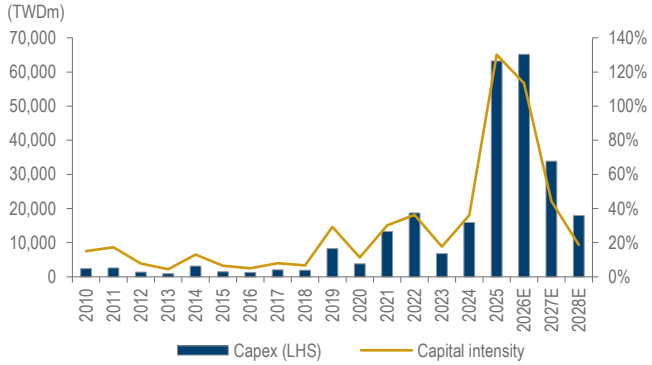
Source: Company
*Note: * D/D = display driver, PMIC = power management IC, others include LED driver, embedded memory, CMOS image sensor, etc.*

VIS: revenue mix by process node*



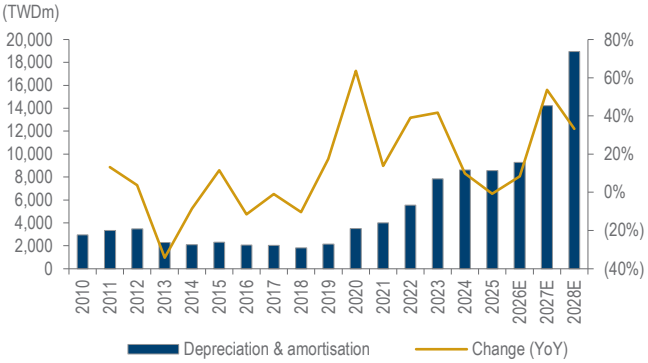
Source: Company
*Note: * <=0.18u including 0.18u, 0.15u, 0.13u and 0.11u*

VIS: capex and capital intensity trend*



Source: Company, Daiwa forecasts
*Note: * Capital intensity = capex divided by revenue*

VIS: depreciation and amortisation trend



Source: Company, Daiwa forecasts

Cost analysis

We forecast GM to stall at 32-34% over 2Q26-1Q28 and then pick up afterwards

Over the past decades, VIS's cost structure has fluctuated in fixed overheads (mainly D&A) from time to time, depending on its fab acquisitions, varying from 10% to 30% of COGS (refer back to the key assumption table). Given VSMC is about to ramp in production with a total capex of USD6.8bn for phase one, or roughly 2x VIS's 2025-26E aggregate revenue, we expect the D&A portion to return to the 30% level over our forecast period, acting as a margin dilutor. Yet with VIS's capex budget of TWD60-70bn (c.USD2bn) this year, we expect the capex to largely subside from 2027 for the depreciation cycle to peak in 2029. As a result, we forecast its D&A in absolute terms to rise by 54% YoY in 2027 to TWD14bn and 33% YoY in 2028 to nearly TWD19bn, with gross margin (GM) stalling at 32-34% over 2Q26-1Q28, then picking up to 35% or higher in 2H28 and likely rising further after the depreciation comes off the cycle into 2029.

Minority interest

We forecast MI expense to begin to dilute parent income from 2Q28

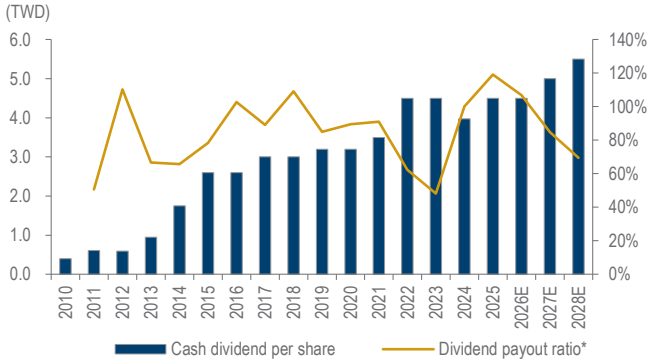
Minority interest (MI), or non-controlling interest as stated by VIS, kicked in from 1Q25 and rose to 2.4% of pretax income in 2Q26 due to preparation for the VSMC investment. We forecast the MI to rise to TWD341m this year (TWD137m in 2025), TWD568m in 2027 and TWD1.45bn in 2028, mainly from the 40% MI owned by NXP as VIS ramps the 12" fab investment in Singapore. As illustrated in a table below, we forecast VSMC to record revenue of nearly TWD9bn in 2027 and TWD26bn in 2028 for operating loss of TWD1.4bn and operating profit of TWD3.6bn, respectively, on the basis of a standalone operating entity.

Dividend policy

We expect c.80% payout ratio subject to capex requirement

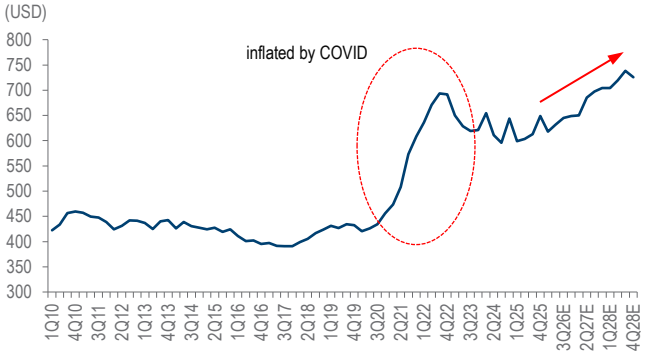
Over the past decade, VIS has stepped up its dividend payout ratios from 50% in 2011 to more than 100% this year. We expect the company to keep the ratios at c.80% over our forecast period, subject to the AI development which should determine the capex requirement for the VSMC investment, affecting its FCF generating power. VIS paid a TWD4.5/share cash dividend this year (against last year's earnings), and we forecast it to pay TWD5.0/share for 2027 with a payout ratio of 85% against this year's earnings for a 2.7% yield based on the closing price as of 5 October.

VIS: dividend trend and payout ratio*



Source: Company, Daiwa estimates and forecasts
*Note: * against previous year's P&L*

VIS: quarterly ASP trend*



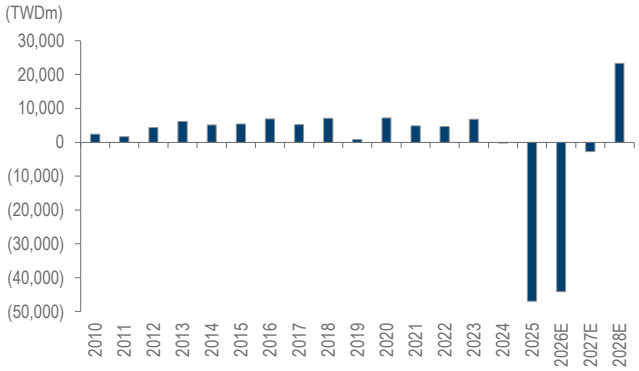
Source: Daiwa estimates and forecasts
*Note: * Blended basis in 8" equivalent*

VSMC: standalone P&L at core operation

	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Wafer shipments (8" equ) ('000 units)	2	55	100	120	121	188	255	245
Blended ASP (USD; 8" equ)	1,000	1,000	1,000	1,000	1,000	1,000	1,000	980
Revenue (USDm)	2	55	100	120	121	188	255	240
Revenue (TWDm)	50	1,758	3,213	3,853	3,872	6,007	8,156	7,687
COGS (TWDm)	(497)	(1,540)	(2,820)	(3,373)	(3,518)	(4,702)	(5,699)	(5,725)
Opex (TWDm)	(450)	(457)	(578)	(578)	(581)	(601)	(652)	(615)
Operating profit (TWDm)	(896)	(239)	(185)	(98)	(226)	704	1,804	1,347
MI against parent P&L (TWDm)	(359)	(96)	(74)	(39)	(91)	282	722	539
MI as % of VIS's pre-tax profit	11%	2%	2%	1%	2%	-5%	-11%	-10%

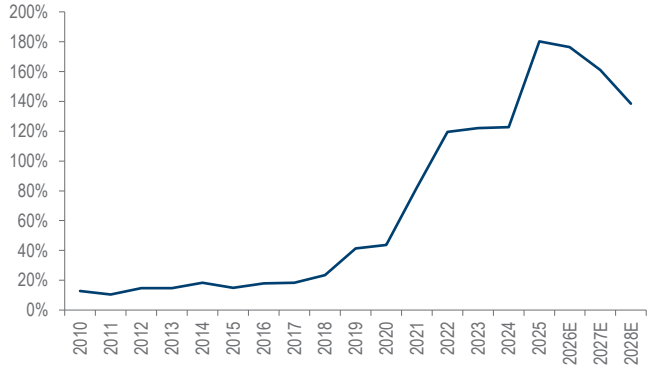
Source: Daiwa estimates and forecasts

VIS: free cashflow trend



Source: Company, Daiwa forecasts

VIS: debt-to-equity ratio



Source: Company, Daiwa forecasts

Cashflow and gearing

Given its hefty capex over 2025-27E, we expect VIS's free cashflow (FCF) to turn negative during the same period. Foreseeing the cash gap, VIS issued new shares of 228m in 2024 for a 12% per-share dilution and collected TWD17.6bn. It further issued ECBs in February this year to collect nearly TWD11bn; therefore, we forecast its debt-to-equity (D/E) ratio to approach 170% in 2026. Yet with the VSMC ramp in profitability for operating cash inflow, we forecast the FCF to turn positive in 2028, helping lower the gearing to c.140%.

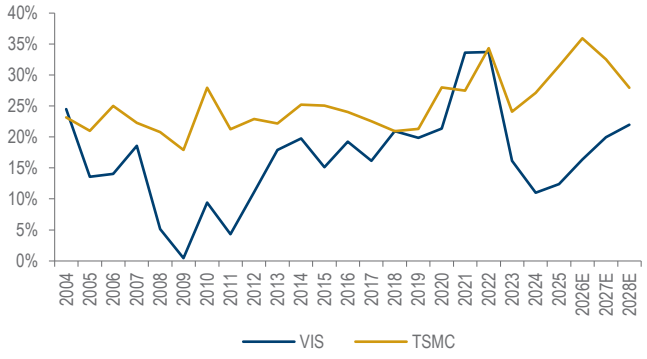
Valuation and risk

We set our 12M TP for VIS at TWD210, based on an ROE-adjusted PBR target of 5.2x

We employ an ROE-adjusted PBR methodology to value the foundry stocks under our coverage, where we compare a foundry's projected ROE with its historical ROE average, work out a premium or discount, and apply it to the foundry's historical average PBR for our ROE-adjusted PBR target. Given TSMC is VIS's strategic partner, we tweak our methodology a bit by anchoring VIS's ROE-adjusted PBR to TSMC's, where we compare their long-term ROE projections (2004-28E), work out a discount of 33% and then apply the discount to our 7.7x target PBR for TSMC, resulting in our target PBR of 5.2x and 12M TP of TWD210 for VIS on our one-year forward BVPS forecast.

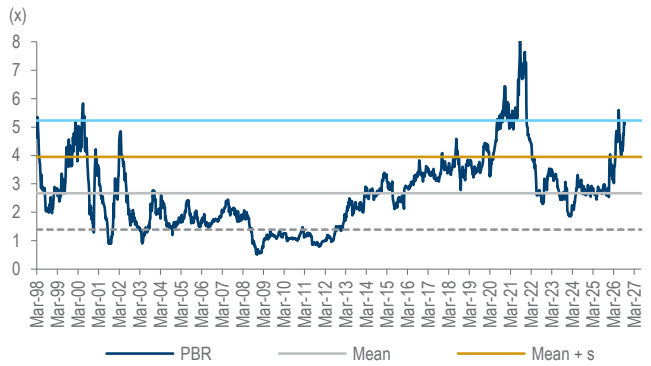
Key downside risks to our call would be: 1) the current chip upcycle ends earlier than expected; and 2) VSMC's 12" fab ramp/execution comes in below expectation.

ROE comparison: VIS vs. TSMC



Source: Company, Daiwa forecasts

VIS: PBR trend



Source: Company, TEJ, Daiwa forecasts

Asian foundry: valuation panel

Stock	Ticker	Price (LC)*	Daiwa rating	PER (x)			PBR (x)			ROE (%)			Earnings growth (%)		
				2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E
TSMC	2330 TT	2,585.0	Buy (1)	39.0	23.6	19.2	12.4	8.5	6.3	35.4	42.8	37.6	46.4	65.5	22.9
HHGrace	1347 HK	105.3	Buy (1)	n.m.	126.5	87.2	3.5	3.4	3.3	0.9	2.7	3.9	-5.6	235.5	45.2
VIS	**5347 TT**	190.0	Outperform (2)	44.9	32.2	24.0	5.6	5.3	4.7	12.4	16.8	20.8	12.2	40.1	34.3
UMC	2303 TT	148.5	Hold (3)	44.8	20.6	20.9	4.9	4.8	4.4	11.0	23.6	21.8	-11.6	117.7	-1.7
SMIC	981 HK	60.90	Sell (5)	75.5	44.4	38.1	1.8	1.7	1.6	4.0	6.6	7.1	115.3	71.9	16.6
GlobalFoundries	GFS US	48.07	Not rated	21.9	24.6	18.6	1.6	2.2	2.0	7.8	8.3	10.9	10.3	13.5	32.8
Average				45.2	45.3	34.7	5.0	4.3	3.8	11.9	16.8	16.9	26.2	89.7	20.4

Source: Companies, Bloomberg, Daiwa forecasts
Note: * Local currency based on closing prices as of 7 October 2026

Appendix: company profile

Commanding 1.1% market share, VIS is a leading specialty foundry in the world

Founded in December 1994 with headquarters located in Hsinchu Science Park and shares listed in March 1998, Vanguard International Semiconductor (VIS) is a leading specialty foundry in the world focusing on mix signal, power semiconductor and embedded memory chip manufacturing for value-added differentiation against competition in the mature foundry market. With strategic help from its parent company TSMC on business transformation and technology transfer, VIS commanded a 1.1% share in the global foundry market by 2025 revenue on our estimates (total size c.USD140bn), or nearly 4% in the global mature foundry market (ex-TSMC as a proxy), behind SMIC, UMC, GlobalFoundries (GF) and Huahong Grace Semiconductor (HHGrace; see chart on the next page). Note: our foundry market calculation is for dedicated foundry works only, different from TSMC's revised definition of the Foundry 2.0 that includes not only the dedicated foundry but packaging, testing and other non-memory semiconductor manufacturing services.

The foundry market

We expect VIS to outgrow the global foundry market (ex-TSMC) over 2026-28

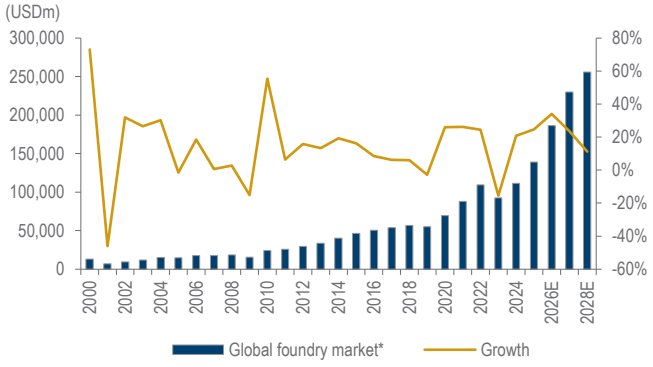
Ever since TSMC's founder innovated the semiconductor foundry service model, the foundry market has been in operation for more than 3 decades. Thanks to a rise in the global AI buildout, the global foundry revenue, after a dip in 2023 on the post-COVID inventory correction, recovered by more than 20% YoY pa over 2024-25. We forecast the growth to accelerate to more than 30% YoY this year, with revenue reaching USD186bn and exceeding USD255bn in 2028 for a robust 23% CAGR over 2025-28. If excluding TSMC, we forecast the market to grow by 14% YoY this year and approach USD60bn in 2028 for a CAGR of 13%, where we expect VIS to outgrow the market growth over our forecast period as illustrated in a chart below, thanks to its fast capacity expansion to capitalise on the AI scaling and paradigm shift in the specialty foundry segment.

Operation and customer

VIS has 5 fabs in operations, with its first 12" fab slated for mass-production from 1Q27

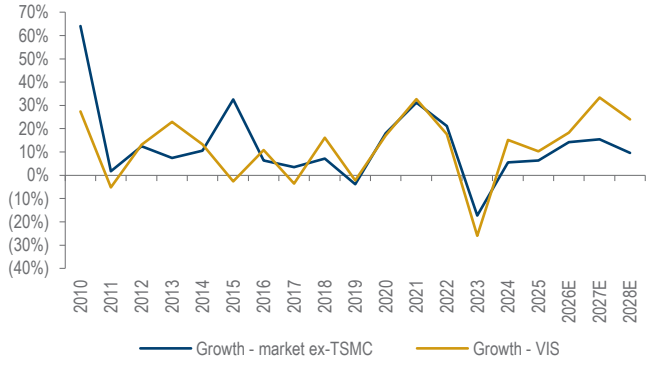
VIS currently operates 5 wafer fabs with 4 in Taiwan, including Fab 1 which commenced operations in 1994 as a memory setup and then converted to mixed signal, power metal oxide semiconductor field effect transistor (MOSFET) and logic foundry fab; Fab 2 which was acquired in 2007 from Winbond; Fab 3 which was acquired from Nanya Tech in 2014; and Fab 5 which was acquired from AUO in 2021, plus 1 in Singapore, Fab VS1, acquired from GF in 2019 and previously named 3E. The 5 fabs currently operate a total of 280,000 wpm capacity all in 8" wafer size, in which the Fab VS1 and 5 are scalable for an extra 10,000 wpm capacity each, though VIS doesn't seem to be keen in exercising the scalability since VSMC apparently is the focus for expansion. Following its opening ceremony on 28 September this year, VIS's first 12" fab via VSMC is slated for mass-production from 1Q27, aimed to bring up total capacity to c.380,000 wpm in 8" equivalent wafer by end-2028.

Global foundry market forecasts



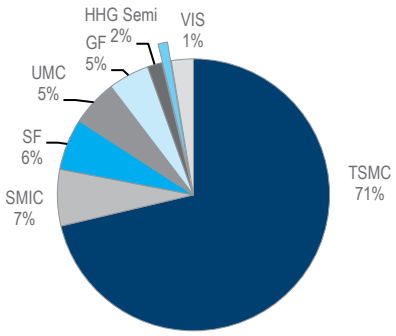
Source: Company, Daiwa estimates and forecasts
*Note: * Dedicated foundries only, not TSMC's definition of the Foundry 2.0*

Revenue growth: VIS vs. foundry market ex-TSMC*



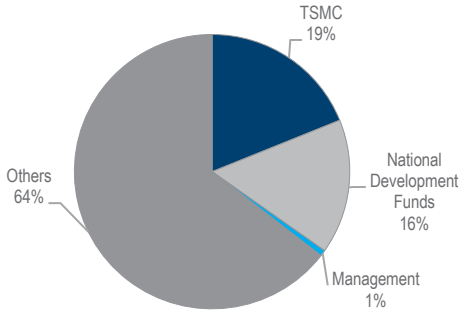
Source: Company, Daiwa estimates and forecasts
*Note: * As a proxy of the mature foundry market*

2025 global foundry market share*



Source: Company, Daiwa estimates
*Note: * GF = GlobalFoundries, SF = Samsung Foundry*

VIS: major shareholder structure



Source: Bloomberg

VIS covers a variety of fabless and IDM customers across Taiwan, China, Japan, Europe and the US

VIS doesn't disclose its key customers due to confidentiality issues, but we believe its key customers cover most of the fabless chipmakers in Taiwan and mainland China focusing on display driver (D/D), power MOSFET and power management IC (PMIC), as well as integrated device manufacturers (IDM) across Japan, Europe and the US. According to our industry survey, key D/D vendors in the greater China region are Novatek (3034 TT, TWD529, Hold [3]), Himax (HIMX US, not rated), Raydium (3592 TT, not rated), Ilitek (6962 TT, not rated), Sitronix Technology (8016 TT, not rated), FocalTech (3545 TT, not rated), Chipone Technology (not listed), OmniVision (603501 CH, CNY82.21, Hold [3]) and GalaxyCore (688728 CH, not rated), while key power semiconductor vendors in the world include Qualcomm (QCOM US, USD177.12, Outperform [2]; covered by Louis Miscioscia), Renesas (6723 JP, JPY3,924, Outperform [2]; covered by Junji Okawa), Monolithic Power Systems (MPS; MPWR US, not rated), NXP (NXPI US, not rated), STMicro (STM US, not rated), Infineon (IFX GR, not rated), Microchip (MCHP US, not rated), TI (TXN US, not rated), MediaTek (2454 TT, TWD4,835, Buy [1], via Richtek), Global Mixed-mode Technology (GMT; 8081 TT, not rated) and Niko Semiconductor (3317 TT, not rated).

Shareholder structure

Major shareholders are TSMC and Taiwan government

VIS's major shareholders were TSMC and the Taiwan government's Development Funds, with c.19% and c.16% of holdings, respectively, as of August 2026 under total share outstanding of 1.88bn. With management in aggregate holding an insignificant stake and the rest being held by institutional investors (QFII holding was 32.7% as of 5 October), we estimate a healthy free float of more than 60% for the stock, with decent cap of c.USD11bn and 3-month daily turnover of more than USD100m.

TSMC reduced its holding in VIS this year by 8pp, raising investor concerns on whether the move would jeopardise the former's strategic support to the latter. We see no direct link between the stake reduction and strategic support, and believe TSMC will continue the support, evidenced by its licence of gallium-nitride (GaN) and interposer technologies and equipment consignment to VSMC.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	VIS's board of directors (BoD) consists of 9 members, including 5 independent directors, representing 56% of the total board seats. The board comprises members with diverse backgrounds in business management, finance, industry, and academia, providing a broad range of expertise and perspectives. We believe the majority-independent board structure and the directors' collective experience in leadership, corporate governance, industry expertise, financial management, risk management, and sustainability strengthen the effectiveness of the BoD and support VIS's long-term growth and corporate governance practices.
	Capital management	1	VIS pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend.
	Related party & transaction	1	Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for VIS.
S	Supply chain management	1	VIS has established a comprehensive sustainable supply chain management framework to ensure suppliers comply with its sustainability requirements covering environmental protection, labor and human rights, occupational health and safety, business ethics, and responsible sourcing. The company requires suppliers to adhere to its "VIS Supplier Code of Conduct" and "Corporate Sustainability Policy", and conducts supplier sustainability assessments and audits as part of its supplier management process. We believe these efforts strengthen VIS's supply chain resilience and help mitigate supply chain risks.
E	Water & wastewater management	2	VIS is committed to improving water efficiency and sustainable water management. In 2022, the company implemented the ISO 46001 Water Efficiency Management System to analyze water consumption patterns, identify significant water-use equipment, evaluate water-saving opportunities, and establish improvement measures. VIS also provides annual water management training at its Taiwan facilities to promote continuous improvement in water-use efficiency. We believe these efforts demonstrate the company's commitment to responsible water stewardship and help reduce operational risks associated with water resources.
E	Waste & hazardous materials management	1	VIS adopts a comprehensive resource management approach to waste management and has established waste management procedures in accordance with ISO 14001 standards. Through dedicated waste management personnel and regular employee training, the company promotes effective waste reduction, classification, collection, storage, and treatment practices across its operations.
E	GHG emissions	1	VIS adopts a source-segregation and multi-stage treatment approach, supported by high-efficiency air pollution control systems, to effectively manage VOC and acidic/alkaline gas emissions from semiconductor manufacturing processes. The company's emission levels remain well below regulatory limits, reflecting its commitment to environmental compliance and sustainable operations.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

Daiwa's Asia Pacific Research Directory

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Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

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United Microelectronics (2303 TT)

Target price: **TWD145.00** (from TWD108.00)

Share price (7 Oct): **TWD148.50** | Up/downside: **-2.4%**

5 4 **3** 2 1

Hold
(unchanged)

A beneficiary of the AI ripple effect, but …

- UMC looks set to benefit from AI demand spillover
- Yet we believe the AI ripple effect is being priced in
- Maintain our Hold (3) call, with a higher 12M TP of TWD145

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What's new: Given its longstanding position in the global foundry industry, ever challenging TSMC's leadership during the late 1990s, we believe UMC stands well to benefit from a ripple effect in demand spurred by AI scaling, as detailed in the main section of this report. We expect UMC's wafer loadings to reach 100% from 1Q27, with price hikes to go through (see *Price hike to go through? Still likely*, 31 July). That said, we believe the equity market has priced in this AI strength on extra volume and pricing power for UMC. Hence, we stick with our Hold (3) rating on the counter.

What's the impact: **3Q26 preview and 4Q26 outlook.** We expect UMC to report 3Q26 net profit of TWD16.4bn (+9% YoY), varying not much from the Bloomberg consensus. Its monthly revenue finished at c.TWD49bn QTD, reaching 65% of our/consensus 3Q26 estimates, which we consider tracking inline. For 4Q26, we expect UMC to earn net profit of TWD16bn, 13% below consensus, as the street seems to be assuming higher non-operating gains. UMC is scheduled to report results on 28 October; we will be offering updates in due course.

<=28nm ramp on AI scaling and fab optimisation. UMC's 28/22nm-and-below revenue contribution has hovered around the high-30% range over the past 2 years, after meaningful ramp during the COVID period on broadened demand applications from display drivers and TV SoCs to power management. With AI scaling creating a ripple effect in companion chip demand for connectivity (ie, silicon photonics) and power (ie, server PMICs), we believe UMC is well positioned to benefit from any spillover demand, with the strength augmented by TSMC's fab optimisation, which could strengthen UMC's pricing power. Given that UMC's wafer loadings are likely to reach 100% from 1Q27, we expect its price hikes to go through and model increases of 2-5%, effective from 1Q27, across nodes related to AI applications. This should resume its <=28nm ramp to exceed a half of revenue in 2028. All in, we raise our 2027-28E EPS by 22%.

What we recommend: Despite our forecast revisions, we remain comfortable with our Hold (3) rating for UMC, as we believe its AI strength is already priced in. We raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x) applied to 1-year-forward BVPS on a higher ROE trajectory. Upside/ downside risks would be any price hikes above our expectations/ geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

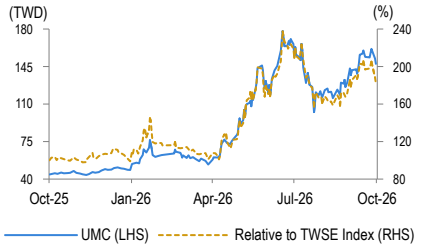
How we differ: Our 2026-28E EPS do not vary much from consensus, indicating that UMC's AI strength is already reflected in its valuation.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	0.9	7.5	7.9
Net profit change	1.5	21.9	21.6
Core EPS (FD) change	1.5	21.9	21.6

Source: Daiwa forecasts

Share price performance



12-month range	43.85-178.50
Market cap (USDbn)	58.71
3m avg daily turnover (USDm)	726.45
Shares outstanding (m)	12,577
Major shareholder	United Microelectronics Corp (5.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	281,729	358,798	393,029
Operating profit (m)	63,045	99,484	115,376
Net profit (m)	90,829	89,289	103,534
Core EPS (fully-diluted)	7.222	7.099	8.232
EPS change (%)	117.9	(1.7)	16.0
Daiwa vs Cons. EPS (%)	2.4	(1.6)	(3.5)
PER (x)	20.6	20.9	18.0
Dividend yield (%)	1.8	2.7	2.7
DPS	2.6	4.0	4.0
PBR (x)	4.8	4.4	3.9
EV/EBITDA (x)	13.8	10.1	9.1
ROE (%)	23.6	21.8	22.8

Source: FactSet, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilisation (%)	104	99	68	69	75	87	99	100
Blended ASP (USD)	774	941	994	933	876	862	914	916
Wafer shipment (8" equ., '000)	9,860	9,946	7,190	7,754	8,712	10,270	12,266	13,406

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	213,011	278,705	222,533	232,303	237,553	281,729	358,798	393,029
New Business Revenue	0	0	0	0	0	0	0	0
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**213,011**	**278,705**	**222,533**	**232,303**	**237,553**	**281,729**	**358,798**	**393,029**
Other income	0	0	0	0	0	0	0	0
COGS	(140,961)	(152,941)	(144,789)	(156,649)	(168,647)	(188,965)	(224,020)	(239,340)
SG&A	(7,429)	(8,518)	(6,569)	(8,425)	(7,233)	(10,215)	(13,024)	(14,368)
Other op.expenses	(12,935)	(12,954)	(13,284)	(15,616)	(17,725)	(19,504)	(22,271)	(23,945)
Operating profit	**51,686**	**104,293**	**57,891**	**51,613**	**43,949**	**63,045**	**99,484**	**115,376**
Net-interest inc./(exp.)	(1,387)	156	3,283	1,914	676	1,110	2,095	3,270
Assoc/forex/extraord./others	11,504	1,649	9,739	2,693	5,023	36,244	4,403	4,608
Pre-tax profit	**61,803**	**106,097**	**70,912**	**56,220**	**49,648**	**100,399**	**105,981**	**123,255**
Tax	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,660)	(16,692)	(19,721)
Min. int./pref. div./others	668	(820)	(450)	105	182	91	0	0
Net profit (reported)	**55,780**	**87,198**	**60,990**	**47,211**	**41,716**	**90,829**	**89,289**	**103,534**
Net profit (adjusted)	**55,780**	**87,198**	**60,990**	**47,211**	**41,716**	**90,829**	**89,289**	**103,534**
EPS (reported)(TWD)	**4.552**	**7.086**	**4.930**	**3.796**	**3.341**	**7.222**	**7.099**	**8.232**
EPS (adjusted)(TWD)	**4.552**	**7.086**	**4.930**	**3.796**	**3.341**	**7.222**	**7.099**	**8.232**
EPS (adjusted fully-diluted)(TWD)	**4.468**	**6.973**	**4.868**	**3.759**	**3.314**	**7.222**	**7.099**	**8.232**
DPS (TWD)	**1.622**	**3.043**	**3.639**	**3.022**	**2.866**	**2.602**	**4.004**	**4.004**
EBIT	**51,686**	**104,293**	**57,891**	**51,613**	**43,949**	**63,045**	**99,484**	**115,376**
EBITDA	**98,762**	**148,462**	**98,374**	**99,780**	**103,206**	**129,845**	**173,179**	**185,068**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	61,803	106,097	70,912	56,220	49,648	100,399	105,981	123,255
Depreciation and amortisation	47,075	44,169	40,484	48,168	59,257	66,800	73,695	69,692
Tax paid	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,660)	(16,692)	(19,721)
Change in working capital	(10,151)	(8,262)	916	(2,889)	1,617	(10,600)	(10,000)	(400)
Other operational CF items	(1,685)	21,935	(16,840)	1,488	(2,545)	(27,454)	(3,803)	(4,008)
Cash flow from operations	**90,352**	**145,861**	**86,000**	**93,872**	**99,864**	**119,484**	**149,182**	**168,817**
Capex	(48,035)	(80,128)	(91,474)	(88,545)	(47,744)	(63,647)	(51,200)	(52,801)
Net (acquisitions)/disposals	(14,290)	28,229	(4,678)	2,625	(7,670)	8,411	0	0
Other investing CF items	162	(2,528)	(1,635)	(21)	2,259	0	0	0
Cash flow from investing	**(62,163)**	**(54,427)**	**(97,787)**	**(85,941)**	**(53,154)**	**(55,237)**	**(51,200)**	**(52,801)**
Change in debt	18,818	(34,087)	27,377	(337)	(1,812)	(4,188)	(18,843)	(19,757)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(19,871)	(37,445)	(45,015)	(37,586)	(35,784)	(32,729)	(50,353)	(50,353)
Other financing CF items	11,439	21,296	(11,840)	2,438	(3,454)	0	0	0
Cash flow from financing	**10,386**	**(50,237)**	**(29,478)**	**(35,484)**	**(41,050)**	**(36,917)**	**(69,196)**	**(70,110)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**38,574**	**41,197**	**(41,265)**	**(27,553)**	**5,660**	**27,330**	**28,786**	**45,907**
Free cash flow	42,317	65,732	(5,474)	5,327	52,120	55,837	97,982	116,016

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	171,224	178,973	145,621	115,865	129,071	147,990	176,776	222,683
Inventory	23,011	31,070	35,713	35,782	37,228	38,228	41,728	41,228
Accounts receivable	35,190	36,975	29,586	33,343	31,274	40,774	50,774	50,674
Other current assets	3,848	5,353	5,878	4,688	7,211	5,000	5,500	5,500
Total current assets	**233,273**	**252,371**	**216,797**	**189,678**	**204,783**	**231,992**	**274,778**	**320,085**
Fixed assets	129,942	170,982	237,377	277,344	271,395	247,287	231,137	220,390
Goodwill & intangibles	28,665	44,852	30,758	30,691	27,445	24,500	27,400	27,300
Other non-current assets	72,547	64,847	74,255	72,487	75,373	102,917	106,720	110,728
Total assets	**464,427**	**533,052**	**559,187**	**570,201**	**578,996**	**606,697**	**640,036**	**678,503**
Short-term debt	39,256	7,587	29,537	19,510	27,597	19,751	20,666	15,726
Accounts payable	8,364	8,982	7,526	7,633	9,170	9,070	12,570	11,570
Other current liabilities	57,833	91,996	61,952	48,117	50,832	73,412	81,958	92,119
Total current liabilities	**105,454**	**108,565**	**99,015**	**75,260**	**87,598**	**102,234**	**115,194**	**119,415**
Long-term debt	39,830	39,877	45,236	55,533	45,372	49,029	29,272	14,454
Other non-current liabilities	37,941	49,159	55,358	61,222	66,170	66,000	66,000	66,000
Total liabilities	**183,224**	**197,601**	**199,608**	**192,016**	**199,141**	**217,263**	**210,466**	**199,869**
Share capital	124,832	125,047	125,298	125,607	125,882	125,882	125,882	125,882
Reserves/R.E./others	156,147	210,060	233,939	252,321	253,887	263,366	303,401	352,366
Shareholders' equity	**280,980**	**335,107**	**359,238**	**377,928**	**379,768**	**389,247**	**429,283**	**478,247**
Minority interests	223	344	341	257	87	187	287	387
Total equity & liabilities	**464,427**	**533,052**	**559,187**	**570,201**	**578,996**	**606,697**	**640,036**	**678,503**
EV	1,775,767	1,736,517	1,797,175	1,827,118	1,811,667	1,788,660	1,741,130	1,675,567
Net debt/(cash)	**(92,138)**	**(131,509)**	**(70,849)**	**(40,821)**	**(56,102)**	**(79,210)**	**(126,839)**	**(192,503)**
BVPS (TWD)	**22.508**	**26.798**	**28.671**	**30.090**	**30.169**	**30.949**	**34.132**	**38.026**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	20.5	30.8	(20.2)	4.4	2.3	18.6	27.4	9.5
EBITDA (YoY)	39.3	50.3	(33.7)	1.4	3.4	25.8	33.4	6.9
Operating profit (YoY)	134.9	101.8	(44.5)	(10.8)	(14.8)	43.5	57.8	16.0
Net profit (YoY)	91.1	56.3	(30.1)	(22.6)	(11.6)	117.7	(1.7)	16.0
Core EPS (fully-diluted) (YoY)	93.7	56.0	(30.2)	(22.8)	(11.8)	117.9	(1.7)	16.0
Gross-profit margin	33.8	45.1	34.9	32.6	29.0	32.9	37.6	39.1
EBITDA margin	46.4	53.3	44.2	43.0	43.4	46.1	48.3	47.1
Operating-profit margin	24.3	37.4	26.0	22.2	18.5	22.4	27.7	29.4
Net profit margin	26.2	31.3	27.4	20.3	17.6	32.2	24.9	26.3
ROAE	21.6	28.3	17.6	12.8	11.0	23.6	21.8	22.8
ROAA	13.3	17.5	11.2	8.4	7.3	15.3	14.3	15.7
ROCE	15.7	28.1	14.2	11.6	9.7	13.8	21.2	23.3
ROIC	23.5	44.0	20.4	13.8	11.1	18.0	27.3	32.9
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	10.8	17.0	13.4	16.2	16.3	9.6	15.7	16.0
Accounts receivable (days)	53.5	47.3	54.6	49.4	49.6	46.7	46.6	47.1
Current ratio (x)	2.2	2.3	2.2	2.5	2.3	2.3	2.4	2.7
Net interest cover (x)	37.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	68.1	67.1	51.6	61.6	75.8	78.5	55.4	56.3
Free cash flow yield	2.3	3.5	n.a.	0.3	2.8	3.0	5.2	6.2

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in Taiwan, United Microelectronics Corp (UMC) is one of the leading semiconductor foundries in the world and second largest in Taiwan. UMC offers a series of foundry services from photo-mask, wafer fabrication to wafer probe & test. Its wafer fabs are spread over Taiwan, China and Singapore, with technology offerings ranging from 0.25u and above, 0.18/0.15u, 0.13u, 90nm, 65nm, 45/40nm, 28/22nm to 14nm FF.

UMC: key operating assumptions, quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (12" equ) ('000 units)	1,021	1,129	1,201	1,213	1,213	1,359	1,454	1,425	3,872	4,564	5,451	5,958
Capacity utilisation	80%	86%	91%	91%	92%	100%	103%	100%	75%	87%	99%	100%
Blended ASP (USD)	1,890	1,926	1,967	1,966	2,017	2,056	2,081	2,067	1,970	1,940	2,057	2,061
Total revenue	61,038	68,733	75,612	76,347	78,296	89,428	96,841	94,232	237,553	281,729	358,798	393,029
Total revenue (USDm)	**1,930**	**2,174**	**2,363**	**2,386**	**2,447**	**2,795**	**3,026**	**2,945**	**7,629**	**8,853**	**11,212**	**12,282**
COGS	-43,219	-46,410	-49,163	-50,173	-51,247	-55,577	-59,216	-57,980	-168,647	-188,965	-224,020	-239,340
Gross profit	17,818	22,323	26,449	26,174	27,049	33,852	37,625	36,252	68,906	92,764	134,778	153,690
Opex	-6,542	-7,373	-7,864	-7,940	-8,143	-8,764	-9,200	-9,188	-24,958	-29,719	-35,294	-38,313
Operating profit	11,276	14,950	18,585	18,234	18,907	25,088	28,425	27,065	43,949	63,045	99,484	115,376
EBITDA	27,263	31,188	35,485	35,909	36,607	43,288	47,125	46,160	103,206	129,845	173,179	185,068
Non-op gain/loss	5,367	30,236	900	850	900	1,420	2,135	2,043	5,699	37,354	6,498	7,878
Pre-tax profit	16,644	45,186	19,485	19,084	19,807	26,508	30,560	29,107	49,648	100,399	105,981	123,255
Income taxes	-527	-2,962	-3,118	-3,053	-3,169	-3,976	-4,890	-4,657	-8,113	-9,660	-16,692	-19,721
Net profit	16,171	42,260	16,367	16,031	16,637	22,532	25,670	24,450	41,716	90,829	89,289	103,534
FD O/S (m)	12,579	12,577	12,577	12,577	12,577	12,577	12,577	12,577	12,588	12,577	12,577	12,577
FD EPS (TWD)	**1.29**	**3.36**	**1.30**	**1.27**	**1.32**	**1.79**	**2.04**	**1.94**	**3.31**	**7.22**	**7.10**	**8.23**
Margin												
Gross	29%	32%	35%	34%	35%	38%	39%	38%	29%	33%	38%	39%
Operating	18%	22%	25%	24%	24%	28%	29%	29%	19%	22%	28%	29%
EBITDA	45%	45%	47%	47%	47%	48%	49%	49%	43%	46%	48%	47%
Net	26%	61%	22%	21%	21%	25%	27%	26%	18%	32%	25%	26%
Growth (QoQ)												
Total revenue	-1%	13%	10%	1%	3%	14%	8%	-3%				
Gross profit	-6%	25%	18%	-1%	3%	25%	11%	-4%				
Operating profit	-8%	33%	24%	-2%	4%	33%	13%	-5%				
EBITDA	-2%	14%	14%	1%	2%	18%	9%	-2%				
Net profit	61%	161%	-61%	-2%	4%	35%	14%	-5%				
FD EPS	61%	161%	-61%	-2%	4%	35%	14%	-5%				
Growth (YoY)												
Total revenue	5%	17%	28%	24%	28%	30%	28%	23%	2%	19%	27%	10%
Gross profit	15%	32%	50%	38%	52%	52%	42%	39%	-9%	35%	45%	14%
Operating profit	15%	38%	67%	49%	68%	68%	53%	48%	-15%	43%	58%	16%
EBITDA	14%	23%	36%	29%	34%	39%	33%	29%	3%	26%	33%	7%
Net profit	108%	375%	9%	59%	3%	-47%	57%	53%	-12%	118%	-2%	16%
FD EPS	108%	374%	9%	60%	3%	-47%	57%	53%	-12%	118%	-2%	16%

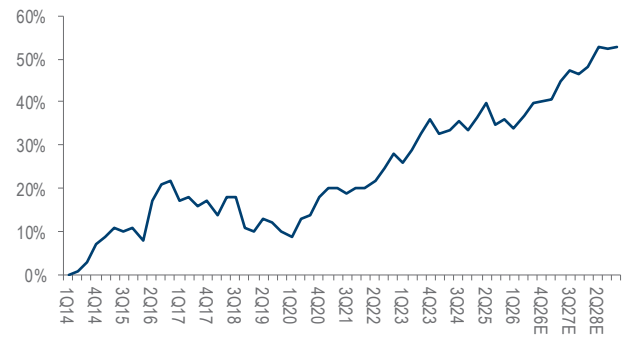
Source: Company, Daiwa estimates and forecasts

UMC: 3Q26 results preview and 4Q26 business outlook

	3Q26E			4Q26E		
TWDm	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	75,612	75,517	0%	76,347	78,272	-2%
Gross profit	26,449	26,392	0%	26,174	27,621	-5%
Operating profit	18,585			18,234		
Pretax profit	19,485			19,084		
Net profit	16,367	17,018	-4%	16,031	18,371	-13%
Adjusted EPS (TWD)	1.30	1.35	-4%	1.27	1.46	-13%
Margin						
Gross	35.0%	34.9%		34.3%	35.3%	
Operating	24.6%			23.9%		
Net	21.6%			21.0%		
Operation						
Shipments (12" equ. wafers) ('000 units)	1,201			1,213		
Utilization*	91%			91%		
<=28nm sales contribution	40%			40%		

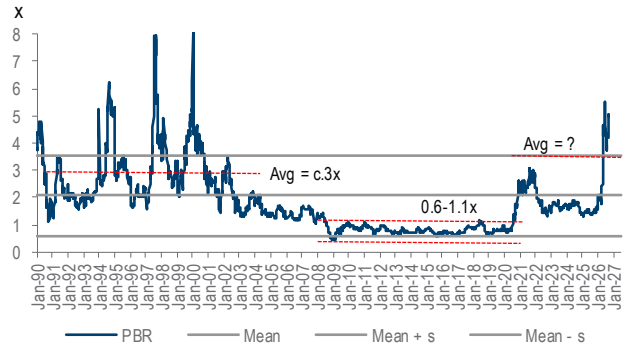
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided installed capacity*

UMC: 28/22nm-and-below revenue contribution*



Source: Company, Daiwa estimates and forecasts
*Note: * Including 14nm FF*

UMC: PBR trend



Source: Company, TEJ, Daiwa forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	UMC's Board of Directors consists of nine members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, six are independent directors, representing 67% of total directors in 2024. The percentage of independent directors is high relative to the regulatory requirement of at least 20% or at least 2 independent directors. Although some of UMC's executive management are also directors, UMC's Chairman and President are not the same person. Considering this and its relative-high percentage of independent directors, we believe the board can perform its functionalities well
	Capital management	2	It kept its dividend payout ratios above 50% in 2017-25, which is at a healthy, sustainable level. Overall, we see the balance between investment and dividend as appropriate.
	Related party & transaction	1	Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for UMC.
S	Supply chain management	2	UMC has constructed an evaluation framework for reviewing the sustainable development of its supply chains based on UMC's GG-026-004-C sustainable supply-chain management review guidelines to ensure its suppliers fulfil environmental protection, social responsibility, labour and human rights, safety & health and sustainable development guidelines. We believe these efforts could reduce its supply-chain risk.
E	Water & wastewater management	2	UMC developed its "Water Management Policy and Commitment" in 2015 to promote more effective utilisation of water resources. In line with this policy, UMC continues to enhance recycling through increased use of reclaimed and desalinated water, ongoing wastewater treatment R&D, and optimised discharge management. In 2024, the company achieved a 30.3% reduction in water withdrawal per unit product, surpassing its 14% goal and meeting its 2030 target ahead of schedule, which demonstrates UMC's strong commitment to water conservation.
E	Waste & hazardous materials management	2	To achieve the goal of zero pollution, UMC has established a comprehensive new material evaluation process to effectively screen and control new materials introduced into the development of new processes. Through this effort, it can avoid or reduce the use of raw materials and the associated environmental impact. UMC was the first semiconductor manufacturer company in the world to obtain QC-080000 IECQ Hazardous Substance Process Management (HSPM) certification for all its fabs by leading global semiconductor manufacturers in completing the third-party verification and audit of its HSPM system in 2006.
E	GHG emissions	2	UMC was the first semiconductor company in Taiwan to pass integrated environmental protection, safety and health management system certifications in 2001. UMC has established the UMC Low Carbon Commitment as a guide for future carbon reduction projects. Its GHG emission reduction goals include: 1) to reduce fluorinated greenhouse gas emissions intensity by 65% over 2013-25 vs. 2010, and 2) to reduce electricity consumption intensity by 15% in 10 years over 2016-25 vs. 2015.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

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Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

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Vanguard International Semiconductor (5347 TT)

Daiwa Capital Markets Hong Kong Limited

Target price: **TWD210.00**

Share price (7 Oct): **TWD190.00** | Up/downside: **+10.5%**

5 4 3 **2** 1

★ **Outperform** (initiation)

Initiation: fast ramp to capture the AI ripple effect

- Fully loaded through 2027 on AI scaling and fab optimisation
- Fast expansion to capture a paradigm shift in the foundry sector
- Initiating with an Outperform (2) rating and 12M TP of TWD210

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Investment case: We initiate coverage of Vanguard International Semiconductor (VIS), a leading specialty foundry, with an Outperform (2) rating and 12-month TP of TWD210. We expect VIS to enjoy fully loaded operations (in terms of wafer-in) through 2027 with pricing power, thanks to a ripple effect as AI demand scales from compute to power, further augmented by TSMC's fab optimisation. Given VIS's historical ties with TSMC, which have strategically helped it advance its business transformation towards value-added specialty foundry offerings, it looks well positioned to benefit from this multi-year AI scaling, cemented by the fast expansion of its first 12" fab in Singapore to capitalise on what we observe as a paradigm shift in the foundry industry.

Fully loaded operations on AI ripple effect. We expect VIS's wafer loadings to approach full levels in terms of wafer-in through 2027, thanks to the AI scaling out and across creating a ripple effect for demand spillover and benefitting specialty foundries. Given its strategic partnership with TSMC, VIS stands to benefit from this multi-year AI build. Despite its pull-in of the 12" ramp, we do not expect such fast expansion to dwarf utilisations since all the planned capacity is sold out, thanks to long-term agreements (LTA) signed with customers amid the supply constraint, which should help VIS manage surging depreciation and minimise margin dilution.

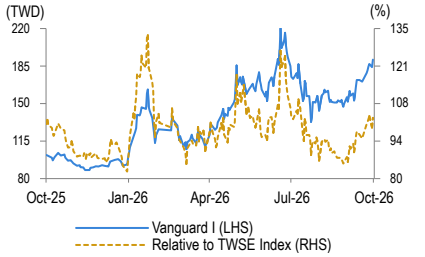
Fast expansion to capture the paradigm shift. To capitalise on the likely paradigm shift in the specialty foundry segment, as detailed in the sector section, driven by TSMC's fab optimisation, VIS is pulling its 12" fab construction in Singapore nearly half a year ahead of schedule. VIS aims to start mass production from 1Q27 after hosting an opening ceremony on 28 September. We expect this fab to reach its first-phase designed capacity of 44,000 wafers per month (wpm) by end-2028, with c.30% of it dedicated to TSMC's wafer interposers and the rest for customers' power semiconductor and embedded flash chips, mainly for AI applications. We forecast VIS to enjoy counter-seasonal quarters through 2027, delivering revenue CAGR of c.30% over 2026-28 for an EPS CAGR of 26%.

Catalysts: 1) Record-breaking monthly revenue run rates through 2027; 2) upbeat guidance for the coming quarters; and 3) margin resilience to ease investors' concerns about depreciation amid the 12" ramp.

Valuation: We derive our 12M TP of TWD210 for VIS by applying our ROE-adjusted PBR target of 5.2x to our one-year-forward BVPS forecast.

Risks: 1) Current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

Share price performance



12-month range	88.00-220.00
Market cap (USDbn)	11.22
3m avg daily turnover (USDm)	104.83
Shares outstanding (m)	1,878
Major shareholder	TSMC (18.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	57,494	76,662	95,017
Operating profit (m)	11,742	16,893	22,282
Net profit (m)	11,076	14,875	17,637
Core EPS (fully-diluted)	5.896	7.919	9.389
EPS change (%)	39.2	34.3	18.6
Daiwa vs Cons. EPS (%)	(1.9)	5.1	(2.4)
PER (x)	32.2	24.0	20.2
Dividend yield (%)	2.4	2.6	2.9
DPS	4.5	5.0	5.5
PBR (x)	5.3	4.7	4.4
EV/EBITDA (x)	19.0	13.1	9.7
ROE (%)	16.8	20.8	22.6

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 43

5 4 3 **2** 1

Outperform
(initiation)

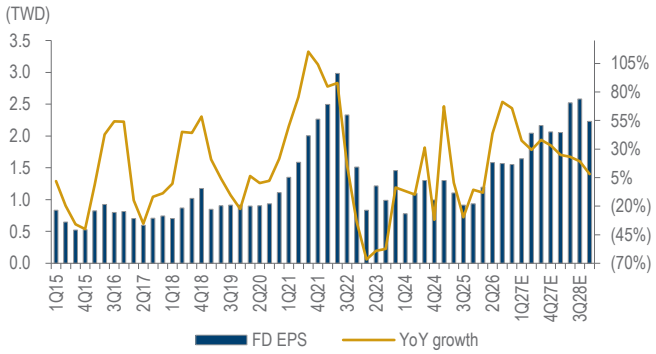
How do we justify our view?

Growth outlook	Valuation	Earnings revisions
✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔

Growth outlook

VIS's earnings have been volatile due to the cyclical nature of the semiconductor industry in which it operates. That said, barring its hefty growth during 2021-22 as an outlier due to the COVID-inflated chip demand, VIS will enjoy 30-70% YoY EPS growth over 2Q26E-4Q27E, according to our forecasts, with strength similar to that in 2016 and 2018. On an annual EPS basis, we forecast a 30% CAGR over 2025-28.

VIS: quarterly EPS growth trend

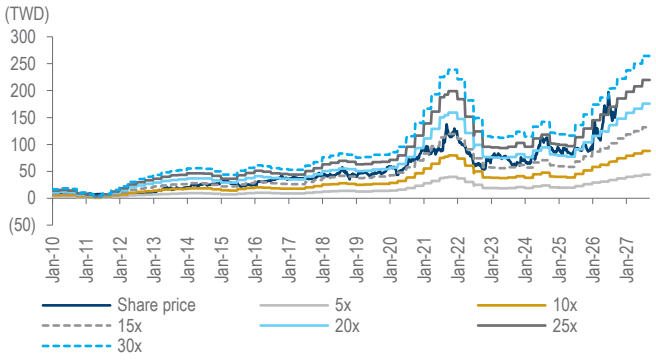


Source: Company, Daiwa estimates and forecasts

Valuation

Trading at 24x on our 4-quarter-forward EPS, the VIS stock is priced at the high end of its post-2009 GFC range of 5-30x, suggesting a not-so-compelling valuation vs. history. Yet, considering our forecast of a robust 30% EPS CAGR over 2025-28, 24x does not look demanding from a PEG point of view. Valued by our ROE-adjusted PBR target of 5.2x, our 12M TP of TWD210 for VIS translates into a 26x 4-quarter forward PER, which looks reasonable in combination of both PBR and PER methodologies.

VIS: 4-quarter-forward PER bands

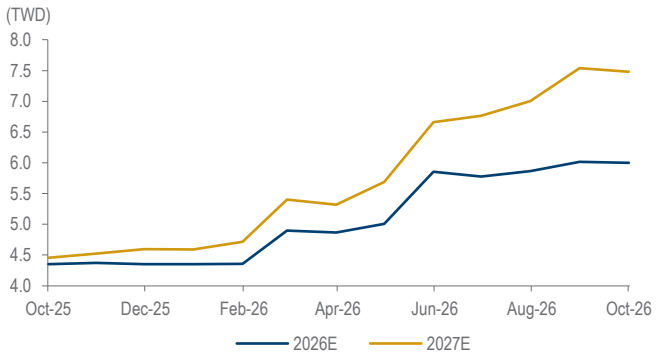


Source: Company, TEJ, Daiwa estimates and forecasts

Earnings revision

Bloomberg consensus 2026-27 EPS forecasts for VIS have been trending up since February 2026, indicating positive investor sentiment. Our 2027E EPS is 5% above consensus, implying room for further upward revisions from the market to act as an upside catalyst for the stock, in our opinion.

VIS: consensus EPS forecast revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilization (%)	101	83	59	66	76	85	95	97
Blended ASP (USD)	543	670	629	624	616	637	686	723
Wafer shipment (8" equ., '000)	2,901	2,605	1,952	2,194	2,533	2,838	3,492	4,109

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	43,952	51,694	38,273	44,056	48,591	57,495	76,662	95,017
Sub & Other Revenue	0	0	0	0	0	0	0	0
Other Revenue	(1)	1	(0)	(1)	0	(0)	0	0
Total Revenue	**43,951**	**51,694**	**38,273**	**44,055**	**48,591**	**57,494**	**76,662**	**95,017**
Other income	0	0	0	0	0	0	0	0
COGS	(24,799)	(27,771)	(27,827)	(32,122)	(34,937)	(38,893)	(51,107)	(62,341)
SG&A	(2,899)	(3,375)	(2,521)	(2,740)	(3,691)	(4,164)	(5,197)	(6,170)
Other op.expenses	(2,151)	(2,742)	(2,151)	(2,081)	(2,190)	(2,696)	(3,466)	(4,224)
Operating profit	**14,102**	**17,807**	**5,774**	**7,111**	**7,773**	**11,742**	**16,893**	**22,282**
Net-interest inc./(exp.)	159	588	1,536	1,754	1,554	900	295	445
Assoc/forex/extraord./others	28	457	1,524	(113)	(76)	206	28	31
Pre-tax profit	**14,290**	**18,851**	**8,834**	**8,752**	**9,251**	**12,848**	**17,216**	**22,758**
Tax	(2,470)	(3,571)	(1,464)	(1,705)	(1,480)	(2,112)	(2,909)	(3,669)
Min. int./pref. div./others	0	0	0	0	137	341	568	(1,452)
Net profit (reported)	**11,820**	**15,280**	**7,370**	**7,047**	**7,908**	**11,076**	**14,875**	**17,637**
Net profit (adjusted)	**11,820**	**15,280**	**7,370**	**7,047**	**7,908**	**11,076**	**14,875**	**17,637**
EPS (reported)(TWD)	**7.212**	**9.323**	**4.497**	**4.209**	**4.300**	**5.897**	**7.919**	**9.390**
EPS (adjusted)(TWD)	**7.212**	**9.323**	**4.497**	**4.209**	**4.300**	**5.897**	**7.919**	**9.390**
EPS (adjusted fully-diluted)(TWD)	**7.212**	**9.323**	**4.497**	**3.795**	**4.235**	**5.896**	**7.919**	**9.389**
DPS (TWD)	**3.500**	**4.500**	**4.500**	**4.405**	**4.568**	**4.500**	**5.000**	**5.510**
EBIT	**14,102**	**17,807**	**5,774**	**7,111**	**7,773**	**11,742**	**16,893**	**22,282**
EBITDA	**18,086**	**23,349**	**13,626**	**15,733**	**16,325**	**21,006**	**31,121**	**41,235**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	14,290	18,851	8,834	8,752	9,251	12,848	17,216	22,758
Depreciation and amortisation	3,984	5,542	7,852	8,622	8,552	9,264	14,228	18,953
Tax paid	(2,470)	(3,571)	(1,464)	(1,705)	(1,480)	(2,112)	(2,909)	(3,669)
Change in working capital	(4,449)	2,285	(1,385)	(1,958)	(2,465)	(2,250)	(5,500)	(1,300)
Other operational CF items	9,883	10,819	(5,205)	11,020	11,581	9,341	5,568	3,548
Cash flow from operations	**21,237**	**33,927**	**8,632**	**24,731**	**25,439**	**27,091**	**28,603**	**40,290**
Capex	(13,280)	(18,723)	(6,779)	(15,922)	(63,265)	(65,177)	(33,920)	(17,920)
Net (acquisitions)/disposals	(113)	(4,709)	(1,626)	4,357	1,183	82	0	0
Other investing CF items	(28)	(771)	46	(133)	2,372	0	0	0
Cash flow from investing	**(13,420)**	**(24,204)**	**(8,360)**	**(11,699)**	**(59,711)**	**(65,095)**	**(33,920)**	**(17,920)**
Change in debt	2,718	6,991	5,993	2,996	7,519	5,961	2,982	(5,155)
Net share issues/(repurchases)	0	0	0	17,593	0	0	0	0
Dividends paid	(5,736)	(7,375)	(7,375)	(7,375)	(8,400)	(8,453)	(9,393)	(10,351)
Other financing CF items	2,232	4,557	24	4,316	14,341	17,598	10,176	0
Cash flow from financing	**(786)**	**4,173**	**(1,359)**	**17,530**	**13,460**	**15,106**	**3,766**	**(15,506)**
Forex effect/others	(63)	575	72	291	(249)	0	0	0
Change in cash	**6,968**	**14,471**	**(1,015)**	**30,853**	**(21,060)**	**(22,899)**	**(1,551)**	**6,864**
Free cash flow	7,958	15,203	1,852	8,809	(37,826)	(38,086)	(5,317)	22,370

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	20,173	34,843	38,050	66,749	41,716	18,736	17,185	24,049
Inventory	4,030	5,880	5,672	6,221	6,937	6,937	10,437	9,937
Accounts receivable	9,452	4,962	5,523	6,235	6,748	8,948	11,948	13,948
Other current assets	533	570	834	7,007	11,496	10,000	10,000	11,000
Total current assets	**34,188**	**46,255**	**50,079**	**86,211**	**66,897**	**44,621**	**49,570**	**58,934**
Fixed assets	23,541	38,504	36,604	44,141	113,869	156,754	166,580	157,390
Goodwill & intangibles	3,361	6,382	6,771	10,905	10,282	7,000	7,500	8,000
Other non-current assets	4,458	9,798	8,997	7,448	9,420	9,420	9,420	9,420
Total assets	**65,548**	**100,940**	**102,450**	**148,706**	**200,469**	**217,795**	**233,070**	**233,744**
Short-term debt	0	0	0	0	10,520	9,039	17,176	16,042
Accounts payable	1,437	1,376	972	1,416	1,724	1,674	2,674	2,874
Other current liabilities	13,539	19,717	19,135	19,959	39,361	37,828	36,619	31,986
Total current liabilities	**14,976**	**21,093**	**20,107**	**21,375**	**51,604**	**48,541**	**56,469**	**50,902**
Long-term debt	4,993	11,987	17,983	20,984	15,990	23,432	18,277	14,256
Other non-current liabilities	10,413	22,509	18,646	37,679	49,285	49,285	49,285	49,285
Total liabilities	**30,382**	**55,589**	**56,737**	**80,039**	**116,879**	**121,258**	**124,031**	**114,443**
Share capital	16,390	16,390	16,390	18,666	18,671	18,783	18,783	18,783
Reserves/R.E./others	18,776	28,961	29,323	45,438	45,206	49,042	56,544	61,806
Shareholders' equity	**35,165**	**45,351**	**45,713**	**64,104**	**63,877**	**67,825**	**75,327**	**80,589**
Minority interests	0	0	0	4,563	19,713	28,713	33,713	38,713
Total equity & liabilities	**65,548**	**100,940**	**102,450**	**148,706**	**200,469**	**217,795**	**233,070**	**233,744**
EV	341,705	334,029	336,818	315,682	361,390	399,332	408,866	401,846
Net debt/(cash)	**(15,180)**	**(22,855)**	**(20,066)**	**(45,765)**	**(15,207)**	**13,735**	**18,268**	**6,249**
BVPS (TWD)	**21.456**	**27.670**	**27.891**	**34.342**	**34.212**	**36.109**	**40.103**	**42.904**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	32.7	17.6	(26.0)	15.1	10.3	18.3	33.3	23.9
EBITDA (YoY)	65.7	29.1	(41.6)	15.5	3.8	28.7	48.2	32.5
Operating profit (YoY)	90.1	26.3	(67.6)	23.2	9.3	51.1	43.9	31.9
Net profit (YoY)	87.4	29.3	(51.8)	(4.4)	12.2	40.1	34.3	18.6
Core EPS (fully-diluted) (YoY)	87.4	29.3	(51.8)	(15.6)	11.6	39.2	34.3	18.6
Gross-profit margin	43.6	46.3	27.3	27.1	28.1	32.4	33.3	34.4
EBITDA margin	41.2	45.2	35.6	35.7	33.6	36.5	40.6	43.4
Operating-profit margin	32.1	34.4	15.1	16.1	16.0	20.4	22.0	23.5
Net profit margin	26.9	29.6	19.3	16.0	16.3	19.3	19.4	18.6
ROAE	36.5	38.0	16.2	12.8	12.4	16.8	20.8	22.6
ROAA	21.6	18.4	7.2	5.6	4.5	5.3	6.6	7.6
ROCE	39.2	36.5	9.5	9.3	7.8	9.8	12.4	15.2
ROIC	60.1	68.0	20.0	23.6	14.3	11.0	11.8	14.8
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	20.3	24.3	7.8
Effective tax rate	17.3	18.9	16.6	19.5	16.0	16.4	16.9	16.1
Accounts receivable (days)	63.1	50.9	50.0	48.7	48.8	49.8	49.7	49.7
Current ratio (x)	2.3	2.2	2.5	4.0	1.3	0.9	0.9	1.2
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	91.0	62.4	48.3	100.1	119.2	106.9	84.8	69.6
Free cash flow yield	2.2	4.3	0.5	2.5	n.a.	n.a.	n.a.	6.3

Source: FactSet, Daiwa forecasts

Company profile

Founded in December 1994 and listed in March 1998, Vanguard International Semiconductor Corp. (VIS) successfully transformed its business model from memory to a complementary metal-oxide-semiconductor (CMOS) logic foundry focused on specialty technologies such as mixed-signal, power analog and embedded memory, becoming one of the world's leading specialty foundries. Leveraging its strategic relationship with major shareholder TSMC, VIS operates wafer fabs in Taiwan and Singapore, serving a wide variety of customers, including fabless chipmakers and IDMs globally.

Fast ramp to capture AI ripple effect

Initiating on VIS with an Outperform (2) rating and 12M TP of TWD210

We initiate coverage of VIS with an Outperform (2) rating and 12M TP of TWD210. Founded in December 1994, headquartered in Hsinchu Science Park and listed in March 1998 (see Appendix 1 for more details on the company), VIS looks set to enjoy fully loaded operations (in terms of wafer-in) through 2027, with sustained pricing power, thanks to the ripple effect of AI demand scaling from compute to connectivity and power, further augmented by TSMC's fab optimisation.

Given its longstanding ties with TSMC, which currently holds a c.19% stake in VIS and has strategically helped it advance its business transformation by moving up value verticals of specialty-foundry offerings to differentiate itself in the competitive specialty foundry market, VIS looks set to benefit from this multi-year AI scaling, among peers. The fast expansion of its first 12" fab in Singapore should help cement the AI business and capitalise on what we observe as a paradigm shift in the foundry industry, as mentioned in the main section of this report.

Fully loaded operations on AI ripple effect

Despite suffering from the post-COVID inventory correction …

Like many other semiconductor foundries, VIS enjoyed unusual pricing power during the COVID period as the virus, together with geopolitical tensions between China and the US, inflated chip demand across virtually all product applications to an unprecedented level. Consequently, the industry suffered from an unprecedented 2-year downturn on a prolonged inventory correction, if excluding the AI build that has helped rescue the advanced foundry segment, save the village (ie, the chip industry) and bring the global chip cycle back on its historical track of an average of a one-year downturn. This downturn caused choppy operations for many second-tier foundries which focused initially on the non-AI space over 2022-25, including VIS (see our series of Technology Outlook reports: 2023: *V-shape, U-shape or double dip?*, 2024: *The dragon is ready to soar,* 2025: *likely longer and stronger*).

… VIS has benefitted from AI scaling and is further …

Starting from 2H25, after the AI builds scaled out and across from compute into memory to connectivity and power, creating a ripple effect in demand that benefits not only advanced but also specialty foundries, we expect VIS's wafer loadings to approach full levels through 2027 (in terms of wafer-in), despite its fast 12" expansion. With its parent company TSMC's strategic partnership, VIS stands at a strong position to benefit from this multi-year AI scaling, in our view. To maximise the AI business potential, VIS is accelerating its first 12" fab in Singapore via a JV named VisionPower Semiconductor Manufacturing Corp (VSMC), with phase-one investment of USD6.8bn where, in terms of registered capital of USD4bn, VIS assumes USD2.4bn for a 60% stake, while NXP assumes USD1.6bn for a 40% stake.

In terms of the total investment on a cash basis, VIS will chip in only USD1.0bn, with USD2.8bn coming from NXP and USD1.1bn from TSMC with some equipment consignment, while the rest will come from other customer prepayments, loans and a subsidy from the Singapore government. Upon VSMC's completion, this will bring VIS a total of 6 fabs, with combined capacity reaching up to c.380,000 8"-equivalent wafers per month (wpm) by end-2028, based on our forecasts (see table on next page for details of our key business assumptions).

VIS: key business assumptions and cost analysis

('000 wpm*)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Capacity												
Fab 1 (8")	77	80	80	80	78	80	80	80	78	80	80	80
Fab 2 (8")	67	70	70	70	68	70	70	70	68	70	70	70
Fab 3 (8")	48	50	50	50	48	50	50	50	48	50	50	50
Fab VS1 (8")	38	40	40	40	39	40	40	40	39	40	40	40
Fab 5 (8")	38	40	40	40	39	40	40	40	39	40	40	40
Fab VSMC (12")	0	0	0	0	2	10	18	20	22	30	40	44
Total capacity (8" equ)	268	280	280	280	278	303	320	325	322	348	369	379
Shipment												
Quarterly shipment (8" equ)	642	713	734	749	757	855	940	940	931	1,043	1,095	1,040
Capacity utilisation**	80%	85%	87%	89%	91%	94%	98%	96%	96%	100%	99%	91%
Blended ASP (USD)	618	632	645	649	650	685	697	704	704	719	739	726
Revenue												
Revenue (USDm)	397	451	474	486	492	586	656	662	655	750	809	755
Revenue (TWDm)	12,532	14,245	15,160	15,558	15,737	18,753	20,983	21,189	20,975	24,003	25,876	24,164
Mix by node												
0.5u+	12%	12%	12%	12%	12%	11%	11%	11%	11%	11%	10%	10%
0.35u	13%	12%	12%	12%	12%	11%	11%	10%	11%	10%	9%	9%
0.25u	15%	16%	16%	16%	16%	14%	12%	12%	12%	11%	10%	10%
0.18/0.15u	15%	15%	15%	15%	15%	14%	13%	12%	12%	11%	10%	10%
0.13/0.11u	45%	46%	45%	44%	45%	41%	38%	37%	36%	33%	30%	30%
<=90nm	0%	0%	0%	0%	0%	9%	15%	18%	18%	25%	32%	32%
Cost structure												
Direct materials	1,724	1,916	1,998	2,037	2,058	2,325	2,558	2,558	2,532	2,836	2,978	2,829
Direct labour	1,136	1,240	1,293	1,318	1,332	1,505	1,655	1,655	1,639	1,835	1,927	1,831
Depreciation & amortisation	2,192	2,227	2,340	2,505	2,600	3,300	4,000	4,328	4,400	4,600	5,000	4,953
Other overheads	3,810	4,258	4,418	4,482	4,600	5,198	5,718	5,718	5,661	6,340	6,657	6,324
Total COGS (TWDm)	8,861	9,640	10,048	10,344	10,589	12,328	13,931	14,259	14,231	15,611	16,562	15,937
Mix by element												
Direct materials	19%	20%	20%	20%	19%	19%	18%	18%	18%	18%	18%	18%
Direct labour	13%	13%	13%	13%	13%	12%	12%	12%	12%	12%	12%	11%
Depreciation & amortisation	25%	23%	23%	24%	25%	27%	29%	30%	31%	29%	30%	31%
Other overheads	43%	44%	44%	43%	43%	42%	41%	40%	40%	41%	40%	40%
Gross profit (TWDm)	3,671	4,604	5,112	5,214	5,148	6,425	7,052	6,930	6,743	8,391	9,314	8,227
Gross margin	29%	32%	34%	34%	33%	34%	34%	33%	32%	35%	36%	34%

Source: Company, Daiwa estimates and forecasts
*Note: * wpm = wafers per month on average; ** based on shipment divided by installed capacity, not wafer-in*

Fast expansion to capture the paradigm shift

… speeding up its 12" expansion to maximise the AI potential

On top of the AI scaling creating a ripple effect for demand spillover, such strength looks to be further augmented by TSMC's fab optimisation, as assessed in the main section of this report. To capitalise on the likely paradigm shift in the specialty foundry segment by TSMC's fab optimisation, VIS is pulling in its first 12" fab construction around half a year ahead of schedule, aiming to start mass production from 1Q27 after it hosted an opening ceremony on 28 September.

Registered under VSMC, we expect this fab to reach its first-phase designed capacity of 44,000 wpm by end-2028, subject to market dynamics. c.30% of the fab's capacity will be dedicated to TSMC's wafer production of silicon interposers handling chip-on-wafer-on-substrate (CoWoS) advanced packaging, which has seen meaningful supply constraint due to strong AI high-performance compute (HPC) demand. The rest of the capacity is for other customers' power semiconductors (such as mixed-signal, analog and PMIC) and embedded flash, focusing on AI scaling and automotive and industrial (A&I) applications.

VIS could speed up phase-two 12" expansion under TSMC's continued effort of fab optimisation

Despite the 12" expansion pull-in, we do not expect the ramp to dwarf capacity utilisations since all the planned capacity is already sold out, thanks to the long-term agreements (LTA) signed with customers amid the supply constraints, which should help VIS manage surging depreciation and minimise margin dilution for financial resilience. Although this 12" fab has little to do with TSMC's 28/22/20nm fab optimisation addressed in the main section, since it covers only process nodes ranging from 0.13u to 40nm and thus enjoys only the 65/55nm wafer interposer spillover from TSMC, on our market research, we see possibilities for TSMC to shut down more legacy 12" fabs in the future. We believe this may incentivise VIS to speed up its second 12" fab construction in Singapore, namely the phase-two, or VSMC Fab 2, for 40,000-50,000 wpm capacity beyond 2028 and is scalable to 28nm-and-below and even the finFET (FF) process nodes.

Financial forecasts

In the near term, we expect VIS to enjoy counter-seasonal quarters through 2027, thanks to the ripple effect of AI scaling on wafer loadings and pricing power. We estimate that VIS earned 3Q26 EPS of TWD1.57, in line with the Bloomberg consensus estimate. For 4Q26, we are behind consensus since 1) we expect a diminished effect of price hikes after our estimated 2-3% QoQ EPS increases in 3Q26; and 2) we do not expect the 12" contribution to ramp that soon. In the long term, we forecast VIS to deliver a revenue CAGR of nearly 30% over 2026-28 for an EPS CAGR of 26%.

Revenue and customers

77% of revenue was from PMIC in 2Q26, with customers across Taiwan, China, Japan, Europe, and the US

As of 2Q26, power management IC (PMIC) accounted for the majority of revenue (77%; see chart on next page), on a rising trend from 40% a decade ago thanks to the co-efforts between VIS and TSMC strategically transforming the former's business up the value verticals from logic commodity display drivers (D/D) for consumer electronics devices to power discrete, analog, and PMIC for not only consumer but A&I applications. Riding on the escalating trend of demand for advanced high-V PMIC accommodating AI servers and power infrastructure under the AI cycle, we expect the PMIC revenue contribution to rise further over our forecast period, while the D/D contribution will drop to c.10%-plus for base-line customer demand support.

As of 2Q26, VIS found 16%, 16%, and 46% of revenue from major process nodes of 0.25u, 0.18u, and 0.13u-and-below, respectively, on our estimates. Since the VSMC fab will focus on 0.13u all the way to 40nm, and TSMC's wafer interposers will take c.30% of the capacity ramp on our estimates focusing on 65/55nm, we expect the 0.13u-and-below to increase to more than 60% of revenue over our forecast period. Both the PMIC and node advances should be blended ASP and margin accretive, helping mitigate the depreciation burden associated with the VSMC fab ramp. Illustrated in a chart on the next page, we expect VIS's blended ASP to trend upward from c.USD630 in 2Q26, rising by 1-5% QoQ through our forecast period to exceed USD700 by 2028.

High variety of customer base across D/D and PMIC

VIS services a high variety of customers around the world, including most fabless chipmakers in Taiwan and mainland China focusing on the D/D, power MOSFET and PMIC, and most integrated device manufacturers (IDM) across Japan, Europe and the US focusing on power semiconductor foundry works.

VIS: 3Q26 results preview and 4Q26 business outlook

			3Q26E			4Q26E
(in TWDm)	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	15,160	15,369	-1%	15,558	16,302	-5%
Gross profit	5,112			5,214		
Operating profit	3,369			3,386		
Pretax profit	3,569			3,529		
Net profit	2,944	2,983	-1%	2,911	3,255	-11%
Adjusted EPS (TWD)	1.57	1.59	-1%	1.55	1.73	-11%
Margins						
Gross	33.7%			33.5%		
Operating	22.2%			21.8%		
Net	19.4%			18.7%		
Operation						
Shipment (12" equ. wafers) ('000 units)	734			749		
Utilisation*	87%			89%		
<=0.13u sales contribution	45%			44%		

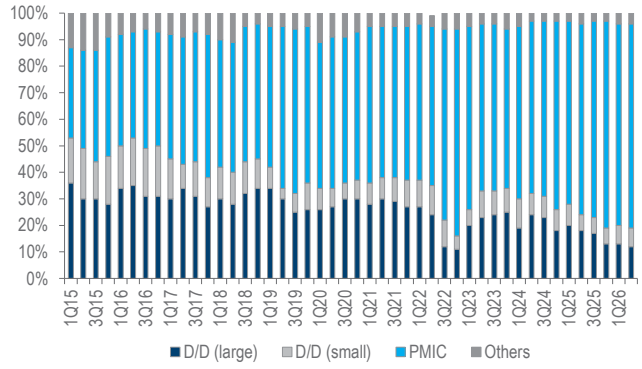
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity*

VIS: key operating assumptions, quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (8" equ) ('000 units)	642	713	734	749	757	855	940	940	2,533	2,838	3,492	4,109
Capacity utilisation	80%	85%	87%	89%	91%	94%	98%	96%	76%	85%	95%	97%
Blended ASP (USD)	618	632	645	649	650	685	697	704	616	637	686	723
Foundry revenue (USDm)	397	451	474	486	492	586	656	662	1,560	1,807	2,396	2,969
Total revenue	**12,532**	**14,245**	**15,160**	**15,558**	**15,737**	**18,753**	**20,983**	**21,189**	**48,591**	**57,494**	**76,662**	**95,017**
COGS	-8,861	-9,640	-10,048	-10,344	-10,589	-12,328	-13,931	-14,259	-34,937	-38,893	-51,107	-62,341
Gross profit	3,671	4,604	5,112	5,214	5,148	6,425	7,052	6,930	13,654	18,602	25,555	32,676
Opex	-1,584	-1,704	-1,743	-1,828	-1,857	-2,082	-2,329	-2,394	-5,880	-6,859	-8,662	-10,394
Operating profit	2,087	2,901	3,369	3,386	3,291	4,343	4,723	4,536	7,773	11,742	16,893	22,282
EBITDA	4,278	5,128	5,709	5,891	5,891	7,643	8,723	8,864	16,325	21,006	31,121	41,235
Non-op gain/loss	350	412	200	143	120	118	30	35	1,477	1,106	303	521
Pretax profit	2,437	3,313	3,569	3,529	3,411	4,461	4,753	4,571	9,251	12,848	17,196	22,803
Income taxes & MI	-190	-339	-625	-618	-324	-618	-686	-692	-1,343	-1,771	-2,320	-5,167
Net profit	2,246	2,975	2,944	2,911	3,087	3,843	4,067	3,879	7,908	11,076	14,876	17,636
FD O/S (m)	1,880	1,879	1,879	1,879	1,879	1,879	1,879	1,879	1,867	1,879	1,879	1,879
FD EPS (TWD)	**1.19**	**1.58**	**1.57**	**1.55**	**1.64**	**2.05**	**2.16**	**2.06**	**4.24**	**5.90**	**7.92**	**9.39**
Margins												
Gross	29%	32%	34%	34%	33%	34%	34%	33%	28%	32%	33%	34%
Operating	17%	20%	22%	22%	21%	23%	23%	21%	16%	20%	22%	23%
EBITDA	34%	36%	38%	38%	37%	41%	42%	42%	34%	37%	41%	43%
Net	18%	21%	19%	19%	20%	20%	19%	18%	16%	19%	19%	19%
Growth (QoQ)												
Total revenue	0%	14%	6%	3%	1%	19%	12%	1%				
Gross profit	6%	25%	11%	2%	-1%	25%	10%	-2%				
Operating profit	15%	39%	16%	1%	-3%	32%	9%	-4%				
EBITDA	6%	20%	11%	3%	0%	30%	14%	2%				
Net profit	29%	32%	-1%	-1%	6%	24%	6%	-5%				
FD EPS	28%	33%	-1%	-1%	6%	24%	6%	-5%				
Growth (YoY)												
Total revenue	5%	22%	23%	24%	26%	32%	38%	36%	10%	18%	33%	24%
Gross profit	2%	40%	54%	50%	40%	40%	38%	33%	14%	36%	37%	28%
Operating profit	-7%	53%	84%	87%	58%	50%	40%	34%	9%	51%	44%	32%
EBITDA	0%	29%	41%	46%	38%	49%	53%	50%	4%	29%	48%	32%
Net profit	-7%	46%	73%	67%	37%	29%	38%	33%	12%	40%	34%	19%
FD EPS	-8%	44%	71%	66%	38%	29%	38%	33%	12%	39%	34%	19%

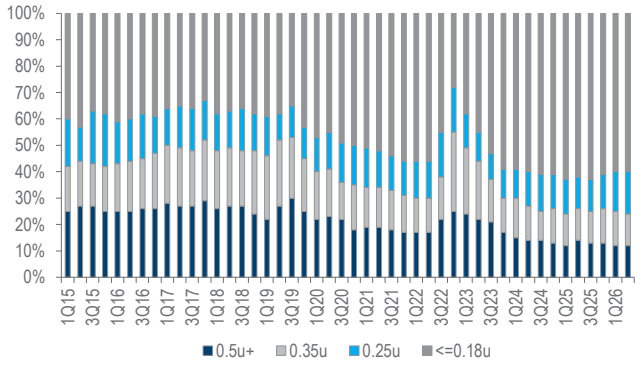
Source: Company, Daiwa estimates and forecasts

VIS: revenue mix by product*



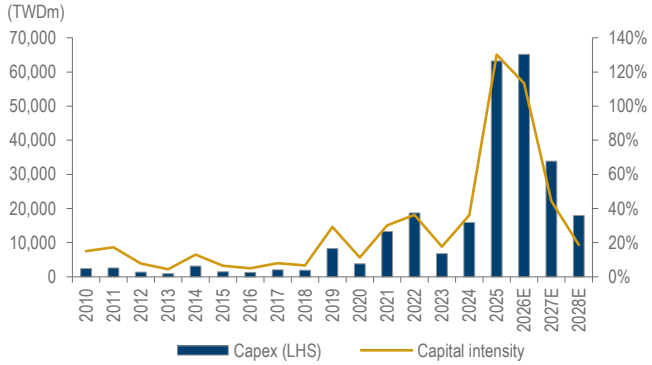
Source: Company
*Note: * D/D = display driver, PMIC = power management IC, others include LED driver, embedded memory, CMOS image sensor, etc.*

VIS: revenue mix by process node*



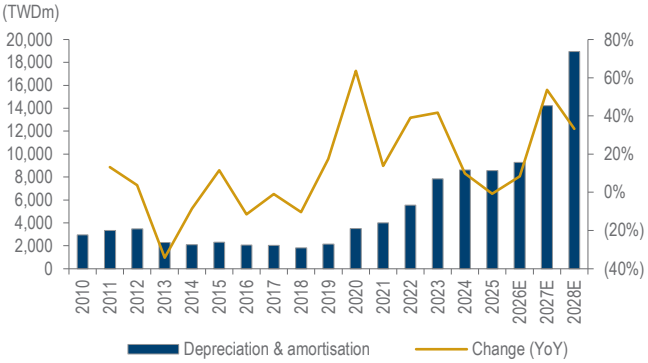
Source: Company
*Note: * <=0.18u including 0.18u, 0.15u, 0.13u and 0.11u*

VIS: capex and capital intensity trend*



Source: Company, Daiwa forecasts
*Note: * Capital intensity = capex divided by revenue*

VIS: depreciation and amortisation trend



Source: Company, Daiwa forecasts

Cost analysis

We forecast GM to stall at 32-34% over 2Q26-1Q28 and then pick up afterwards

Over the past decades, VIS's cost structure has fluctuated in fixed overheads (mainly D&A) from time to time, depending on its fab acquisitions, varying from 10% to 30% of COGS (refer back to the key assumption table). Given VSMC is about to ramp in production with a total capex of USD6.8bn for phase one, or roughly 2x VIS's 2025-26E aggregate revenue, we expect the D&A portion to return to the 30% level over our forecast period, acting as a margin dilutor. Yet with VIS's capex budget of TWD60-70bn (c.USD2bn) this year, we expect the capex to largely subside from 2027 for the depreciation cycle to peak in 2029. As a result, we forecast its D&A in absolute terms to rise by 54% YoY in 2027 to TWD14bn and 33% YoY in 2028 to nearly TWD19bn, with gross margin (GM) stalling at 32-34% over 2Q26-1Q28, then picking up to 35% or higher in 2H28 and likely rising further after the depreciation comes off the cycle into 2029.

Minority interest

We forecast MI expense to begin to dilute parent income from 2Q28

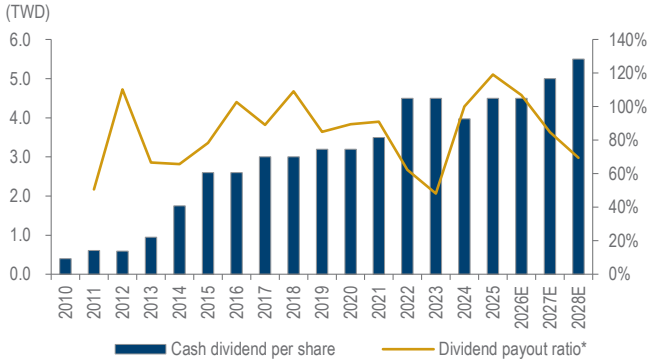
Minority interest (MI), or non-controlling interest as stated by VIS, kicked in from 1Q25 and rose to 2.4% of pretax income in 2Q26 due to preparation for the VSMC investment. We forecast the MI to rise to TWD341m this year (TWD137m in 2025), TWD568m in 2027 and TWD1.45bn in 2028, mainly from the 40% MI owned by NXP as VIS ramps the 12" fab investment in Singapore. As illustrated in a table below, we forecast VSMC to record revenue of nearly TWD9bn in 2027 and TWD26bn in 2028 for operating loss of TWD1.4bn and operating profit of TWD3.6bn, respectively, on the basis of a standalone operating entity.

Dividend policy

We expect c.80% payout ratio subject to capex requirement

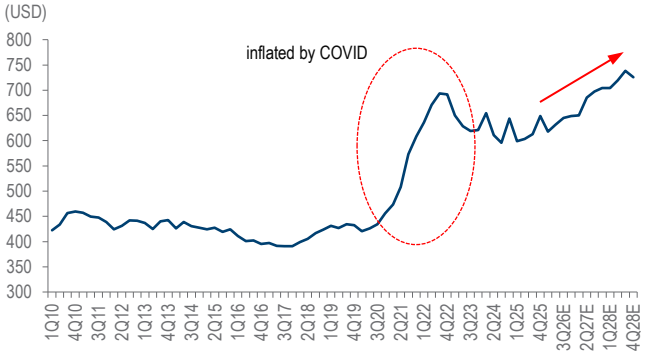
Over the past decade, VIS has stepped up its dividend payout ratios from 50% in 2011 to more than 100% this year. We expect the company to keep the ratios at c.80% over our forecast period, subject to the AI development which should determine the capex requirement for the VSMC investment, affecting its FCF generating power. VIS paid a TWD4.5/share cash dividend this year (against last year's earnings), and we forecast it to pay TWD5.0/share for 2027 with a payout ratio of 85% against this year's earnings for a 2.7% yield based on the closing price as of 5 October.

VIS: dividend trend and payout ratio*



Source: Company, Daiwa estimates and forecasts
*Note: * against previous year's P&L*

VIS: quarterly ASP trend*



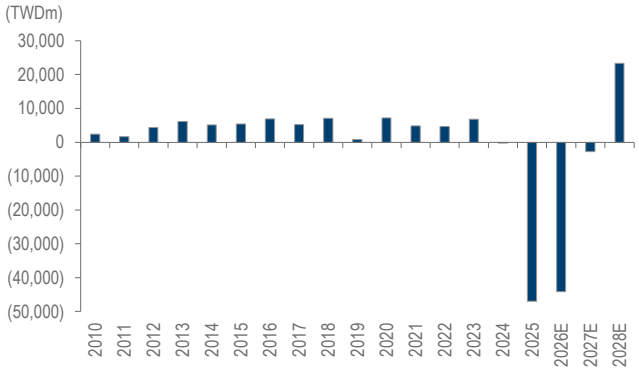
Source: Daiwa estimates and forecasts
*Note: * Blended basis in 8" equivalent*

VSMC: standalone P&L at core operation

	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Wafer shipments (8" equ) ('000 units)	2	55	100	120	121	188	255	245
Blended ASP (USD; 8" equ)	1,000	1,000	1,000	1,000	1,000	1,000	1,000	980
Revenue (USDm)	2	55	100	120	121	188	255	240
Revenue (TWDm)	50	1,758	3,213	3,853	3,872	6,007	8,156	7,687
COGS (TWDm)	(497)	(1,540)	(2,820)	(3,373)	(3,518)	(4,702)	(5,699)	(5,725)
Opex (TWDm)	(450)	(457)	(578)	(578)	(581)	(601)	(652)	(615)
Operating profit (TWDm)	(896)	(239)	(185)	(98)	(226)	704	1,804	1,347
MI against parent P&L (TWDm)	(359)	(96)	(74)	(39)	(91)	282	722	539
MI as % of VIS's pre-tax profit	11%	2%	2%	1%	2%	-5%	-11%	-10%

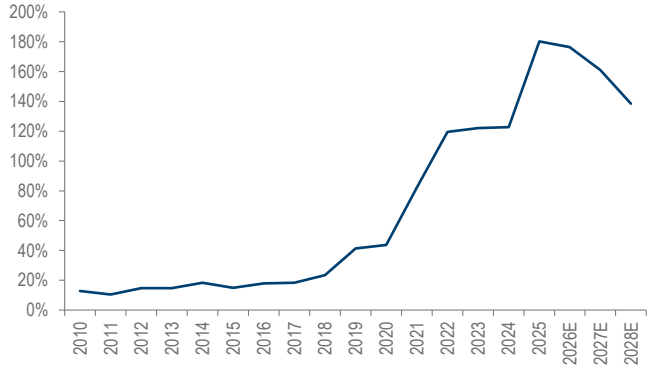
Source: Daiwa estimates and forecasts

VIS: free cashflow trend



Source: Company, Daiwa forecasts

VIS: debt-to-equity ratio



Source: Company, Daiwa forecasts

Cashflow and gearing

Given its hefty capex over 2025-27E, we expect VIS's free cashflow (FCF) to turn negative during the same period. Foreseeing the cash gap, VIS issued new shares of 228m in 2024 for a 12% per-share dilution and collected TWD17.6bn. It further issued ECBs in February this year to collect nearly TWD11bn; therefore, we forecast its debt-to-equity (D/E) ratio to approach 170% in 2026. Yet with the VSMC ramp in profitability for operating cash inflow, we forecast the FCF to turn positive in 2028, helping lower the gearing to c.140%.

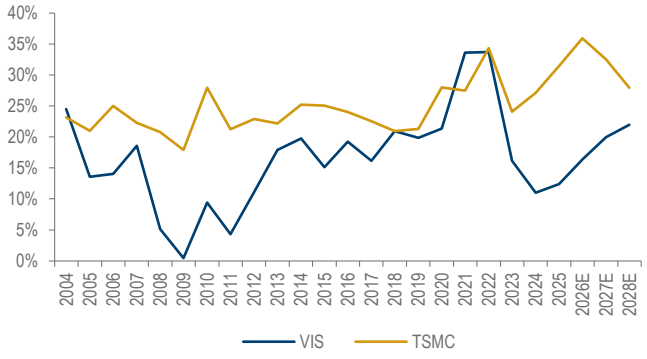
Valuation and risk

We set our 12M TP for VIS at TWD210, based on an ROE-adjusted PBR target of 5.2x

We employ an ROE-adjusted PBR methodology to value the foundry stocks under our coverage, where we compare a foundry's projected ROE with its historical ROE average, work out a premium or discount, and apply it to the foundry's historical average PBR for our ROE-adjusted PBR target. Given TSMC is VIS's strategic partner, we tweak our methodology a bit by anchoring VIS's ROE-adjusted PBR to TSMC's, where we compare their long-term ROE projections (2004-28E), work out a discount of 33% and then apply the discount to our 7.7x target PBR for TSMC, resulting in our target PBR of 5.2x and 12M TP of TWD210 for VIS on our one-year forward BVPS forecast.

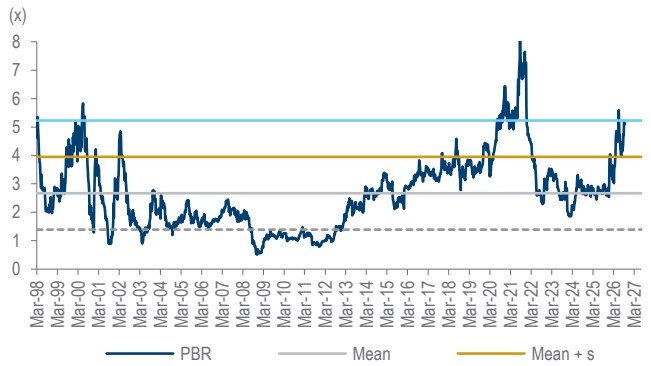
Key downside risks to our call would be: 1) the current chip upcycle ends earlier than expected; and 2) VSMC's 12" fab ramp/execution comes in below expectation.

ROE comparison: VIS vs. TSMC



Source: Company, Daiwa forecasts

VIS: PBR trend



Source: Company, TEJ, Daiwa forecasts

Asian foundry: valuation panel

Stock	Ticker	Price (LC)*	Daiwa rating	PER (x)			PBR (x)			ROE (%)			Earnings growth (%)		
				2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E
TSMC	2330 TT	2,585.0	Buy (1)	39.0	23.6	19.2	12.4	8.5	6.3	35.4	42.8	37.6	46.4	65.5	22.9
HHGrace	1347 HK	105.3	Buy (1)	n.m.	126.5	87.2	3.5	3.4	3.3	0.9	2.7	3.9	-5.6	235.5	45.2
VIS	**5347 TT**	190.0	Outperform (2)	44.9	32.2	24.0	5.6	5.3	4.7	12.4	16.8	20.8	12.2	40.1	34.3
UMC	2303 TT	148.5	Hold (3)	44.8	20.6	20.9	4.9	4.8	4.4	11.0	23.6	21.8	-11.6	117.7	-1.7
SMIC	981 HK	60.90	Sell (5)	75.5	44.4	38.1	1.8	1.7	1.6	4.0	6.6	7.1	115.3	71.9	16.6
GlobalFoundries	GFS US	48.07	Not rated	21.9	24.6	18.6	1.6	2.2	2.0	7.8	8.3	10.9	10.3	13.5	32.8
Average				45.2	45.3	34.7	5.0	4.3	3.8	11.9	16.8	16.9	26.2	89.7	20.4

Source: Companies, Bloomberg, Daiwa forecasts
Note: * Local currency based on closing prices as of 7 October 2026

Appendix: company profile

Commanding 1.1% market share, VIS is a leading specialty foundry in the world

Founded in December 1994 with headquarters located in Hsinchu Science Park and shares listed in March 1998, Vanguard International Semiconductor (VIS) is a leading specialty foundry in the world focusing on mix signal, power semiconductor and embedded memory chip manufacturing for value-added differentiation against competition in the mature foundry market. With strategic help from its parent company TSMC on business transformation and technology transfer, VIS commanded a 1.1% share in the global foundry market by 2025 revenue on our estimates (total size c.USD140bn), or nearly 4% in the global mature foundry market (ex-TSMC as a proxy), behind SMIC, UMC, GlobalFoundries (GF) and Huahong Grace Semiconductor (HHGrace; see chart on the next page). Note: our foundry market calculation is for dedicated foundry works only, different from TSMC's revised definition of the Foundry 2.0 that includes not only the dedicated foundry but packaging, testing and other non-memory semiconductor manufacturing services.

The foundry market

We expect VIS to outgrow the global foundry market (ex-TSMC) over 2026-28

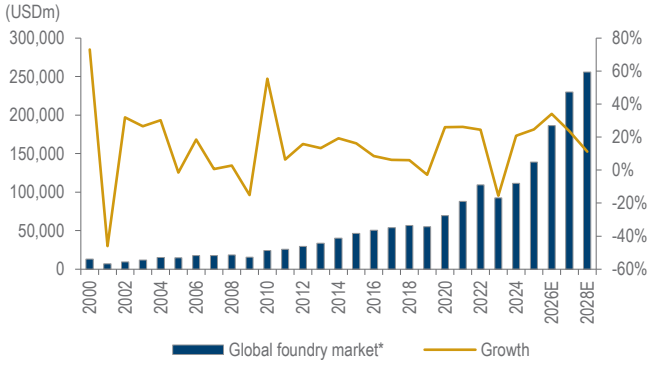
Ever since TSMC's founder innovated the semiconductor foundry service model, the foundry market has been in operation for more than 3 decades. Thanks to a rise in the global AI buildout, the global foundry revenue, after a dip in 2023 on the post-COVID inventory correction, recovered by more than 20% YoY pa over 2024-25. We forecast the growth to accelerate to more than 30% YoY this year, with revenue reaching USD186bn and exceeding USD255bn in 2028 for a robust 23% CAGR over 2025-28. If excluding TSMC, we forecast the market to grow by 14% YoY this year and approach USD60bn in 2028 for a CAGR of 13%, where we expect VIS to outgrow the market growth over our forecast period as illustrated in a chart below, thanks to its fast capacity expansion to capitalise on the AI scaling and paradigm shift in the specialty foundry segment.

Operation and customer

VIS has 5 fabs in operations, with its first 12" fab slated for mass-production from 1Q27

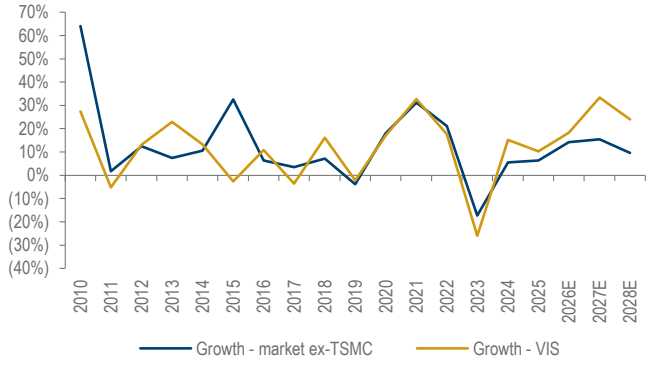
VIS currently operates 5 wafer fabs with 4 in Taiwan, including Fab 1 which commenced operations in 1994 as a memory setup and then converted to mixed signal, power metal oxide semiconductor field effect transistor (MOSFET) and logic foundry fab; Fab 2 which was acquired in 2007 from Winbond; Fab 3 which was acquired from Nanya Tech in 2014; and Fab 5 which was acquired from AUO in 2021, plus 1 in Singapore, Fab VS1, acquired from GF in 2019 and previously named 3E. The 5 fabs currently operate a total of 280,000 wpm capacity all in 8" wafer size, in which the Fab VS1 and 5 are scalable for an extra 10,000 wpm capacity each, though VIS doesn't seem to be keen in exercising the scalability since VSMC apparently is the focus for expansion. Following its opening ceremony on 28 September this year, VIS's first 12" fab via VSMC is slated for mass-production from 1Q27, aimed to bring up total capacity to c.380,000 wpm in 8" equivalent wafer by end-2028.

Global foundry market forecasts



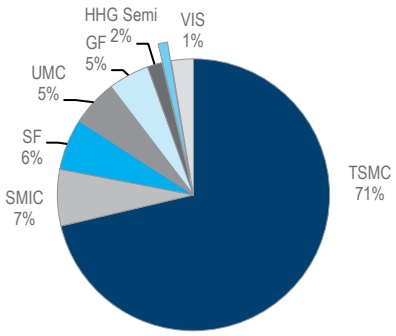
Source: Company, Daiwa estimates and forecasts
*Note: * Dedicated foundries only, not TSMC's definition of the Foundry 2.0*

Revenue growth: VIS vs. foundry market ex-TSMC*



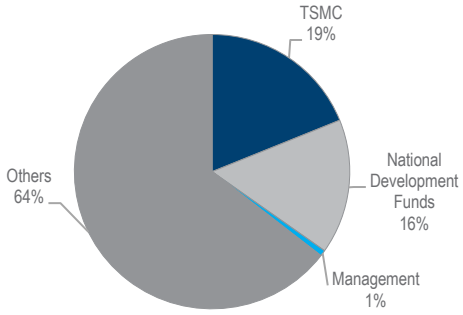
Source: Company, Daiwa estimates and forecasts
*Note: * As a proxy of the mature foundry market*

2025 global foundry market share*



Source: Company, Daiwa estimates
*Note: * GF = GlobalFoundries, SF = Samsung Foundry*

VIS: major shareholder structure



Source: Bloomberg

VIS covers a variety of fabless and IDM customers across Taiwan, China, Japan, Europe and the US

VIS doesn't disclose its key customers due to confidentiality issues, but we believe its key customers cover most of the fabless chipmakers in Taiwan and mainland China focusing on display driver (D/D), power MOSFET and power management IC (PMIC), as well as integrated device manufacturers (IDM) across Japan, Europe and the US. According to our industry survey, key D/D vendors in the greater China region are Novatek (3034 TT, TWD529, Hold [3]), Himax (HIMX US, not rated), Raydium (3592 TT, not rated), Ilitek (6962 TT, not rated), Sitronix Technology (8016 TT, not rated), FocalTech (3545 TT, not rated), Chipone Technology (not listed), OmniVision (603501 CH, CNY82.21, Hold [3]) and GalaxyCore (688728 CH, not rated), while key power semiconductor vendors in the world include Qualcomm (QCOM US, USD177.12, Outperform [2]; covered by Louis Miscioscia), Renesas (6723 JP, JPY3,924, Outperform [2]; covered by Junji Okawa), Monolithic Power Systems (MPS; MPWR US, not rated), NXP (NXPI US, not rated), STMicro (STM US, not rated), Infineon (IFX GR, not rated), Microchip (MCHP US, not rated), TI (TXN US, not rated), MediaTek (2454 TT, TWD4,835, Buy [1], via Richtek), Global Mixed-mode Technology (GMT; 8081 TT, not rated) and Niko Semiconductor (3317 TT, not rated).

Shareholder structure

Major shareholders are TSMC and Taiwan government

VIS's major shareholders were TSMC and the Taiwan government's Development Funds, with c.19% and c.16% of holdings, respectively, as of August 2026 under total share outstanding of 1.88bn. With management in aggregate holding an insignificant stake and the rest being held by institutional investors (QFII holding was 32.7% as of 5 October), we estimate a healthy free float of more than 60% for the stock, with decent cap of c.USD11bn and 3-month daily turnover of more than USD100m.

TSMC reduced its holding in VIS this year by 8pp, raising investor concerns on whether the move would jeopardise the former's strategic support to the latter. We see no direct link between the stake reduction and strategic support, and believe TSMC will continue the support, evidenced by its licence of gallium-nitride (GaN) and interposer technologies and equipment consignment to VSMC.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	VIS's board of directors (BoD) consists of 9 members, including 5 independent directors, representing 56% of the total board seats. The board comprises members with diverse backgrounds in business management, finance, industry, and academia, providing a broad range of expertise and perspectives. We believe the majority-independent board structure and the directors' collective experience in leadership, corporate governance, industry expertise, financial management, risk management, and sustainability strengthen the effectiveness of the BoD and support VIS's long-term growth and corporate governance practices.
	Capital management	1	VIS pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend.
	Related party & transaction	1	Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for VIS.
S	Supply chain management	1	VIS has established a comprehensive sustainable supply chain management framework to ensure suppliers comply with its sustainability requirements covering environmental protection, labor and human rights, occupational health and safety, business ethics, and responsible sourcing. The company requires suppliers to adhere to its "VIS Supplier Code of Conduct" and "Corporate Sustainability Policy", and conducts supplier sustainability assessments and audits as part of its supplier management process. We believe these efforts strengthen VIS's supply chain resilience and help mitigate supply chain risks.
E	Water & wastewater management	2	VIS is committed to improving water efficiency and sustainable water management. In 2022, the company implemented the ISO 46001 Water Efficiency Management System to analyze water consumption patterns, identify significant water-use equipment, evaluate water-saving opportunities, and establish improvement measures. VIS also provides annual water management training at its Taiwan facilities to promote continuous improvement in water-use efficiency. We believe these efforts demonstrate the company's commitment to responsible water stewardship and help reduce operational risks associated with water resources.
E	Waste & hazardous materials management	1	VIS adopts a comprehensive resource management approach to waste management and has established waste management procedures in accordance with ISO 14001 standards. Through dedicated waste management personnel and regular employee training, the company promotes effective waste reduction, classification, collection, storage, and treatment practices across its operations.
E	GHG emissions	1	VIS adopts a source-segregation and multi-stage treatment approach, supported by high-efficiency air pollution control systems, to effectively manage VOC and acidic/alkaline gas emissions from semiconductor manufacturing processes. The company's emission levels remain well below regulatory limits, reflecting its commitment to environmental compliance and sustainable operations.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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FOCI (3363.TWO): CPO FAU in contribution; 3Q26 revenues +40% QoQ; Buy

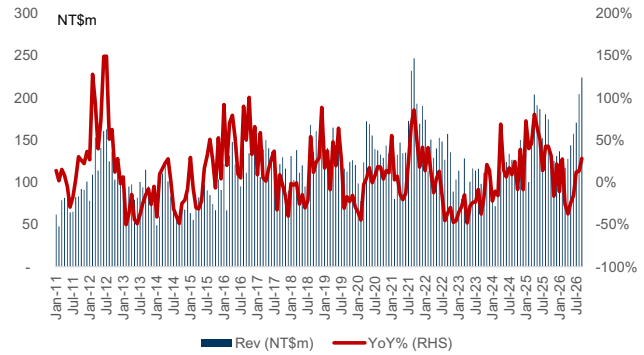
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FOCI's 3Q26 revenues were up 18% YoY/40% QoQ to NT$600m, and we expect to see strong QoQ revenues growth in 4Q26E to NT$1.2bn, supported by better seasonality and the gradual ramp up of 3.2T CPO FAU shipment, after starting mass production in 3Q26. The company continues to expand FAU capacity, riding on the growing demand of high-speed FAU products with expansion from the scale-out to scale-up market. We expect the company's high-speed CPO FAU revenues contribution to reach 21%/59%/73% in 2026E-28E. Maintain Buy.

Exhibit 1: FOCI monthly revenues and YoY



Source: Company data

3-month preview: The company's Sep revenues were up 28% YoY/10% MoM to NT$224m, though 27% below our previous estimates, we attribute this to the longer-than-expected time to see high-speed CPO FAU ramp up. Looking ahead, we expect to see sequential MoM increase at 15%/20% MoM in Oct/Nov 2026 to NT$258m/ NT$309m, supported by capacity expansion, efficiency improvement, and rack-level AI server ramp up.

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Exhibit 2: We expect FOCI Oct revenues to grow 92% YoY/15% MoM to NT$258m
FOCI quarterly/monthly revenues

	Jul-26	Aug-26	Sep-26	Oct-26 (E)	Nov-26 (E)	Dec-26 (E)	2Q26	3Q26	4Q26E
Rev (NT$m)	171	204	224	258	297	679	429	600	1,234
YoY	12%	13%	28%	92%	136%	418%	-26%	18%	216%
MoM / QoQ	9%	20%	10%	15%	15%	129%	12%	40%	106%
GS estimates (NT$m)		174	306				433	651	
Act. Vs. GS.		17%	-27%				-1%	-8%	

Source: Company data, Goldman Sachs Global Investment Research

Earnings revision: Factoring in FOCI's 3Q26 revenues, we revise down 2026E earnings by 6% on lower-than-expected CPO FAU revenues in 3Q, and revise up 2027E-30E earnings by 1%/1%/1%/1% mainly on higher revenues of high-speed CPO FAU, supported by FOCI's focus on CPO-scale up and rising CPO switch demand.

Exhibit 3: Earnings revision

	2026E			2027E			2028E			2029E			2030E		
NT$m	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %
Revenues	2,704	2,644	-2%	9,745	9,767	0%	25,477	25,700	1%	32,769	33,140	1%	36,583	37,026	1%
GP	500	484	-3%	3,265	3,281	0%	9,653	9,766	1%	12,436	12,607	1%	14,148	14,349	1%
OP	52	44	-15%	2,193	2,207	1%	6,927	7,016	1%	9,225	9,359	1%	10,819	10,979	1%
Net income	90	84	-6%	1,917	1,930	1%	5,460	5,530	1%	7,245	7,350	1%	8,491	8,617	1%
EPS (diluted)	0.82	0.77	-6%	17.49	17.60	1%	49.80	50.43	1%	66.08	67.04	1%	77.44	78.59	1%
Margins															
GM	18.5%	18.3%		33.5%	33.6%		37.9%	38.0%		38.0%	38.0%		38.7%	38.8%	
Opex ratio	16.6%	16.6%		11.0%	11.0%		10.7%	10.7%		9.8%	9.8%		9.1%	9.1%	
OPM	1.9%	1.7%		22.5%	22.6%		27.2%	27.3%		28.2%	28.2%		29.6%	29.7%	
NM	3.3%	3.2%		19.7%	19.8%		21.4%	21.5%		22.1%	22.2%		23.2%	23.3%	

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: FOCI P&L Summary

(NT$ m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	411	582	508	391	382	429	600	1,234	1,364	1,892	2,644	9,767	25,700	33,140	37,026
Gross profit	71	115	121	49	7	1	101	375	181	356	484	3,281	9,766	12,607	14,349
Operating expense	(77)	(83)	(110)	(84)	(163)	(93)	(88)	(95)	(272)	(354)	(439)	(1,074)	(2,750)	(3,248)	(3,369)
Operating income	(6)	33	11	(36)	(156)	(92)	12	280	(92)	1	44	2,207	7,016	9,359	10,979
Net income	1	17	21	(22)	(107)	(25)	14	202	(48)	16	84	1,930	5,530	7,350	8,617
EPS, diluted (NT$)	0.01	0.16	0.20	(0.22)	(0.98)	(0.23)	0.13	1.84	(0.48)	0.16	0.77	17.60	50.43	67.04	78.59
Margins / ratio															
Gross margin	17.2%	19.8%	23.8%	12.4%	1.9%	0.2%	16.8%	30.4%	13.3%	18.8%	18.3%	33.6%	38.0%	38.0%	38.8%
Opex ratio	-18.8%	-14.2%	-21.7%	-21.6%	-42.7%	-21.7%	-14.7%	-7.7%	-20.0%	-18.7%	-16.6%	-11.0%	-10.7%	-9.8%	-9.1%
Operating margin	-1.6%	5.6%	2.2%	-9.2%	-40.8%	-21.4%	2.1%	22.7%	-6.7%	0.1%	1.7%	22.6%	27.3%	28.2%	29.7%
Net margin	0.3%	2.9%	4.1%	-5.7%	-28.0%	-5.8%	2.3%	16.4%	-3.5%	0.9%	3.2%	19.8%	21.5%	22.2%	23.3%
QoQ															
Revenue	14%	41%	-13%	-23%	-2%	12%	40%	106%							
Gross profit	110%	63%	5%	-60%	-85%	-87%	10343%	273%							
Operating income	nm	nm	-66%	nm	nm	nm	nm	2154%							
Net income	nm	1420%	22%	nm	nm	nm	nm	1342%							
YoY															
Revenue	53%	65%	33%	9%	-7%	-26%	18%	216%	7%	39%	40%	269%	163%	29%	12%
Gross profit	235%	62%	121%	44%	-90%	-99%	-17%	672%	0%	97%	36%	578%	198%	29%	14%
Operating income	nm	376%	nm	nm	nm	nm	13%	nm	nm	nm	3630%	4868%	218%	33%	17%
Net income	nm	-34%	nm	nm	nm	nm	-32%	nm	nm	nm	419%	2197%	187%	33%	17%

Source: Company data, Goldman Sachs Global Investment Research

Valuation: We continue to derive our 12m target price via a discounted P/E and derive the target P/E multiple via peers' trading P/E vs. forward year EPS YoY (methodology unchanged). With this, our target multiple declines slightly to 16.4x (vs. 15.4x previously) based on FOCI's largely unchanged long-term earnings growth (2030E-31E EPS YoY at 15% on avg.), reflecting improving sentiment on rack-level AI server ramp up and high-speed transition. We continue to apply the target P/E to 2030E EPS (unchanged), and discount it back to 2027E via a 12.6% COE (unchanged). Our new TP is NT$900 (vs. NT$833 previously). Our new TP implies 51x 2027E P/E. Our new TP implies 10x 2027E P/S, within its historical trading range of 5x to 30x. Maintain Buy.

Exhibit 5: FOCI discounted P/E

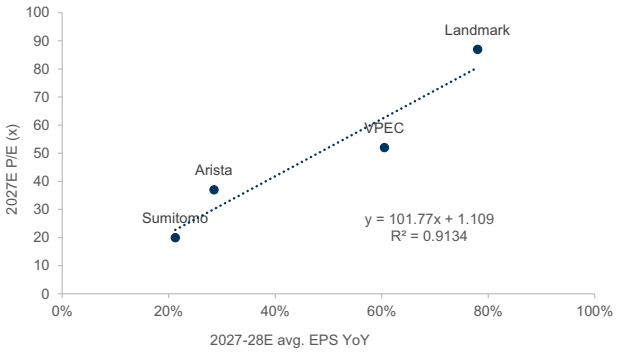
NT$m	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Milestones	Optical components			High-speed FAU for CPO			Migrating to higher speed FAU			
Revenue	**1,621**	**1,272**	**1,364**	**1,892**	**2,644**	**9,767**	**25,700**	**33,140**	**37,026**	**40,654**
YoY		*-22%*	*7%*	*39%*	*40%*	*269%*	*163%*	*29%*	*12%*	*10%*
Gross margin	18.4%	14.1%	13.3%	18.8%	18.3%	33.6%	38.0%	38.0%	38.8%	39.3%
Operating profit	**99**	**-58**	**-92**	**1**	**44**	**2,207**	**7,016**	**9,359**	**10,979**	**12,400**
YoY		na	na	na	3630%	4868%	218%	33%	17%	13%
Operating margin	*6%*	*-5%*	*-7%*	*0%*	*2%*	*23%*	*27%*	*28%*	*30%*	*31%*
Pre-tax profit	**73**	**6**	**-57**	**23**	**146**	**2,270**	**7,079**	**9,423**	**11,047**	**12,467**
Net profit	**47**	**12**	**-48**	**16**	**84**	**1,930**	**5,530**	**7,350**	**8,617**	**9,725**
EPS (NTD, diluted)	**0.53**	**0.13**	**-0.48**	**0.16**	**0.77**	**17.60**	**50.43**	**67.04**	**78.59**	**88.69**
YoY		*-74%*	*na*	*na*	*419%*	*2197%*	*187%*	*33%*	*17%*	*13%*
TP implied P/S						10	4	3	3	2
TP implied P/E						51	18	13	11	10

2030E target P/E	16.4
Target multiple x EPS	1,285
Discounted back to 2027; TP (NTD)	**900**
Implied 2027 P/E	51

COE assumption	
Beta	1.4
Risk free	3.5%
Market risk premium	6.5%
COE	**12.6%**

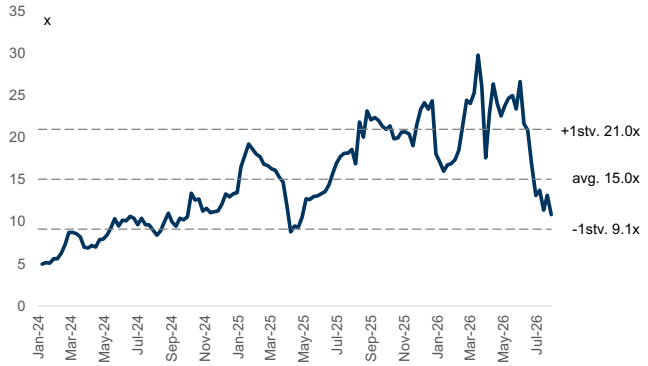
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: FOCI peers' 2027E P/E vs. 2027-28E EPS YoY



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: FOCI 12M forward P/S ratio



Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Valuation: Our 12-month target price of NT$900 is based on a 16.4x 2030E P/E, discounted back to 2027E at a COE of 12.6%. Our target multiple is derived from peers' correlation between forward-year trading P/E and earnings growth.

Key downside risks: Fiercer-than-expected market competition, technology migration trends in optical networking, and slower-than-expected capacity ramp-up.

3363.TWO	12m Price Target: **NT$900.00**	Price: **NT$667.00**	Upside: **34.9%**

Buy

Market cap: NT$73.1bn / $2.3bn
Enterprise value: NT$70.2bn / $2.2bn
3m ADTV: NT$2.4bn / $75.9mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**1,892.0**	**2,644.3**	**9,767.2**	**25,700.0**
Revenue (NT$ mn) Old	1,892.0	2,704.0	9,745.0	25,477.2
EBITDA (NT$ mn)	124.2	221.9	2,665.4	7,761.3
EPS (NT$) New	**0.16**	**0.77**	**17.60**	**50.43**
EPS (NT$) Old	0.16	0.82	17.49	49.80
P/E (X)	NM	NM	37.9	13.2
P/B (X)	12.3	12.3	9.3	5.5
Dividend yield (%)	0.0	0.0	0.0	0.0
CROCI (%)	3.6	9.6	47.2	77.4

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	(0.23)	0.13	1.84	2.30

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Oct 2026 close.

Disclosure Appendix

Reg AC

We, Allen Chang, Verena Jeng and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Target price history table(s)
FOCI (3363.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
06-Aug-26	833.00	604.00
06-Jul-26	864.00	574.00

Price targets shown in table(s) are unadjusted for corporate actions.

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Largan (3008.TW)

FAU to drive strong earnings growth and re-rating; TP up to NT$11,000, Buy

3008.TW	12m Price Target: **NT$11,000.00**	Price: **NT$6,660.00**	Upside: **65.2%**

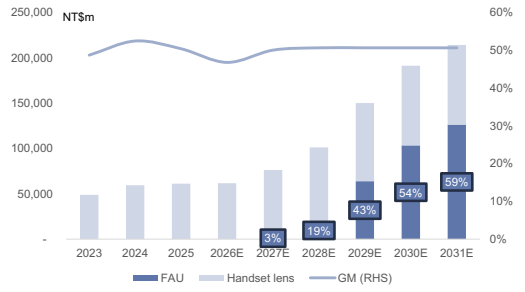
BUY

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We are positive on Largan and expect its strong alignment technology to continue supporting its expansion from handset lens into FA and FAU for CPO switches. The company's FA has passed customer qualification with strong positive feedback, while customers prefer to purchase its integrated product (FA+FAU), reaffirming our positive view on Largan's business expansion. Management highlights that its strong alignment and automated production provide strong precision, fast production and testing, supporting customer penetration. We model FAU revenue contribution at 3% in 2027E and above 50% in 2030E, driving Largan's earnings growth, margin expansion, and valuation re-rating. Maintain Buy with TP up to NT$11,000 (implies 39.8x 2028E PE).

Exhibit 1: Largan revenues by products and GM trend



Source: Company data, Goldman Sachs Global Investment Research

3-month revenue preview: Largan delivered weak revenue growth in 3Q26 with revenue -11% YoY, which we attribute to a slow smartphone market amid high memory costs, fewer model launches of its major smartphone brand customer, and foldable phones released in 4Q26 (report link). The miss also reflects a slower handset lens pixel mix upgrade than we had previously estimated.

Key Data

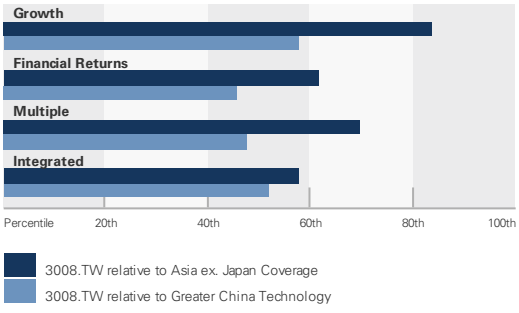
Market cap: NT$896.1bn / $28.1bn
Enterprise value: NT$782.7bn / $24.5bn
3m ADTV: NT$13.2bn / $413.8mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**61,147.9**	**61,653.5**	**76,334.7**	**101,306.6**
Revenue (NT$ mn) Old	61,147.9	65,503.4	76,561.8	85,020.5
EBITDA (NT$ mn)	31,290.3	30,251.2	42,329.3	53,616.0
EPS (NT$) New	**159.41**	**162.60**	**207.41**	**278.57**
EPS (NT$) Old	159.41	187.34	217.11	239.29
P/E (X)	14.8	41.0	32.1	23.9
P/B (X)	1.7	4.5	4.2	3.9
Dividend yield (%)	3.3	1.2	1.5	2.1
CROCI (%)	11.2	11.5	14.4	16.2

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	39.62	40.65	49.77	36.05

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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BUY

Largan (3008.TW)

Rating since Nov 12, 2024

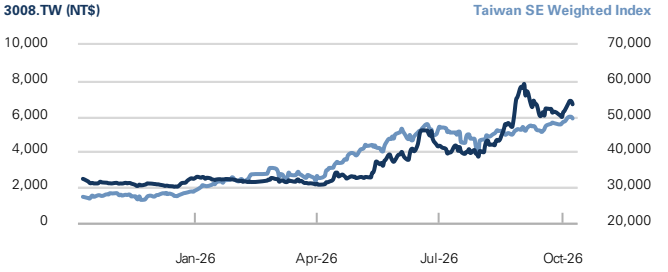
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	14.8	41.0	32.1	23.9
P/B (X)	1.7	4.5	4.2	3.9
FCF yield (%)	4.3	1.1	3.7	3.3
EV/EBITDAR (X)	6.4	25.6	17.8	13.8
EV/EBITDA (excl. leases) (X)	6.4	25.6	17.8	13.8
CROCI (%)	11.2	11.5	14.4	16.2
ROE (%)	11.4	11.1	13.4	16.7
Net debt/equity (%)	(64.1)	(60.3)	(66.6)	(68.0)
Net debt/equity (excl. leases) (%)	(64.1)	(60.3)	(66.6)	(68.0)
Interest cover (X)	15,611.8	7,608.9	9,940.7	13,702.5
Days inventory outst, sales	37.1	47.9	40.9	40.4
Receivable days	62.1	62.0	50.0	50.0
Days payable outstanding	21.6	22.0	22.0	22.0
DuPont ROE (%)	11.1	10.7	12.9	15.9
Turnover (X)	0.3	0.3	0.3	0.4
Leverage (X)	1.2	1.2	1.2	1.2
Gross cash invested (ex cash) (NT$)	222,420.9	241,679.6	267,828.7	298,740.5
Average capital employed (NT$)	73,429.5	80,655.1	82,379.7	79,780.5
BVPS (NT$)	1,395.59	1,484.98	1,579.62	1,727.59

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	2.8	0.8	23.8	32.7
EBITDA growth	3.4	(3.3)	39.9	26.7
EPS growth	(19.7)	2.0	27.6	34.3
DPS growth	(19.0)	2.4	27.0	35.0
EBIT margin	38.5	35.2	39.2	40.7
EBITDA margin	51.2	49.1	55.5	52.9
Net income margin	34.8	35.1	36.3	36.7

Price Performance



	3m	6m	12m
Absolute	68.6%	192.1%	168.0%
Rel. to the Taiwan SE Weighted Index	56.4%	105.9%	47.1%

Source: FactSet. Price as of 8 Oct 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	61,147.9	61,653.5	76,334.7	101,306.6
Cost of goods sold	(30,310.8)	(32,786.7)	(38,112.7)	(49,958.8)
SG&A	(1,985.5)	(1,885.5)	(1,832.0)	(1,620.9)
R&D	(5,293.3)	(5,295.8)	(6,488.4)	(8,509.8)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**31,290.3**	**30,251.2**	**42,329.3**	**53,616.0**
Depreciation & amortization	(7,732.0)	(8,565.7)	(12,427.8)	(12,398.9)
EBIT	**23,558.3**	**21,685.5**	**29,901.5**	**41,217.1**
Net interest inc./(exp.)	4,258.6	3,896.3	3,913.0	4,104.2
Income/(loss) from associates	87.0	83.3	–	–
Pre-tax profit	**25,900.2**	**26,446.2**	**33,814.6**	**45,321.3**
Provision for taxes	(4,340.0)	(4,539.3)	(5,883.7)	(7,891.5)
Minority interest	(284.9)	(241.0)	(248.7)	(250.2)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**21,275.4**	**21,665.9**	**27,682.2**	**37,179.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**21,275.4**	**21,665.9**	**27,682.2**	**37,179.6**
EPS (basic, pre-except) (NT$)	**159.41**	**162.60**	**207.41**	**278.57**
EPS (diluted, pre-except) (NT$)	**157.21**	**161.03**	**204.55**	**276.22**
EPS (basic, post-except) (NT$)	**159.41**	**162.60**	**207.41**	**278.57**
EPS (diluted, post-except) (NT$)	**157.21**	**161.03**	**204.55**	**276.22**
DPS (NT$)	77.87	79.76	101.32	136.83
Div. payout ratio (%)	48.9	49.1	48.9	49.1

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	115,941.7	115,177.0	136,906.6	152,609.6
Accounts receivable	10,461.7	10,483.6	10,430.0	17,325.2
Inventory	6,713.2	9,455.6	7,669.0	14,778.3
Other current assets	21,168.8	21,168.8	21,168.8	21,168.8
Total current assets	**154,285.5**	**156,285.0**	**176,174.5**	**205,881.9**
Net PP&E	51,472.4	60,978.8	57,943.2	52,866.6
Net intangibles	474.6	351.6	344.5	213.7
Total investments	26.5	26.5	26.5	26.5
Other long-term assets	14,528.1	14,528.1	14,528.1	14,528.1
Total assets	**220,787.0**	**232,169.9**	**249,016.8**	**273,516.7**
Accounts payable	1,727.9	2,224.5	2,369.9	3,652.5
Short-term debt	0.0	0.0	0.0	0.0
Short-term lease liabilities	–	–	–	–
Other current liabilities	28,020.6	28,214.1	31,194.1	35,898.7
Total current liabilities	**29,748.5**	**30,438.5**	**33,564.1**	**39,551.2**
Long-term debt	–	–	–	–
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	170.6	170.6	170.6	170.6
Total long-term liabilities	**170.6**	**170.6**	**170.6**	**170.6**
Total liabilities	**29,919.1**	**30,609.1**	**33,734.6**	**39,721.7**
Preferred shares	–	–	–	–
Total common equity	188,867.2	199,801.1	213,771.1	232,534.0
Minority interest	**2,000.8**	**1,759.8**	**1,511.1**	**1,261.0**
Total liabilities & equity	**220,787.0**	**232,169.9**	**249,016.8**	**273,516.7**
Net debt, adjusted	(122,308.6)	(121,543.8)	(143,273.5)	(158,976.5)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	25,900.2	21,665.9	27,682.2	37,179.6
D&A add-back	7,732.0	8,565.7	12,427.8	12,398.9
Minority interest add-back	(284.9)	(241.0)	(248.7)	(250.2)
Net (inc)/dec working capital	(1,208.2)	(2,267.7)	1,985.6	(12,721.8)
Other operating cash flow	(6,058.9)	–	–	–
Cash flow from operations	**26,080.2**	**27,723.0**	**41,846.9**	**36,606.6**
Capital expenditures	(12,340.0)	(17,849.1)	(9,160.2)	(7,091.5)
Acquisitions	(2,040.4)	–	–	–
Divestitures	(2.6)	(100.0)	(225.0)	(100.0)
Others	5,147.2	–	–	–
Cash flow from investing	**(9,235.7)**	**(17,949.1)**	**(9,385.2)**	**(7,191.5)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(13,013.1)	(10,538.6)	(10,732.1)	(13,712.2)
Inc/(dec) in debt	(203.4)	–	–	–
Other financing cash flows	(1,344.6)	0.0	0.0	0.0
Cash flow from financing	**(14,561.2)**	**(10,538.6)**	**(10,732.1)**	**(13,712.2)**
Total cash flow	**2,283.4**	**(764.7)**	**21,729.7**	**15,703.0**
Free cash flow	13,740.3	9,873.9	32,686.7	29,515.1

Source: Company data, Goldman Sachs Research estimates.

We expect Oct revenues to be at a similar level to Sep, and to sequentially decline in Nov and Dec, resulting in 4Q26 revenue growth of +7% QoQ.

Exhibit 2: Largan monthly revenues preview

	Jul 2026	Aug 2026	Sep 2026	Oct 2026E	Nov 2026E	Dec 2026E	2Q26	3Q26	4Q26E
Rev (NT$m)	4,877	5,012	5,779	5,895	5,600	5,299	13,665	15,651	16,794
YoY	-11%	-16%	-7%	-6%	6%	-6%	17%	-11%	-2%
MoM/QoQ	31%	3%	15%	2%	-5%	-5%	-12%	15%	7%
GS estimates (NT$m)	4,826	6,756	7,285				13,750	18,866	
Act. Vs. GS	1%	-26%	-21%				-1%	-17%	

Source: Company data, Goldman Sachs Global Investment Research

Earnings revision

Our net income estimates are revised by -13% / -4% / +16% in 2026-28E mainly on changes in revenues, GM, and Opex ratio, reflecting: **(1) handset lens:** we continue to expect Largan's lens pixel mix upgrade, but at a slower pace, reflecting the 3Q26 miss and slow smartphone market amid high memory costs, **(2) FAU:** we estimate revenue contribution will begin in 2H27, with 0.6m / 5m in 2027 / 28E, along with product mix upgrade toward higher bandwidth FAU that should support ASP and GM. We expect FAU revenue contribution of 3% in 2027E and exceed 50% in 2030E, **(3) GM:** we lower our GM estimates to reflect the slower pace of handset lens pixel mix upgrade and the company's higher costs on green energy. We expect GM to sustain at ~50% in 2026-28E, supported by continuous handset lens pixel mix upgrade and strong demand of FAU, **(4) Opex ratio:** we continue to expect rising opex, while the opex ratio would improve as strong revenue growth driven by FAU and FAU's higher ASP relative to handset lens enhance operating efficiency.

Exhibit 3: Largan earnings revision

	2026E			2027E			2028E		
NT m	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	65,503	61,654	-6%	76,562	76,335	0%	85,021	101,307	19%
GP	33,681	28,867	-14%	42,012	38,222	-9%	47,968	51,348	7%
OP	25,995	21,685	-17%	32,893	29,902	-9%	37,757	41,217	9%
Net income	24,904	21,666	-13%	28,976	27,682	-4%	31,937	37,180	16%
EPS (Diluted)	185.12	161.03	-13%	214.48	204.55	-5%	237.27	276.22	16%
Margins									
GM	51.4%	46.8%		54.9%	50.1%		56.4%	50.7%	
OPM	39.7%	35.2%		43.0%	39.2%		44.4%	40.7%	
NM	38.0%	35.1%		37.8%	36.3%		37.6%	36.7%	

Source: Goldman Sachs Global Investment Research

Exhibit 4: Largan revenues and GM revision

Revenues (NT$m)	2026E	2027E	2028E	GM	2026E	2027E	2028E
NEW	61,654	76,335	101,307	NEW	46.8%	50.1%	50.7%
FAU	-	2,074	19,191	FAU		46.0%	47.4%
Periscope lens	19,653	23,178	26,702	Periscope lens	38.4%	38.3%	38.2%
20MPx+ handset lens	11,911	26,562	34,714	20MPx+ handset lens	70.5%	70.4%	70.4%
Other handset lens	17,833	13,078	9,657	Other handset lens	57.1%	56.4%	55.6%
Others	12,256	11,443	11,042	Others	22.5%	20.3%	20.3%
OLD	65,503	76,562	85,021	OLD	51.4%	54.9%	56.4%
FAU	63	1,067	4,518	FAU	50.3%	50.4%	50.5%
Periscope lens	18,610	18,570	20,741	Periscope lens	38.9%	38.5%	38.5%
20MPx+ handset lens	16,705	31,766	38,447	20MPx+ handset lens	72.9%	73.0%	75.0%
Other handset lens	17,796	13,029	9,611	Other handset lens	62.7%	62.3%	62.0%
Others	12,330	12,130	11,705	Others	24.8%	24.8%	24.9%
CHG	-6%	0%	19%	CHG (NEW - OLD)	-5%	-5%	-6%
FAU	-100%	94%	325%	FAU	-50%	-4%	-3%
Periscope lens	6%	25%	29%	Periscope lens	-1%	0%	0%
20MPx+ handset lens	-29%	-16%	-10%	20MPx+ handset lens	-2%	-3%	-5%
Other handset lens	0%	0%	0%	Other handset lens	-6%	-6%	-6%
Others	-1%	-6%	-6%	Others	-2%	-5%	-5%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Largan 3Q26 results snapshot

NT m	3Q25	2Q26	3Q26	QoQ	YoY	GS	Act / GS	Cons.	Act/Cons.
Revenue	17,677	13,665	15,651	15%	-11%	18,866	-17%	18,196	-14%
GP	8,352	6,753	6,607	-2%	-21%	9,339	-29%	9,120	-28%
OP	6,265	5,148	4,735	-8%	-24%	7,094	-33%	6,946	-32%
Net income	7,080	4,670	5,182	11%	-27%	6,699	-23%	6,723	-23%
Margins									
GM	47.2%	49.4%	42.2%			49.5%		50.1%	
OPM	35.4%	37.7%	30.3%			37.6%		38.2%	
NM	40.1%	34.2%	33.1%			35.5%		36.9%	

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Compared to Bloomberg consensus, we are 4% / 16% ahead in 2027 / 28E net income, mainly on higher revenues and lower opex ratio, reflecting our positive view on Largan's FAU, which is in strong demand with bandwidth upgrade.

Exhibit 6: GS vs. Bloomberg consensus

	2027E			2028E		
NT m	GS	BB	Diff %	GS	BB	Diff %
Revenue	76,335	72,074	6%	101,307	90,479	12%
GP	38,222	36,929	4%	51,348	45,410	13%
OP	29,902	28,454	5%	41,217	34,680	19%
Net income	27,682	26,732	4%	37,180	31,942	16%
Margins						
GM	50.1%	51.2%		50.7%	50.2%	
OPM	39.2%	39.5%		40.7%	38.3%	
NM	36.3%	37.1%		36.7%	35.3%	

Source: Goldman Sachs Global Investment Research, Bloomberg

Valuation

We change our valuation methodology from 2027E PE to discounted PE to better capture the company's long term opportunities in FAU. Our target PE multiple (29.8x) is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at

19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our new target price is NT$11,000 (vs. NT$6,263 previously). Our target price implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

Exhibit 7: Largan discounted PE

NT$m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Key assumptions									
Revenues (NT$m)	**48,842**	**59,458**	**61,148**	**61,654**	**76,335**	**101,307**	**150,128**	**191,476**	**214,294**
FAU	-	-	-	-	2,074	19,191	63,908	103,530	126,348
Others	48,842	59,458	61,148	61,654	74,261	82,115	86,221	87,945	87,945
YoY	**2%**	**22%**	**3%**	**1%**	**24%**	**33%**	**48%**	**28%**	**12%**
FAU						825%	233%	62%	22%
Others	2%	22%	3%	1%	20%	11%	5%	2%	0%
FAU revenues contribution					*3%*	*19%*	*43%*	*54%*	*59%*
FAU shipment (k units)					592	4,789	14,368	21,551	25,862
YoY						*710%*	*200%*	*50%*	*20%*
FAU ASP (US$)					117	134	148	160	163
YoY						*14%*	*11%*	*8%*	*2%*
P&L									
Revenue	**48,842**	**59,458**	**61,148**	**61,654**	**76,335**	**101,307**	**150,128**	**191,476**	**214,294**
Gross profit	**23,808**	**31,209**	**30,837**	**28,867**	**38,222**	**51,348**	**76,093**	**97,050**	**108,616**
Gross margin	48.7%	52.5%	50.4%	46.8%	50.1%	50.7%	50.7%	50.7%	50.7%
OPEX	5,986	7,177	7,279	7,181	8,320	10,131	15,013	19,148	21,429
Opex ratio	12.3%	12.1%	11.9%	11.6%	10.9%	10.0%	10.0%	10.0%	10.0%
Operating profit	**17,821**	**24,033**	**23,558**	**21,685**	**29,902**	**41,217**	**61,081**	**77,903**	**87,186**
OPM	36.5%	40.4%	38.5%	35.2%	39.2%	40.7%	40.7%	40.7%	40.7%
Non-op	4,280	8,142	2,342	4,761	3,913	4,104	4,104	4,104	4,104
Pre-tax profit	**22,102**	**32,174**	**25,900**	**26,446**	**33,815**	**45,321**	**65,185**	**82,007**	**91,291**
Tax	4,200	5,963	4,340	4,539	5,884	7,891	11,350	14,279	15,896
Tax rate	19.0%	18.5%	16.8%	17.2%	17.4%	17.4%	17.4%	17.4%	17.4%
Minority	-	296	285	241	249	250	250	250	250
Net profit	**17,902**	**25,915**	**21,275**	**21,666**	**27,682**	**37,180**	**53,584**	**67,478**	**75,145**
EPS (NTD, diluted)	**132.62**	**191.44**	**157.21**	**161.03**	**204.55**	**276.22**	**398.10**	**501.32**	**558.28**
YoY	*-21%*	*44%*	*-18%*	*2%*	*27%*	*35%*	*44%*	*26%*	*11%*
TP implied P/E					53.8	39.8	27.6	21.9	19.7

2030E target P/E	29.8
Target multiple x EPS	14,939
Discounted back to 2027; TP (NTD)	**11,000**
Implied 2027 P/E	53.8

COE assumption	
Beta	1.1
Risk free	3.5%
Market risk premium	6.5%
COE	**10.7%**

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 8: Largan peer comparison

Company	Ticker	Rating	PE	NI YoY		OPM		Ratio
			2030E	2030E	2031E	2030E	2031E	
Largan	3008.TW	Buy	13.3	26%	11%	40.7%	40.7%	0.2
Largan (TP implied)	3008.TW	Buy	29.8	26%	11%	40.7%	40.7%	0.5
Company	**Ticker**	**Rating**	**PE**	**NI YoY**		**OPM**		**Ratio**
			2027E	**2027E**	**2028E**	**2027E**	**2028E**	
Peers								
AAC	2018.HK	Neutral	12.4	17%	12%	9.7%	10.0%	0.5
T&S	300570.SZ	NC	47.1	96%	62%	24.2%	25.4%	0.5
VPEC	2455.TW	Buy	48.9	67%	55%	35.2%	37.3%	0.5
Sumitomo	5802.JT	Buy	17.2	18%	25%	9.8%	11.2%	0.5
Average			**31.4**	**50%**	**38%**	**19.7%**	**21.0%**	**0.5**

NC: Not Covered; data from Bloomberg consensus. Price as of Oct 9, 2026.

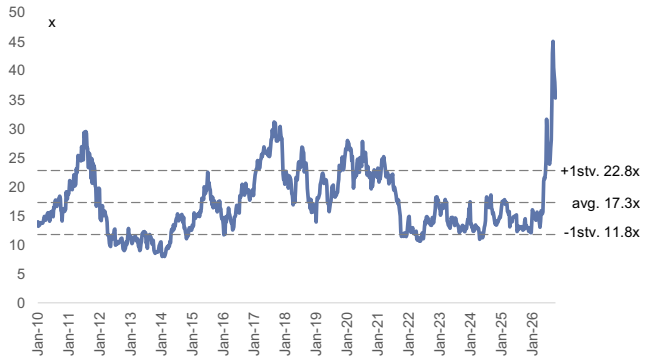
Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 9: Taiwan AI server supply chain enjoys strong re-rating when expanding from consumer electronics to AI data center

Company	Ticker	2020-2025 PE		
		Trough	Peak	Diff
Largan	3008.TW	10.6	28.0	163%
Taiwan AI server supply chain				
Landmark	3081.TWO	28.9	144.1	398%
VPEC	2455.TW	18.1	74.1	310%
Auras	3324.TWO	8.8	54.6	523%
Fositek	6805.TW	11.3	49.9	343%
AVC	3017.TW	4.7	32.8	604%
Inventec	2356.TW	9.9	31.0	213%
King Slide	2059.TW	9.0	30.2	236%
Gigabyte	2376.TW	3.8	29.6	685%
Mitac	3706.TW	2.5	28.7	1044%
Chenbro	8210.TW	6.7	25.6	282%
Wiwynn	6669.TW	6.1	23.4	287%
Wistron	3231.TW	6.0	21.8	262%
Quanta	2382.TW	6.8	20.4	201%
Hon Hai	2317.TW	7.7	17.5	129%
Avg.		**9.3**	**41.7**	**394%**

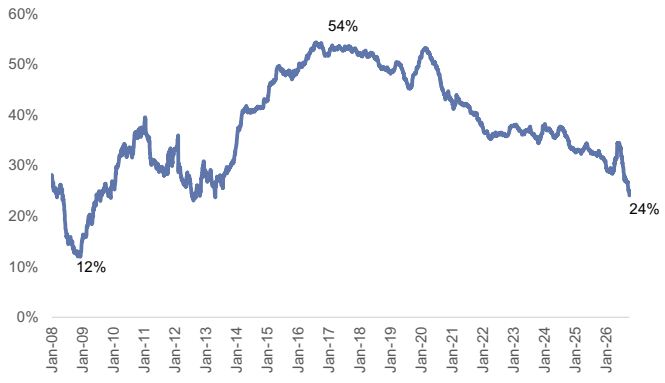
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 10: Largan 12M forward PE ratio



Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 11: Largan QFII holdings



Source: TEJ

Financial tables

Exhibit 12: Largan P&L

NT$m	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
Revenues	15,544	13,665	15,651	16,794	18,095	13,322	19,655	25,263	48,842	59,458	61,148	61,654	76,335	101,307
GP	7,680	6,753	6,607	7,827	9,110	6,375	9,995	12,743	23,808	31,209	30,837	28,867	38,222	51,348
OP income	5,812	5,148	4,735	5,990	7,137	4,923	7,852	9,989	17,821	24,033	23,558	21,685	29,902	41,217
Net income	6,123	4,670	5,182	5,690	6,643	4,812	7,230	8,996	17,902	25,915	21,275	21,666	27,682	37,180
EPS, diluted (NT$)	46.11	35.61	39.52	39.79	49.09	35.56	53.43	66.48	132.62	191.44	157.21	161.03	204.55	276.22
YoY														
Revenues	7%	17%	-11%	-2%	16%	-3%	26%	50%	2%	22%	3%	1%	24%	33%
GP	-4%	8%	-21%	-5%	19%	-6%	51%	63%	-9%	31%	-1%	-6%	32%	34%
OP income	-5%	6%	-24%	-5%	23%	-4%	66%	67%	-13%	35%	-2%	-8%	38%	38%
Net income	-5%	352%	-27%	-15%	8%	3%	40%	58%	-21%	45%	-18%	2%	28%	34%
EPS, diluted (NT$)	-3%	362%	-25%	-19%	6%	0%	35%	67%	-21%	44%	-18%	2%	27%	35%
QoQ														
Revenues	-10%	-12%	15%	7%	8%	-26%	48%	29%						
GP	-7%	-12%	-2%	18%	16%	-30%	57%	27%						
OP income	-8%	-11%	-8%	27%	19%	-31%	60%	27%						
Net income	-9%	-24%	11%	10%	17%	-28%	50%	24%						
EPS, diluted (NT$)	-6%	-23%	11%	1%	23%	-28%	50%	24%						
Margins														
GM	49.4%	49.4%	42.2%	46.6%	50.3%	47.9%	50.9%	50.4%	48.7%	52.5%	50.4%	46.8%	50.1%	50.7%
OPM	37.4%	37.7%	30.3%	35.7%	39.4%	37.0%	40.0%	39.5%	36.5%	40.4%	38.5%	35.2%	39.2%	40.7%
NM	39.4%	34.2%	33.1%	33.9%	36.7%	36.1%	36.8%	35.6%	36.7%	43.6%	34.8%	35.1%	36.3%	36.7%
Ratios														
Opex ratio	12%	12%	12%	11%	11%	11%	11%	11%	12%	12%	12%	12%	11%	10%
Tax rate	15%	23%	14%	17%	17%	17%	17%	17%	19%	19%	17%	17%	17%	17%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 13: Largan balance sheet

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Balance Sheet						
Cash and equivalents	107,490	113,658	115,942	115,177	136,907	152,610
Accounts receivable	10,091	10,360	10,462	10,484	10,430	17,325
Inventory	4,591	5,733	6,713	9,456	7,669	14,778
Other current assets	12,149	16,012	21,169	21,169	21,169	21,169
Current assets	**134,321**	**145,764**	**154,285**	**156,285**	**176,174**	**205,882**
Net PP&E/Fixed assets	41,135	46,936	51,472	60,979	57,943	52,867
Net intangibles	239	505	475	352	345	214
Other long-term assets	19,443	23,322	14,555	14,555	14,555	14,555
Non-current assets	**60,817**	**70,763**	**66,502**	**75,885**	**72,842**	**67,635**
Total assets	**195,138**	**216,527**	**220,787**	**232,170**	**249,017**	**273,517**
Accounts payable	1,731	1,855	1,728	2,224	2,370	3,653
Short-term debt	-	203	-	-	-	-
Other current liabilities	27,787	28,520	28,021	28,214	31,194	35,899
Current liabilities	**29,517**	**30,578**	**29,749**	**30,439**	**33,564**	**39,551**
Long-term debt	-	-	-	-	-	-
Other long-term liabilities	110	561	171	171	171	171
Non-current liabilities	**110**	**561**	**171**	**171**	**171**	**171**
Total liabilities	**29,627**	**31,139**	**29,919**	**30,609**	**33,735**	**39,722**
Common stock	1,335	1,335	1,335	1,335	1,335	1,335
Retained earnings	160,871	175,969	185,818	196,752	210,722	229,485
Other common equity	3,305	6,215	1,714	1,714	1,714	1,714
Total common equity	**165,510**	**183,519**	**188,867**	**199,801**	**213,771**	**232,534**
Minority interest	-	1,869	2,001	1,760	1,511	1,261
Total equity	**165,510**	**185,388**	**190,868**	**201,561**	**215,282**	**233,795**
BVPS	1,226.07	1,369.51	1,410.38	1,498.06	1,590.78	1,736.96
Cash conversion cycle						
Account receivable days	68	63	62	62	50	50
Inventory days	71	67	75	90	82	82
Net payable days	25	23	22	22	22	22
Cash conversion cycle	114	106	116	130	110	110
Ratios						
ROE (common equity)	11%	15%	11%	11%	13%	17%
ROA	9%	13%	10%	10%	12%	14%
Net debt to total equity	-67%	-64%	-64%	-60%	-67%	-68%
Total liabilities to total assets	15%	14%	14%	13%	14%	15%
Dupont analysis						
Asset turnover	0.3	0.3	0.3	0.3	0.3	0.4
Leverage (assets to equity)	1.2	1.2	1.2	1.2	1.2	1.2
Net margin	36.7%	43.6%	34.8%	35.1%	36.3%	36.7%
ROE (total equity)	11%	15%	11%	11%	13%	17%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 14: Largan cash flow

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Cash flow statement						
Net income	22,102	32,174	25,900	21,666	27,682	37,180
Minority interest add-back	-	(296)	(285)	(241)	(249)	(250)
Depreciation and amortization add-back	5,422	6,230	7,732	8,566	12,428	12,399
(Increase)/decrease in working capital	(1,400)	(1,287)	(1,208)	(2,268)	1,986	(12,722)
Other operating cash flow items	(7,925)	(5,243)	(6,059)	-	-	-
Cash flow from operating	**18,199**	**31,579**	**26,080**	**27,723**	**41,847**	**36,607**
Capital expenditure	(8,237)	(11,133)	(12,340)	(17,849)	(9,160)	(7,091)
Other investment cash flow items	(2,915)	(4,933)	3,104	(100)	(225)	(100)
Cash flow from investing	**(11,151)**	**(16,066)**	**(9,236)**	**(17,949)**	**(9,385)**	**(7,191)**
Dividends paid	(11,412)	(9,009)	(13,013)	(10,539)	(10,732)	(13,712)
Change in common stock	-	-	-	-	-	-
Increase/(decrease) in short-term debt	(19)	203	(203)	-	-	-
Increase/(decrease) in long-term debt	-	-	-	-	-	-
Other financing cash flow items	1,680	(1,958)	(241)	-	-	-
Cash flow from financing	**(9,750)**	**(10,764)**	**(13,458)**	**(10,539)**	**(10,732)**	**(13,712)**
Net change in cash	(2,682)	6,168	2,283	(765)	21,730	15,703
FCF	9,962	20,446	13,740	9,874	32,687	29,515
Ratio						
Capex to revenue	17%	19%	20%	29%	12%	7%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Largan

Valuation: We are Buy rated on Largan and have a 12-month target price of NT$11,000, which is based on discounted PE. Our target P/E multiple of 29.8x is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at 19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our target price of NT$11,000 implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

Key risks: (1) slower-than-expected smartphone market growth, (2) fiercer competition in handset lenses, (3) slower-than-expected smartphone camera lens specification upgrades or Largan's handset lens pixel mix upgrade, (4) slower-than-expected FAU ramp up, and (5) fiercer competition in FAU.

Disclosure Appendix

Reg AC

We, Verena Jeng and Allen Chang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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AAC (Neutral, HK$37.36), Sumitomo Electric Industries (Buy, ¥2,361) and VPEC (Buy, NT$558.00)

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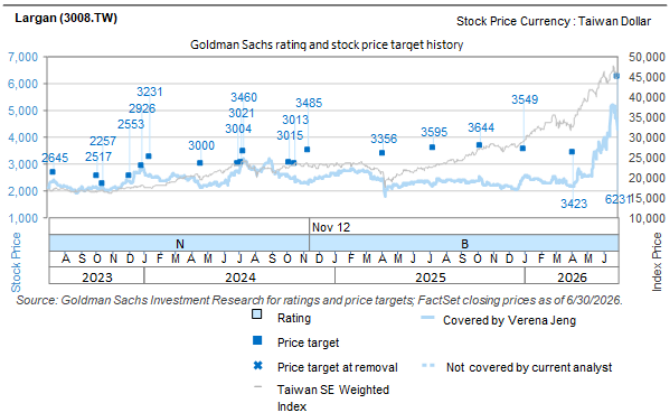
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Target price history table(s)

Largan (3008.TW)

Date of report	Target price (NT$)	Closing price (NT$)
13-Jul-26	6,263.00	4,345.00
30-Jun-26	6,231.00	4,290.00
07-Apr-26	3,423.00	2,170.00
01-Jan-26	3,549.00	2,495.00
09-Oct-25	3,644.00	2,470.00
11-Jul-25	3,595.00	2,285.00
06-Apr-25	3,356.00	2,450.00
12-Nov-24	3,485.00	2,255.00
18-Oct-24	3,013.00	2,325.00
07-Oct-24	3,015.00	2,525.00
11-Jul-24	3,460.00	3,200.00
08-Jul-24	3,021.00	3,030.00
01-Jul-24	3,004.00	2,700.00
21-Apr-24	3,000.00	2,120.00
12-Jan-24	3,231.00	2,600.00
29-Dec-23	2,926.00	2,870.00
06-Dec-23	2,553.00	2,320.00
15-Oct-23	2,257.00	2,175.00

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BofA SECURITIES

Lotes

Lighter 3Q26 sales +4% QoQ; improving margins; reiterate Buy, PO to NT$2,245

Reiterate Rating: BUY | PO: 2,245 TWD | Price: 1,915 TWD

Sep sales +5% MoM; lighter 3Q26 sales at +4% QoQ

Lotes posted Sep sales of NT$3.4bn (+5% MoM, +16% YoY). 3Q26 sales of NT$9.9bn (+4% QoQ, +18% YoY) were 11%/3% below BofAe/consensus. We attributed the lighter sales mainly to industry-wise key component shortage (e.g. memory, CPU, PCB), which likely capped the demand in general server and PC. While sales mix by segment is yet to be disclosed, we believe server should remain the biggest segment (BofAe: 55%) in 3Q26, vs. 54%/40% in 2Q26/3Q25. We now project 3Q26 GM at 45.7%, similar to 45.5% in 2Q26, vs. 51.2% in 3Q25, mainly due to higher raw material cost.

Gradually improving margins; new platform from '27

We project 4Q26 sales +4% QoQ (+12% YoY) amid likely fewer working days in Oct/Dec and market demand push out due to component shortage. Yet, we believe Lotes' quarterly GM should gradually improve with new CPU platform launches in early 2027 and more new products. We project 2027/28E GM at 49.0%/49.9%, considering potential margin dilution from QD (BofAe: 1.4%/3.5%/5.0% of 2026/27/28E sales).

PO to NT$2,245; reiterate Buy; cost pressure fully aware

We cut 2026-28E EPS by 9-18% to reflect 3Q26 preliminary sales, more conservative margin assumptions under material cost pressure, and higher share count (+1.3%) for new CB (total NT$300mn) and fund-raising plan (maximum 1.3mn shares). We cut PO to NT$2,245 (20x 2027E EPS) from NT$2,800 (was 22x) with valuation base unchanged but a lower P/E multiple. We lower P/E multiple to 20x (2SD above historical average) on industry-wise component tightness, which may partially cap CPU server market demand. In our view, Lotes' near-term margin pressure has been fully reflected as its share price corrected 15% in 3Q26, vs. TAIEX +4%. We reiterate our Buy rating on Lotes as a clear CPU server beneficiary to capture still robust market demand (see Vivek Arya's 15 Sep note), with attractive valuation under 24%/36% sales/EPS CAGR in 2026-28.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	9,277	7,866	8,936	12,748	16,550
EPS	82.77	70.17	79.20	112.26	145.74
EPS Change (YoY)	63.4%	-15.2%	12.9%	41.8%	29.8%
Consensus EPS (Visible Alpha)			80.50	112.18	136.86
Dividend / Share	41.50	35.00	39.60	56.13	72.87
Free Cash Flow / Share	56.29	31.68	70.75	78.99	110.66
Valuation (Dec)					
P/E	23.14x	27.29x	24.18x	17.06x	13.14x
Dividend Yield	2.17%	1.83%	2.07%	2.93%	3.81%
EV / EBITDA*	16.14x	15.60x	15.10x	10.82x	8.64x
Free Cash Flow Yield*	2.93%	1.65%	3.70%	4.16%	5.83%

* For full definitions of IQmethod℠ measures, see page 7.

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 5. Price

09 October 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	2,800.00	2,245.00
2026E EPS	96.64	79.20
2027E EPS	127.27	112.26
2028E EPS	160.10	145.74
2026E EBITDA (m)	16,258.2	13,390.2
2027E EBITDA (m)	20,846.5	18,688.1
2028E EBITDA (m)	25,411.6	23,392.1

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Stock Data

Price	1,915 TWD
Price Objective	2,245 TWD
Date Established	9-Oct-2026
Investment Opinion	C-1-7
52-Week Range	1,140 TWD-2,955 TWD
Mrkt Val / Shares Out (mn)	6,774 USD / 112.5
Market Value (mn)	215,504 TWD
Average Daily Value (mn)	77.45 USD
Free Float	80.0%
BofA Ticker / Exchange	ZYZTF / TAI
Bloomberg / Reuters	3533 TT / 3533.TW
ROE (2026E)	21.8%
Net Dbt to Eqty (Dec-2025A)	-30.4%

Acronyms, see page 4

*iQ*profile℠ Lotes

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	30,089	33,783	39,184	49,355	60,589
Gross Profit	15,769	17,334	18,318	24,179	30,237
Sell General & Admin Expense	(2,794)	(3,486)	(3,975)	(4,292)	(4,728)
Operating Profit	10,245	10,344	10,285	15,607	20,446
Net Interest & Other Income	1,624	(154)	1,072	658	658
Associates	NA	NA	NA	NA	NA
Pretax Income	11,869	10,191	11,357	16,265	21,103
Tax (expense) / Benefit	(2,488)	(2,244)	(2,347)	(3,436)	(4,473)
Net Income (Adjusted)	9,277	7,866	8,936	12,748	16,550
Average Fully Diluted Shares Outstanding	112	112	113	114	114
Key Cash Flow Statement Data					
Net Income	9,277	7,866	8,936	12,748	16,550
Depreciation & Amortization	2,279	2,610	3,105	3,081	2,947
Change in Working Capital	(2,775)	(1,664)	(1,058)	(4,359)	(4,430)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	1,277	(284)	0	0	0
Cash Flow from Operations	10,058	8,528	10,983	11,471	15,066
Capital Expenditure	(3,749)	(4,976)	(3,000)	(2,500)	(2,500)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(938)	(881)	0	0	0
Cash Flow from Investing	(4,687)	(5,857)	(3,000)	(2,500)	(2,500)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(3,012)	(4,803)	(3,924)	(4,468)	(6,374)
Cash Flow from Financing	(322)	(8,844)	(3,924)	(4,468)	(6,374)
Free Cash Flow	6,309	3,552	7,983	8,971	12,566
Net Debt	(14,894)	(12,275)	(16,335)	(20,837)	(27,029)
Change in Net Debt	(5,526)	6,159	(4,060)	(4,503)	(6,192)
Key Balance Sheet Data					
Property, Plant & Equipment	10,990	13,429	13,324	12,743	12,297
Other Non-Current Assets	3,459	3,770	3,770	3,770	3,770
Trade Receivables	12,638	14,182	15,021	19,255	23,432
Cash & Equivalents	18,659	12,500	16,560	21,062	27,254
Other Current Assets	4,465	6,552	6,862	7,985	9,086
Total Assets	50,211	50,433	55,536	64,816	75,839
Long-Term Debt	0	0	0	0	0
Other Non-Current Liabilities	1,069	1,013	1,013	1,013	1,013
Short-Term Debt	3,765	225	225	225	225
Other Current Liabilities	7,417	8,780	8,871	9,870	10,717
Total Liabilities	12,251	10,018	10,109	11,108	11,956
Total Equity	37,960	40,415	45,427	53,708	63,883
Total Equity & Liabilities	50,211	50,433	55,536	64,816	75,839
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	22.6%	19.8%	18.9%	24.6%	27.2%
Return On Equity	29.1%	21.1%	21.8%	26.8%	29.1%
Operating Margin	34.0%	30.6%	26.2%	31.6%	33.7%
EBITDA Margin	41.6%	38.3%	34.2%	37.9%	38.6%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.1x	1.1x	1.2x	0.9x	0.9x
Asset Replacement Ratio	1.7x	2.0x	1.0x	0.8x	0.8x
Tax Rate (Reported)	21.0%	22.0%	20.7%	21.1%	21.2%
Net Debt-to-Equity Ratio	-39.2%	-30.4%	-36.0%	-38.8%	-42.3%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Connectors, Passive Components & Distribution

Company Description

Lotes was founded in Keelung, Taiwan, in 1986, and went publicly listed on Taiwan Stock Exchange in 2007. Lotes is the global top-tier PC/server CPU socket supplier. It also supplies connector/cable/harness for PC, server, auto and industrial. Key end-customers include global PC brands (Lenovo, HP, Dell, Apple) and global datacenter hyperscalers (FAMG). Besides headquarter in Taiwan, Lotes has production sites in China (Guangzhou, Suzhou, and Hunan) and Vietnam.

Investment Rationale

We have a Buy rating on Lotes in view of (1) solid CPU server demand outlook, (2) ongoing server/DT CPU platform upgrade to support ASP, (3) double-digit sales/earnings CAGR in 2026-28 with margin improvement in 2027-28, (4) solid balance sheet, and (5) attractive valuation. AI business remains the watch point with potential upside.

Stock Data

Price to Book Value	5.0x

Exhibit 1: We trim our 2026-28E EPS by 9-18%
Earnings revisions summary, 2026-28E

	BofA 2026E			BofA 2027E			BofA 2028E		
NT$mn	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**
Sales	39,184	42,108	-7%	49,355	51,188	-4%	60,589	61,636	-2%
Gross profit	18,318	21,592	-15%	24,179	27,133	-11%	30,237	32,845	-8%
Operating profit	10,285	13,153	-22%	15,607	17,766	-12%	20,446	22,465	-9%
Pretax profit	11,357	13,890	-18%	16,265	18,347	-11%	21,103	23,045	-8%
Net income	8,936	10,834	-18%	12,748	14,268	-11%	16,550	17,947	-8%
EPS (NT$)	79.20	96.64	-18%	112.26	127.27	-12%	145.74	160.10	-9%
Margin %									
Gross margin	46.7%	51.3%		49.0%	53.0%		49.9%	53.3%	
Operating margin	26.2%	31.2%		31.6%	34.7%		33.7%	36.4%	
Pre-tax margin	29.0%	33.0%		33.0%	35.8%		34.8%	37.4%	
Net margin	22.8%	25.7%		25.8%	27.9%		27.3%	29.1%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Our 2026-27E EPS is 2-4% below consensus while 2028E EPS is 4% above consensus
BofAe vs. consensus, 2026-28E

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	39,184	39,887	-2%	49,355	49,638	-1%	60,589	58,506	4%
Gross profit	18,318	18,684	-2%	24,179	24,428	-1%	30,237	29,618	2%
Operating profit	10,285	10,471	-2%	15,607	15,489	1%	20,446	19,590	4%
Pretax profit	11,357	11,699	-3%	16,265	16,295	0%	21,103	20,319	4%
Net income	8,936	9,168	-3%	12,748	12,725	0%	16,550	15,756	5%
EPS (NT$)	79.20	82.40	-4%	112.26	114.37	-2%	145.74	140.29	4%
Margin %									
Gross margin	46.7%	46.8%		49.0%	49.2%		49.9%	50.6%	
Operating margin	26.2%	26.3%		31.6%	31.2%		33.7%	33.5%	
Pre-tax margin	29.0%	29.3%		33.0%	32.8%		34.8%	34.7%	
Net margin	22.8%	23.0%		25.8%	25.6%		27.3%	26.9%	

Source: BofA Global Research estimates, Bloomberg consensus

BofA GLOBAL RESEARCH

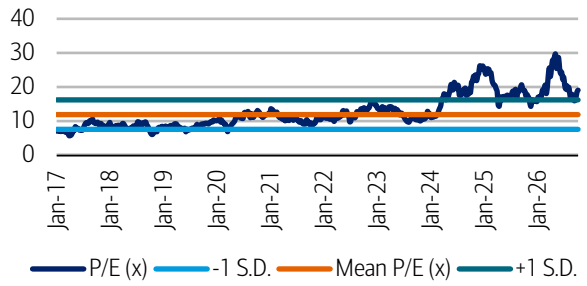
Exhibit 3: Our new 3Q26E EPS was 6% below consensus
3Q26 key earnings change summary and comparison to consensus

	3Q26 BofAe			3Q26 BofAe		3Q26			
NT$mn	**New**	**QoQ %**	**YoY %**	**Old**	**Diff (%)**	**Consensus**	**Diff (%)**	**2Q26**	**3Q25**
Sales	9,924	4%	18%	11,088	-11%	10,235	-3%	9,569	8,422
Gross profit	4,533	4%	5%	5,781	-22%	4,690	-3%	4,351	4,313
Operating profit	2,568	22%	2%	3,585	-28%	2,698	-5%	2,103	2,525
Pretax profit	2,719	5%	-6%	3,727	-27%	2,902	-6%	2,598	2,882
Net income	2,150	8%	-7%	2,956	-27%	2,273	-5%	1,984	2,318
EPS (NT$)	19.06	8%	-8%	26.37	-28%	20.36	-6%	17.59	20.68
Margin %									
Gross margin	45.7%	0.2 ppt	-5.5 ppt	52.1%	-6.5 ppt	45.8%	-0.2 ppt	45.5%	51.2%
Operating margin	25.9%	3.9 ppt	-4.1 ppt	32.3%	-6.5 ppt	26.4%	-0.5 ppt	22.0%	30.0%
Pre-tax margin	27.4%	0.2 ppt	-6.8 ppt	33.6%	-6.2 ppt	28.4%	-1.0 ppt	27.1%	34.2%
Net margin	21.7%	0.9 ppt	-5.9 ppt	26.7%	-5.0 ppt	22.2%	-0.5 ppt	20.7%	27.5%

Source: BofA Global Research estimates, Bloomberg consensus. Diff: difference to new 3Q26 BofAe data

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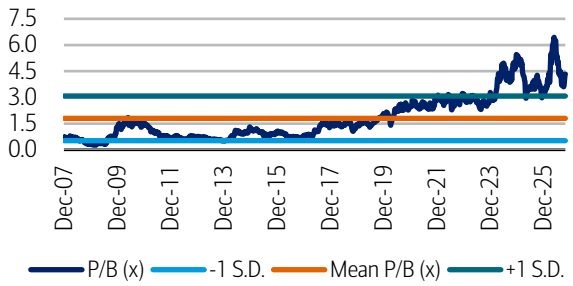
Exhibit 4: Lotes' historical P/E trading average since 2017 is 12x
Lotes' P/E trend and -1/+1 standard deviation since 2017



Source: BofA Global Research estimates, Bloomberg

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Exhibit 5: Lotes' historical P/B trading average since the IPO is 1.8x
Lotes' P/B trend and -1/+1 standard deviation since the IPO



Source: BofA Global Research estimates, Bloomberg

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Exhibit 4: We model 2026-28E sales/EPS CAGR at 24%/36%
Quarterly earnings summary, 2025-28E

NT$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	9,328	9,569	9,924	10,364	10,467	11,402	12,981	14,506	14,214	14,704	15,466	16,205	33,783	39,184	49,355	60,589
Gross profit	4,622	4,351	4,533	4,813	4,961	5,558	6,430	7,230	7,134	7,369	7,722	8,011	17,334	18,318	24,179	30,237
Operating profit	2,708	2,103	2,568	2,906	3,057	3,517	4,198	4,836	4,689	4,899	5,309	5,548	10,344	10,285	15,607	20,446
Pretax profit	3,003	2,598	2,719	3,037	3,208	3,670	4,399	4,988	4,841	5,051	5,511	5,700	10,191	11,357	16,265	21,103
Net income	2,397	1,984	2,150	2,405	2,547	2,732	3,500	3,970	3,853	3,768	4,389	4,540	7,866	8,936	12,748	16,550
EPS (NT$)	21.24	17.59	19.06	21.31	22.42	24.06	30.82	34.96	33.93	33.18	38.65	39.98	70.17	79.20	112.26	145.74
Margin %																
Gross margin	49.5%	45.5%	45.7%	46.4%	47.4%	48.7%	49.5%	49.8%	50.2%	50.1%	49.9%	49.4%	51.3%	46.7%	49.0%	49.9%
Operating margin	29.0%	22.0%	25.9%	28.0%	29.2%	30.8%	32.3%	33.3%	33.0%	33.3%	34.3%	34.2%	30.6%	26.2%	31.6%	33.7%
Pretax margin	32.2%	27.1%	27.4%	29.3%	30.7%	32.2%	33.9%	34.4%	34.1%	34.4%	35.6%	35.2%	30.2%	29.0%	33.0%	34.8%
Net margin	25.7%	20.7%	21.7%	23.2%	24.3%	24.0%	27.0%	27.4%	27.1%	25.6%	28.4%	28.0%	23.3%	22.8%	25.8%	27.3%
QoQ %																
Sales	1%	3%	4%	4%	1%	9%	14%	12%	-2%	3%	5%	5%				
Gross profit	-3%	-6%	4%	6%	3%	12%	16%	12%	-1%	3%	5%	4%				
Operating profit	-2%	-22%	22%	13%	5%	15%	19%	15%	-3%	4%	8%	4%				
Pretax profit	-7%	-13%	5%	12%	6%	14%	20%	13%	-3%	4%	9%	3%				
Net income	-5%	-17%	8%	12%	6%	7%	28%	13%	-3%	-2%	16%	3%				
YoY %																
Sales	20%	15%	18%	12%	12%	19%	31%	40%	36%	29%	19%	12%	12%	16%	26%	23%
Gross profit	16%	2%	5%	1%	7%	28%	42%	50%	44%	33%	20%	11%	10%	6%	32%	25%
Operating profit	11%	-19%	2%	5%	13%	67%	63%	66%	53%	39%	26%	15%	1%	-1%	52%	31%
Pretax profit	5%	113%	-6%	-6%	7%	41%	62%	64%	51%	38%	25%	14%	-14%	11%	43%	30%
Net income	5%	165%	-7%	-5%	6%	38%	63%	65%	51%	38%	25%	14%	-15%	14%	43%	30%

Source: BofA Global Research estimates, company data

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Exhibit 11: Acronyms
Acronyms used through the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	FX	Foreign Exchange	PC	Personal Computer
AMD	Advanced Micro Devices (AMD US)	GM	Gross Margin	P/E	Price to Earnings
ASP	Average Selling Price	GPU	Graphic Processing Unit	PO	Price Objective
CAGR	Compound Annual Growth Rate	IPO	Initial Public Offering	QD	Quick Disconnect
CPU	Central Processing Unit	NPO	Near-Packaged Optics	R&D	Research & Development
DT	Desktop	NTD / NT$	New Taiwan Dollar	RMB	Renminbi (Chinese Yuan)
EPS	Earnings Per Share	OPM	Operating Profit Margin	SD	Standard Deviation
FAMG	Facebook (Meta), Amazon, Microsoft, Google	P/B	Price to Book	USD / US$	US Dollars

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Lotes (ZYZTF)
Our PO of NT$2,245 is based on 20x 2027E EPS. Our valuation multiple of 20x (2SD above historical P/E trading average) reflects rising sales mix from better-margin server business with ASP increase, double-digit sales/EPS CAGR in 2026-28, and solid balance sheet. Our P/E multiple can also be justified by solid CPU server demand amid accelerating agentic AI needs, Lotes' top position as desktop/server CPU socket supplier to ride on Intel/AMD's ongoing desktop/server CPU platform upgrade.

Upside risks: (1) further ASP increase thanks to faster adoption/penetration of new DT/server platform and new product, (2) faster progress in AI related business, (3) faster AI PC launch/adoption, (4) GM upside from lowering/stabilizing raw material prices, and (5) more favorable FX (USD/NTD and/or USD/RMB) movement to benefit GM and/or non-operating items.

Downside risks: (1) slower ASP increase due to new CPU platform delay, (2) slower progress from AI business, (3) weaker PC/server market demand amid inflation/macro uncertainties, (4) GM pressure from higher raw material prices, (5) higher labor/logistics cost from supply-chain disruption and uncertain China lockdown policy, (6) unfavorable FX movement to weigh on GM and/or non-operating items, and (7) peers' more aggressive pricing competition.

Analyst Certification

I, Doris Kao, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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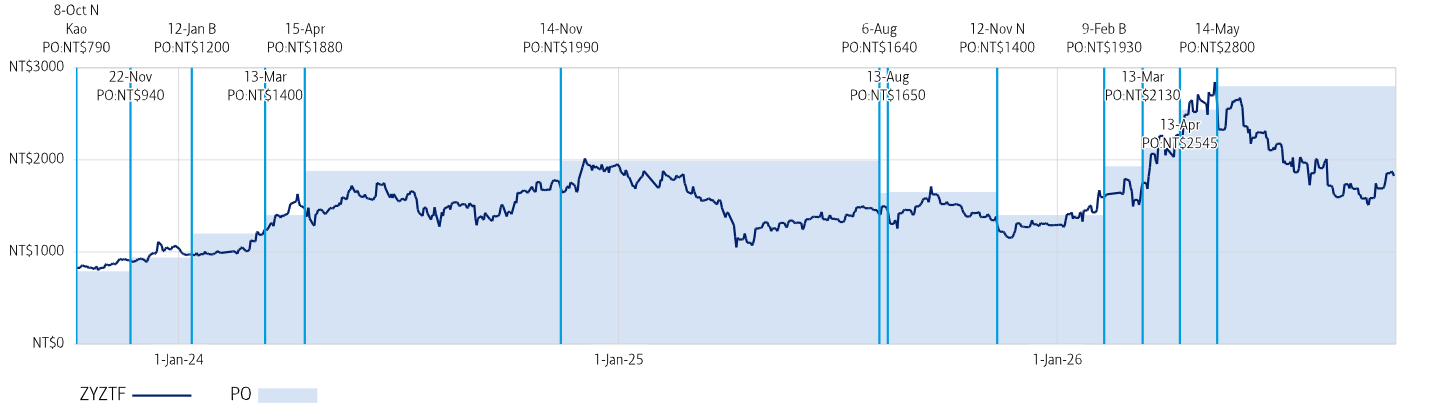
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Important Disclosures

Lotes (ZYZTF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	41	65.08%	Buy	20	48.78%
Hold	9	14.29%	Hold	1	11.11%
Sell	13	20.63%	Sell	7	53.85%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Largan (3008.TW)

FAU to drive strong earnings growth and re-rating; TP up to NT$11,000, Buy

3008.TW	12m Price Target: **NT$11,000.00**	Price: **NT$6,660.00**	Upside: **65.2%**

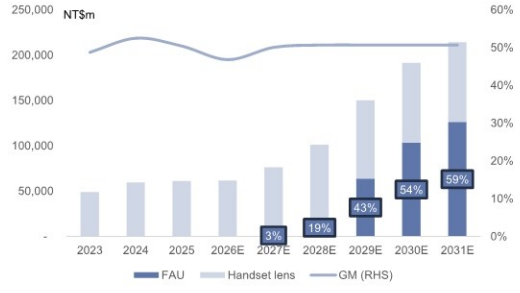
BUY

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We are positive on Largan and expect its strong alignment technology to continue supporting its expansion from handset lens into FA and FAU for CPO switches. The company's FA has passed customer qualification with strong positive feedback, while customers prefer to purchase its integrated product (FA+FAU), reaffirming our positive view on Largan's business expansion. Management highlights that its strong alignment and automated production provide strong precision, fast production and testing, supporting customer penetration. We model FAU revenue contribution at 3% in 2027E and above 50% in 2030E, driving Largan's earnings growth, margin expansion, and valuation re-rating. Maintain Buy with TP up to NT$11,000 (implies 39.8x 2028E PE).

Exhibit 1: Largan revenues by products and GM trend



Source: Company data, Goldman Sachs Global Investment Research

3-month revenue preview: Largan delivered weak revenue growth in 3Q26 with revenue -11% YoY, which we attribute to a slow smartphone market amid high memory costs, fewer model launches of its major smartphone brand customer, and foldable phones released in 4Q26 (report link). The miss also reflects a slower handset lens pixel mix upgrade than we had previously estimated.

Key Data

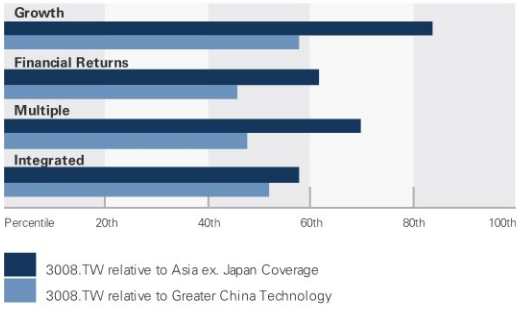
Market cap: NT$896.1bn / $28.1bn
Enterprise value: NT$782.7bn / $24.5bn
3m ADTV: NT$13.2bn / $413.8mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**61,147.9**	**61,653.5**	**76,334.7**	**101,306.6**
Revenue (NT$ mn) Old	61,147.9	65,503.4	76,561.8	85,020.5
EBITDA (NT$ mn)	31,290.3	30,251.2	42,329.3	53,616.0
EPS (NT$) New	**159.41**	**162.60**	**207.41**	**278.57**
EPS (NT$) Old	159.41	187.34	217.11	239.29
P/E (X)	14.8	41.0	32.1	23.9
P/B (X)	1.7	4.5	4.2	3.9
Dividend yield (%)	3.3	1.2	1.5	2.1
CROCI (%)	11.2	11.5	14.4	16.2

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	39.62	40.65	49.77	36.05

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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BUY

Largan (3008.TW)

Rating since Nov 12, 2024

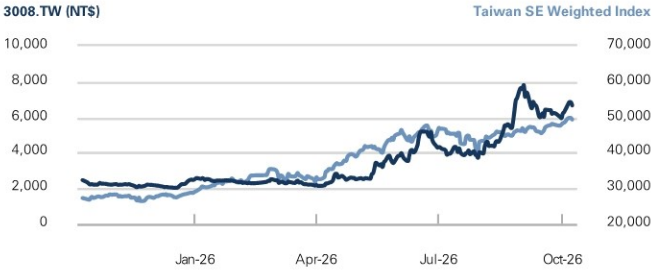
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	14.8	41.0	32.1	23.9
P/B (X)	1.7	4.5	4.2	3.9
FCF yield (%)	4.3	1.1	3.7	3.3
EV/EBITDAR (X)	6.4	25.6	17.8	13.8
EV/EBITDA (excl. leases) (X)	6.4	25.6	17.8	13.8
CROCI (%)	11.2	11.5	14.4	16.2
ROE (%)	11.4	11.1	13.4	16.7
Net debt/equity (%)	(64.1)	(60.3)	(66.6)	(68.0)
Net debt/equity (excl. leases) (%)	(64.1)	(60.3)	(66.6)	(68.0)
Interest cover (X)	15,611.8	7,608.9	9,940.7	13,702.5
Days inventory outst, sales	37.1	47.9	40.9	40.4
Receivable days	62.1	62.0	50.0	50.0
Days payable outstanding	21.6	22.0	22.0	22.0
DuPont ROE (%)	11.1	10.7	12.9	15.9
Turnover (X)	0.3	0.3	0.3	0.4
Leverage (X)	1.2	1.2	1.2	1.2
Gross cash invested (ex cash) (NT$)	222,420.9	241,679.6	267,828.7	298,740.5
Average capital employed (NT$)	73,429.5	80,655.1	82,379.7	79,780.5
BVPS (NT$)	1,395.59	1,484.98	1,579.62	1,727.59

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	2.8	0.8	23.8	32.7
EBITDA growth	3.4	(3.3)	39.9	26.7
EPS growth	(19.7)	2.0	27.6	34.3
DPS growth	(19.0)	2.4	27.0	35.0
EBIT margin	38.5	35.2	39.2	40.7
EBITDA margin	51.2	49.1	55.5	52.9
Net income margin	34.8	35.1	36.3	36.7

Price Performance



	3m	6m	12m
Absolute	68.6%	192.1%	168.0%
Rel. to the Taiwan SE Weighted Index	56.4%	105.9%	47.1%

Source: FactSet. Price as of 8 Oct 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	61,147.9	61,653.5	76,334.7	101,306.6
Cost of goods sold	(30,310.8)	(32,786.7)	(38,112.7)	(49,958.8)
SG&A	(1,985.5)	(1,885.5)	(1,832.0)	(1,620.9)
R&D	(5,293.3)	(5,295.8)	(6,488.4)	(8,509.8)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**31,290.3**	**30,251.2**	**42,329.3**	**53,616.0**
Depreciation & amortization	(7,732.0)	(8,565.7)	(12,427.8)	(12,398.9)
EBIT	**23,558.3**	**21,685.5**	**29,901.5**	**41,217.1**
Net interest inc./(exp.)	4,258.6	3,896.3	3,913.0	4,104.2
Income/(loss) from associates	87.0	83.3	–	–
Pre-tax profit	**25,900.2**	**26,446.2**	**33,814.6**	**45,321.3**
Provision for taxes	(4,340.0)	(4,539.3)	(5,883.7)	(7,891.5)
Minority interest	(284.9)	(241.0)	(248.7)	(250.2)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**21,275.4**	**21,665.9**	**27,682.2**	**37,179.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**21,275.4**	**21,665.9**	**27,682.2**	**37,179.6**
EPS (basic, pre-except) (NT$)	**159.41**	**162.60**	**207.41**	**278.57**
EPS (diluted, pre-except) (NT$)	**157.21**	**161.03**	**204.55**	**276.22**
EPS (basic, post-except) (NT$)	**159.41**	**162.60**	**207.41**	**278.57**
EPS (diluted, post-except) (NT$)	**157.21**	**161.03**	**204.55**	**276.22**
DPS (NT$)	77.87	79.76	101.32	136.83
Div. payout ratio (%)	48.9	49.1	48.9	49.1

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	115,941.7	115,177.0	136,906.6	152,609.6
Accounts receivable	10,461.7	10,483.6	10,430.0	17,325.2
Inventory	6,713.2	9,455.6	7,669.0	14,778.3
Other current assets	21,168.8	21,168.8	21,168.8	21,168.8
Total current assets	**154,285.5**	**156,285.0**	**176,174.5**	**205,881.9**
Net PP&E	51,472.4	60,978.8	57,943.2	52,866.6
Net intangibles	474.6	351.6	344.5	213.7
Total investments	26.5	26.5	26.5	26.5
Other long-term assets	14,528.1	14,528.1	14,528.1	14,528.1
Total assets	**220,787.0**	**232,169.9**	**249,016.8**	**273,516.7**
Accounts payable	1,727.9	2,224.5	2,369.9	3,652.5
Short-term debt	0.0	0.0	0.0	0.0
Short-term lease liabilities	–	–	–	–
Other current liabilities	28,020.6	28,214.1	31,194.1	35,898.7
Total current liabilities	**29,748.5**	**30,438.5**	**33,564.1**	**39,551.2**
Long-term debt	–	–	–	–
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	170.6	170.6	170.6	170.6
Total long-term liabilities	**170.6**	**170.6**	**170.6**	**170.6**
Total liabilities	**29,919.1**	**30,609.1**	**33,734.6**	**39,721.7**
Preferred shares	–	–	–	–
Total common equity	188,867.2	199,801.1	213,771.1	232,534.0
Minority interest	**2,000.8**	**1,759.8**	**1,511.1**	**1,261.0**
Total liabilities & equity	**220,787.0**	**232,169.9**	**249,016.8**	**273,516.7**
Net debt, adjusted	(122,308.6)	(121,543.8)	(143,273.5)	(158,976.5)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	25,900.2	21,665.9	27,682.2	37,179.6
D&A add-back	7,732.0	8,565.7	12,427.8	12,398.9
Minority interest add-back	(284.9)	(241.0)	(248.7)	(250.2)
Net (inc)/dec working capital	(1,208.2)	(2,267.7)	1,985.6	(12,721.8)
Other operating cash flow	(6,058.9)	–	–	–
Cash flow from operations	**26,080.2**	**27,723.0**	**41,846.9**	**36,606.6**
Capital expenditures	(12,340.0)	(17,849.1)	(9,160.2)	(7,091.5)
Acquisitions	(2,040.4)	–	–	–
Divestitures	(2.6)	(100.0)	(225.0)	(100.0)
Others	5,147.2	–	–	–
Cash flow from investing	**(9,235.7)**	**(17,949.1)**	**(9,385.2)**	**(7,191.5)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(13,013.1)	(10,538.6)	(10,732.1)	(13,712.2)
Inc/(dec) in debt	(203.4)	–	–	–
Other financing cash flows	(1,344.6)	0.0	0.0	0.0
Cash flow from financing	**(14,561.2)**	**(10,538.6)**	**(10,732.1)**	**(13,712.2)**
Total cash flow	**2,283.4**	**(764.7)**	**21,729.7**	**15,703.0**
Free cash flow	13,740.3	9,873.9	32,686.7	29,515.1

Source: Company data, Goldman Sachs Research estimates.

We expect Oct revenues to be at a similar level to Sep, and to sequentially decline in Nov and Dec, resulting in 4Q26 revenue growth of +7% QoQ.

Exhibit 2: Largan monthly revenues preview

	Jul 2026	Aug 2026	Sep 2026	Oct 2026E	Nov 2026E	Dec 2026E	2Q26	3Q26	4Q26E
Rev (NT$m)	4,877	5,012	5,779	5,895	5,600	5,299	13,665	15,651	16,794
YoY	-11%	-16%	-7%	-6%	6%	-6%	17%	-11%	-2%
MoM/QoQ	31%	3%	15%	2%	-5%	-5%	-12%	15%	7%
GS estimates (NT$m)	4,826	6,756	7,285				13,750	18,866	
Act. Vs. GS	1%	-26%	-21%				-1%	-17%	

Source: Company data, Goldman Sachs Global Investment Research

Earnings revision

Our net income estimates are revised by -13% / -4% / +16% in 2026-28E mainly on changes in revenues, GM, and Opex ratio, reflecting: **(1) handset lens:** we continue to expect Largan's lens pixel mix upgrade, but at a slower pace, reflecting the 3Q26 miss and slow smartphone market amid high memory costs, **(2) FAU:** we estimate revenue contribution will begin in 2H27, with 0.6m / 5m in 2027 / 28E, along with product mix upgrade toward higher bandwidth FAU that should support ASP and GM. We expect FAU revenue contribution of 3% in 2027E and exceed 50% in 2030E, **(3) GM:** we lower our GM estimates to reflect the slower pace of handset lens pixel mix upgrade and the company's higher costs on green energy. We expect GM to sustain at ~50% in 2026-28E, supported by continuous handset lens pixel mix upgrade and strong demand of FAU, **(4) Opex ratio:** we continue to expect rising opex, while the opex ratio would improve as strong revenue growth driven by FAU and FAU's higher ASP relative to handset lens enhance operating efficiency.

Exhibit 3: Largan earnings revision

	2026E			2027E			2028E		
NT m	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	65,503	61,654	-6%	76,562	76,335	0%	85,021	101,307	19%
GP	33,681	28,867	-14%	42,012	38,222	-9%	47,968	51,348	7%
OP	25,995	21,685	-17%	32,893	29,902	-9%	37,757	41,217	9%
Net income	24,904	21,666	-13%	28,976	27,682	-4%	31,937	37,180	16%
EPS (Diluted)	185.12	161.03	-13%	214.48	204.55	-5%	237.27	276.22	16%
Margins									
GM	51.4%	46.8%		54.9%	50.1%		56.4%	50.7%	
OPM	39.7%	35.2%		43.0%	39.2%		44.4%	40.7%	
NM	38.0%	35.1%		37.8%	36.3%		37.6%	36.7%	

Source: Goldman Sachs Global Investment Research

Exhibit 4: Largan revenues and GM revision

Revenues (NT$m)	2026E	2027E	2028E	GM	2026E	2027E	2028E
NEW	61,654	76,335	101,307	NEW	46.8%	50.1%	50.7%
FAU	-	2,074	19,191	FAU		46.0%	47.4%
Periscope lens	19,653	23,178	26,702	Periscope lens	38.4%	38.3%	38.2%
20MPx+ handset lens	11,911	26,562	34,714	20MPx+ handset lens	70.5%	70.4%	70.4%
Other handset lens	17,833	13,078	9,657	Other handset lens	57.1%	56.4%	55.6%
Others	12,256	11,443	11,042	Others	22.5%	20.3%	20.3%
OLD	65,503	76,562	85,021	OLD	51.4%	54.9%	56.4%
FAU	63	1,067	4,518	FAU	50.3%	50.4%	50.5%
Periscope lens	18,610	18,570	20,741	Periscope lens	38.9%	38.5%	38.5%
20MPx+ handset lens	16,705	31,766	38,447	20MPx+ handset lens	72.9%	73.0%	75.0%
Other handset lens	17,796	13,029	9,611	Other handset lens	62.7%	62.3%	62.0%
Others	12,330	12,130	11,705	Others	24.8%	24.8%	24.9%
CHG	-6%	0%	19%	CHG (NEW - OLD)	-5%	-5%	-6%
FAU	-100%	94%	325%	FAU	-50%	-4%	-3%
Periscope lens	6%	25%	29%	Periscope lens	-1%	0%	0%
20MPx+ handset lens	-29%	-16%	-10%	20MPx+ handset lens	-2%	-3%	-5%
Other handset lens	0%	0%	0%	Other handset lens	-6%	-6%	-6%
Others	-1%	-6%	-6%	Others	-2%	-5%	-5%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Largan 3Q26 results snapshot

NT m	3Q25	2Q26	3Q26	QoQ	YoY	GS	Act / GS	Cons.	Act/Cons.
Revenue	17,677	13,665	15,651	15%	-11%	18,866	-17%	18,196	-14%
GP	8,352	6,753	6,607	-2%	-21%	9,339	-29%	9,120	-28%
OP	6,265	5,148	4,735	-8%	-24%	7,094	-33%	6,946	-32%
Net income	7,080	4,670	5,182	11%	-27%	6,699	-23%	6,723	-23%
Margins									
GM	47.2%	49.4%	42.2%			49.5%		50.1%	
OPM	35.4%	37.7%	30.3%			37.6%		38.2%	
NM	40.1%	34.2%	33.1%			35.5%		36.9%	

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Compared to Bloomberg consensus, we are 4% / 16% ahead in 2027 / 28E net income, mainly on higher revenues and lower opex ratio, reflecting our positive view on Largan's FAU, which is in strong demand with bandwidth upgrade.

Exhibit 6: GS vs. Bloomberg consensus

	2027E			2028E		
NT m	GS	BB	Diff %	GS	BB	Diff %
Revenue	76,335	72,074	6%	101,307	90,479	12%
GP	38,222	36,929	4%	51,348	45,410	13%
OP	29,902	28,454	5%	41,217	34,680	19%
Net income	27,682	26,732	4%	37,180	31,942	16%
Margins						
GM	50.1%	51.2%		50.7%	50.2%	
OPM	39.2%	39.5%		40.7%	38.3%	
NM	36.3%	37.1%		36.7%	35.3%	

Source: Goldman Sachs Global Investment Research, Bloomberg

Valuation

We change our valuation methodology from 2027E PE to discounted PE to better capture the company's long term opportunities in FAU. Our target PE multiple (29.8x) is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at

19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our new target price is NT$11,000 (vs. NT$6,263 previously). Our target price implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

Exhibit 7: Largan discounted PE

NT$m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Key assumptions									
Revenues (NT$m)	**48,842**	**59,458**	**61,148**	**61,654**	**76,335**	**101,307**	**150,128**	**191,476**	**214,294**
FAU	-	-	-	-	2,074	19,191	63,908	103,530	126,348
Others	48,842	59,458	61,148	61,654	74,261	82,115	86,221	87,945	87,945
YoY	**2%**	**22%**	**3%**	**1%**	**24%**	**33%**	**48%**	**28%**	**12%**
FAU						825%	233%	62%	22%
Others	2%	22%	3%	1%	20%	11%	5%	2%	0%
FAU revenues contribution					*3%*	*19%*	*43%*	*54%*	*59%*
FAU shipment (k units)					592	4,789	14,368	21,551	25,862
YoY						*710%*	*200%*	*50%*	*20%*
FAU ASP (US$)					117	134	148	160	163
YoY						*14%*	*11%*	*8%*	*2%*
P&L									
Revenue	**48,842**	**59,458**	**61,148**	**61,654**	**76,335**	**101,307**	**150,128**	**191,476**	**214,294**
Gross profit	**23,808**	**31,209**	**30,837**	**28,867**	**38,222**	**51,348**	**76,093**	**97,050**	**108,616**
Gross margin	48.7%	52.5%	50.4%	46.8%	50.1%	50.7%	50.7%	50.7%	50.7%
OPEX	5,986	7,177	7,279	7,181	8,320	10,131	15,013	19,148	21,429
Opex ratio	12.3%	12.1%	11.9%	11.6%	10.9%	10.0%	10.0%	10.0%	10.0%
Operating profit	**17,821**	**24,033**	**23,558**	**21,685**	**29,902**	**41,217**	**61,081**	**77,903**	**87,186**
OPM	36.5%	40.4%	38.5%	35.2%	39.2%	40.7%	40.7%	40.7%	40.7%
Non-op	4,280	8,142	2,342	4,761	3,913	4,104	4,104	4,104	4,104
Pre-tax profit	**22,102**	**32,174**	**25,900**	**26,446**	**33,815**	**45,321**	**65,185**	**82,007**	**91,291**
Tax	4,200	5,963	4,340	4,539	5,884	7,891	11,350	14,279	15,896
Tax rate	19.0%	18.5%	16.8%	17.2%	17.4%	17.4%	17.4%	17.4%	17.4%
Minority	-	296	285	241	249	250	250	250	250
Net profit	**17,902**	**25,915**	**21,275**	**21,666**	**27,682**	**37,180**	**53,584**	**67,478**	**75,145**
EPS (NTD, diluted)	**132.62**	**191.44**	**157.21**	**161.03**	**204.55**	**276.22**	**398.10**	**501.32**	**558.28**
YoY	*-21%*	*44%*	*-18%*	*2%*	*27%*	*35%*	*44%*	*26%*	*11%*
TP implied P/E					53.8	39.8	27.6	21.9	19.7

2030E target P/E	29.8
Target multiple x EPS	14,939
Discounted back to 2027; TP (NTD)	**11,000**
Implied 2027 P/E	53.8

COE assumption	
Beta	1.1
Risk free	3.5%
Market risk premium	6.5%
COE	**10.7%**

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 8: Largan peer comparison

Company	Ticker	Rating	PE	NI YoY		OPM		Ratio
			2030E	2030E	2031E	2030E	2031E	
Largan	3008.TW	Buy	13.3	26%	11%	40.7%	40.7%	0.2
Largan (TP implied)	3008.TW	Buy	29.8	26%	11%	40.7%	40.7%	0.5
Company	**Ticker**	**Rating**	**PE**	**NI YoY**		**OPM**		**Ratio**
			2027E	**2027E**	**2028E**	**2027E**	**2028E**	
Peers								
AAC	2018.HK	Neutral	12.4	17%	12%	9.7%	10.0%	0.5
T&S	300570.SZ	NC	47.1	96%	62%	24.2%	25.4%	0.5
VPEC	2455.TW	Buy	48.9	67%	55%	35.2%	37.3%	0.5
Sumitomo	5802.JT	Buy	17.2	18%	25%	9.8%	11.2%	0.5
Average			**31.4**	**50%**	**38%**	**19.7%**	**21.0%**	**0.5**

NC: Not Covered; data from Bloomberg consensus. Price as of Oct 9, 2026.

Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 9: Taiwan AI server supply chain enjoys strong re-rating when expanding from consumer electronics to AI data center

Company	Ticker	2020-2025 PE		
		Trough	Peak	Diff
Largan	3008.TW	10.6	28.0	163%
Taiwan AI server supply chain				
Landmark	3081.TWO	28.9	144.1	398%
VPEC	2455.TW	18.1	74.1	310%
Auras	3324.TWO	8.8	54.6	523%
Fositek	6805.TW	11.3	49.9	343%
AVC	3017.TW	4.7	32.8	604%
Inventec	2356.TW	9.9	31.0	213%
King Slide	2059.TW	9.0	30.2	236%
Gigabyte	2376.TW	3.8	29.6	685%
Mitac	3706.TW	2.5	28.7	1044%
Chenbro	8210.TW	6.7	25.6	282%
Wiwynn	6669.TW	6.1	23.4	287%
Wistron	3231.TW	6.0	21.8	262%
Quanta	2382.TW	6.8	20.4	201%
Hon Hai	2317.TW	7.7	17.5	129%
Avg.		**9.3**	**41.7**	**394%**

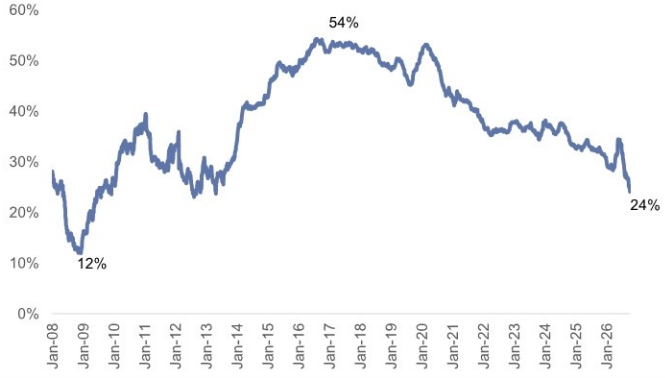
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 10: Largan 12M forward PE ratio



Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 11: Largan QFII holdings



Source: TEJ

Financial tables

Exhibit 12: Largan P&L

NT$m	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
Revenues	15,544	13,665	15,651	16,794	18,095	13,322	19,655	25,263	48,842	59,458	61,148	61,654	76,335	101,307
GP	7,680	6,753	6,607	7,827	9,110	6,375	9,995	12,743	23,808	31,209	30,837	28,867	38,222	51,348
OP income	5,812	5,148	4,735	5,990	7,137	4,923	7,852	9,989	17,821	24,033	23,558	21,685	29,902	41,217
Net income	6,123	4,670	5,182	5,690	6,643	4,812	7,230	8,996	17,902	25,915	21,275	21,666	27,682	37,180
EPS, diluted (NT$)	46.11	35.61	39.52	39.79	49.09	35.56	53.43	66.48	132.62	191.44	157.21	161.03	204.55	276.22
YoY														
Revenues	7%	17%	-11%	-2%	16%	-3%	26%	50%	2%	22%	3%	1%	24%	33%
GP	-4%	8%	-21%	-5%	19%	-6%	51%	63%	-9%	31%	-1%	-6%	32%	34%
OP income	-5%	6%	-24%	-5%	23%	-4%	66%	67%	-13%	35%	-2%	-8%	38%	38%
Net income	-5%	352%	-27%	-15%	8%	3%	40%	58%	-21%	45%	-18%	2%	28%	34%
EPS, diluted (NT$)	-3%	362%	-25%	-19%	6%	0%	35%	67%	-21%	44%	-18%	2%	27%	35%
QoQ														
Revenues	-10%	-12%	15%	7%	8%	-26%	48%	29%						
GP	-7%	-12%	-2%	18%	16%	-30%	57%	27%						
OP income	-8%	-11%	-8%	27%	19%	-31%	60%	27%						
Net income	-9%	-24%	11%	10%	17%	-28%	50%	24%						
EPS, diluted (NT$)	-6%	-23%	11%	1%	23%	-28%	50%	24%						
Margins														
GM	49.4%	49.4%	42.2%	46.6%	50.3%	47.9%	50.9%	50.4%	48.7%	52.5%	50.4%	46.8%	50.1%	50.7%
OPM	37.4%	37.7%	30.3%	35.7%	39.4%	37.0%	40.0%	39.5%	36.5%	40.4%	38.5%	35.2%	39.2%	40.7%
NM	39.4%	34.2%	33.1%	33.9%	36.7%	36.1%	36.8%	35.6%	36.7%	43.6%	34.8%	35.1%	36.3%	36.7%
Ratios														
Opex ratio	12%	12%	12%	11%	11%	11%	11%	11%	12%	12%	12%	12%	11%	10%
Tax rate	15%	23%	14%	17%	17%	17%	17%	17%	19%	19%	17%	17%	17%	17%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 13: Largan balance sheet

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Balance Sheet						
Cash and equivalents	107,490	113,658	115,942	115,177	136,907	152,610
Accounts receivable	10,091	10,360	10,462	10,484	10,430	17,325
Inventory	4,591	5,733	6,713	9,456	7,669	14,778
Other current assets	12,149	16,012	21,169	21,169	21,169	21,169
Current assets	**134,321**	**145,764**	**154,285**	**156,285**	**176,174**	**205,882**
Net PP&E/Fixed assets	41,135	46,936	51,472	60,979	57,943	52,867
Net intangibles	239	505	475	352	345	214
Other long-term assets	19,443	23,322	14,555	14,555	14,555	14,555
Non-current assets	**60,817**	**70,763**	**66,502**	**75,885**	**72,842**	**67,635**
Total assets	**195,138**	**216,527**	**220,787**	**232,170**	**249,017**	**273,517**
Accounts payable	1,731	1,855	1,728	2,224	2,370	3,653
Short-term debt	-	203	-	-	-	-
Other current liabilities	27,787	28,520	28,021	28,214	31,194	35,899
Current liabilities	**29,517**	**30,578**	**29,749**	**30,439**	**33,564**	**39,551**
Long-term debt	-	-	-	-	-	-
Other long-term liabilities	110	561	171	171	171	171
Non-current liabilities	**110**	**561**	**171**	**171**	**171**	**171**
Total liabilities	**29,627**	**31,139**	**29,919**	**30,609**	**33,735**	**39,722**
Common stock	1,335	1,335	1,335	1,335	1,335	1,335
Retained earnings	160,871	175,969	185,818	196,752	210,722	229,485
Other common equity	3,305	6,215	1,714	1,714	1,714	1,714
Total common equity	**165,510**	**183,519**	**188,867**	**199,801**	**213,771**	**232,534**
Minority interest	-	1,869	2,001	1,760	1,511	1,261
Total equity	**165,510**	**185,388**	**190,868**	**201,561**	**215,282**	**233,795**
BVPS	1,226.07	1,369.51	1,410.38	1,498.06	1,590.78	1,736.96
Cash conversion cycle						
Account receivable days	68	63	62	62	50	50
Inventory days	71	67	75	90	82	82
Net payable days	25	23	22	22	22	22
Cash conversion cycle	114	106	116	130	110	110
Ratios						
ROE (common equity)	11%	15%	11%	11%	13%	17%
ROA	9%	13%	10%	10%	12%	14%
Net debt to total equity	-67%	-64%	-64%	-60%	-67%	-68%
Total liabilities to total assets	15%	14%	14%	13%	14%	15%
Dupont analysis						
Asset turnover	0.3	0.3	0.3	0.3	0.3	0.4
Leverage (assets to equity)	1.2	1.2	1.2	1.2	1.2	1.2
Net margin	36.7%	43.6%	34.8%	35.1%	36.3%	36.7%
ROE (total equity)	11%	15%	11%	11%	13%	17%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 14: Largan cash flow

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Cash flow statement						
Net income	22,102	32,174	25,900	21,666	27,682	37,180
Minority interest add-back	-	(296)	(285)	(241)	(249)	(250)
Depreciation and amortization add-back	5,422	6,230	7,732	8,566	12,428	12,399
(Increase)/decrease in working capital	(1,400)	(1,287)	(1,208)	(2,268)	1,986	(12,722)
Other operating cash flow items	(7,925)	(5,243)	(6,059)	-	-	-
Cash flow from operating	**18,199**	**31,579**	**26,080**	**27,723**	**41,847**	**36,607**
Capital expenditure	(8,237)	(11,133)	(12,340)	(17,849)	(9,160)	(7,091)
Other investment cash flow items	(2,915)	(4,933)	3,104	(100)	(225)	(100)
Cash flow from investing	**(11,151)**	**(16,066)**	**(9,236)**	**(17,949)**	**(9,385)**	**(7,191)**
Dividends paid	(11,412)	(9,009)	(13,013)	(10,539)	(10,732)	(13,712)
Change in common stock	-	-	-	-	-	-
Increase/(decrease) in short-term debt	(19)	203	(203)	-	-	-
Increase/(decrease) in long-term debt	-	-	-	-	-	-
Other financing cash flow items	1,680	(1,958)	(241)	-	-	-
Cash flow from financing	**(9,750)**	**(10,764)**	**(13,458)**	**(10,539)**	**(10,732)**	**(13,712)**
Net change in cash	(2,682)	6,168	2,283	(765)	21,730	15,703
FCF	9,962	20,446	13,740	9,874	32,687	29,515
Ratio						
Capex to revenue	17%	19%	20%	29%	12%	7%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Largan

Valuation: We are Buy rated on Largan and have a 12-month target price of NT$11,000, which is based on discounted PE. Our target P/E multiple of 29.8x is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at 19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our target price of NT$11,000 implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

Key risks: (1) slower-than-expected smartphone market growth, (2) fiercer competition in handset lenses, (3) slower-than-expected smartphone camera lens specification upgrades or Largan's handset lens pixel mix upgrade, (4) slower-than-expected FAU ramp up, and (5) fiercer competition in FAU.

Disclosure Appendix

Reg AC

We, Verena Jeng and Allen Chang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Disclosures

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AAC (Neutral, HK$37.36), Sumitomo Electric Industries (Buy, ¥2,361) and VPEC (Buy, NT$558.00)

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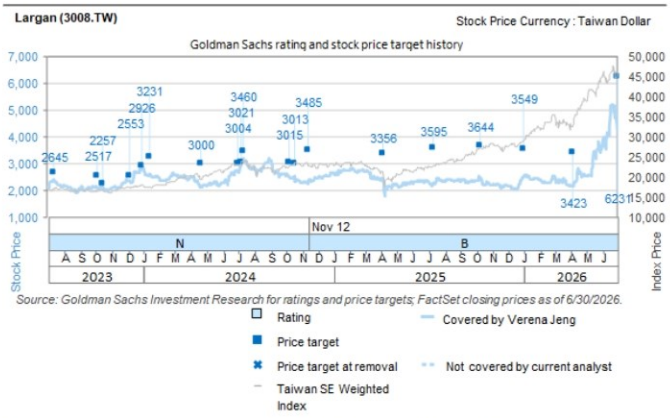
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Target price history table(s)

Largan (3008.TW)

Date of report	Target price (NT$)	Closing price (NT$)
13-Jul-26	6,263.00	4,345.00
30-Jun-26	6,231.00	4,290.00
07-Apr-26	3,423.00	2,170.00
01-Jan-26	3,549.00	2,495.00
09-Oct-25	3,644.00	2,470.00
11-Jul-25	3,595.00	2,285.00
06-Apr-25	3,356.00	2,450.00
12-Nov-24	3,485.00	2,255.00
18-Oct-24	3,013.00	2,325.00
07-Oct-24	3,015.00	2,525.00
11-Jul-24	3,460.00	3,200.00
08-Jul-24	3,021.00	3,030.00
01-Jul-24	3,004.00	2,700.00
21-Apr-24	3,000.00	2,120.00
12-Jan-24	3,231.00	2,600.00
29-Dec-23	2,926.00	2,870.00
06-Dec-23	2,553.00	2,320.00
15-Oct-23	2,257.00	2,175.00

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08 Oct 2026 10:19:53 ET | 16 pages

Largan Precision (3008.TW)

Better FAU visibility despite smartphone shortfall

CITI'S TAKE

Largan's 3Q26 earning was below expectation. 3Q26 revenue of NT$15.65bn (up 15% QoQ but down 11% YoY). GM declined to 42.2% with EPS reaching NT$39.6. Management attributed margin pressure to manufacturing yield challenges associated with increasingly complicated smartphone lenses, alongside the rising cost of renewable electricity. The latter is becoming a structural cost burden because of contractual commitments to customers. While yields are gradually improving, management see weakening smartphone order flow into 4Q26. **Nevertheless, the management's view on FAU development is positive and seeing great feedback and strong business engagement into the next generation CPO design**. We reiterate our Buy and see any pull back on weak smartphone business as a great buying opportunity.

CPO Strategy — Moving to integrated FAU and carrier assembly — The most important development during the call is Largan's expanded product scope. Previously, the company primarily targeted Fiber Array alignment, positioning itself as a high-precision component supplier to established FAU manufacturers. Management now plans to produce FAU, purchase PMLA and other optical components, and perform precision optical coupling and assembly to deliver complete FAUs. It also intends to pursue the additional assembly step of mounting the FAU onto a carrier, which subsequently interfaces with the receptacle. This represents a meaningful expansion in value capture, moving Largan to higher-value integrated optical interconnect assemblies.

Customer qualification has progressed well, production starting in mid-2027 — Largan indicated that FA qualification is complete, and the automated pilot line is already operational and has been inspected repeatedly by the customer. Largan currently has one customer progressing toward commercial volume production, while several other customers, including CSP-related opportunities, are involved in next-generation development targeting 2028. Management expects the first scaled production lines to be ready around mid-2027, with meaningful FAU mass production potentially beginning in 2H27. Management also confirmed that recently acquired land and facilities have designated expansion purposes, primarily cleanrooms and production lines for FA/FAU rather than smartphone lenses.

Buy

Short-Term View: Upside

Price (08 Oct 26 13:30)	NT$6,660.00
Target price	NT$8,500.00
Expected share price return	27.6%
Expected dividend yield	1.2%
Expected total return	28.8%
Market Cap	NT$871,116M
	US$27,335M

Price Performance
(RIC: 3008.TW, BB: 3008 TT)



Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	25,915	194.17	44.8	34.3	4.8	14.8	1.3
2025A	21,275	159.40	-17.9	41.8	4.7	11.3	0.8
2026E	20,449	155.54	-2.4	42.8	4.3	10.4	1.2
2027E	21,410	163.69	5.2	40.7	4.1	10.3	1.2
2028E	45,921	351.08	114.5	19.0	3.5	19.8	2.6

Source: Powered by dataCentral

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3008.TW: Fiscal year end 31-Dec

Price: NT$6,660.00; TP: NT$8,500.00; Market Cap: NT$871,116m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	59,458	61,148	61,099	77,607	163,572
Cost of sales	-28,248	-30,311	-33,508	-44,656	-88,753
Gross profit	31,209	30,837	27,591	32,950	74,819
Gross Margin (%)	52.5	50.4	45.2	42.5	45.7
EBITDA (Adj)	**29,617**	**30,526**	**28,406**	**31,769**	**63,555**
EBITDA Margin (Adj) (%)	49.8	49.9	46.5	40.9	38.9
Depreciation	-5,585	-6,968	-8,027	-9,246	-10,713
Amortisation	0	0	0	0	0
EBIT (Adj)	**24,032**	**23,558**	**20,379**	**22,522**	**52,842**
EBIT Margin (Adj) (%)	40.4	38.5	33.4	29.0	32.3
Net interest	4,404	4,259	3,745	3,600	3,600
Associates	0	3	102	200	200
Non-Op/Except/Other Adj	3,738	-1,919	957	280	280
Pre-tax profit	**32,174**	**25,900**	**25,183**	**26,602**	**56,922**
Tax	-5,963	-4,340	-4,658	-5,192	-11,001
Extraord./Min.Int./Pref.div.	-296	-285	-77	0	0
Reported net profit	**25,915**	**21,275**	**20,449**	**21,410**	**45,921**
Net Margin (%)	43.6	34.8	33.5	27.6	28.1
Core NPAT	25,915	21,275	20,449	21,410	45,921

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	194.17	159.40	155.54	163.69	351.08
Core EPS ($)	194.17	159.40	155.54	163.69	351.08
DPS ($)	85.50	50.96	78.48	82.17	176.24
CFPS ($)	205.13	162.32	273.56	227.93	420.99
FCFPS ($)	119.83	76.12	195.19	151.87	341.40
BVPS ($)	1,389.00	1,430.06	1,552.87	1,638.07	1,906.98
Wtd avg ord shares (m)	133	133	131	131	131
Wtd avg diluted shares (m)	133	133	131	131	131

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	21.7	2.8	-0.1	27.0	110.8
EBIT (Adj) (%)	35.0	-2.0	-13.5	10.5	134.6
Core NPAT (%)	44.8	-17.9	-3.9	4.7	114.5
Core EPS (%)	44.8	-17.9	-2.4	5.2	114.5

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	113,658	115,942	132,174	141,574	175,281
Accounts receivables	10,360	10,462	12,457	23,869	38,792
Inventory	5,733	6,713	6,331	12,131	19,715
Net fixed & other tangibles	46,936	51,472	53,748	54,450	54,146
Goodwill & intangibles	0	0	0	0	0
Financial & other assets	39,839	36,198	37,859	57,893	84,031
Total assets	**216,527**	**220,787**	**242,569**	**289,915**	**371,966**
Accounts payable	1,855	1,728	3,136	6,249	9,854
Short-term debt	203	0	0	0	0
Long-term debt	0	0	0	0	0
Provisions & other liab	29,081	28,191	36,321	69,409	112,681
Total liabilities	**31,139**	**29,919**	**39,457**	**75,659**	**122,536**
Shareholders' equity	185,388	190,868	203,112	214,257	249,430
Minority interests	0	0	0	0	0
Total equity	**185,388**	**190,868**	**203,112**	**214,257**	**249,430**
Net debt (Adj)	**-113,455**	**-115,942**	**-132,174**	**-141,573**	**-175,280**
Net debt to equity (Adj) (%)	-61.2	-60.7	-65.1	-66.1	-70.3

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	34.3	41.8	42.8	40.7	19.0
PB (x)	4.8	4.7	4.3	4.1	3.5
EV/EBITDA (x)	24.9	24.1	25.7	22.6	11.0
FCF yield (%)	1.8	1.1	2.9	2.3	5.1
Dividend yield (%)	1.3	0.8	1.2	1.2	2.6
Payout ratio (%)	44	32	50	50	50
ROE (%)	14.8	11.3	10.4	10.3	19.8

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	29,617	30,526	28,406	31,769	63,555
Working capital	-4,417	-6,864	7,411	-843	-1,569
Other	2,178	-1,998	146	-1,112	-6,921
Operating cashflow	**27,378**	**21,664**	**35,963**	**29,813**	**55,065**
Capex	-11,385	-11,504	-10,302	-9,948	-10,410
Net acq/disposals	1,369	0	-100	-200	-200
Other	-5,514	8,798	-1,078	0	0
Investing cashflow	**-15,531**	**-2,707**	**-11,480**	**-10,148**	**-10,610**
Dividends paid	-10,811	-11,412	-6,802	-10,265	-10,748
Financing cashflow	**-5,679**	**-16,674**	**-8,251**	**-10,265**	**-10,748**
Net change in cash	**6,168**	**2,283**	**16,232**	**9,400**	**33,707**
Free cashflow to s/holders	**15,993**	**10,160**	**25,661**	**19,865**	**44,655**

For definitions of the items in this table, please click here.

Seeing multiple generation and years opportunities — Compared with these broader solutions providers, Largan remains primarily as a high-precision manufacturing and assembly specialist. Management described its current business relationship as closer to contract manufacturing, with direct discussions with end customers focused mainly on next-generation products. On product architecture, the initial 2027 commercial project remains focused on single-row FA using grating coupling (GC), while multi-row and multilayer configurations remain in sampling and are primarily associated with 2028 programs. Management believes its FA/FAU solution is broadly applicable to both CPO and NPO when the underlying optical interface remains similar, because the primary difference is the placement of the optical package. Largan's primary differentiation is not the FA design itself but its ability to manufacture highly precise assembly using imperfect input components.

Automation and Yield Control Are the Real Competitive Advantages

During the earnings call, Largan's management emphasized that almost all critical FA/FAU alignment equipment is developed internally, including machinery and control software. This enables faster equipment modification, process optimization and troubleshooting compared with labor-intensive assembly. Automated production also offers better traceability and root-cause analysis when yield problems emerge. Management stated that customer feedback is positive and the FAU certification process progressing well. The key competitive advantage, in our view, is the ability to combine submicron accuracy, high throughput and reproducible yields at scale, rather than precision alone.

In our view, the earnings call supports a more constructive medium-term view of Largan's CPO opportunities than our previous assessment, particularly given the apparent completion of initial FA qualification, customer interest in integrated FAU assembly and a clearer path toward commercial production in 2H27. Moving from standalone FA to FAU and potentially carrier assembly could materially increase revenue content per optical connection, while the company's automated manufacturing capabilities may support differentiation in increasingly complex, high-density optical architectures. The next growth opportunity could emerge from multi-row FA and higher-channel-count optical solutions beginning in 2028, particularly as AI networking bandwidth moves beyond current-generation platforms.

Maintaining Buy on better FAU visibility

Given the weak smartphone order flow and GM pressure in the near term, we revise down our net income projections by 9%/29% for 2026/2027, but slightly raise our 2028 net income projection by 1% given the solid growth opportunity in FAU business. However, we think Largan is transitioning from a smartphone optics manufacturer into a potential high-precision optical interconnect assembly supplier. As they are moving to FAU not just FA; we assume higher revenue contribution for 2027/2028 of 28%/44% considering Largan could get 15%/30% market share.

Figure 1. Largan - 3Q26 results overview

(NT$mn)	3Q26 Actual	3Q25 Actual	2Q26 Actual	YoY	QoQ	3Q26 Citi	diff	3Q26 Consensus	diff
Revenue	15,651	17,677	13,665	-11%	15%	16,011	-2%	18,196	-14%
Gross profit	6,607	8,352	6,753	-21%	-2%	7,782	-15%	9,120	-28%
OP profit	4,735	6,265	5,148	-24%	-8%	5,829	-19%	6,946	-32%
Non-op	1,357	1,890	951			1,020		1,183	
PBT	6,092	8,155	6,099	-25%	0%	6,849	-11%	8,129	-25%
Net Income	5,182	7,080	4,670	-27%	11%	5,751	-10%	6,723	-23%
EPS (NT$)	39.62	54.13	35.70	-27%	11%	43.97	-10%	51.40	-23%
GM	42.2%	47.2%	49.4%	-5.0 ppt	-7.2 ppt	48.6%	-6.4 ppt	50.1%	-7.9 ppt
OPEX ratio	-12.0%	-11.8%	-11.7%	-0.1 ppt	-0.2 ppt	-12.2%	0.2 ppt	-11.9%	-0.0 ppt
OPM	30.3%	35.4%	37.7%	-5.2 ppt	-7.4 ppt	36.4%	-6.1 ppt	38.2%	-7.9 ppt
NM	33.1%	40.1%	34.2%	-6.9 ppt	-1.1 ppt	35.9%	-2.8 ppt	36.9%	-3.8 ppt

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Source: Citi Research, Bloomberg

We view customer acceptance and manufacturing differentiation positively, despite near-term earnings visibility remains constrained by smartphone demand at least into 1H27. We thus maintain our Buy rating with TP NT$8,500 unchanged, implying 33x of our 2027/28 EPS projection from 30x previously thanks to its better visibility on FAU progress.

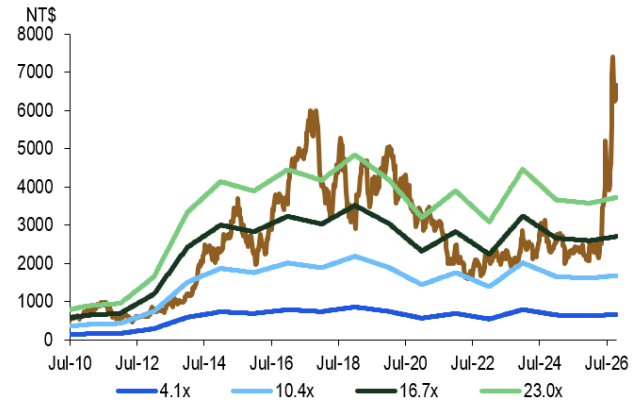
Figure 2. Largan – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	61,099	62,461	-2%	77,607	95,009	-18%	163,572	156,848	4%
Gross profit	27,591	30,753	-10%	32,950	46,156	-29%	74,819	73,629	2%
Opex	(7,212)	(7,407)	-3%	(10,428)	(12,763)	-18%	(21,977)	(21,077)	4%
Operating profit	20,379	23,346	-13%	22,522	33,393	-33%	52,842	52,552	1%
Pre-tax profit	25,183	27,813	-9%	26,602	37,473	-29%	56,922	56,632	1%
Net income	20,449	22,444	-9%	21,410	30,213	-29%	45,921	45,639	1%
EPS (NT$)	155.5	168.2	-8%	163.7	226.4	-28%	351.1	341.9	3%
Gross margin	45.2	49.2	-4.1ppts	42.5	48.6	-6.1ppts	45.7	46.9	-1.2ppts
Opex ratio	(11.8)	(11.9)	-0.1ppts	(13.4)	(13.4)	0.0ppts	(13.4)	(13.4)	0.0ppts
Operating margin	33.4	37.4	-4.0ppts	29.0	35.1	-6.1ppts	32.3	33.5	-1.2ppts
Net margin	33.5	35.9	-2.5ppts	27.6	31.8	-4.2ppts	28.1	29.1	-1.0ppts

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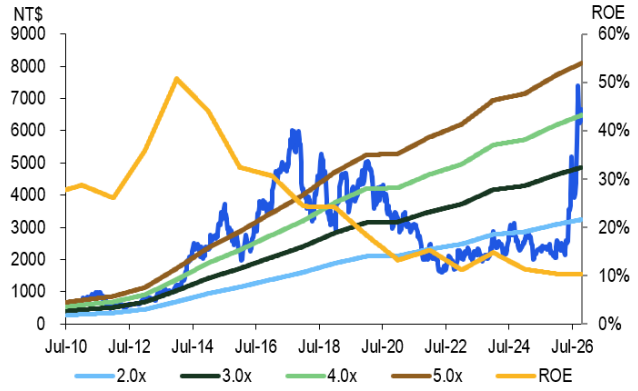
Source: Citi Research

Figure 3. Largan – Forward P/E band



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Source: Citi Research, company data

Figure 4. Largan – Forward P/B band & ROE



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Figure 5. Largan – Forecast Summary

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	14,579	11,673	17,677	17,219	15,544	13,665	15,651	16,239	13,628	11,251	21,613	31,114	61,148	61,099	77,607	163,572
Gross profit	**7,965**	**6,260**	**8,352**	**8,260**	**7,680**	**6,753**	**6,607**	**6,552**	**5,718**	**4,663**	**9,010**	**13,560**	**30,837**	**27,591**	**32,950**	**74,819**
OPEX	1,878	1,381	2,088	1,932	1,867	1,605	1,872	1,868	1,867	1,508	2,853	4,200	7,279	7,212	10,428	21,977
Operating profit	**6,086**	**4,879**	**6,265**	**6,329**	**5,812**	**5,148**	**4,735**	**4,684**	**3,851**	**3,155**	**6,157**	**9,359**	**23,558**	**20,379**	**22,522**	**52,842**
Total Non-OP	1,630	(3,085)	1,890	1,907	1,476	951	1,357	1,020	1,020	1,020	1,020	1,020	2,342	4,804	4,080	4,080
Pre-tax profit	7,716	1,794	8,155	8,236	7,288	6,099	6,092	5,704	4,871	4,175	7,177	10,379	25,900	25,183	26,602	56,922
Income tax	1,173	738	996	1,434	1,112	1,373	910	1,263	899	845	1,150	2,298	4,340	4,658	5,192	11,001
Net profit	**6,443**	**1,032**	**7,080**	**6,720**	**6,123**	**4,702**	**5,182**	**4,441**	**3,972**	**3,329**	**6,027**	**8,082**	**21,275**	**20,449**	**21,410**	**45,921**
EPS	**48.3**	**7.7**	**53.0**	**50.3**	**45.9**	**35.9**	**39.6**	**34.0**	**30.4**	**25.5**	**46.1**	**61.8**	**159.4**	**155.5**	**163.7**	**351.1**
Margins (%)																
Gross profit	**54.6**	**53.6**	**47.2**	**48.0**	**49.4**	**49.4**	**42.2**	**40.3**	**42.0**	**41.4**	**41.7**	**43.6**	**50.4**	**45.2**	**42.5**	**45.7**
OPEX to Sales Ratio	12.9	11.8	11.8	11.2	12.0	11.7	12.0	11.5	13.7	13.4	13.2	13.5	11.9	11.8	13.4	13.4
Operating profit	**41.7**	**41.8**	**35.4**	**36.8**	**37.4**	**37.7**	**30.3**	**28.8**	**28.3**	**28.0**	**28.5**	**30.1**	**38.5**	**33.4**	**29.0**	**32.3**
Total Non-OP	11.2	(26.4)	10.7	11.1	9.5	7.0	8.7	6.3	7.5	9.1	4.7	3.3	3.8	7.9	5.3	2.5
Pre-tax profit	52.9	15.4	46.1	47.8	46.9	44.6	38.9	35.1	35.7	37.1	33.2	33.4	42.4	41.2	34.3	34.8
Net profit	**44.2**	**8.8**	**40.1**	**39.0**	**39.4**	**34.4**	**33.1**	**27.3**	**29.1**	**29.6**	**27.9**	**26.0**	**34.8**	**33.5**	**27.6**	**28.1**
Y/Y (%)																
Net sales	28.9	6.3	(6.7)	(5.4)	6.6	17.1	(11.5)	(5.7)	(12.3)	(17.7)	38.1	91.6	2.8	(0.1)	27.0	110.8
Gross profit	43.2	17.8	(12.2)	(23.6)	(3.6)	7.9	(20.9)	(20.7)	(25.5)	(31.0)	36.4	107.0	(1.2)	(10.5)	19.4	127.1
Operating profit	53.7	25.4	(19.7)	(24.5)	(4.5)	5.5	(24.4)	(26.0)	(33.7)	(38.7)	30.0	99.8	(2.0)	(13.5)	10.5	134.6
Pre-tax profit	3.9	(69.1)	3.9	(25.7)	(5.6)	240.0	(25.3)	(30.7)	(33.2)	(31.5)	17.8	82.0	(19.5)	(2.8)	5.6	114.0
Net profit	5.4	(77.1)	6.8	(22.5)	(5.0)	355.6	(26.8)	(33.9)	(35.1)	(29.2)	16.3	82.0	(17.9)	(3.9)	4.7	114.5
Q/Q(%)																
Net sales	(19.9)	(19.9)	51.4	(2.6)	(9.7)	(12.1)	14.5	3.8	(16.1)	(17.4)	92.1	44.0				
Gross profit	(26.4)	(21.4)	33.4	(1.1)	(7.0)	(12.1)	(2.2)	(0.8)	(12.7)	(18.5)	93.2	50.5				
Operating profit	(27.4)	(19.8)	28.4	1.0	(8.2)	(11.4)	(8.0)	(1.1)	(17.8)	(18.1)	95.1	52.0				
Pre-tax profit	(30.4)	(76.8)	354.6	1.0	(11.5)	(16.3)	(0.1)	(6.4)	(14.6)	(14.3)	71.9	44.6				
Net profit	(25.7)	(84.0)	586.0	(5.1)	(8.9)	(23.2)	10.2	(14.3)	(10.6)	(16.2)	81.0	34.1				

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Source: Citi Research, company data

Adding Upside 90-Day Short-Term View on Largan Precision (3008.TW)

Direction:	**Upside**
Duration:	Within 90 Days
Category:	Thematic driven

We see management's upbeat outlook on its FA/FAU business should support Largan's share price performance in the coming months.

Bull/Bear: Largan Precision (3008.TW)

NT$ 9,000.00	NT$ 8,500.00	NT$ 5,600.00
▲35% Upside	▲28% Upside	▼16% Downside



Spread 51pp
Current Price and expected returns (upside/downside) as of 08 Oct 2026

BULL Assumptions

- Higher than expected UTR or better than expected product mix
- Winning significant shares in lens market
- Based on 35x PER

BASE Assumptions

- Overall GM >45% in 2026-28E
- Stable share in lens market with steady lens upgrade trend

BEAR Assumptions

- Lower than expected UTR or worse than expected product mix
- Losing significant shares in lens market
- Based on 23x PER

Largan Precision

Company description

Largan is a plastic/glass/hybrid lens supplier in Taiwan with end-applications including phone cameras, DSCs, MFPs, and tablets. Its new development into FAU business should server as a long term growth opportunity.

Investment strategy

We rate Largan a Buy as we expect its core iPhone business to remain resilient and its co-packaged optics (CPO) development to provide strong upside potential in the longer term. We believe Largan could be a long-term winner in the lens market driven by: 1) its technology leadership; 2) intellectual property (IP) protection; and 3) higher yield vs. competitors. In the longer term, we believe spec migration could keep Largan ahead of competitors.

Valuation

Our target price of NT$8,500 for Largan shares is based on 33x 2027/28E EPS. We are using 2027/28E EPS average as we see new Fiber Array + PMLA revenue to kick in from next year. Our 33x PER is higher than its historical 5-year PER range, which we think is justified by its better order visibility proven by its recent strong capacity expansion plan, and we expect its CPO business engagement should provide a strong long-term growth opportunity.

Risks

Key downside risks include: 1) weaker smartphone demand or replacement demand, and in particular, demand headwinds for certain key clients; 2) longer learning curve and slower ramp of the yield rate; 3) slower spec migration; and 4) slower development in CPO business. Any of these risk factors could cause the shares to deviate from our target price.

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Appendix A-1

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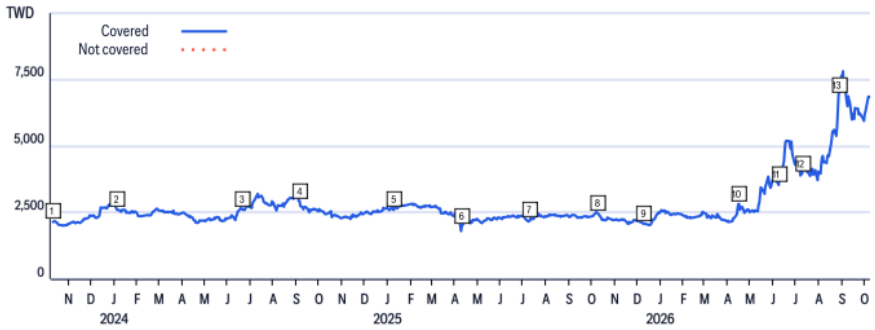
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IMPORTANT DISCLOSURES

Largan Precision (3008.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	12-Oct-23 09:51:12	1	*2,520.00	2,150.00
2	07-Jan-24 20:04:59	1	*3,060.00	2,595.00
3	21-Jun-24 08:28:17	1	*3,560.00	2,595.00
4	05-Sep-24 09:18:51	1	*3,650.00	2,925.00
5	09-Jan-25 09:26:45	1	*3,920.00	2,595.00
6	10-Apr-25 09:42:59	1	*3,300.00	1,980.00
7	10-Jul-25 08:26:53	1	*2,500.00	2,190.00
8	09-Oct-25 07:33:18	1	*2,755.00	2,470.00
9	09-Dec-25 06:01:38	*2	*2,150.00	2,070.00
10	15-Apr-26 10:31:04	2	*3,060.00	2,820.00
11	08-Jun-26 04:01:46	*1	*5,325.00	3,535.00
12	09-Jul-26 07:52:49	1	*6,125.00	3,950.00
13	27-Aug-26 13:18:48	1	*8,500.00	6,915.00

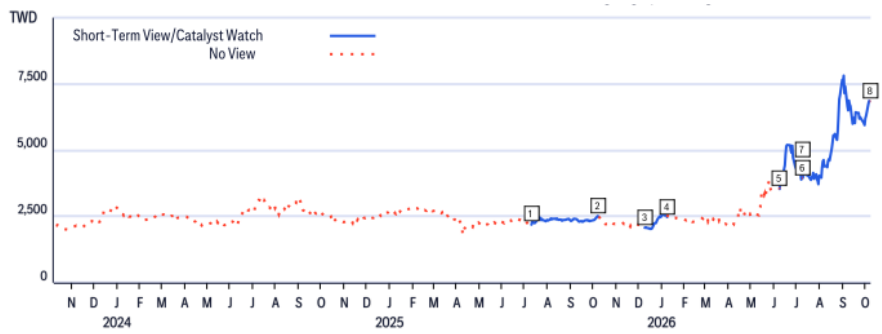
*Indicates Change

Rating/target price changes above reflect Eastern Time

Largan Precision (3008.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jul-25 04:26:53	Add CW	Downside	90 Days	2,190.00
2	08-Oct-25 21:49:48	Remove CW	Downside	90 Days	2,485.00
3	09-Dec-25 01:01:38	Add STV	Downside	30 Days	2,070.00
4	08-Jan-26 19:58:44	Remove STV	Downside	30 Days	2,475.00
5	08-Jun-26 00:01:46	Add CW	Upside	30 Days	3,535.00
6	08-Jul-26 21:51:08	Remove CW	Upside	30 Days	3,950.00
7	09-Jul-26 03:52:49	Add STV	Upside	90 Days	3,950.00
8	07-Oct-26 21:34:32	Remove STV	Upside	90 Days	6,845.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
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Citigroup Global Markets Taiwan Securities Company Limited	Jack Chen; Laura (Chia Yi) Chen; Nicholas Lai

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